

2022 ANNUAL REPORT FORM 20-F

ENABLING A NEW DIGITAL ERA

américa
móvil



As filed with the Securities and Exchange Commission on May 1, 2023
UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, DC 20549

FORM 20-F

☐ REGISTRATION STATEMENT PURSUANT TO SECTION 12(b) OR (g) OF THE SECURITIES EXCHANGE ACT OF 1934
or

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2022 or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15 (d) OF THE SECURITIES EXCHANGE ACT OF 1934

or

☐ SHELL COMPANY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

Date of event requiring this shell company report _____

For the transition period from _____ to _____

Commission file number: 1-16269

AMÉRICA MÓVIL, S.A.B. DE C.V.

(exact name of registrant as specified in its charter)

America Mobile

(translation of registrant's name into English)

United Mexican States

(jurisdiction of incorporation)

Lago Zurich 245, Plaza Carso / Edificio Telcel, Colonia Ampliación Granada, Miguel Hidalgo, 11529, Mexico City, Mexico

(address of principal executive offices)

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(name, telephone, e-mail and/or facsimile number and address of company contact person)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class:	Trading symbol	Name of each exchange on which registered
American Depositary Shares, each representing 20 B Shares, without par value	AMX	New York Stock Exchange
3.625% Senior Notes Due 2029	AMX29	New York Stock Exchange
2.875% Senior Notes Due 2030	AMX30	New York Stock Exchange
4.700% Senior Notes Due 2032	AMX32	New York Stock Exchange
6.375% Senior Notes Due 2035	AMX35	New York Stock Exchange
6.125% Senior Notes Due 2037	AMX37	New York Stock Exchange
6.125% Senior Notes Due 2040	AMX40	New York Stock Exchange
4.375% Senior Notes Due 2042	AMX42	New York Stock Exchange
4.375% Senior Notes Due 2049	AMX49	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act: None

Securities for which there is a reporting obligation pursuant to Section 15(d) of the Act: None

The number of outstanding shares of each of the registrant's classes of capital or common stock as of December 31, 2022:⁽¹⁾

20,555 million

488 million

42,282 million

AA Shares

A Shares

L Shares

⁽¹⁾ Pursuant to the terms of the Reclassification (as defined below), we converted all of our AA Shares, A Shares and L Shares into a single series of B Shares on a one for one basis. As of March 31, 2023, we have 63,224 million B outstanding Shares.

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

If this report is an annual or transition report, indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934. Yes ☐ No ☒

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports) and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§ 232.405 of this Chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," and "emerging growth company" in Rule 12b-2 of the Exchange Act

☒ Large accelerated filer ☐ Accelerated filer ☐ Non-accelerated filer ☐ Emerging growth company

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. Yes ☒ No ☐

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. Yes ☐ No ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to § 240.10D-1(b). Yes ☐ No ☐

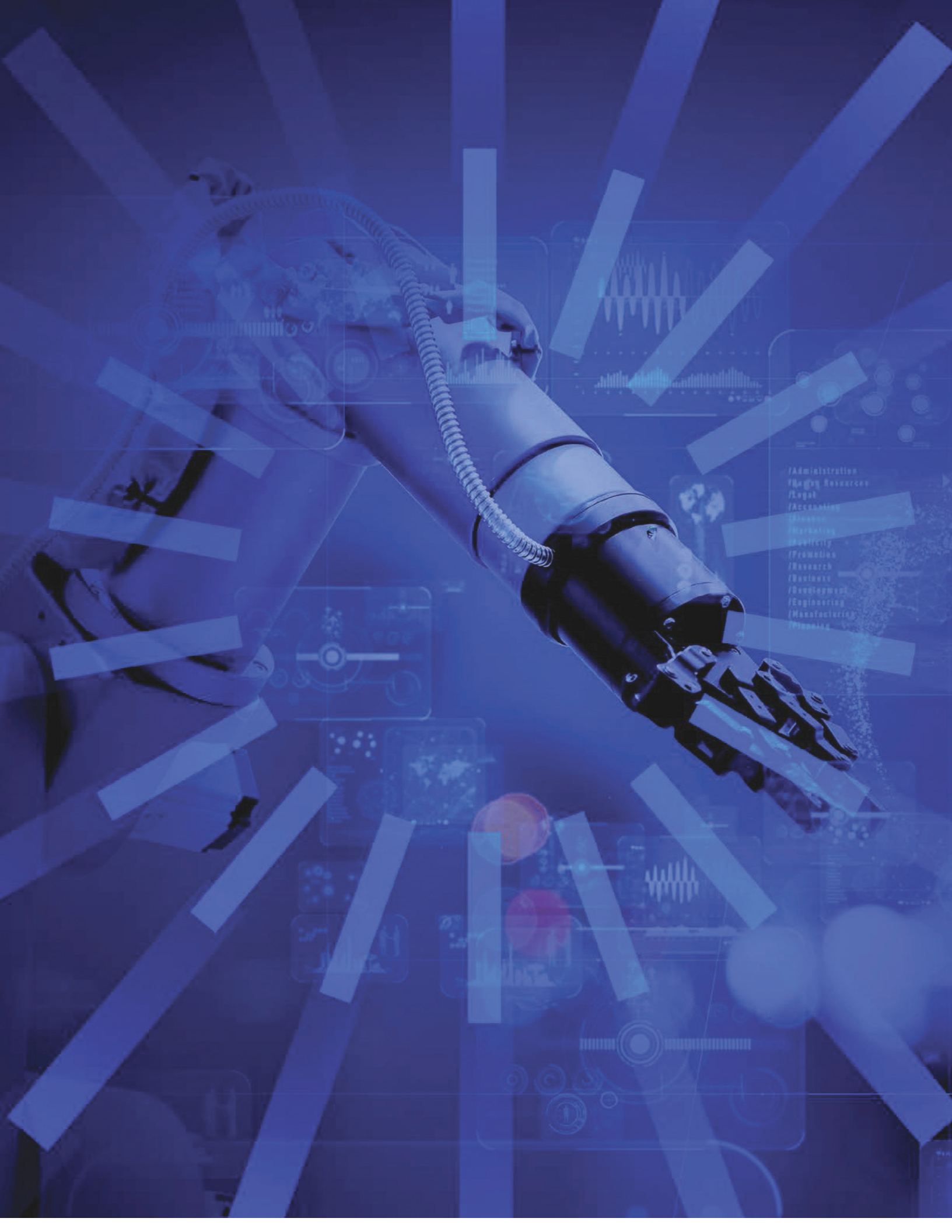
Indicate by check mark which basis of accounting the registrant has used to prepare the financial statements included in this filing

☐ U.S. GAAP ☒ International Financial Reporting Standards as issued by the International Accounting Standards Board ☐ Other

If "other" has been checked in response to the previous question, indicate by check mark which financial statement item the registrant has elected to follow. ☐ Item 17 ☐ Item 18

If this is an annual report, indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒





- /Administration
- /Human Resources
- /Legal
- /Accounting
- /Finance
- /Marketing
- /Electricity
- /Production
- /Research
- /Business
- /Development
- /Engineering
- /Manufacturing
- /Planning

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SELECTED FINANCIAL DATA

We prepared our audited consolidated financial statements included in this annual report in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (“IFRS”). The selected financial information should be read in conjunction with, and is qualified in its entirety by reference to, our audited consolidated financial statements.

We present our consolidated financial statements in Mexican pesos. This annual report contains translations of various peso amounts into U.S. dollars at specified rates solely for your convenience. You should not construe these translations as representations that the peso amounts actually represent the U.S. dollar amounts or could be converted into U.S. dollars at the rate indicated. Unless otherwise indicated, we have translated U.S. dollar amounts from pesos at the exchange rate of Ps.19.4143 to U.S.\$1.00, which was the rate reported by Banco de México on December 30, 2022, as published in the Official Gazette of the Federation (Diario Oficial de la Federación, or “Official Gazette”).

On November 23, 2021, we completed the sale of our U.S. operations to Verizon Communications Inc. (“Verizon”), as previously disclosed in our press release furnished on a report on Form 6-K on November 23, 2021. As a result, in accordance with IFRS 5, the operations of TracFone Wireless Inc. (“TracFone”) are classified as discontinued operations for all years prior to 2022 presented in the consolidated financial information included in this report. Accordingly, results are presented in the profit after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes TracFone, including for periods prior to the sale.

On July 1, 2022, we completed the sale of our Panamanian operations to Cable & Wireless Panama, S.A., an affiliate of Liberty Latin America, Ltd. (“LLA”), as previously disclosed in our press release furnished on a report on Form 6-K on July 1, 2022. As a result, in accordance with IFRS 5, the operations of Claro Panama, S.A. (“Claro Panama”) are classified as discontinued operations for all years presented in the consolidated financial information included in this report. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Panama, including for periods prior to the sale.

On August 8, 2022, we completed the spin-off of our telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off, as previously disclosed in our press release furnished on a report on Form 6-K on August 8, 2022. As part of the spin-off and the associated corporate restructuring, we contributed to Sitios Latinoamérica, S.A.B. de C.V. (“Sitios”) capital stock, assets and liabilities, mainly consisting of the shares of our subsidiaries holding telecommunications towers and other associated infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off. As a result, the assets and liabilities of Sitios no longer appear in the consolidated financial information included in this report. We maintain commercial relationships with Sitios through our subsidiaries, which are parties to master service agreements for passive infrastructure sharing with Sitios for the use of tower space, property and other equipment. The terms of those agreements for tower space are between five (5) and twelve (12) years, while terms for property and other equipment are usually between five (5) and twenty five (25) years, each with an option to renew.

On October 6, 2022, we entered into an agreement to combine our Chilean operations with LLA in order to create Claro Chile, SpA, a 50:50 joint venture (“Claro Chile, SpA”), as a result of which Claro Chile, S.A. (“Claro Chile”) ceased to be our wholly owned subsidiary, as previously disclosed in our press release furnished on a report on Form 6-K on October 6, 2022. In accordance with IFRS 11, this transaction was classified as a joint venture, since we exercise joint control over Claro Chile, SpA with LLA, and all relevant decisions require the consent of both parties. As a result, in accordance with IFRS 5, the operations of Claro Chile are classified as discontinued operations for all years presented in the consolidated financial information included in this report and are recognized through the equity method from October 6, 2022. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Chile, including for periods prior to the joint venture agreement.

We have not included earnings or dividends on a per American Depositary Share (“ADS”) basis. As of December 31, 2022, each L Share ADS represented 20 L Shares and each A Share ADS represented 20 A Shares. As a result of the Reclassification (as defined below), as of March 31, 2023, we only had B Share ADSs, and each B Share ADS represented 20 B Shares.



FOR THE YEAR ENDED DECEMBER 31,								
2020 ⁽²⁾		2021 ⁽³⁾		2022		2022		
(in millions of Mexican pesos, except share and per share amounts)						(in millions of U.S. dollars, except share and per share amounts)		
STATEMENT OF COMPREHENSIVE INCOME DATA:								
Operating revenues	Ps.	815,399	Ps.	830,687	Ps.	844,501	U.S.	43,499
Operating costs and expenses		512,371		506,828		514,996		26,526
Depreciation and amortization		154,215		156,303		158,634		8,171
Operating income		148,813		167,556		170,871		8,802
Net profit for the year from continuing operations	Ps.	39,439	Ps.	72,090	Ps.	88,225	U.S.	4,544
Net profit (loss) for the year from discontinued operations		11,588		124,236		(6,719)		(346)
Net profit for the year	Ps.	51,027	Ps.	196,326	Ps.	81,506	U.S.	4,198
NET PROFIT ATTRIBUTABLE FOR THE YEAR TO:								
Equity holders of the parent from continuing operations	Ps.	35,265	Ps.	68,187	Ps.	82,878	U.S.	4,269
Equity holders of the parent from discontinued operations		11,588		124,236		(6,719)		(346)
Equity holders of the parent	Ps.	46,853	Ps.	192,423	Ps.	76,159	U.S.	3,923
Non-controlling interests		4,174		3,903		5,347		275
Net profit for the year	Ps.	51,027	Ps.	196,326	Ps.	81,506	U.S.	4,198
EARNINGS PER SHARE:								
Basic and diluted from continuing operations	Ps.	0.53	Ps.	1.03	Ps.	1.30	Ps.	0.07
Basic and diluted from discontinued operations	Ps.	0.17	Ps.	1.88	Ps.	(0.11)		(0.01)
Dividends declared per share ⁽¹⁾	Ps.	0.38	Ps.	0.40	Ps.	0.44		0.02
WEIGHTED AVERAGE NUMBER OF SHARES OUTSTANDING (MILLIONS):								
Basic		66,265		65,967		63,936		-
Diluted		66,265		65,967		63,936		-
BALANCE SHEET DATA:								
Property, plant and equipment, net	Ps.	722,930	Ps.	731,197	Ps.	657,226	U.S.	33,853
Right of use assets		101,977		90,372		121,874		6,278
Total assets		1,625,048		1,689,650		1,618,099		83,347
Short-term debt and current portion of long-term debt		148,083		145,223		102,024		5,255
Short-term lease debt		25,068		27,632		32,902		1,695
Long-term debt		480,300		418,807		408,565		21,045
Long-term lease debt		84,259		71,022		101,247		5,215
Capital stock		96,342		96,333		95,365		4,912
Total equity	Ps.	315,118	Ps.	454,042	Ps.	437,829	U.S.	22,553
NUMBER OF OUTSTANDING SHARES (MILLIONS) ⁽⁴⁾ :								
AA Shares		20,578		20,555		20,555		-
A Shares		520		502		488		-
L Shares		45,764		43,633		42,282		-

⁽¹⁾ Figures for each year provided represent the annual dividend declared at the general shareholders' meeting that year. For information on dividends paid per share translated into U.S. dollars, see "Share Ownership and Trading—Dividends" under Part IV of this annual report.

⁽²⁾ For the year 2020, the financial statements were restated to reflect the sale of TracFone, Claro Panama and the incorporation of the joint venture with Claro Chile, SpA. See Note 2 Ac to our audited consolidated financial statements included in this annual report.

⁽³⁾ For the year 2021, the financial statements were restated to reflect the sale of Claro Panama and the incorporation of the joint venture with Claro Chile, SpA. See Note 2 Ac to our audited consolidated financial statements included in this annual report.

⁽⁴⁾ Pursuant to the terms of the Reclassification (as defined below), we converted all of our AA Shares, A Shares and L Shares into a single series of B Shares on a one for one basis. As of March 31, 2023, we have 63,224 million B Shares outstanding.



PART I

INFORMATION ON THE COMPANY

ABOUT AMÉRICA MÓVIL

HISTORY AND CORPORATE INFORMATION

América Móvil, S.A.B. de C.V. (“América Móvil,” “we” or the “Company”) is a Sociedad Anónima Bursátil de Capital Variable organized under the laws of Mexico.

We were established in 2000 when Teléfonos de México, S.A.B. de C.V. (“Telmex”), a fixed-line Mexican telecommunications operator privatized in 1990, spun off to us its wireless operations in Mexico and other countries. We have made significant acquisitions throughout Latin America, the United States, the Caribbean and Europe, and we have also expanded our businesses organically.

Our principal executive offices are located at Lago Zurich 245, Plaza Carso / Edificio Telcel, Colonia Ampliación Granada, Miguel Hidalgo, 11529, Mexico City, Mexico. Our telephone number at this location is (5255) 2581-3700.

BUSINESS OVERVIEW

We provide telecommunications services in 22 countries. We are a leading telecommunications services provider in Latin America, ranking first in wireless, fixed-line, broadband and Pay TV services based on the number of revenue generating units (“RGUs”).

Our largest operations are in Mexico and Brazil, which together account for over half of our total RGUs and where we have the largest market share based on RGUs. We have operations in 15 countries in the Americas and seven countries in Central and Eastern Europe as of December 31, 2022. For a list of our principal subsidiaries, see Note 2 a(ii) to our audited consolidated financial statements and “Additional Information—Exhibit 8.1” under Part VII of this annual report.

We intend to build on our position as a leader in integrated telecommunications services in Latin America and the Caribbean, and to grow in other parts of the world by continuing to expand our subscriber base through the development of our existing businesses and strategic acquisitions when opportunities arise. We have developed world-class integrated telecommunications platforms to offer our customers new services and enhanced communications solutions with higher data speed transmissions at lower prices. We continue investing in our networks to increase coverage and implement new technologies to optimize our network capabilities. See “Operating and Financial Review and Prospects—Overview” under Part II of this annual report for a discussion on the seasonality of our business.

Recent Developments Relating to Our Business

On November 23, 2021, we completed the sale of our U.S. operations to Verizon, as previously disclosed in our press release furnished on a report on Form 6-K on November 23, 2021. As a result, in accordance with IFRS 5, TracFone’s operations are classified as discontinued operations for all years prior to 2022 presented in the consolidated financial information included in this report. Accordingly, where applicable, results are presented in the profit after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes TracFone, including for periods prior to the sale.

On July 1, 2022, we completed the sale of our Panamanian operations to Cable & Wireless Panama, S.A., an affiliate of LLA, as previously disclosed in our press release furnished on a report on Form 6-K on July 1, 2022. As a result, in accordance with IFRS 5, Claro Panama’s operations are classified as

discontinued operations for all years presented in the consolidated financial information included in this report. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Panama, including for periods prior to the sale.

On August 8, 2022, we completed the spin-off of our telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off, as previously disclosed in our press release furnished on a report on Form 6-K on August 8, 2022. As part of the spin-off and the associated corporate restructuring, we contributed to Sitios capital stock, assets and liabilities, mainly consisting of the shares of our subsidiaries holding telecommunications towers and other associated infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off. As a result, the assets and liabilities of Sitios no longer appear in the consolidated financial information included in this report. We maintain commercial relationships with Sitios through our subsidiaries, which are parties to master service agreements for passive infrastructure sharing with Sitios for the use of tower space, property and other equipment. The terms of those agreements for tower space are between five (5) and twelve (12) years, while terms for property and other equipment are usually between five (5) and twenty five (25) years, each with an option to renew.

On October 6, 2022, we entered into an agreement to combine our Chilean operations with LLA in order to create Claro Chile, SpA, as a result of which Claro Chile ceased to be our wholly owned subsidiary, as previously disclosed in our press release furnished on a report on Form 6-K on October 6, 2022. In accordance with IFRS 11, this transaction was classified as a joint venture, since we exercise joint control over Claro Chile, SpA with LLA, and all relevant decisions require the consent of both parties. As a result, in accordance with IFRS 5, the operations of Claro Chile are classified as discontinued operations for all years presented in the consolidated financial information included in this report and are recognized through the equity method from October 6, 2022. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Chile, including for periods prior to the joint venture agreement.

On February 6, 2023, we entered into a definitive agreement with Österreichische Beteiligungs AG (“OBAG”) with respect to OBAG’s and América Móvil’s participations in Telekom Austria

AG (“Telekom Austria” or “TKA”) (the “TKA Shareholders Agreement”), which became effective on February 6, 2023. The TKA Shareholders Agreement provides a new term of 10 years from February 2, 2023 and ensures AMX leadership and control over Telekom Austria Group. Also, it provides AMX the right to continue to nominate the majority of the Supervisory Board members of Telekom Austria and to nominate the Chairman and Chief Executive Officer of the Management Board of Telekom Austria with decision making vote over all management decisions. As part of the renewal of the TKA Shareholders Agreement, AMX and OBAG have agreed to firmly support the spin-off of the mobile towers in most of the countries in which Telekom Austria operates, including Austria. The implementation of the tower spin-off will not result in changes in the core shareholder structure. Shareholders intend to list the shares of the tower company on the Vienna Stock Exchange. Implementation of the tower spin-off is subject to required corporate and regulatory approvals, including the approval by the shareholders of Telekom Austria.

Other Recent Developments

Pursuant to the terms of the Reclassification (as defined below), we converted all of our AA Shares, A Shares and L Shares into a single series of B Shares on a one for one basis. In connection with the Reclassification, each of our L Share ADSs and A Share ADSs were cancelled and the corresponding number of ADSs representing B Shares were distributed to the applicable holders of L Share ADSs and A Shares ADSs. For more information on the Reclassification, see Part IV “Share Ownership and Major Shareholders Trading” of this annual report.

The following map illustrates the geographic diversity of our operations and certain key performance indicators (“KPIs”) as of December 31, 2022.

Geographic Diversity and KPIs of América Móvil as of December 31, 2022:

MEXICO TELCEL TELMEX

Licensed Population	130
Wireless Subscribers	82,851
Revenue Generating Units (RGUs)	20,824
Wireless Penetration	104%

Wireless and fixed operations

ECUADOR CLARO

Licensed Population	17
Wireless Subscribers	9,028
Revenue Generating Units (RGUs)	614
Wireless Penetration	99%

Wireless and fixed operations

PERU CLARO

Licensed Population	34
Wireless Subscribers	12,338
Revenue Generating Units (RGUs)	1,994
Wireless Penetration	124%

Wireless and fixed operations

ARGENTINA, PARAGUAY & URUGUAY CLARO

Licensed Population	57
Wireless Subscribers	26,915
Revenue Generating Units (RGUs)	2,865
Wireless Penetration	133%

Uruguay / Wireless operation

Argentina and Paraguay / Wireless and fixed operations

AUSTRIA & EASTERN EUROPE TELEKOM AUSTRIA

Licensed Population	40
Wireless Subscribers	23,897
Revenue Generating Units (RGUs)	6,204
Wireless Penetration	151%

Austria, Belarus, Bulgaria, Croatia, Slovenia
and North Macedonia / Wireless and fixed operations
Serbia / Wireless operations

CENTRAL AMERICA & CARIBBEAN CLARO

Licensed Population	60
Wireless Subscribers	24,018
Revenue Generating Units (RGUs)	7,398
Wireless Penetration	104%

Wireless and fixed operations

COLOMBIA CLARO

Licensed Population	52
Wireless Subscribers	37,550
Revenue Generating Units (RGUs)	9,248
Wireless Penetration	151%

Wireless and fixed operations

BRAZIL CLARO

Licensed Population	215
Wireless Subscribers	83,260
Revenue Generating Units (RGUs)	24,136
Wireless Penetration	120%

Wireless and fixed operations

Latest available information.
Licensed Population in millions
Wireless Subscribers and Revenue
Generating Units in thousands

ABOUT AMÉRICA MÓVIL

KEY PERFORMANCE INDICATORS

We have identified RGUs as a KPI that helps measure the performance of our operations. The table below includes the number of our wireless subscribers and our fixed RGUs, which together make up the total RGUs, in the countries where we operate. Wireless subscribers consist of the number of prepaid and postpaid subscribers to our wireless services. Fixed RGUs consist of fixed voice, fixed data and Pay TV units (which include customers of our Pay TV services and, separately, of certain other digital services). The figures below reflect total wireless subscribers and fixed RGUs of all our consolidated subsidiaries, without adjustments to reflect our equity interest, in the following reportable segments:

- Mexico Wireless;
- Mexico Fixed;
- Brazil;
- Colombia;
- Southern Cone (Argentina, Paraguay and Uruguay);
- Andean Region (Ecuador and Peru);
- Central America (Costa Rica, El Salvador, Guatemala, Honduras and Nicaragua);
- the Caribbean (the Dominican Republic and Puerto Rico); and
- Europe (Austria, Belarus, Bulgaria, Croatia, North Macedonia, Serbia and Slovenia).

	AS OF DECEMBER 31,		
	2020	2021	2022
(in thousands)			
WIRELESS SUBSCRIBERS			
Mexico	77,789	80,539	82,851
Brazil	63,140	70,541	83,260
Colombia	33,009	35,062	37,550
Southern Cone	24,234	26,348	26,915
Andean Region	18,877	20,774	21,365
Central America	14,339	15,753	16,673
Caribbean	6,422	7,020	7,345
Europe	21,864	22,766	23,897
Total Wireless Subscribers	259,674	278,803	299,856
FIXED RGUS:			
Mexico	21,925	21,408	20,824
Brazil	26,652	25,291	24,136
Colombia	8,318	8,876	9,248
Southern Cone	1,459	2,020	2,865
Andean Region	2,158	2,444	2,608
Central America	4,207	4,376	4,624
Caribbean	2,558	2,608	2,774
Europe	6,050	6,077	6,204
Total Fixed RGUs	73,327	73,100	73,283
Total RGUs	333,001	351,903	373,139

PRINCIPAL BRANDS

We operate in all of our geographic segments under the Claro brand name, except in Mexico and Europe, where we principally do business under the brand names listed below.

COUNTRY	PRINCIPAL BRANDS	SERVICES AND PRODUCTS
Mexico	Telcel	Wireless voice Wireless data
	Telmex Infinitem	Fixed voice Fixed data
Europe	A1	Wireless voice Wireless data Fixed voice Fixed data Pay TV

SERVICES AND PRODUCTS

We offer a wide range of services and products that vary by market, including wireless voice, wireless data and value-added services, fixed voice, fixed data, broadband and IT services, Pay TV and over-the-top ("OTT") services.

Wireless Operations

In 2022, our wireless voice and data operations generated revenues of Ps.430.4 billion, representing 51.0% of our consolidated revenues. As of December 31, 2022, our wireless operations represented approximately 80.4% of our total RGUs, an increase from 79.2%, as of December 31, 2021.

VOICE AND DATA. Our wireless subsidiaries provide voice communication services across the countries in which they operate. We offer international roaming services to our wireless subscribers through a network of cellular service providers with which our wireless subsidiaries have entered into international roaming agreements around the world, and who provide GSM, 3G, 4G-LTE and 5G roaming services.

The voice and data plans are either "postpaid," where the customer is billed monthly for the previous month, or "prepaid," where the customer pays in advance for a specified volume of use over a specified period. Postpaid plans increased as a percentage of the wireless base from 37.6% in December 2021 to 38.0% as of December 31, 2022, while prepaid plans represented 62.0% as of December 31, 2022.

Our wireless voice services are offered under a variety of plans to meet the needs of different market segments. In addition, we often bundle wireless data communications services together with wireless voice services. Our wireless subsidiaries had approximately 300 million wireless voice and data subscribers as of December 31, 2022.

Prepaid customers typically generate lower levels of usage and are often unwilling or financially ineligible to purchase postpaid

plans. Our prepaid plans have been instrumental to increase wireless penetration in Latin America and Eastern Europe to levels similar to those of developed markets. Additionally, prepaid plans entail little to no risk of non-payment, as well as lower customer acquisition costs and billing expenses, compared to the average postpaid plan.

In general, our average rates per minute of wireless voice are very competitive for both prepaid and postpaid plans. On average, rates per minute of wireless voice used in 2022 increased by approximately 5.4% at constant exchange rates relative to 2021.

In addition, the plans we offer our retail customers include selective discounts and promotions that reduce the rates our customers pay.

VALUE-ADDED SERVICES. As part of our wireless data business, our subsidiaries offer value-added services that include Internet access, messaging and other wireless entertainment and corporate services through GSM/EDGE, 3G, 4G LTE and 5G networks.

Internet services include roaming capability and wireless Internet connectivity for feature phones, smartphones, tablets and laptops, including data transmission, e-mail services, instant messaging, content streaming and interactive applications. For example, in Mexico, our website for our wireless services (www.telcel.com) through Radiomóvil Dipsa, S.A. de C.V. ("Telcel"), offers a wide range of services and content such as video, music, games and other applications, which our subscribers can access from mobile devices. In addition, we offer other wireless services, including wireless security services, mobile payment solutions, machine-to-machine services, mobile banking, virtual private network ("VPN") services, video calls and personal communications services ("PCS").

Fixed Operations

In 2022, our fixed voice, data, broadband and IT solutions had revenues of Ps.258.4 billion, representing 30.6% of our consolidated revenues. As of December 31, 2022, our fixed operations represented approximately 19.6% of our total RGUs, a decrease from 20.8% as of December 31, 2021.

VOICE. Our fixed voice services include local, domestic and international long-distance, under a variety of plans to meet the needs of different market segments, specifically tailored to our residential and corporate clients.

DATA. We offer data services, including data centers, data administration and hosting services to our residential and corporate clients under a variety of plans.

BROADBAND. We provide residential broadband access through hybrid fiber-coaxial ("HFC") or fiber-optic cable. These services are typically bundled with voice services and are competitively priced as a function of the desired or available speed. As a

complement to these services, we offer a number of products such as home networking and smart home services.

IT SOLUTIONS. Our subsidiaries provide a number of different IT solutions for small businesses and large corporations. We also provide specific solutions to the industrial, financial, government and tourism sectors, among others.

Pay TV

We offer Pay TV through cable and satellite TV subscriptions to both retail and corporate customers under a variety of plans. As of December 31, 2022, we had approximately 13.3 million Pay TV RGUs, an increase of approximately 7.6 thousand Pay TV RGUs from the prior year.

Equipment, Accessories and Computer Sales

Equipment, accessories and computer sales primarily include the sale of handsets, accessories and other equipment.

Other Services

Other services include other businesses such as telephone directories, call center services, wireless security services, advertising, media and software development services.

OTT Services

We sell video, audio and other media content that is delivered through the internet directly from the content provider to the viewer or end user. Our most important service is ClaroVideo, an on-demand internet streaming video provider with more than 33,600 content titles sold across all the Latin American and Caribbean markets in which we operate. We offer bundled packages of ClaroVideo, which may include:

- Subscription video on demand, providing unlimited access to a catalogue of over 33,600 titles for a fixed monthly subscription fee;
- Transactional video on demand and electronic sell-through, offering the option to rent or buy new content releases; and
- Add-on services such as subscription and other OTT services through a platform payment system, including access to FOX, HBO, Noggin and Paramount+, among others.

We also offer an advertised and unlimited music streaming and downloading service in 15 countries in Latin America and Europe through ClaroMúsica, with access to approximately 50 million titles across all music genres.

Services and Products by Country

The following table is a summary of our principal services rendered and products produced as of December 31, 2022, in the countries in which we operate.

ABOUT AMÉRICA MÓVIL

	WIRELESS VOICE, DATA AND VALUE ADDED SERVICES ⁽¹⁾	FIXED VOICE, BROADBAND, DATA AND IT SERVICES ⁽²⁾	PAY TV	OTT SERVICES ⁽³⁾
Argentina	●	●	●	●
Austria	●	●	●	●
Belarus	●	●	●	●
Brazil	●	●	●	●
Bulgaria	●	●	●	●
Colombia	●	●	●	●
Costa Rica	●	●	●	●
Croatia	●	●	●	●
Dominican Republic	●	●	●	●
Ecuador	●	●	●	●
El Salvador	●	●	●	●
Guatemala	●	●	●	●
Honduras	●	●	●	●
North Macedonia	●	●	●	●
Mexico	●	●		● ⁽⁴⁾
Nicaragua	●	●	●	●
Paraguay	●	●	●	●
Peru	●	●	●	●
Puerto Rico	●	●	●	●
Serbia	●			●
Slovenia	●	●	●	●
Uruguay	●			●

⁽¹⁾ Includes voice communication and international roaming services, interconnection and termination services, SMS, MMS, e-mail, mobile browsing, entertainment and gaming applications.

⁽²⁾ Includes local calls, national and international long distance.

⁽³⁾ Includes ClaroVideo and ClaroMúsica.

⁽⁴⁾ Services provided by non-concessionaire subsidiaries.

OUR NETWORKS

Our networks are one of our main competitive advantages. Today, we own and operate one of the largest integrated platforms based on our covered population across 15 countries in Latin America, and we are expanding our network in Europe.

INFRASTRUCTURE

For the year ended December 31, 2022, our capital expenditures totaled Ps.159.8 billion, which allowed us to increase our network, to expand our capacity and to upgrade our systems to operate with the latest technologies. With fully convergent platforms, we are able to deliver high-quality voice, video and data products.

As of December 31, 2022, the main components of our infrastructure were comprised of:

- **Cell sites:** 103,055 sites with 2G, 3G, 4G and 5G technologies across Latin America and Europe. Tower space for our cell sites is a combination of towers we own, and tower spaces leased from third parties. Additionally, we have been expanding our coverage and improving quality and speed with a number of street cells and indoor solutions. On August 8, 2022, we completed the spin-off to Sitios of our telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off, as previously disclosed in our press release furnished on a report on Form 6-K on August 8, 2022. See “Acquisitions, Other Investments and Divestitures.”
- **Fiber-optic network:** More than 1,096 km. Our network passed approximately 93 million homes.
- **Submarine cable systems:** Capacity in more than 197 thousand km of submarine cables, including the AMX-1 submarine cable that extends 18,300 km and connects the United States to Central and South America with 13 landing points and also the South Pacific Submarine Cable that extends 7,300 km along the Latin American Pacific coast, connecting Guatemala, Ecuador, Peru and Chile with five landing points. Both systems provide international connectivity to all of our subsidiaries in these geographic areas.
- **Satellites:** Five (5). Star One S.A. (“Star One”) has the most extensive satellite system in Latin America, with a fleet that covers the United States, Mexico, Central America and South America. We use these satellites to supply capacity for DTH services for Claro TV throughout Brazil and in other DTH Operations, as well as cellular backhaul, video broadcast and corporate data networks.

- **Data centers:** 33. We use our data centers to manage a number of cloud solutions, such as Infrastructure as a Service (“IAAS”), Software as a Service (“SAAS”), security solutions and unified communications.

TECHNOLOGY

Our primary wireless networks use GSM/EDGE, 3G and 4G LTE technologies, which we offer in most of the countries where we operate. We aim to increase the speed of transmission of our data services and have been expanding our 4G LTE and 5G coverage. We have begun our 5G rollout in some countries. In February 2022, we launched 5G through Telcel, which was the largest data infrastructure deployment in Latin America. At launch, we covered 18 cities in Mexico and as of December 31, 2022, we covered 100 cities. In Brazil, we covered 59 cities with 5G services as of December 31, 2022.

We transmit wireless calls and data through radio frequencies that we use under spectrum licenses. Spectrum is a limited resource, and, as a result, we may face spectrum and capacity constraints on our wireless network. We continue to invest significant capital in expanding our network capacity and reach and to address spectrum and capacity constraints on a market-by-market basis.

The table below presents a summary of the population covered by our network, by country, as of December 31, 2022.

GENERATION TECHNOLOGY				
	GSM	UMTS	LTE	5G
(% of covered population)				
Argentina	99%	98%	98%	-
Austria	100%	96%	98%	80%
Belarus	100%	100%	0%	-
Brazil	94%	96%	91%	29%
Bulgaria	100%	100%	99%	69%
Colombia	90%	89%	85%	-
Costa Rica	91%	93%	96%	-
Croatia	99%	99%	99%	65%
Dominican Republic	99%	99%	89%	51%
Ecuador	96%	81%	79%	-
El Salvador	71%	87%	82%	-
Guatemala	92%	89%	87%	23%
Honduras	80%	81%	73%	-
North Macedonia	100%	100%	99%	34%
Mexico	95%	96%	95%	45%
Nicaragua	74%	85%	73%	-
Paraguay	77%	80%	83%	-
Peru	88%	84%	83%	17%
Puerto Rico	0%	97%	99%	87%
Serbia	100%	98%	99%	-
Slovenia	100%	100%	99%	68%
Uruguay	100%	99%	98%	-

OUR COMPETITORS

We operate in an intensely competitive industry. Competitive factors within our industry include pricing, brand recognition, service and product offerings, customer experience, network coverage and quality, development and deployment of technologies, availability of additional spectrum licenses and regulatory developments.

Our principal competitors differ, depending on the geographical market and the types of service we offer. We compete against other providers of wireless, broadband and Pay TV that operate on a multi-national level, such as AT&T Inc., Telefonica and Millicom, as well as various providers that operate on a nationwide level, such as Telecom Argentina in Argentina and Telecom Italia in Brazil.

Competition remains intense as a result of saturation in the fixed and wireless market, increased network investment by our competitors, the development and deployment of new technologies, the introduction of new products and services, new market entrants, the availability of additional spectrum, both licensed and unlicensed, and regulatory changes.

The effects of competition on our subsidiaries depend, in part, on the size, service offerings, financial strength and business strategies of their competitors, regulatory developments and the general economic and business climate in the countries in which they operate, including demand growth, interest rates, inflation and exchange rates. The effects could include loss of market share and pressure to reduce rates. See “Regulation” under Part VI and “Risk Factors” under Part III of this annual report.

ACQUISITIONS, OTHER INVESTMENTS AND DIVESTITURES

Geographic diversification has been a key to our financial success, as it has provided for greater stability in our cash flow and profitability and has contributed to our strong credit ratings. In recent years, we have been evaluating the expansion of our operations to regions outside of Latin America. We believe that Europe and other areas beyond Latin America present opportunities for investment in the telecommunications sector that could benefit us and our shareholders over the long term.

We continue to seek ways to optimize our portfolio, including by finding investment opportunities in telecommunications and related companies worldwide, including in markets where we are already present, and we often have several possible acquisitions under consideration. We may pursue opportunities in Latin America or in other areas in the world. Some of the assets that we acquire may require significant funding for capital expenditures. We can give no assurance as to the extent, timing or cost of such investments. We also periodically evaluate opportunities for dispositions, in particular for businesses and in geographies that we no longer consider strategic. Recent developments related to acquisitions, other investments and divestitures include:

- On September 13, 2020, we entered into an agreement to sell our wholly-owned subsidiary TracFone to Verizon. On November 23, 2021, we completed the sale of TracFone to Verizon. We received the closing consideration of U.S.\$3,625.7 million in cash, which included U.S.\$500.7 million of customary adjustment for TracFone's cash and working capital and 57,596,544 shares of Verizon's common stock, par value U.S.\$0.10 per share. Verizon has asserted post-closing claims under the adjustments and other provisions of this agreement, which may result in payments by us. Following the transaction closing, Verizon shall pay the Company: (i) up to US\$500 million as an earn-out if TracFone continues to achieve certain performance measures during the 24 months following the closing, calculated and paid in four consecutive six-month periods, and (ii) US\$150 million deferred consideration payable within two years following the transaction closing. The earn-out was not recognized as a gain by us, in accordance with IFRS 9 and 13 and IAS 37, since management does not believe the realization of income and the inflow of economic benefits are virtually certain.

- In December 2020, our Brazilian subsidiary, Claro S.A. ("Claro Brasil"), together with two other offerors, won a competitive bid to acquire the mobile business owned by Oi Group in Brazil. Pursuant to the transaction, Claro Brasil paid R\$3.6 billion for 32% of Oi Group's mobile business). Claro Brasil also committed to enter into long term agreements with Oi Group for the supply of data transmission capacity. This transaction closed on April 20, 2022.

- In February 2021, our Board of Directors approved a plan to spin off our telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off. The spin-off was approved by our shareholders in an extraordinary shareholders' meeting on September 29, 2021. As part of the spin-off and the associated corporate restructuring, we contributed to Sitios capital stock, assets and liabilities, mainly consisting of the shares of our subsidiaries holding telecommunications towers and other associated infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off. The spin-off was completed on August 8, 2022, and the shares of Sitios began trading on the Mexican Stock Exchange on September 29, 2022.

- On July 1, 2022, we completed the sale of Claro Panama, S.A. to Cable & Wireless Panama, S.A., an affiliate of LLA, which we previously announced on September 15, 2021.

- On October 6, 2022, we combined our Chilean operation, Claro Chile, with the Chilean operations of LLA, VTR, to form a 50:50 joint venture, Claro Chile, SpA, which we previously announced on September 29, 2021.

For additional information on our acquisitions and investments, see Note 12 to our audited consolidated financial statements included in this annual report.

MARKETING, SALES AND DISTRIBUTION, CUSTOMER SERVICES

MARKETING

We advertise our services and products through different channels with consistent and distinct branding and targeted marketing. We advertise via print, radio, television, digital media, sports event sponsorships and other outdoor advertising campaigns. In 2022, our efforts were mainly focused on promoting our 5G services, leveraging the speed and quality of our networks and our fixed bundled offers, which compete on broadband speed and premium content.

We build on the strength of our well-recognized brand names to increase consumer awareness and customer loyalty. Building brand recognition is crucial for our business, and we have managed to position our brands as those of a premium carrier in most countries where we operate. According to the 2022 Brand Finance Telecom 150 report, Claro and Telcel ranked among the top thirty and top fifty strongest brands, respectively, in the telecom sector worldwide. Also, in the Brand Finance Latin America report Claro was named the most valuable telecom brand and ranked as the third most valuable brand in the Latin America region. Kantar BrandZ named Telcel as the most valuable brand in Mexico. In addition, a year-end 2022 study by Austrian Brand Monitor found that A1, the brand name behind Telekom Austria, ranked number one in the Austrian telecommunications market for brand preference.

SALES AND DISTRIBUTION

Our extensive sales and distribution channels help us attract new customers and develop new business opportunities. We primarily sell our services and products through a network of retailers and service centers for retail customers and a dedicated sales force for corporate customers, with more than 402,000 points of sale and more than 3,600 customer service centers. Our subsidiaries also sell their services and products online.

CUSTOMER SERVICE

We give priority to providing our customers with quality customer care and support. We focus our efforts on constantly improving our customers' experience by leveraging our commercial offerings and our sales and distribution networks. Customers may make inquiries by calling a toll-free telephone number, accessing our subsidiaries' web sites and social media accounts or visiting one of the customer sales and service centers located throughout the countries we serve.





PART II

OPERATING AND FINANCIAL REVIEW AND PROSPECTS

OVERVIEW

Effects of the COVID-19 Pandemic

While the negative impact of COVID-19 is gradually declining, we continue to closely monitor the evolution of the COVID-19 pandemic in the countries where we operate to take preventative measures to ensure the continuity of our operations and safeguard the health and safety of our personnel and customers.

Discontinued Operations

On July 1, 2022, we completed the sale of our Panamanian operations to Cable & Wireless Panama, S.A., an affiliate of LLA, as previously disclosed in our press release furnished on a report on Form 6-K on July 1, 2022. As a result, in accordance with IFRS 5, Claro Panama's operations are classified as discontinued operations for all years presented in the consolidated financial information included in this report. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Panama, including for periods prior to the sale.

On October 6, 2022, we entered into an agreement to combine our Chilean operations with LLA in order to create Claro Chile, SpA, a 50:50 joint venture, as a result of which Claro Chile ceased to be our wholly owned subsidiary, as previously disclosed in our press release furnished on a report on Form 6-K on October 6, 2022. In accordance with IFRS 11, this transaction was classified as a joint venture, since we exercise joint control over Claro Chile, SpA with LLA, and all relevant decisions require the consent of both parties. As a result, in accordance with IFRS 5, the operations of Claro Chile are classified as discontinued operations for all years presented in the consolidated financial information included in this report and are recognized through the equity method from October 6, 2022. Accordingly, results are presented in the loss after tax from discontinued operations in the consolidated financial information included in this annual report. Operating and financial information presented herein therefore excludes Claro Chile, including for periods prior to the joint venture agreement.

Segments

We have operations in 22 countries, which are aggregated for financial reporting purposes into nine reportable segments. Our operations in Mexico are presented in two segments—Mexico Wireless and Mexico Fixed, which consist principally of Telcel and Telmex, respectively. Our headquarters operations are allocated to the Mexico Wireless segment. Financial information about our segments is presented in Note 23 to our audited consolidated financial statements included in this annual report.

The factors that drive our financial performance differ in the various countries where we operate, including subscriber acquisition costs, the competitive landscape, the regulatory environment, economic factors and interconnection rates, among others. Accordingly, our results of operations in each period reflect a combination of these effects on our different segments.

Constant Currency Presentation

Our financial statements are presented in Mexican pesos, but our operations outside Mexico account for a significant portion of our revenues. Currency variations between the Mexican peso and the currencies of our non-Mexican subsidiaries, especially the Euro, U.S. dollar, Brazilian real, Colombian and Argentine peso, affect our results of operations as reported in Mexican pesos. In the following discussion regarding our operating results, we include a discussion of the change in the different components of our revenues between periods at constant exchange rates, i.e., using the same exchange rate to translate the local-currency results of our non-Mexican operations for both periods. We believe that this additional information helps investors better understand the performance of our non-Mexican operations and their contribution to our consolidated results.

Effects of Exchange Rates

Our results of operations are affected by changes in currency exchange rates. In 2022 compared to 2021, the Mexican peso was stronger against some of our operating currencies, including the U.S. Dollar and the Euro.

Since most of our debt is issued by América Móvil out of Mexico, to the extent that our functional currency, the Mexican peso, appreciates or depreciates against the currencies in which our indebtedness is denominated, we may incur foreign exchange gains or losses that are recorded as foreign currency exchange (loss) gain, net in our consolidated statements of comprehensive income.

Changes in exchange rates also affect the fair value of derivative financial instruments that we use to manage our currency-risk exposure, which are generally not accounted for as hedging instruments. In 2022, the Mexican peso strengthened against the currencies in which most of our indebtedness is denominated, and we recorded net foreign exchange gains of Ps.20.8 billion and net fair value losses on derivatives of Ps.28.6 billion. In 2021, the Mexican peso strengthened against the currencies in which most of our indebtedness is denominated, and we recorded net foreign exchange losses of Ps.16.7 billion and net fair value losses on derivatives of Ps.6.8 billion. See Note 7 to our audited consolidated financial statements included in this annual report.

Effects of Regulation

We operate in a regulated industry. Our results of operations and financial condition have been, and will continue to be, affected by regulatory actions and changes. Significant regulatory developments are presented in more detail in "Regulation" under Part VI and "Risk Factors" under Part III of this annual report.

Comparison of Results of Operations Between 2021 and 2020

Discussions of year-over-year comparisons between 2021 and 2020 that are not included in this report can be found under Part II, "Operating and Financial Review and Prospects" of our

Form 20-F for the fiscal year ended December 31, 2021, as filed on April 29, 2022. Due to classifying Claro Panama's and Claro Chile's operations as discontinued operations for all years presented in the consolidated financial information included in this report, the year-over-year comparisons presented in our Form 20-F for the fiscal year ended December 31, 2021, as filed on April 29, 2022, may not align with the figures presented herein for the same periods.

Composition of Operating Revenues

In 2022, our total operating revenues were Ps.844.5 billion.

Revenues from wireless and fixed voice services primarily include charges from monthly subscriptions, usage charges billed to customers and usage charges billed to other service providers for calls completed on our network. The primary drivers of revenues from monthly subscription charges are the number of total RGU's and the price of our service packages. The primary drivers of revenues from usage charges are airtime, international and long-distance calls and interconnection costs.

Revenues from wireless and fixed data services primarily include charges for data, cloud, internet, machine-to-machine, OTT services and data center services. In addition, revenues from value-added services and IT solutions, including revenues from dedicated links and VPN services to our corporate clients, also contribute to our results for wireless and fixed data services.

Pay TV revenues consist primarily of charges from subscription services, additional programming, including on-demand programming and advertising.

Equipment, accessories and computer sales revenues primarily include revenues from the sale of handsets, accessories and other equipment such as smart devices.

Other services primarily include revenues from software development, call center services, entertainment content and news, telephone directories, advertising, cybersecurity services, mobile banking and corporate IT solutions.

Seasonality of our Business

Our business is subject to a certain degree of seasonality, characterized by a higher number of new customers during the fourth quarter of each year. We believe this seasonality is mainly driven by the Christmas shopping season. Revenue also tends to decrease during the months of August and September, when family expenses shift towards school supplies in many of the countries in which we operate, mainly Mexico.

General Trends Affecting Operating Results

Our results of operations in 2022 reflected several continuing long-term trends, including:

- intense competition, with growing costs for marketing and subscriber acquisition and retention, as well as declining customer prices;

- developments in the telecommunications regulatory environment;
- growing demand for data services over fixed and wireless networks, as well as for smartphones and devices with stronger data service capabilities;
- declining demand for voice services;
- increasing capital expenditures as our capital expenditures continue to return to our pre-COVID-19-pandemic levels;
- our continued strategic focus on our cost savings programs in view of pressures from costs of customer care, the growing size and complexity of our infrastructure and general price inflation; and
- instability in economic conditions caused by political uncertainty, inflation and volatility in financial markets and exchange rates.

These trends are broadly characteristic of our businesses in all regions in recent years, and they have affected comparable telecommunications providers as well.

RESULTS OF OPERATIONS

CONSOLIDATED RESULTS OF OPERATIONS FOR 2022 AND 2021

Operating Revenues

Total operating revenues for 2022 increased by 1.7%, or Ps.13.8 billion, over 2021. At constant exchange rates, total operating revenues for 2022 increased by 7.3% over 2021. This increase principally reflects an increase in mobile service revenues and a favorable trend in fixed services, partially offset by a decrease in fixed voice and Pay TV service revenues.

SERVICE REVENUES. Service revenues for 2022 increased by 2.7%, or Ps.18.7 billion, over 2021. At constant exchange rates, service revenues for 2022 increased by 8.0% over 2021. This increase principally reflects increases in revenues from our prepaid and postpaid mobile services, broadband and corporate services networks, which were partially offset by a decrease in revenues from our fixed voice and Pay TV services.

SALES OF EQUIPMENT. Sales of equipment revenues for 2022 decreased by 3.6%, or Ps.4.9 billion, over 2021. At constant exchange rates, sales of equipment revenues for 2022 increased by 3.9% over 2021. This increase in sales of equipment revenues at constant exchange rates principally reflects higher sales of smartphones, data-enabled devices and accessories in Brazil, Central America, Austria, Colombia and Ecuador, which were partially offset by decreased sales in Peru and Mexico.

Operating Costs and Expenses

TOTAL OPERATING COSTS AND EXPENSES. Total operating costs and expenses for 2022 increased by 1.6%, or Ps.8.2 billion, over 2021. At constant exchange rates, total operating costs and expenses for 2022 increased by 7.3% over 2021. This increase in operating costs and expenses at constant exchange rates principally reflects increased costs associated with electric energy, network maintenance, lease space, IT and logistics.

COST OF SALES AND SERVICES. Cost of sales and services increased by 0.6%, or Ps.2.0 billion, over 2021. At constant exchange rates, cost of sales and services for 2022 increased by 6.3% over 2021. This increase principally reflects an increase in sales of higher-end smartphones as well as, increased electric energy, corporate networks, IT services and network maintenance costs. This increase, which was also due to inflationary pressures, was partially offset by the success of our continued cost savings program.

COMMERCIAL, ADMINISTRATIVE AND GENERAL EXPENSES. Commercial, administrative and general expenses for 2022 increased by 3.4%, or Ps.5.9 billion, over 2021. As a percentage of operating revenues, commercial, administrative and general expenses were 21.2% for 2022, as compared to 20.9% for 2021. At constant exchange rates, commercial, administrative and general expenses for 2022 increased by 9.3% over 2021.

This increase principally reflects certain uncollectible accounts and expenses for frequency rights-of-use, improvements to customer service centers and advertising.

OTHER EXPENSES. Other expenses for 2022 increased by Ps.0.3 billion over 2021.

DEPRECIATION AND AMORTIZATION. Depreciation and amortization for 2022 increased by 1.5%, or Ps.2.3 billion, over 2021. As a percentage of operating revenues, depreciation and amortization were 18.8% for 2022, the same as 2021. At constant exchange rates, depreciation and amortization for 2022 increased by 8.4% over 2021. This increase principally reflects the effects of the spin-off to Sitios of our telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and our telecommunications towers existing in Peru and in the Dominican Republic prior to the spin-off, which was completed on August 8, 2022. See "Acquisitions, Other Investments and Divestitures."

Operating Income

Operating income for 2022 increased by 2.0%, or Ps.3.3 billion, over 2021. Operating margin (operating income as a percentage of operating revenues) was 20.2% for 2022, the same as 2021.

Non-Operating Items

NET INTEREST EXPENSE. Net interest expense (interest expense less interest income) for 2022 increased by 14.2%, or Ps.4.5 billion, over 2021. This increase principally reflects an increase in interest expense on lease liabilities and an increase in interest on debt.

FOREIGN CURRENCY EXCHANGE GAIN (LOSSES), NET. We recorded a net foreign currency exchange gain of Ps.20.8 billion for 2022, compared to our net foreign currency exchange loss of Ps.16.7 billion for 2021. This gain principally reflects the appreciation of the Mexican peso against the foreign currencies in which our indebtedness is denominated, such as the euro, the U.S. dollar and the British pound.

VALUATION OF DERIVATIVES, INTEREST COST FROM LABOR OBLIGATIONS AND OTHER FINANCIAL ITEMS, NET. We recorded a net loss of Ps.19.1 billion for 2022 on the valuation of derivatives, interest cost from labor obligations and other financial items, net, compared to a net loss of Ps.14.2 billion for 2021. The change in 2022 principally reflects a loss on hedging instruments as a result of the depreciation of some of the currencies in which our indebtedness is denominated.

INCOME TAX. Our income tax expense associated with our continuing operations in 2022 increased by 40.7%, or Ps.13.3 billion, over 2021. This increase principally reflects higher profit before income tax due to an increase in our net foreign currency exchange gain of Ps.37.5 billion compared to 2021.

Our effective corporate income tax rate as a percentage of profit before income tax was 34.3% for 2022, compared to 31.2% for 2021. This rate differed from the Mexican statutory rate of 30.0% and changed year over year principally due to our continued operations and reduction of benefits related to tax losses credits in Brazil, which increased our income tax expense and our effective corporate income tax for 2022.

Net Profit

We recorded a net profit of our continuing operations of Ps.88.2 billion for 2022, an increase of 22.4%, or Ps.16.1 billion, over our continuing operations in 2021.

The net profit obtained through the operation of Claro Panama until its sale on July 1, 2022, the operation of Claro Chile until it was deconsolidated in connection with the creation of the Claro Chile, SpA joint venture on October 6, 2022, and the sale and joint ventures themselves, respectively—classified as net loss for the period discontinued—totaled Ps.6.7 billion in 2022. Together with the net income of our continuing operations, we recorded a net profit of Ps.81.5 billion in 2022 compared to Ps.196.3 billion in 2021.

SEGMENT RESULTS OF OPERATIONS

We discuss below the operating results of each reportable segment. Notes 2. z) and 23 to our audited consolidated financial statements describe how we translate the financial statements of our non-Mexican subsidiaries. Exchange rate changes between the Mexican peso and the currencies in which our subsidiaries operate affect our reported results in Mexican pesos and the comparability of reported results between periods.

The following table sets forth the exchange rates used to translate the results of our significant non-Mexican operations, as expressed in Mexican pesos per foreign currency unit, and the change from the rate used in the prior period indicated. The U.S. dollar is our functional currency in several of the countries or territories in which we operate, including Ecuador, Puerto Rico and El Salvador.

MEXICAN PESOS PER FOREIGN CURRENCY UNIT (AVERAGE FOR THE PERIOD) FOR THE YEARS ENDED DECEMBER 31,			
	2021	2022	% CHANGE
Brazilian real	3.7625	3.9045	3.8
Colombian peso	0.0054	0.0048	(11.1)
Argentine peso	0.2137	0.1586	(25.8)
U.S. dollar	20.2769	20.1283	(0.7)
Euro	23.9835	21.2285	(11.5)

The tables below set forth operating revenues and operating income for each of our segments for the years indicated.

YEAR ENDED DECEMBER 31, 2022						
	OPERATING REVENUES			OPERATING INCOME		
	(in millions of Mexican pesos)	(as a % of total operating revenues)		(in millions of (Mexican pesos)	(as a % of total operating income)	
Mexico Wireless	Ps. 245,899	29.1%		Ps. 76,709	44.9%	
Mexico Fixed	99,985	11.8		16,172	9.5	
Brazil	170,880	20.2		26,666	15.6	
Colombia	71,300	8.4		14,171	8.3	
Southern Cone ⁽¹⁾	38,725	4.6		1,797	1.1	
Andean Region	55,498	6.6		8,262	4.8	
Central America ⁽²⁾	47,215	5.6		7,540	4.4	
Caribbean	42,714	5.1		10,285	6.0	
Europe	105,956	12.5		16,156	9.5	
Eliminations	(33,671)	(4.1)		(6,887)	(4.1)	
Total	Ps. 844,501	100%		Ps. 170,871	100%	

YEAR ENDED DECEMBER 31, 2021						
	OPERATING REVENUES			OPERATING INCOME		
	(in millions of Mexican pesos)	(as a % of total operating revenues)		(in millions of (Mexican pesos)	(as a % of total operating income)	
Mexico Wireless	Ps. 243,261	29.3%		Ps. 77,784	46.4%	
Mexico Fixed	102,427	12.3		21,100	12.6	
Brazil	152,774	18.4		21,867	13.1	
Colombia	79,673	9.6		15,165	9.1	
Southern Cone ⁽¹⁾	39,545	4.8		2,969	1.8	
Andean Region	52,962	6.4		7,458	4.5	
Central America ⁽²⁾	45,469	5.5		8,700	5.2	
Caribbean	39,929	4.8		8,661	5.2	
Europe	113,838	13.7		13,421	8.0	
Eliminations	(39,191)	(4.8)		(9,569)	(5.9)	
Total	Ps. 830,687	100%		Ps. 167,556	100%	

⁽¹⁾ Excludes Claro Chile.

⁽²⁾ Excludes Claro Panama.

RESULTS OF OPERATIONS

INTERPERIOD SEGMENT COMPARISONS

The following discussion addresses the financial performance of each of our reportable segments by comparing results for 2022 and 2021. In the year-to-year comparisons for each segment, we include percentage changes in operating revenues, percentage changes in operating income and operating margin (operating income as a percentage of operating revenues), in each case calculated based on the segment financial information presented in Note 23 to our audited consolidated financial statements, which is prepared in accordance with IFRS.

Each reportable segment includes all income, cost and expense eliminations that occurred between subsidiaries within the reportable segment. The Mexico Wireless segment also includes corporate income, costs and expenses.

Comparisons in the following discussion are calculated using figures in Mexican pesos. We also include percentage changes in adjusted segment operating revenues, adjusted segment operating income and adjusted operating margin (adjusted operating income as a percentage of adjusted operating revenues). The adjustments eliminate (i) certain intersegment transactions, (ii) for our non-Mexican segments, the effects of exchange rate changes and (iii) for the Mexican Wireless segment only, revenues and costs of group corporate activities and other businesses that are allocated to the Mexico Wireless segment.

Discussions of year-over-year comparisons between 2021 and 2020 that are not included in this report can be found under Part II, Operating and Financial Review and Prospects of our Form 20-F for the fiscal year ended December 31, 2021, as filed on April 29, 2022.

2022 COMPARED TO 2021

Mexico Wireless

The number of prepaid wireless subscribers for 2022 increased by 3.4% over 2021, and the number of postpaid wireless subscribers increased by 0.7%, resulting in an increase in the total number of wireless subscribers in Mexico of 2.9%, or 2.3 million, to approximately 82.8 million as of December 31, 2022.

Segment operating revenues for 2022 increased by 1.1% over 2021. Adjusted segment operating revenues for 2022 increased by 4.6% over 2021. This increase in segment operating revenues principally reflects an increase in prepaid and postpaid plans.

Segment operating income for 2022 decreased by 1.4% over 2021. Adjusted segment operating income for 2022 increased by 7.8% over 2021.

Segment operating margin was 31.2% in 2022, as compared to 32.0% in 2021. Adjusted segment operating margin for this segment was 40.3% in 2022, as compared to 39.1% in 2021. This decrease in segment operating margin for 2022 principally reflects increases in costs associated with maintenance, electric energy, customer care and adjustments in wages and salaries.

Mexico Fixed

The number of fixed voice RGUs in Mexico for 2022 decreased by 5.0% over 2021, and the number of broadband RGUs in Mexico decreased by 0.1%, resulting in a decrease in total fixed RGUs in Mexico of 2.7% over 2021, or 584 thousand, to approximately 20.8 million as of December 31, 2022.

Segment operating revenues for 2022 decreased by 2.4% over 2021. Adjusted segment operating revenues for 2022 decreased by 4.8% over 2021. This decrease in segment operating revenues principally reflects a continued decrease in fixed voice revenues by 8.1% and long distance services by 39.5%, which was partially offset by a stable increase in broadband by 3.7% and corporate network services by 0.8%.

Segment operating income for 2022 decreased by 23.4% over 2021. Adjusted segment operating income for 2022 decreased by 51.6% over 2021. This decrease principally reflects increases in network maintenance costs, technical expenses and the contractual salary of our employees.

Segment operating margin was 16.2% in 2022, as compared to 20.6% in 2021. Adjusted segment operating margin was 5.4% in 2022, as compared to 10.6% in 2021. The decrease in segment operating margin for 2022 principally reflects a decrease in revenues from voice services and an increase in network maintenance costs and technical expenses.

Brazil

The number of prepaid wireless subscribers for 2022 increased by 24.6% over 2021, and the number of postpaid wireless subscribers increased by 13.4%, resulting in an increase in the total number of wireless subscribers in Brazil of 18.0%, or 12.7 million, to approximately 83.2 million as of December 31, 2022. The increase in the number of postpaid wireless subscribers is due primarily to commercial efforts aimed at converting prepaid subscribers to postpaid subscribers and the acquisition of Oi. The number of fixed voice RGUs for 2022 decreased by 6.1% over 2021, the number of broadband RGUs increased by 0.1%, and the number of Pay TV RGUs decreased by 9.6%, resulting in a decrease in total fixed RGUs in Brazil of 4.6%, or 1.1 million, to approximately 24.1 million as of December 31, 2022. The number of Pay TV RGUs has been adjusted to the criteria by which we report to the local regulator.

Segment operating revenues for 2022 increased by 11.9% over 2021. Adjusted segment operating revenues for 2022 increased by 7.5% over 2021. This increase in adjusted segment operating revenues principally reflects increased performance on prepaid and postpaid, broadband, long distance and corporate and network services, partially offset by fixed voice and Pay TV.

Segment operating income for 2022 increased by 21.9% over 2021. Adjusted segment operating income for 2022 increased by 7.2% over 2021.

Segment operating margin was 15.6% in 2022, as compared to 14.3% in 2021. Adjusted segment operating margin was 14.5% in 2022, as compared to 14.6% in 2021. This slight decrease in adjusted segment operating margin for 2022 principally reflects an increase in electric energy costs and the effects of our cost savings program.

Colombia

The number of prepaid wireless subscribers for 2022 increased by 5.9% over 2021, and the number of postpaid wireless subscribers increased by 10.8%, resulting in an increase in the total number of wireless subscribers in Colombia of 7.1%, or 2.5 million, to approximately 37.5 million as of December 31, 2022. The number of fixed voice RGUs for 2022 increased by 8.5% over 2021, the number of broadband RGUs increased by 1.3% and the number of Pay TV RGUs increased by 3.5%, resulting in an increase in total fixed RGUs in Colombia of 4.2%, or 372 thousand, to approximately 9.2 million as of December 31, 2022.

Segment operating revenues for 2022 decreased by 10.5% over 2021. Adjusted segment operating revenues for 2022 increased by 1.6% over 2021. This decrease in segment operating revenues principally reflects foreign currency exchange losses. During 2022, there was an increase in service and equipment revenues in Colombian pesos, however, at the time of conversion into Mexican pesos, the devaluation of the Colombian peso resulted in decreased segment operating revenues over 2021.

Segment operating income for 2022 decreased by 6.6% over 2021. Adjusted segment operating income for 2022 decreased by 4.0% over 2021.

Segment operating margin was 19.9% in 2022, as compared to 19.0% in 2021. Adjusted segment operating margin was 24.6% in 2022, as compared to 26.1% in 2021. This decrease is due to dollar-denominated costs such as content and network maintenance, and those items that are inflation-linked such as electric energy costs.

Southern Cone - Argentina, Paraguay and Uruguay

The number of prepaid wireless subscribers for 2022 increased by 0.1% over 2021, and the number of postpaid wireless subscribers increased by 5.7%, resulting in an increase in the total number of wireless subscribers in our Southern Cone segment of 2.2%, or 567 thousand, to approximately 27.0 million as of December 31, 2022. The number of fixed voice RGUs for 2022 increased by 39.9% over 2021, the number of broadband RGUs increased by 43.6%, and the number of Pay TV RGUs increased by 42.3%, resulting in an increase in total fixed RGUs in our Southern Cone segment of 41.9%, or 846 thousand, to approximately 2.9 million as of December 31, 2022.

Segment operating revenues for 2022 decreased by 2.1% over 2021. Adjusted segment operating revenues for 2022 decreased by 14.0% over 2021. This decrease is attributable to adverse economic conditions such as exchange rates and inflation, which was partially offset by increases in broadband, Pay TV and fixed voice revenues. For this segment, we analyze results in Argentina, Paraguay and Uruguay in terms of the Argentine peso, because Argentina accounts for the major portion of the operations in these three countries.

Segment operating income for 2022 decreased by 39.5% over 2021. Adjusted segment operating income for 2022 decreased by 16.9% over 2021.

Segment operating margin was 4.6% in 2022, as compared to 7.5% in 2021. Adjusted segment operating margin was 20.8% in 2022, as compared to 21.5% in 2021. This decrease in the segment operating margin for 2022 principally reflects adverse economic conditions, decreases in prepaid and Pay TV revenues in Paraguay and decreases in prepaid and postpaid revenues in Uruguay, which was partially offset by increases in all services revenues in Argentina.

Andean Region - Ecuador and Peru

The number of prepaid wireless subscribers for 2022 decreased by 0.4% over 2021, and the number of postpaid wireless subscribers increased by 8.9%, resulting in an increase in the total number of wireless subscribers in our Andean Region segment of 2.8%, or 591 thousand, to approximately 21.4 million as of December 31, 2022. The number of fixed voice RGUs for 2022 increased by 8.3% over 2021, the number of broadband RGUs increased by 4.5% and the number of Pay TV RGUs increased by 11.0%, resulting in an increase in total fixed RGUs in our Andean Region segment of 6.7%, or 164 thousand, to approximately 2.6 million as of December 31, 2022.

RESULTS OF OPERATIONS

Segment operating revenues for 2022 increased by 4.8% over 2021. Adjusted segment operating revenues for 2022 increased by 5.0% over 2021. This increase principally reflects increases in revenues in both Peru and Ecuador. The increase in revenues in Peru reflects an increase in revenues from prepaid and postpaid wireless, broadband, corporate networks and Pay TV services, partially offset by a decrease in fixed voice revenues. The increase in revenues in Ecuador reflects an increase in revenues from postpaid, broadband and corporate services, partially offset by a decrease in prepaid, Pay TV and fixed voice revenues.

Segment operating income for 2022 increased by 10.8% over 2021. Adjusted segment operating income for 2022 increased by 4.3% over 2021. This increase principally reflects an increase in operating income of 10.0% in Ecuador, partially offset by a decrease in operating income of 0.9% in Peru.

Segment operating margin was 14.9% in 2022, as compared to 14.1% in 2021. Adjusted segment operating margin was 19.6% in 2022, as compared to 19.8% in 2021. This slight decrease in the segment operating margin for 2022 principally reflects increases in electric energy, maintenance and administration costs and the effects of our cost savings program.

Central America - Guatemala, El Salvador, Honduras, Nicaragua and Costa Rica

The number of prepaid wireless subscribers for 2022 increased by 5.5% over 2021, and the number of postpaid wireless subscribers increased by 7.7%, resulting in an increase in the total number of wireless subscribers in our Central America segment of 5.8%, or 920 thousand, to approximately 16.7 million as of December 31, 2022. The number of fixed voice RGUs for 2022 decreased by 0.8% over 2021, the number of broadband RGUs increased by 8.0%, and the number of Pay TV RGUs increased by 13.4%, resulting in an increase in total fixed RGUs in our Central America segment of 5.7%, or 247 thousand, to approximately 4.6 million as of December 31, 2022.

Segment operating revenues for 2022 increased by 3.8% over 2021. Adjusted segment operating revenues for 2022 increased by 4.6% over 2021.

Segment operating income for 2022 decreased by 13.3% over 2021. Adjusted segment operating income for 2022 decreased by 1.7% over 2021. This decrease in segment operating income for 2022 principally reflects increases in costs associated with electric energy and local rights of infrastructure use.

Segment operating margin was 16.0% in 2022, as compared to 19.1% in 2021. Adjusted segment operating margin was 19.9% in 2022, as compared to 21.1% in 2021. This decrease in segment operating margin for 2022 principally reflects higher subscriber acquisition costs.

Caribbean - The Dominican Republic & Puerto Rico

The number of prepaid wireless subscribers for 2022 increased by 5.8% over 2021, and the number of postpaid wireless subscribers increased by 2.0%, resulting in an increase in the total number of wireless subscribers in our Caribbean segment of 4.6%, or 325 thousand, to approximately 7.3 million as of December 31, 2022. The number of fixed voice RGUs for 2022 increased by 3.9% over 2021, the number of broadband RGUs increased by 9.2% and the number of Pay TV RGUs increased by 7.1%, resulting in an increase in total fixed RGUs in our Caribbean segment of 6.4%, or 166 thousand, to approximately 2.8 million as of December 31, 2022.

Segment operating revenues for 2022 increased by 7.0% over 2021. Adjusted segment operating revenues for 2022 increased by 9.0% over 2021. This increase in segment operating revenues principally reflects an increase in postpaid, broadband and corporate networks in Puerto Rico and the Dominican Republic, which was partially offset by decreases in prepaid revenues in the Dominican Republic and in fixed voice and Pay TV revenues in the Dominican Republic and Puerto Rico. We analyze segment results in U.S. dollars because it is the functional currency of our operations in Puerto Rico.

Segment operating income and segment operating margin for 2022 increased by 18.8% and 2.4%, respectively, over 2021. Adjusted segment operating income and adjusted segment operating margin for 2022 increased by 40.8% and 5.4%, respectively, over 2021. These increases in adjusted segments, operating income and margin for 2022, principally reflect an operating income increase of 6.5% in the Dominican Republic due to the effects of our costs savings program, and an operating income increase of 320.0% in Puerto Rico due to an extraordinary adjustment in the reserves for health and retirement benefit plans and in property taxes levied on telecom infrastructure in Puerto Rico, excluding the aforementioned effects, the operating income would have increased by 25.7% over 2021.

Europe

The number of prepaid wireless subscribers for 2022 decreased by 1.4% over 2021, and the number of postpaid wireless subscribers increased by 6.3%, resulting in an increase in the total number of wireless subscribers in our Europe segment of 5.0%, or 1.1 million, to approximately 23.9 million as of December 31, 2022. The number of fixed voice RGUs for 2022 decreased by 3.4% over 2021, the number of broadband RGUs increased by 3.1% and the number of Pay TV RGUs increased by 6.4%, resulting in an increase in total fixed RGUs in our Europe segment of 2.1%, or 127 thousand, to approximately 6.2 million as of December 31, 2022.

Segment operating revenues for 2022 decreased by 6.9% over 2021. Adjusted segment operating revenues for 2022 increased by 5.4% over 2021. This increase in adjusted segment operating revenues principally reflects an increase in all services except fixed voice.

Segment operating income for 2022 increased by 20.4% over 2021. Adjusted segment operating income for 2022 increased by 18.2% over 2021. Segment operating margin was 15.2% in 2022 as compared to 11.8% in 2021. Adjusted segment operating margin was 15.3% in 2022, as compared to 13.6% in 2021. This increase in adjusted segment operating margin for 2022 principally reflects the effects of our corporate cost savings program and improved performance in all the countries in our Europe segment, partially offset by increases in network maintenance and electric energy costs.

LIQUIDITY AND CAPITAL RESOURCES

FUNDING REQUIREMENTS

We generate substantial cash flows from our operations. On a consolidated basis, our cash flows from operating activities were Ps.225.3 billion in 2022, compared to Ps.258.2 billion in 2021. Our cash and cash equivalents amounted to Ps.33.7 billion at December 31, 2022, compared to Ps.38.7 billion at December 31, 2021. We believe our working capital is sufficient for our present requirements, and we anticipate generating sufficient cash to satisfy our long-term liquidity needs. We use the cash that we generate from our operations and from borrowings principally for the following purposes:

- **Capital expenditures** - We make substantial capital expenditures to continue expanding and improving our networks in each country in which we operate. Our capital expenditures on plant, property and equipment and acquisition or renewal of licenses were Ps.159.8 billion in 2022, Ps.158.7 billion in 2021, and Ps.129.6 billion in 2020. The amount of capital expenditures can vary significantly from year to year, depending on acquisition opportunities, concession renewal schedules and the need for more spectrum. We have budgeted capital expenditures for 2023 of approximately U.S.\$8.6 billion (Ps.178.5 billion), which will be primarily funded by our operating activities. Our capital expenditures for 2022 and our budgeted capital expenditures for 2023 continue to return to our pre-COVID-19-pandemic levels.
- **Acquisitions** - We acquired approximately 32% of Oi Group's Brazilian mobile business.
- **Short-term debt and contractual obligations** - We must pay interest on our indebtedness and repay principal when due. As of December 31, 2022, we had approximately Ps.135.9 billion in debt and contractual obligations due in 2023, including approximately Ps.102.0 billion of principal and amortization, Ps.32.9 billion in short-term lease debt, and Ps.0.9 billion in purchase obligations.
- **Long-term debt and contractual obligations** - As of December 31, 2022, we had approximately Ps.196.2 billion in debt and contractual obligations due between 2024 and 2026, including approximately Ps.135.1 billion of principal and amortization, Ps.39.1 billion in long-term lease debt, and Ps.22.0 billion in purchase obligations. On the same date, we had approximately Ps.66.4 billion in debt and contractual obligations due between 2027 and 2028, including approximately Ps.28.1 billion of principal and amortization, Ps.31.9 billion in long-term lease debt, and Ps.6.4 billion in

purchase obligations. On the same date, we had approximately Ps.290.5 billion in debt and contractual obligations due after 2028, including approximately Ps.245.3 billion of principal and amortization, Ps.30.3 billion in long-term lease debt, and Ps.14.9 billion in purchase obligations.

- **Dividends** - We pay regular dividends. We paid Ps.29.5 billion in dividends in 2022 and Ps.27.8 billion in 2021. Our shareholders approved on April 27, 2023 the payment of a Ps.0.46 ordinary dividend per share in two equal installments in 2023. See "Share Ownership and Trading—Dividends" under Part IV in this annual report.
- **Share repurchases** - We regularly repurchase our own shares. We spent Ps.26.2 billion repurchasing our own shares in the open market in 2022 and Ps.36.8 billion in 2021. Our shareholders have authorized additional amounts to repurchase, and as of March 31, 2023, we have spent Ps.1.9 billion repurchasing our shares in the open market in 2023, but whether we will continue to do so will depend on our operating cash flow and on various other considerations, including market prices and our other capital requirements.

BORROWINGS

In addition to cash flows generated from operations, we rely on a combination of borrowings from a range of different sources, including the international capital markets, capital markets in Mexico and other countries where we operate, international and local banks, equipment suppliers and export credit agencies. We seek to maintain access to diverse sources of funding. In managing our funding, we generally seek to keep our leverage, as measured by the ratio of net debt to EBITDA, at a level that is consistent with maintaining the ratings given to our debt by the principal credit rating agencies. Our total consolidated indebtedness as of December 31, 2022, was Ps.510.6 billion, of which Ps.102.0 billion was short-term debt (including the current portion of long-term debt), compared to Ps.564.0 billion as of December 31, 2021.

Management defines net debt as total debt minus cash and cash equivalents, minus marketable securities (including Koninklijke KPN N.V. ("KPN") shares and Verizon shares), other short-term investments and fixed-income securities with a tenor of more than one year. Verizon shares are factored into calculations of net debt for information as of December 31, 2022 but are not factored into calculations of net debt for information as of December 31, 2021. As of December 31, 2022, we had net debt of Ps.381.5 billion, compared to Ps.400.8 billion as of December 31, 2021.

Without taking into account the effects of derivative financial instruments that we use to manage our interest rate and currency risk, approximately 81.0% of our indebtedness at

December 31, 2022 was denominated in currencies other than Mexican pesos (approximately 40.0% of such non-Mexican peso debt was in U.S. dollars and 60.0% in other currencies), and approximately 15.6% of our consolidated debt obligations bore interest at floating rates. After the effects of derivative transactions and excluding the debt of Telekom Austria, approximately 50.3% of our net debt as of December 31, 2022, was denominated in Mexican pesos.

The weighted average cost of all our third-party debt at December 31, 2022 (excluding commissions and reimbursement of certain lenders for Mexican taxes withheld) was approximately 5.38% per annum.

Our major categories of indebtedness at December 31, 2022 are summarized in the table below. See also Note 14 to our audited consolidated financial statements included in this annual report.

DEBT ⁽¹⁾	
(millions of Mexican pesos)	
SENIOR NOTES	
DENOMINATED IN U.S. DOLLARS	
América Móvil 3.625% Senior Notes due 2029	19,414
América Móvil 2.875% Senior Notes due 2030	19,414
América Móvil 4.700% Senior Notes Due 2032	14,561
América Móvil 6.375% Senior Notes due 2035	19,052
América Móvil 6.125% Senior Notes due 2037	7,168
América Móvil 6.125% Senior Notes due 2040	38,741
América Móvil 4.375% Senior Notes due 2042	22,326
América Móvil 4.375% Senior Notes due 2049	24,268
Total	164,945
DENOMINATED IN MEXICAN PESOS	
América Móvil TIE + 0.050% Domestic Senior Notes due 2024	1,920
América Móvil 7.125% Senior Notes due 2024	11,000
América Móvil 0.000% Domestic Senior Notes due 2025	5,684
América Móvil TIE + 0.300% Domestic Senior Notes due 2025	336
América Móvil 9.520% Domestic Senior Notes due 2032	14,679
América Móvil 8.460% Senior Notes due 2036	7,872
Telmex 8.360% Domestic Senior Notes due 2037	4,964
América Móvil 4.840% Domestic Senior Notes due 2037	7,099
Total	53,554
DENOMINATED IN EURO	
Commercial Paper 2.020% due 2023	520
Commercial Paper 2.010% due 2023	1,039
Commercial Paper 2.270% due 2023	520
Commercial Paper 2.150% due 2023	520
TKA 3.500% Senior Notes due 2023	6,235
América Móvil 3.259% Senior Notes due 2023	15,587
América Móvil 1.500% Senior Notes due 2024	17,666

DEBT ⁽¹⁾	
(millions of Mexican pesos)	
Exchangeable Bond 0.00% due 2024	43,582
TKA 1.500% Senior Notes due 2026	15,587
América Móvil 0.750% Senior Notes due 2027	15,709
América Móvil 2.125% Senior Notes due 2028	12,395
Total	129,359
DENOMINATED IN BRAZILIAN REAIS	
Claro Brasil CDI + 1.350% Domestic Senior Notes due 2023	9,302
Claro Brasil CDI + 1.000% Domestic Senior Notes due 2023	2,977
Claro Brasil CDI + 1.400% Domestic Senior Notes due 2024	15,814
Claro Brasil CDI + 1.370% Domestic Senior Notes due 2025	5,581
Total	33,674
DENOMINATED IN POUND STERLING	
América Móvil 5.000% Senior Notes due 2026	11,729
América Móvil 5.750% Senior Notes due 2030	15,248
América Móvil 4.948% Senior Notes due 2033	7,037
América Móvil 4.375% Senior Notes due 2041	17,594
Total	51,608
DENOMINATED IN JAPANESE YEN	
América Móvil 2.950% Senior Notes due 2039	1,925
Total	1,925
DENOMINATED IN CHILEAN PESOS	
América Móvil 3.961% Senior Notes due 2035	3,964
Total	3,964
BANK DEBT AND OTHER	
DENOMINATED IN US DOLLARS	492
DENOMINATED IN EUROS	17,052
DENOMINATED IN MEXICAN PESOS	43,580
DENOMINATED IN COLOMBIAN PESOS	165
DENOMINATED IN PERUVIAN SOLES	4,142
DENOMINATED IN BRAZILIAN REAIS	6,105
DENOMINATED IN OTHER CURRENCIES	24
Total	71,560
Total Debt	510,589
Less short-term debt and current portion of long-term debt	102,024
Total Long-term Debt	408,565
EQUITY	
Capital stock	95,365
Total retained earnings	505,484
Other comprehensive income (loss) items	(227,044)
Non-controlling interest	64,025
Total Equity	437,829
Total Capitalization (total long-term debt plus equity)	846,394

⁽¹⁾ Totals may not sum due to rounding.

LIQUIDITY AND CAPITAL RESOURCES

Additional information about certain categories of our indebtedness is provided below:

Mexican peso-denominated international notes. Our 8.46% senior notes due 2036 are denominated in Mexican pesos, but all amounts in respect of the notes are payable in U.S. dollars, unless a holder of notes elects to receive payment in Mexican pesos in accordance with specified procedures.

Mexican peso-denominated domestic notes. Our domestic senior notes (*certificados bursátiles*) sold in the Mexican capital markets have varying maturities, ranging from 2024 through 2037, and bear interest at fixed and floating rates.

Global peso notes program. The global peso notes program was established in November 2012. Since its establishment, we have issued peso-denominated notes that can be distributed and traded on a seamless basis in Mexico and internationally. The notes are registered with the SEC in the United States and with the CNBV in Mexico.

International notes. We have outstanding debt securities in the international markets denominated in U.S. dollars, pounds sterling and euros. We have also issued debt securities in the local market in Japan.

In April 2022, we issued a total of U.S.\$1 billion aggregate principal amount of 5.375% senior notes due 2032. Sitios assumed all of our obligations under the aforementioned notes and the associated indenture, and we were released from all of our obligations under such notes and indenture.

In May 2022, we made two concurrent, but separate, exclusionary tender offers for up to €600 million aggregate principal amount of our outstanding 0.75% senior notes due 2027 and 2.125% senior notes due 2028.

In July 2022, we issued U.S.\$750 million 4.70% senior notes due 2032.

Hybrid notes. In September 2022, we made an exclusionary tender offer for any and all of our outstanding euro NC10 (euro Series B) capital securities due 2073.

Bank loans. At December 31, 2022, we had approximately Ps.71.6 billion outstanding under a number of bank facilities bearing interest at fixed and variable rates. We also have two revolving syndicated credit facilities—one for U.S.\$2.5 expiring in August 2024 and one for the Euro equivalent of U.S.\$1.5 billion expiring in May 2026, which contains a sustainability-linked framework. As long as the facilities are committed, a commitment fee is paid. As of December 31, 2022, these credit facilities were not drawn. Both facilities include covenants that limit our ability to incur secured debt, to effect a merger in which the surviving entity would not be América Móvil or to sell substantially all of our assets. In addition, both facilities require us to maintain a consolidated

ratio of debt to EBITDA not greater than 4.0 to 1.0 and a consolidated ratio of EBITDA to interest expense not less than 2.5 to 1.0. As of the date of this annual report, we are in compliance with these covenants.

Telekom Austria has an undrawn revolving syndicated credit facility for €1.0 billion (the “TKA Facility”) expiring in July 2026. The TKA Facility includes covenants that limit Telekom Austria’s ability to incur secured debt, effect certain mergers or sell substantially all of its assets and our ability to transfer control over, or reduce our share ownership in, Telekom Austria. For more information, see Note 14 to our audited consolidated financial statements included in this annual report.

In addition to the bank loans summarized in the table above, in March 2022, we entered into a credit agreement providing for borrowings in an amount up to Ps.20,558,500,000 (the “Sitios Credit Facility”) with a group of lenders that includes affiliates and BBVA México, S.A., Institución de Banca Múltiple, Grupo Financiero BBVA México, as administrative agent for the lenders. The full principal amount available under this facility was disbursed on March 23, 2022. The spin-off was completed and the shares of Sitios began trading on the Mexican Stock Exchange on September 29, 2022. In connection therewith, we were released from our obligations under the Sitios Credit Facility, all liabilities with respect thereto were transferred to Sitios, and Sitios assumed all of our obligations thereunder.

Additionally, on April 14, 2022, Claro Brasil entered into an uncommitted term loan facility agreement for borrowings in an amount up to R\$1.7 billion with BNP Paribas S.A. as lender. This facility will mature in 2023.

Option involving TKA shares. The Company has entered into the sale of a cash-settled put option related to TKA shares that will expire in August 2023. See Note 7 to our audited consolidated financial statements included in this annual report.

Bonds exchangeable for KPN shares. On March 2, 2021, our wholly-owned Dutch subsidiary, América Móvil B.V., issued approximately EUR 2.1 billion principal amount of senior unsecured bonds. The bonds will mature in 3 years, will not bear interest and were issued at an issue price of 104.75% of their principal amount. The Bonds will be exchangeable into ordinary shares of KPN, and the initial exchange price is EUR 3.1185.

Euro-denominated commercial paper program. From time to time, we have issued commercial paper under our euro-denominated commercial paper program. At December 31, 2022, the outstanding amount was Ps.2.6 billion under such program.

As of December 31, 2022, we had, on an unconsolidated basis, unsecured and unsubordinated indebtedness of approximately Ps.366.4 billion (U.S.\$18.9 billion), excluding guarantees of

subsidiaries' indebtedness. As of December 31, 2022, our subsidiaries had indebtedness (excluding guarantees of indebtedness of us and our other subsidiaries) of approximately Ps.144.2 billion (U.S.\$7.4 million), and a substantial portion of our subsidiaries' indebtedness is owed by Telekom Austria.

GUARANTOR FINANCIAL INFORMATION

Some of the public securities issued by América Móvil in international and Mexican capital markets are guaranteed by Telcel, a wholly-owned subsidiary. As of December 31, 2022, the aggregate principal amount of debt guaranteed by Telcel was Ps.99,654. The guarantees provide that, in case of the failure of the Company to punctually make payment of any principal, premium, interest, additional amounts or any other amounts that may become payable by the Company in respect of the notes, Telcel agrees to immediately pay the amount that is due and required to be paid.

The following tables present summarized unconsolidated financial information for the Company and Telcel after eliminating transactions and balances between them.

AS OF DECEMBER 31, 2022 (in millions of Mexican pesos)				
	PARENT		GUARANTOR	
Current assets	Ps.	32,473	Ps.	48,552
Total assets		797,287		221,510
Current liabilities		86,387		177,133
Total liabilities		445,448		190,518
YEAR ENDED DECEMBER 31, 2022 (in millions of Mexican pesos)				
	PARENT		GUARANTOR	
Total revenues	Ps.	-	Ps.	169,203
Operating income		(7,145)		99,246
Net profit for the year		(29,241)		100,072

RISK MANAGEMENT

We regularly assess our interest rate and currency exchange exposures in order to determine how to manage the risk associated with these exposures. We have indebtedness denominated in currencies other than the currency of our operating environments, and we have expenses for operations and for capital expenditures in a variety of currencies. We use derivatives to manage the resulting exchange rate and interest rate exposures. We do not use derivatives to hedge the exchange rate exposures that arise from having operations in different countries. For additional information on market risk, see Note 2 v(ii) to our audited consolidated financial statements included in this annual report.

Our practices vary from time to time depending on our judgment of the level of risk, expectations as to exchange rate or interest rate movements and the costs of using derivative financial instruments. We may stop using derivative financial instruments or modify our practices at any time.

As of December 31, 2022, the net fair value of our derivatives and other financial items was a net liability of Ps.22.7 billion, which are described in Note 7 to our audited consolidated financial statements. For additional information, see Note 2 v to our audited consolidated financial statements included in this annual report.



The background of the slide features a photograph of a person's hand and foot gripping a rock face, suggesting a climbing or scaling activity. Overlaid on this image are several translucent, light blue rectangular bars of varying lengths and orientations, creating a layered, geometric effect.

PART III

RISK FACTORS

RISKS RELATING TO OUR OPERATIONS

Competition in the telecommunications industry is intense and could adversely affect the revenues and profitability of our operations

Our businesses face substantial competition. We expect that competition will intensify in the future as a result of the entry of new competitors, the development of new technologies, products and services and convergence. We also expect consolidation in the telecommunications industry, as companies respond to the need for cost reduction and additional spectrum. This trend may result in larger competitors with greater financial, technical, promotional and other resources to compete with our businesses.

Among other things, our competitors could:

- provide higher handset subsidies;
- offer higher commissions to retailers;
- provide free airtime or other services (such as internet access);
- offer services at lower costs through double, triple and quadruple play packages or other pricing strategies;
- expand their networks faster; or
- develop and deploy improved technologies faster, such as 5G LTE technology.

Competition can lead us to increase advertising and promotional spending and to reduce prices for services and handsets. These developments may lead to lower operating margins, greater choices for customers and increasing movement of customers among competitors, which may make it difficult for us to retain or add new customers. The cost of adding new customers may also continue to increase, reducing profitability even if customer growth continues.

Our ability to compete successfully will depend on our coverage, the quality of our network and service, our rates, customer service, effective marketing, our success in selling double, triple and quadruple play packages and our ability to anticipate and respond to various competitive factors affecting the telecommunications industry, including new services and technologies, changes in consumer preferences, demographic trends, economic conditions and discount pricing strategies by competitors.

If we are unable to respond to competition and compensate for declining prices by adding new customers, increasing usage and offering new services, our revenues and profitability could decline.

Governmental or regulatory actions could adversely affect our operations

Our operations are subject to extensive government regulation and can be adversely affected by changes in law, regulation or regulatory policy. The licensing, construction, operation, sale, resale and interconnection arrangements of telecommunications

systems in Latin America and elsewhere are regulated to varying degrees by government or regulatory authorities. Any of these authorities having jurisdiction over our businesses could adopt or change regulations or take other actions that could adversely affect our operations. In particular, the regulation of prices that operators may charge for their services and environmental matters, including renewable energy and climate change regulation, could have a material adverse effect by reducing our profit margins. See “Regulation” under Part VI for a discussion on the functional separation of Telmex and Telnor wholesale services, “Legal Proceedings” under Part VI and Note 17 to our audited consolidated financial statements included in this annual report.

In addition, changes in political administrations could lead to new regulation and the adoption of policies that could adversely affect our operations, including those concerning competition and taxation of communications services. For example, since 2013, Mexico has implemented reforms to the telecommunications sector that aim to promote more competition and investment by imposing asymmetric regulation upon economic agents deemed “preponderant or dominant.” The asymmetric regulations that are applicable to us, which have adversely affected the results of our Mexican operations, may be reviewed every two years. We are unable to anticipate the effect of an amendment on existing asymmetric regulations, or the imposition of new ones, on our results or operations in Mexico. In other countries, we could also face policies such as preferences for local over foreign ownership of communications licenses and assets or for government over private ownership, which could make it more cumbersome or impossible for us to continue to develop our businesses. Restrictions such as those described above could result in lower revenues and require capital investments, all of which could materially adversely affect our businesses and results of operations.

Our failure to meet or maintain quality of service goals and standards could result in fines and other adverse consequences

The terms of the concessions under which our subsidiaries operate require them to meet certain service quality goals, including, for example, minimum call completion rates, maximum busy circuits rates, operator availability and responsiveness to repair requests. Failure to meet service quality obligations in the past has resulted in the imposition of material fines by regulatory entities. We are also subject to and may be subject to additional claims by customers, including class actions, seeking remedies for service problems. Our ability to comply with these obligations in the future may be affected by factors beyond our control and, accordingly, we cannot assure that we will be able to comply with them.

Dominant carrier related regulations could adversely affect our business by limiting our ability to pursue competitive and profitable strategies

Our regulators are authorized to impose specific requirements as to rates (including termination rates), quality of service, access to active or passive infrastructure and information, among other matters, on operators that are determined to have substantial market power in a specific market. We cannot predict what steps regulatory authorities might take in response to determinations regarding substantial market power in the countries in which we operate. However, adverse determinations against our subsidiaries could result in material restrictions on our operations. We may also face additional regulatory restrictions and scrutiny as a result of our provision of combined services.

If dominant carrier regulations are imposed on our business in the future, they could likely reduce our flexibility to adopt competitive market policies and impose specific tariff requirements or other special regulations on us, such as additional requirements regarding disclosure of information or quality of service. Any such new regulation could have a material adverse effect on our operations.

We must continue to acquire additional radio spectrum capacity and upgrade our networks in order to expand our customer base and maintain the quality of our wireless services

Licensed radio spectrum is essential to our growth and the quality of our wireless services and for the operation and deployment of our networks, including new generation networks such as 5G LTE technology, to offer improved data and value-added services. We obtain most of our radio spectrum through auctions conducted by governments of the countries in which we operate. Participation in spectrum auctions in most of these countries requires prior government authorization, and we may be subject to caps on our ability to acquire additional spectrum. Our inability to acquire additional radio spectrum capacity could affect our ability to compete successfully because it could result in, among other things, a decrease in the quality of our network and service and in our ability to meet the demands of our customers.

In the event we are unable to acquire additional radio spectrum capacity, we can increase the density of our network by building more cell and switch sites, but such measures are costly and may be subject to local restrictions and regulatory approvals, and they would not meet our needs as effectively.

We have concessions and licenses for fixed terms, and the government may revoke or terminate them as well as reacquire the assets under our concession under various circumstances, some of which are beyond our control

Our concessions and licenses have specified terms, ranging typically from five to 20 years, and are generally subject to renewal upon payment of a fee, but renewal is not assured. The loss of, or failure to renew, any one concession could have a material adverse effect on our business and results of operations. Our ability to renew concessions and the terms of renewal are subject to a number of factors beyond our control, including the prevalent regulatory and political environment at the time of renewal. Fees are typically established at the time of renewal. As a condition for renewal, we may be required to agree to new and stricter terms and service requirements. In some of the jurisdictions where we operate and under certain circumstances, mainly in connection with fixed services, we may be required to transfer certain assets covered by some of our concessions to the government pursuant to valuation methodologies that vary in each jurisdiction. It is uncertain whether reversion would ever be applied in many of the jurisdictions where we operate and how reversion provisions would be interpreted in practice. For further information, see “Regulation” under Part VI of this annual report and Note 17 to our audited consolidated financial statements included in this annual report.

In addition, the regulatory authorities in the jurisdictions in which we operate can revoke our concessions under certain circumstances. In Mexico, for example, the Federal Law on Telecommunications and Broadcasting gives the government the right to temporarily seize our concessions or to take over the management of our networks, facilities and personnel in cases of failures to meet obligations under our concession agreements, imminent danger to national security, internal peace or the national economy, natural disasters and public unrest. See “Regulation” under Part VI of this annual report.

We continue to look for acquisition opportunities, and any future acquisitions and related financing could have a material effect on our business, results of operations and financial condition

We continue to look for investment opportunities in telecommunications and related companies worldwide, including in markets where we are already present, and we often have several possible acquisitions under consideration. Any future acquisitions, and related financing and acquired indebtedness, could have a material effect on our business, results of operations and financial condition, but we cannot provide assurances that we will complete any of them. In addition, we may incur significant costs and expenses as we integrate these companies in our systems, controls and networks.

RISKS RELATING TO OUR OPERATIONS

We are subject to significant litigation

Some of our subsidiaries are subject to significant litigation that, if determined adversely to our interests, may have a material adverse effect on our business, results of operations, financial condition or prospects. Our significant litigation is described in “Regulation” under Part VI and in Note 17 to our audited consolidated financial statements included in this annual report.

We are contesting significant tax assessments

We and some of our subsidiaries have been notified of tax assessments for significant amounts by the tax authorities of the countries in which we operate, especially in Brazil, Mexico and Colombia. The tax assessments relate to, among other things, alleged improper deductions and underpayments. We are contesting these tax assessments in several administrative and legal proceedings, and our challenges are at various stages. The amounts claimed by the tax authorities in these matters are significant. In many cases, we have not established a provision in our audited financial statements for these matters, or the amount claimed may be significantly in excess of any reserve established. We evaluate income tax contingencies applying IAS 12 and IFRIC 23. For other tax contingencies we consider the applicable IFRS guidance. Our significant tax assessments are described in Note 17 to our audited consolidated financial statements included in this annual report. If determined adversely to us, these proceedings may have a material adverse effect on our business, results of operations, financial condition or prospects. In addition, in some jurisdictions, challenges to tax assessments require the posting of a bond or security for the contested amount, which may reduce our flexibility in operating our business.

Failure to comply with anti-corruption, anti-bribery and anti-money laundering laws and economic and trade sanctions could harm our reputation, subject us to substantial fines and adversely affect our business

We operate in multiple jurisdictions and are subject to complex regulatory frameworks with increased enforcement activities worldwide. Our governance and compliance processes may not prevent future breaches of legal, accounting or governance standards and regulations. We may be subject to breaches of our code of ethics, anti-corruption policies and business conduct protocols and to instances of fraudulent behavior, corrupt practices and dishonesty by our employees, contractors or other agents. Our or our contractors’ failure to comply with applicable laws and other regulatory requirements, including those relating to anti-corruption, anti-bribery and anti-money laundering laws and economic and trade sanctions, could harm our reputation, subject us to substantial fines, sanctions or penalties and adversely affect our business and ability to access financial markets.

A system failure could cause delays or interruptions of service, which could have an adverse effect on our operations

We need to continue to provide our subscribers with a reliable service over our network. Some of the risks to our network and infrastructure include the following:

- physical damage to access lines and fixed networks;
- power surges or outages;
- natural disasters;
- climate change;
- malicious actions, such as theft or misuse of customer data;
- limitations on the use of our radio bases;
- software defects;
- human error; and
- other disruptions beyond our control, including as a result of civil unrest in the regions where we operate.

In Brazil, for example, our satellite operations may be affected if we experience a delay in launching new satellites to replace those currently in use when they reach the end of their operational lives.

Such delay may occur because of, among other reasons, construction delays, unavailability of launch vehicles and/or launch failures. In addition, our operations have been disrupted by natural disturbances such as hurricanes and earthquakes.

We have instituted measures to reduce these risks. However, there is no assurance that any measures we implement will be effective in preventing system failures under all circumstances. System failures may cause interruptions in services or reduced capacity for our customers, either of which may have an adverse effect on our operations due to, for example, increased expenses, potential legal liability, loss of existing and potential subscribers, reduced user traffic, decreased revenues and reputational harm.

Our financial condition and results of operations may be adversely affected by the occurrence of severe weather, natural or man-made disasters and other catastrophic events, including war, terrorism and other acts of violence, and disease

Our operations can be disrupted by unforeseen events, including war, terrorism, and other international, regional, or local instability or conflicts (including labor issues), embargos, public health issues (including tainted food, food-borne illnesses, food tampering, tampering with or failure of water supply or widespread or pandemic illness such as coronavirus (“COVID-19”), Ebola, the avian or H1N1 flu, MERS), and natural disasters such as earthquakes, tsunamis, hurricanes, or other adverse weather and climate conditions in the countries in which we operate. These events could disrupt or prevent our ability to perform functions and otherwise impede our ability

to continue business operations in a continuous manner, which in turn may materially and adversely impact our business and operating results.

Effects of climate change may impose risk of damage to our infrastructure and our ability to provide services, all of which could adversely impact our financial results

Extreme weather events precipitated by long-term climate change have the potential to directly damage network facilities or disrupt our ability to build and maintain portions of our network and could potentially disrupt suppliers' ability to provide products and services required to provide reliable network coverage. Any such disruption could delay network deployment plans, interrupt service for our customers, increase our costs and have a negative effect on our operating results. The potential physical effects of climate change, such as increased frequency and severity of storms, floods, fires, freezing conditions, sea-level rise, and other climate-related events, could adversely affect our operations, infrastructure, and financial results. Operational impacts resulting from the potential physical effects of climate change, such as damage to our network infrastructure, could result in increased costs and loss of revenue. We could incur significant costs to improve the climate resiliency of our infrastructure and otherwise prepare for, respond to, and mitigate such physical effects of climate change. We are not able to accurately predict the materiality of any potential losses or costs associated with the physical effects of climate change.

Public health crises, including the COVID-19 pandemic, could materially adversely affect our business, financial condition and results of operations

We are subject to risks related to public health crises, such as the COVID-19 pandemic, which had an adverse effect on our operating results in 2020. Our business is based on our ability to provide products and services to customers throughout Mexico and around the world and the ability of those customers to use and pay for those products and services for their businesses and in their daily lives. As a result, our business, financial condition and results of operations could be materially adversely affected by a crisis, like the COVID-19 pandemic, that significantly impacts the way customers use and are able to pay for our products and services, the way our employees are able to provide services to our customers, and the ways that our partners and suppliers are able to provide products and services to us. Such a crisis could significantly increase the probability or consequences of the risks our business faces in ordinary circumstances, such as risks associated with our supplier and vendor relationships, risks associated with employee health and productivity, risks of an economic slowdown, regulatory risks, and the costs and availability of financing.

Many of our employees are unionized and increases in labor and employee benefit costs may reduce our profitability, increase our funding requirements and could have an adverse impact on our operations

Many of our employees are members of labor unions with which we conduct collective negotiations on wages, benefits and working conditions. We use actuarial methodologies and assumptions such as discount rate, salary increase and mortality, among others, for the determination and valuation of our employee benefits, including retirement benefits. We evaluate from time to time, with the support of specialists, our actuarial methodologies and assumptions, as well as the valuation of the assets related to these benefits.

Our labor costs and the costs of maintaining employee benefits are substantial, and could be affected by several factors, including legislative and regulatory changes, work stoppages, subsequent negotiations, increases in healthcare costs, minimum wages, decreases in investment returns on the assets held in funds to support the payment of certain employee benefits and changes in the discount rate and mortality assumptions. An increase in labor and employee benefit costs could reduce our profitability, increase our funding requirements and have an adverse impact on our operations.

Inflationary pressures on costs may impact our network construction, financial condition and results of operations

As a provider of telecommunications and technology services, we sell handsets, wireless data cards, wireless computing devices and customer premises equipment manufactured by various suppliers. We depend on suppliers to provide us, directly or through other suppliers, with items such as network equipment, customer premises equipment, and wireless-related equipment such as mobile hotspots, handsets, wirelessly enabled computers, wireless data cards and other connected devices for our customers. In 2022 and 2023 year to date, the costs of these inputs and the costs of labor necessary to develop and maintain our networks and our products and customer care services have rapidly increased. In addition, many of these inputs are subject to price fluctuations from a number of factors, including, but not limited to, market conditions, demand and volatility in the prices for raw materials used in the production of these devices and network components, weather, climate change, energy costs (including as a result of the ongoing conflict in Ukraine, which has resulted in historically high energy market prices), currency fluctuations, supplier capacities, governmental actions, import and export requirements (including tariffs), and other factors beyond our control. Although we are unable to predict the impact on our ability to source materials in the future, we expect these supply pressures to continue into 2023. We also expect the pressures of input cost inflation to continue into 2023.

RISKS RELATING TO OUR OPERATIONS

Our attempts to offset these cost pressures, such as through increases in the selling prices of some of our products and services, may not be successful. Higher product prices may result in reductions in sales volume. Consumers may be less willing to pay a price differential for our products and may increasingly purchase lower-priced offerings, or may forego some purchases altogether, during an economic downturn. To the extent that price increases are not sufficient to offset these increased costs adequately or in a timely manner, and/or if they result in significant decreases in sales volume, our business, financial condition or operating results may be adversely affected. Furthermore, we may not be able to offset any cost increases through productivity and cost-saving initiatives. In addition, widespread inflation may reduce the purchasing power of consumers for our products and services.

We rely on highly skilled personnel throughout all levels of our business. Our business could be harmed if we are unable to retain or motivate key personnel, hire qualified personnel or maintain our corporate culture

The market for highly skilled workers and leaders in our industry is extremely competitive. We believe that our future success depends in substantial part on our ability to recruit, hire, motivate, develop, and retain talented personnel for all areas of our organization, including our CEO and the other members of our senior leadership team. Our inability to retain these employees or to replace them with qualified and capable successors could hinder our strategic planning and execution. If key employees depart, our business could be negatively impacted. We may incur significant costs in identifying, hiring and replacing departing employees and may lose significant expertise and talent. As a result, we may not be able to meet our business plan and our revenue growth and profitability may be materially adversely affected.

Cybersecurity incidents and other breaches of network or information technology security could have an adverse effect on our business and our reputation

Cybersecurity incidents, and other tactics designed to gain access to and exploit sensitive information by breaching critical systems of large companies, are evolving and have been increasing in both sophistication and occurrence in recent years. While we employ a number of measures to prevent, detect and mitigate such incidents, there is no guarantee that we will be able to adequately anticipate or prevent one. Cybercrime, including attempts to overload our servers with denial-of-service attacks, theft, social engineering, phishing, ransomware or similar disruptions from unauthorized access or attempted unauthorized access to our systems could result in the destruction, misuse or release of personal information or other sensitive data. However, it is difficult to detect or prevent evolving forms of cybersecurity incidents, and our systems, and those of our third-party service providers and of our customers, are vulnerable to cybersecurity incidents.

In the event that our systems are breached or damaged for any reason, we may suffer loss or unavailability of data and interruptions to our business operations. If such an event occurs, the unauthorized disclosure, loss or unavailability of data and the disruption to our fixed-line or wireless networks may have a material adverse effect on our business and results of operations. The costs associated with a cybersecurity incident could include increased expenditures on information and cybersecurity measures, damage to our reputation, loss of existing customers and business partners and lead to financial losses from remedial actions and potential liability, including possible litigation and sanctions. Any of these occurrences may result in a material adverse effect on our results of operations and financial condition.

Failure to achieve proper data governance could lead to data mismanagement

We process large amounts of personally identifiable information of customers and employees and are subject to various compliance, security, privacy, data quality and regulatory requirements. Failure to achieve proper data governance could lead to data mismanagement which in turn could result in data loss, regulatory investigations or sanctions, and cybersecurity risk. We are subject to data privacy regulations in the countries where we operate. Complying with such regulations may expose us to increased costs and limit our ability to transfer data between certain jurisdictions, which may adversely affect our operations.

If our churn rate increases, our business could be negatively affected

The cost of acquiring a new subscriber is much higher than the cost of maintaining an existing subscriber. Accordingly, subscriber deactivations, or “churn,” could have a material negative impact on our operating income, even if we are able to obtain one new subscriber for each lost subscriber. A substantial majority of our subscribers are prepaid, and we do not have long-term contracts with them. Our average churn rate on a consolidated basis was 3.2% for the year ended December 31, 2022, and 3.2% for the year ended December 31, 2021. If we experience an increase in our churn rate, our ability to achieve revenue growth could be materially impacted. In addition, a decline in general economic conditions could lead to an increase in churn, particularly among our prepaid subscribers.

We rely on key suppliers to provide equipment that we need to operate our business

We rely upon various key suppliers to provide us with handsets, network equipment or services, which we need to expand and operate our business. Our key suppliers include Huawei, Ericsson and Alcatel. If these suppliers fail to provide equipment or service to us on a timely basis, we could experience disruptions, which could have an adverse effect on our revenues and results of operations. In addition, we might be unable to satisfy requirements under our concessions.

Government or regulatory actions with respect to certain suppliers may impact us. For example, the government of the United States and Canada, among others, are currently conducting a regulatory review of certain international suppliers of network equipment and technologies to evaluate potential risks. We are currently unable to predict the outcome of such reviews, including any possible restrictions placed on our key suppliers, and as a result we cannot determine their potential impact on our business.

Our ability to pay dividends and repay debt depends on our subsidiaries' ability to pay dividends and make other transfers to us

We are a holding company with no significant assets, other than the shares of our subsidiaries and our holdings of cash and cash equivalents. Our ability to pay dividends and repay debt depends on the continued transfer to us of dividends and other income from our subsidiaries. The ability of our subsidiaries to pay dividends and make other transfers to us may be limited by various regulatory, contractual and legal constraints that affect them.

We may fail to realize the benefits anticipated from acquisitions, divestments and significant investments we make from time to time

The business growth opportunities, revenue benefits, cost savings and other benefits we anticipated to result from our acquisitions, divestments and significant investments may not be achieved as expected or may be delayed. Our divestments may also adversely affect our prospects. For example, we may be unable to fully implement our business plans and strategies for the combined businesses due to regulatory limitations, and we may face regulatory restrictions in our provision of combined services in some of the countries in which we operate. To the extent that we incur higher integration costs or achieve lower revenue benefits or fewer cost savings than expected, or if we are required to recognize impairments of acquired assets, investments or goodwill, our results of operations and financial condition may suffer.

A downgrade of Mexico's credit rating could affect us

Credit rating agencies regularly evaluate Mexico and its sovereign rating based on various factors including macroeconomic trends, tax and budgetary conditions and indebtedness metrics. If Mexico's sovereign credit rating is downgraded by credit rating agencies, the rating of our securities may also be downgraded, which could negatively affect our financing costs and the market price of our securities.

Changing expectations from stakeholders with respect to our environmental, social and governance practices may impose additional costs on us or expose us to new or additional risks

Influential investors and other stakeholders are increasingly focused on the environmental, social and governance ("ESG") practices of companies across all industries. If we do not adapt to or comply with evolving expectations, or if we are perceived to have not responded appropriately to the growing concern for ESG issues, regardless of whether there is a legal requirement to do so, we may suffer from reputational damage, and our business, financial condition or stock price could be materially and adversely affected. If we do not meet our stakeholders' expectations or we are not effective in addressing ESG matters or achieve relevant sustainability goals, trust in our brand may suffer and our business or our ability to access capital could be harmed.

Negative or inaccurate information on social media or elsewhere could adversely affect our reputation

Negative or inaccurate information concerning or affecting us or our trademarks may be posted at any time on social media and similar platforms, including weblogs (blogs), social media websites, and other forms of Internet-based communications which allow individual access to a broad audience of consumers and other interested persons. This information may harm our reputation without affording us an opportunity for redress or correction, which could in turn have a material adverse effect on our business, financial condition and results of operations.

RISKS RELATING TO THE TELECOMMUNICATIONS INDUSTRY GENERALLY

Changes in the telecommunications industry could affect our future financial performance

The telecommunications industry continues to experience significant changes as new technologies are developed that offer subscribers an array of choices for their communications needs. These changes include, among others, regulatory changes, evolving industry standards, ongoing improvements in the capacity and quality of digital technology, shorter development cycles for new products, evolving renewable energy and clean technologies, and changes in end-user needs and preferences. There is uncertainty as to the pace and extent of growth in subscriber demand, and as to the extent to which prices for airtime, broadband access, Pay TV and fixed-line rental may continue to decline. Our ability to compete in the delivery of high-quality internet and broadband services is particularly important, given the increasing contribution of revenues from data services to our overall growth. If we are unable to meet future advances in competing technologies on a timely basis or at an acceptable cost, we could lose subscribers to our competitors. In general, the development of new services in

RISKS RELATING TO OUR OPERATIONS

our industry requires us to anticipate and respond to the varied and continually changing demands of our subscribers. It also requires significant capital expenditure, including investment in the continual maintenance and upgrading of our networks, in order to expand coverage, increase our capacity to absorb higher bandwidth usage and adapt to new technologies. We may not be able to accurately predict technological trends or the success of new services in the market. In addition, there could be legal or regulatory restraints to our introduction of new services. If these services fail to gain acceptance in the marketplace, or if costs associated with implementation and completion of the introduction of these services materially increase, our ability to retain and attract subscribers could be adversely affected. This is true across many of the services we provide, including wireless and cable technology.

The intellectual property used by us, our suppliers or service providers may infringe on intellectual property rights owned by others

Some of our products and services use intellectual property that we own or license from others. We also provide content we receive from content producers and distributors, such as ringtones, text games, video games, video, including TV programs and movies, wallpapers or screensavers, and we outsource services to service providers, including billing and customer care functions, which incorporate or utilize intellectual property. We and some of our suppliers, content distributors and service providers have received, and may receive in the future, assertions and claims from third parties that the content, products or software utilized by us or our suppliers, content producers and distributors and service providers infringe on the patents or other intellectual property rights of these third parties. These claims could require us or an infringing supplier, content distributor or service provider to cease engaging in certain activities, including selling, offering and providing the relevant products and services. Such claims and assertions also could subject us to costly litigation and significant liabilities for damages or royalty payments or require us to cease certain activities or prevent us from selling certain products or services.

Concerns about health risks relating to the use of wireless handsets and base stations may adversely affect our business

Portable communications devices have been alleged to pose health risks, including cancer, due to radio frequency emissions. Lawsuits have been filed in the United States against certain participants in the wireless industry alleging various adverse health consequences as a result of wireless phone usage, and our subsidiaries may be subject to similar litigation in the future. Government authorities could increase regulation on electromagnetic emissions of mobile handsets and base stations, which could have an adverse effect on our business, financial condition and results of operations. Research and studies are ongoing, and there can be no assurance that further

research and studies will not demonstrate a link between radio frequency emissions and health concerns. Any negative findings in these studies could adversely affect the use of wireless technology and, as a result, our future financial performance.

Developments in the telecommunications sector have resulted, and may result, in substantial write-downs of the carrying value of certain of our assets

Where the circumstances require, we review the carrying value of each of our assets, subsidiaries and investments in associates to assess whether those carrying values can be supported by the future discounted cash flows expected to be derived from such assets.

Whenever we consider that due to changes in the economic, regulatory, business or political environment, our goodwill, investments in associates, intangible assets or fixed assets may be impaired, we consider the necessity of performing certain valuation tests, which may result in impairment charges. The recognition of impairments of tangible, intangible and financial assets could adversely affect our results of operations.

RISKS RELATING TO OUR CONTROLLING SHAREHOLDERS, CAPITAL STRUCTURE AND TRANSACTIONS WITH AFFILIATES

Members of one family may be deemed to control us and may exercise their control in a manner that may differ from the interest of other shareholders

Based on reports of beneficial ownership of our shares filed with the SEC, Carlos Slim Helú, together with his sons, daughters and grandchildren (together, the “Slim Family”) may be deemed to control us. The Slim Family may be able to elect a majority of the members of our Board of Directors and to determine the outcome of other actions requiring a vote of our shareholders. The interests of the Slim Family may diverge from the interests of our other investors.

We have significant transactions with affiliates

We engage in various transactions with Telesites, S.A.B. de C.V. (“Telesites”), Sitios and certain subsidiaries of Grupo Carso, S.A.B. de C.V. (“Grupo Carso”) and Grupo Financiero Inbursa, S.A.B. de C.V. (“Grupo Financiero Inbursa”), all which may be deemed for certain purposes to be under common control with América Móvil.

These transactions occur in the ordinary course of business. Transactions with affiliates may create the potential for conflicts of interest.

We also make investments together with related parties, sell investments to related parties and buy investments from related parties. For more information about our transactions with affiliates, see “Related Party Transactions” under Part IV of this annual report.

Our bylaws restrict transfers of shares in some circumstances

Our bylaws provide that any acquisition or transfer of 10.0% or more of our capital stock by any person or group of persons acting together requires the approval of our Board of Directors. You may not acquire or transfer more than 10.0% of our capital stock without the approval of our Board of Directors.

The protections afforded to minority shareholders in Mexico are different from those in the United States

Under Mexican law, the protections afforded to minority shareholders are different from those in the United States. In particular, the law concerning fiduciary duties of directors is not as fully developed as in other jurisdictions, the procedure for class actions is different, and there are different procedural requirements for bringing shareholder lawsuits. As a result, in practice it may be more difficult for minority shareholders of América Móvil to seek remedies against us or our directors or controlling shareholders than it would be for shareholders of a company incorporated in another jurisdiction, such as Delaware.

Holders of ADSs are not entitled to attend shareholders' meetings, and they may only vote through the depository

Under our bylaws, a shareholder is required to deposit its shares with a custodian in order to attend a shareholders' meeting. A holder of ADSs will not be able to meet this requirement and, accordingly, is not entitled to attend shareholders' meetings. A holder of ADSs is entitled to instruct the depository as to how to vote the shares represented by ADSs, in accordance with procedures provided for in the deposit agreement, but a holder of ADSs will not be able to vote its shares directly at a shareholders' meeting or to appoint a proxy to do so.

Our bylaws may only be enforced in Mexico

Our bylaws provide that legal actions relating to the execution, interpretation or performance of the bylaws may be brought only in Mexican courts. As a result, it may be difficult for non-Mexican shareholders to enforce their shareholder rights pursuant to the bylaws.

It may be difficult to enforce civil liabilities against us or our directors, officers and controlling persons

América Móvil is organized under the laws of Mexico, with its principal place of business in Mexico City, and most of our directors, officers and controlling persons reside outside the United States. In addition, all or a substantial portion of our assets and their assets are located outside of the United States. As a result, it may be difficult for investors to effect service of process within the United States on such persons or to enforce judgments against them, including in any action based on civil liabilities under U.S. federal securities laws.

There is doubt as to the enforceability against such persons in Mexico, whether in original actions or in actions to judgments of U.S. courts, of liabilities based solely on U.S. federal securities laws.

You may not be entitled to participate in future preemptive rights offerings

Under Mexican law, if we issue new shares for cash as part of certain capital increases, we must grant our shareholders the right to purchase a sufficient number of shares to maintain their existing ownership percentage in América Móvil. Rights to purchase shares in these circumstances are known as preemptive rights. Our shareholders do not have preemptive rights in certain circumstances such as mergers, convertible debentures, public offers and placement of repurchased shares. We may not be legally permitted to allow holders of ADSs or holders of B Shares in the United States to exercise any preemptive rights in any future capital increase unless we file a registration statement with the U.S. Securities and Exchange Commission (the "SEC") with respect to that future issuance of shares. At the time of any future capital increase, we will evaluate the costs and potential liabilities associated with filing a registration statement with the SEC and any other factors that we consider important to determine whether we will file such a registration statement.

We cannot assure you that we will file a registration statement with the SEC to allow holders of ADSs or U.S. holders of B shares to participate in a preemptive rights offering. As a result, the equity interest of such holders in América Móvil may be diluted proportionately. In addition, under current Mexican law, it is not practicable for the depository to sell preemptive rights and distribute the proceeds from such sales to ADS holders.

RISKS RELATING TO DEVELOPMENTS IN MEXICO AND OTHER COUNTRIES

Economic, political and social conditions in Latin America, the Caribbean and Europe may adversely affect our business

Our financial performance may be significantly affected by general economic, political and social conditions in the markets where we operate. Many countries in Latin America and the Caribbean, including Mexico, Brazil and Argentina, have undergone significant economic, political and social crises in the past, and these events may occur again in the future. We cannot predict whether changes in political administrations will result in changes in governmental policy and whether such changes will affect our business. Factors related to economic, political and social conditions that could affect our performance include:

- significant governmental influence over local economies;
- substantial fluctuations in economic growth;
- high levels of inflation, including hyperinflation;
- changes in currency values;
- exchange controls or restrictions on expatriation of earnings;
- high domestic interest rates;
- price controls;
- changes in governmental economic, tax, labor or other policies;

RISKS RELATING TO OUR OPERATIONS

- imposition of trade barriers;
- changes in law or regulation; and
- overall political, social and economic instability and civil unrest.

Adverse economic, political and social conditions in Latin America, the Caribbean or in Europe may inhibit demand for telecommunication services and create uncertainty regarding our operating environment or may affect our ability to renew our licenses and concessions, to maintain or increase our market share or profitability and may have an adverse impact on future acquisitions, which could have a material adverse effect on our company. In addition, the perception of risk in the countries in which we operate may have a negative effect on the trading price of our shares and ADSs and may restrict our access to international financial markets.

Our business may also be especially affected by conditions in Mexico and Brazil, two of our largest markets.

For example, Mexican elections in July 2018 and July 2021 resulted in a new president and in a Congress in which the political party with more members in both houses is a different political party from the parties that have been in power in the past. We cannot predict what changes in policy this or future Mexican administrations may adopt, or their impact on our operations. Additionally, in Mexico, economic conditions are strongly impacted by those of the United States. There is continuing uncertainty regarding U.S. policies with respect to matters of importance to Mexico and its economy, particularly with respect to trade and migration.

With respect to Brazil, presidential elections occur every four years. Changes in elected representatives and the perception of risks in connection with volatility related to the 2022 presidential elections in Brazil, ongoing corruption and other investigations and policies and potential changes to address these matters or otherwise, including economic and fiscal reforms, may impact our Brazilian operations.

Adverse changes in global financial markets could limit our ability and our larger customers' ability to access capital or increase the cost of capital needed to fund business operations

We fund our capital needs in part through borrowings in the public and private credit markets. Adverse changes in the credit markets, including increases in interest rates or changes in foreign exchange rates, could increase our cost of borrowing to obtain financing for our operations or refinance our existing indebtedness. We may also incur indebtedness with interest determined on a floating rate basis, which may expose us to future rate increases. We may not hedge or may not be successful in hedging our exposure to floating interest rates or

foreign exchange rates. If we are unable to effectively manage our interest rate exposure, increases in market interest rates could increase such exposure and our debt service obligations, which could materially and adversely affect our operations, cash flows and liquidity.

In March 2021, the ICE Benchmark Administration (the Financial Conduct Authority-regulated and authorized administrator of the London Interbank Offered Rate ("LIBOR")) announced that it would cease the publication of the one-week and two-month U.S. dollar LIBOR after December 31, 2021, and the publication of all remaining U.S. dollar LIBOR tenors after June 30, 2023. Although many of our LIBOR-based obligations provide for alternative methods of calculating the interest rate payable if LIBOR is not reported, the extent and manner of any future changes with respect to methods of calculating LIBOR or replacing LIBOR with another benchmark are unknown and impossible to predict at this time and, as such, may result in interest rates that are materially higher than current interest rates. This could materially and adversely affect our results of operations, cash flows and liquidity.

In the context of an international transition to market-based reference rates, in Mexico, the Central Bank (Banco de México) has lead an effort to migrate to a new reference rate, "Funding TIIE" (*TIIE de Fondeo*). It is expected that starting on December 2023, depending upon the TIIE period, use of the existing TIIE rate shall be restricted for new agreements and that, for existing agreements, the TIIE's calculation methodology is adjusted in accordance with the new Funding TIIE.

Changes in exchange rates could adversely affect our financial condition and results of operations

We are affected by fluctuations in the value of the currencies in which we conduct operations compared to the currencies in which our indebtedness is denominated. Such changes result in exchange losses or gains on our net indebtedness and accounts payable. In 2022, we reported net foreign exchange gains of Ps.20.8 billion.

In addition, currency fluctuations between the Mexican peso and the currencies of our non-Mexican subsidiaries affect our results as reported in Mexican pesos. Currency fluctuations are expected to continue to affect our financial income and expense.

Major depreciation of the currencies in which we conduct operations could cause governments to impose exchange controls that would limit our ability to transfer funds between us and our subsidiaries. Major depreciation of the currencies in which we conduct operations may result in disruption of the international foreign exchange markets and may limit our ability to transfer or to convert such currencies into U.S. dollars and other currencies for the purpose of making timely payments of

interest and principal on our indebtedness. The government of Argentina has adopted exchange controls and restrictions on the movement of capital and has taken other measures in response to capital flight and the significant depreciation of the Argentine peso. In addition, although the Mexican government does not currently restrict, and for many years has not restricted, the right or ability of Mexican or foreign persons or entities to convert Mexican pesos into U.S. dollars or to transfer other currencies out of Mexico, it could institute restrictive exchange rate policies in the future. Similarly, the Brazilian government may impose temporary restrictions on the conversion of Brazilian reais into foreign currencies and on the remittance to foreign investors of proceeds from investments in Brazil whenever there is a serious imbalance in Brazil's balance of payments or a reason to foresee a serious imbalance.

Developments in other countries may affect the market price of our securities and adversely affect our ability to raise additional financing

The market value of securities of Mexican companies is, to varying degrees, affected by economic and market conditions in other countries, including the United States, the European Union (the "EU") and emerging market countries. Although economic conditions in such countries may differ significantly from economic conditions in Mexico, investors' reactions to developments in any of these other countries may have an adverse effect on the market value of securities of Mexican issuers. Crises in the United States, the EU and emerging market countries may diminish investor interest in securities of Mexican issuers. For example, in response to the ongoing military conflict involving Russia and Ukraine, the United States, other North Atlantic Treaty Organization member states, as well as non-member states, have announced targeted economic sanctions on Russia, certain Russian citizens and enterprises. The continuation of the conflict may trigger a series of additional economic and other sanctions enacted by the United States, other North Atlantic Treaty Organization member states, and other countries. This could materially and adversely affect economic conditions, the market price of our securities and our operations in Belarus, and could also make it more difficult for us to access the capital markets and finance our operations in the future on acceptable terms or at all.



PART IV

SHARE OWNERSHIP AND MAJOR SHAREHOLDERS TRADING

MAJOR SHAREHOLDERS

On December 20, 2022, our shareholders approved the conversion (such conversion, the “Reclassification”) of all of our outstanding series of shares representing our capital stock, the “AA Shares”, “A Shares” and “L Shares,” into a single series of ordinary shares with full voting rights and no par value, the “B Shares”, on a one for one basis. Pursuant to the Reclassification, B Shares started trading on March 16, 2023, and currently we have a single series of shares outstanding with full voting rights. In connection with the Reclassification, each of our L Share ADSs and A Share ADSs were cancelled and the corresponding number of ADSs representing B Shares were distributed to the applicable holders of L Share ADSs and A Shares ADSs. Accordingly, each of our ADSs now represents 20 B Shares.

The following table sets forth our capital structure as of March 31, 2023, after giving effect to the Reclassification.

SERIES	NUMBER OF SHARES (MILLIONS)	PERCENT OF COMBINED CAPITAL
Outstanding B Shares (no par value)	63,224	100%
Total	63,224	100%

According to reports of beneficial ownership of our shares filed with the SEC, as of March 31, 2023, after giving effect to the Reclassification, the Slim Family may be deemed to control us through their interests in a Mexican trust that holds B Shares for their benefit (the “Family Trust”), their interest in Control Empresarial de Capitales, and their direct ownership of our shares. See “Management—Directors” and “Management—Executive Committee” under Part V and “Related Party Transactions” under this Part IV of this annual report.

The following table identifies owners of more than 5.0% of our B Shares as of March 31, 2023, after giving effect to the Reclassification. Except as described in the table below and the accompanying notes, we are not aware of any holder of more than 5.0% of our B Shares. See “Management—Share Ownership of Directors and Senior Management” under Part V of this annual report.

SHAREHOLDER	SHARES OWNED (MILLIONS)	PERCENT OF CLASS ⁽¹⁾
B SHARES:		
Family Trust ⁽²⁾	17,743	28.1%
Control Empresarial de Capitales ⁽³⁾	10,700	16.9%
Carlos Slim Helú	5,200	8.2%

⁽¹⁾ Percentage figures are based on the number of shares outstanding as of March 31, 2023.

⁽²⁾ The Family Trust is a Mexican trust that holds B Shares for the benefit of members of the Slim Family. In addition to shares held by the Family Trust, members of the Slim Family, including Carlos Slim Helú, directly own an aggregate of 13,783 million B Shares representing 21.8% of all B Shares. According to beneficial reports filed with the SEC, none of these members of the Slim Family, other than Carlos Slim Helú, individually directly own more than 5.0% of our B Shares.

⁽³⁾ Includes shares owned by subsidiaries of Control Empresarial de Capitales, formerly known as Inversora Carso. Based on beneficial ownership reports filed with the SEC, Control Empresarial de Capitales is a Mexican *sociedad anónima de capital variable* and may be deemed to be controlled by the Slim Family.

⁽⁴⁾ Based on beneficial ownership reports filed with the SEC.

As of March 31, 2023, after giving effect to the Reclassification, 7.40% of the outstanding B Shares were represented by B Share ADSs, each representing the right to receive 20 B Shares, and 99.52% of the B Share ADSs were held by 6,943 registered holders with addresses in the United States. We have no information concerning the number of holders with registered addresses in the United States that hold B Shares not represented by ADSs.

RELATED PARTY TRANSACTIONS

Our subsidiaries purchase materials or services from a variety of companies that may be deemed for certain purposes to be under common control with us, including Telesites, Sitios, Grupo Carso, Grupo Financiero Inbursa and their respective subsidiaries.

These services include insurance and banking services provided by Grupo Financiero Inbursa and its subsidiaries. In addition, we sell products in Mexico through the Sanborns and Sears Operadora México, S.A. de C.V. store chains. Some of our subsidiaries also purchase network construction services and materials from subsidiaries of Grupo Carso. Our subsidiaries purchase these materials and services on terms no less favorable than they could obtain from unaffiliated parties, and would have access to other sources if our related parties ceased to provide them on competitive terms.

We and Telesites have entered into an agreement providing for site usage fees, annual price escalations and fixed annual charges that permit us to install a pre-determined amount of equipment at the Telesites towers and provide for incremental fee payments if capacity use is exceeded. The principal economic terms of the agreement conform to the reference terms published by Telesites and approved by the Federal Telecommunications Institute (*Instituto Federal de Telecomunicaciones*, or “IFT”).

Our subsidiaries have entered into master service agreements and site agreements with Sitios in each of the countries where Sitios operates pursuant to which Sitios will build, install, maintain and provide access to its towers and other support structures, as well as physical space for the location of towers and other non-electronic components. Most of the master service agreements are for a mandatory initial term of five (5) to ten (10) years and will renew automatically for an additional term of the same number of years unless the carrier notifies Sitios of its intent not to renew.

We enter into a number of transactions with related parties in the ordinary course of our business. We believe that these transactions are on terms comparable to those that could be obtained in arm’s length negotiations with unaffiliated third parties. Note 6 and Note 15 to our audited consolidated financial statements included in this annual report set forth information on related party transactions for the three year period set forth therein. We do not regard any of these transactions as material to us.

In accordance with Mexican law, an independent committee must provide an opinion to the board of directors regarding any transaction with a related party that requires approval by the board of directors. Pursuant to Mexican law, related party transactions that are non-material, are within the ordinary course of business, or are on an arm’s-length basis, do not require specific board approval, if consistent with the guidelines approved by the Board of Directors.

DIVIDENDS

We regularly pay cash dividends on our shares. The table below sets forth the nominal amount of dividends paid per share on each date indicated, in Mexican pesos and translated into U.S. dollars at the exchange rate reported by Banco de México, as published in the Official Gazette, for each of the respective payment dates.

PAYMENT DATE	PESOS PER SHARE	DOLLARS PER SHARE
August 29, 2022	Ps. 0.44	U.S.\$ 0.0221
November 8, 2021	Ps. 0.20	U.S.\$ 0.0097
July 19, 2021	Ps. 0.20	U.S.\$ 0.0100
November 9, 2020	Ps. 0.19	U.S.\$ 0.0092
July 20, 2020	Ps. 0.19	U.S.\$ 0.0085
November 11, 2019	Ps. 0.17	U.S.\$ 0.0090
July 15, 2019	Ps. 0.18	U.S.\$ 0.0095
November 12, 2018	Ps. 0.16	U.S.\$ 0.0080
July 16, 2018	Ps. 0.16	U.S.\$ 0.0085

On April 27, 2023 our shareholders approved a cash dividend of Ps.0.46 per share, payable in two equal installments of Ps 0.23 each on July 17, 2023 and November 13, 2023.

As of December 31, 2022, prior to the Reclassification, the declaration, amount and payment of dividends by América Móvil was determined by majority vote of the holders of AA

Shares and A Shares, generally on the recommendation of the Board of Directors, and depended on our results of operations, financial condition, cash requirements, future prospects and other factors considered relevant by the holders of AA Shares and A Shares.

Prior to the Reclassification and the corresponding amendments to our bylaws, our bylaws provided that holders of AA Shares, A Shares and L Shares participate equally on a per-share basis in dividend payments and other distributions, subject to certain non-material preferential dividend rights of holders of L Shares.

After giving effect to the Reclassification, the declaration, amount and payment of dividends by América Móvil will be determined by majority vote of the holders of B Shares (i.e., all of our shareholders), generally on the recommendation of the Board of Directors, and depends on the results of operations, financial condition, cash requirements, future prospects and other factors considered relevant by majority vote of the holders of B Shares.

After the Reclassification and the corresponding amendments to our bylaws, our bylaws provide that holders of B Shares (i.e., all of our shareholders) participate equally on a per-share basis in dividend payments and other distributions.

TRADING MARKETS

After giving effect to the Reclassification, our shares and ADSs are listed on the following markets:

SECURITY	STOCK EXCHANGE	TICKER SYMBOL
B Shares	Mexican Stock Exchange—Mexico City	AMX
B Share ADSs	New York Stock Exchange—New York	AMX

BYLAWS

We are a *Sociedad Anónima Bursátil de Capital Variable* organized under Mexican law. For a description of our B Shares, and a brief summary of certain significant provisions in our current bylaws and Mexican law, see “Description of Securities Registered Under Section 12 of the Exchange Act,” filed as Exhibit 2.1 with this annual report. For a description of our Board of Directors, Executive and Audit and Corporate Practices Committees and External Auditor, see “Management” under Part V of this annual report.

PURCHASES OF EQUITY SECURITIES BY THE ISSUER AND AFFILIATED PURCHASERS

As of December 31, 2022, prior to the Reclassification, we periodically repurchased at our discretion our L Shares and A Shares on the open market pursuant to guidelines approved by our Board of Directors, using funds up to an amount authorized by our shareholders specifically for the repurchase of L Shares and A Shares. Our shareholders authorized the allocation of up to Ps.6 billion in February 2021, Ps.25 billion in April 2021 and Ps.26 billion in November 2021, in each case to repurchase L Shares and A Shares. In our 2022 annual ordinary shareholders' meeting, our shareholders authorized an increase to the buyback program by an amount equal to Ps.26 billion, which after the increase amounted to Ps.36,539 billion to repurchase L Shares and A Shares from April 2022 to April 2023. We may use unused amounts under these authorizations to repurchase B Shares after giving effect to the Reclassification.

In our 2023 annual shareholders' meeting, our shareholders authorized to allocate an amount equal to Ps.20 billion for the buyback program, amount that will include the balance of the Company's buyback program fund as of the date of the shareholders' meeting for the April 2023 – April 2024 period. We expect to continue to periodically repurchase at our discretion our B Shares on the open market pursuant to guidelines approved by our Board of Directors, using funds up to an amount authorized by our shareholders.

The following table sets out information concerning purchases of our L Shares by us and our affiliated purchasers in 2022. We did not repurchase our L Shares other than through the share repurchase program, and we only repurchase 42,637 A Shares in 2022, specifically in November at an average price of 19.74 per share.

PERIOD	TOTAL NUMBER OF SHARES PURCHASED ⁽¹⁾	AVERAGE PRICE PER SHARE	TOTAL NUMBER OF SHARES PURCHASED AS PART OF PUBLICLY ANNOUNCED PLANS OR PROGRAMS	APPROXIMATE MEXICAN PESO VALUE OF SHARES THAT MAY YET BE PURCHASED UNDER THE PLANS OR PROGRAMS ⁽²⁾
January 2022	116,140,633	Ps. 20.41	116,140,633	Ps. 18,256,273,724.84
February 2022	205,743,252	18.86	205,743,252	14,397,643,412.75
March 2022	150,906,748	20.12	150,906,748	11,378,951,514.10
April 2022	86,450,198	21.60	86,450,198	35,522,092,260.03
May 2022	132,499,802	20.15	132,499,802	32,867,302,992.46
June 2022	128,500,000	20.07	128,500,000	30,303,453,667.70
July 2022	67,500,000	19.54	67,500,000	28,991,865,232.22
August 2022	82,570,000	18.56	82,570,000	27,468,395,546.71
September 2022	102,430,000	17.34	102,430,000	25,702,567,746.92
October 2022	84,000,000	17.19	84,000,000	24,267,080,485.43
November 2022	67,957,363	19.45	67,957,363	22,952,187,734.03
December 2022	140,000,000	18.25	140,000,000	20,411,356,682.85
Total L Shares	1,364,697,996		1,364,697,996	

⁽¹⁾ This includes purchases by us and our affiliated purchasers in 2022.

⁽²⁾ This is the approximate peso amount available at the end of the period for purchases of both L Shares and A Shares pursuant to our share repurchase program.

TAXATION OF SHARES AND ADSs

The following summary contains a description of certain Mexican federal and U.S. federal income tax consequences of the acquisition, ownership and disposition of B Shares or B Share ADSs, after giving effect to the Reclassification, but it does not purport to be a comprehensive description of all of the tax considerations that may be relevant to a decision to purchase, hold or sell B Shares or B Share ADSs.

This discussion does not constitute, and should not be considered as, legal or tax advice to holders. The discussion is for general information purposes only and is based upon the federal tax laws of Mexico, including the Mexican Income Tax Law (*Ley del Impuesto sobre la Renta*), and the United States in effect on the date of this annual report, including the Convention for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion and the protocols thereto between the United States and Mexico currently in force (together, the “Tax Treaty”) and the agreement between the United States and Mexico concerning the exchange of information with respect to tax matters. The Tax Treaty is subject to change, and such changes may have retroactive effects. Holders of B Shares or B Share ADSs should consult their own tax advisors as to the Mexican, U.S. or other tax consequences of the purchase, ownership and disposition of B Shares or B Share ADSs, including, in particular, the effect of any foreign, state or local tax laws.

MEXICAN TAX CONSIDERATIONS

The following is a general summary of the principal consequences under the Mexican Income Tax Law and the rules and regulations thereunder, as currently in effect, of an investment in Series B Shares or B Share ADSs by a holder that is not a resident of Mexico and that will not hold Series B Shares or B Share ADSs or a beneficial interest therein in connection with the conduct of a trade or business through a permanent establishment in Mexico (a “nonresident holder”).

For purposes of Mexican taxation, the definition of residence is highly technical and residence arises in several situations. Generally, an individual is a resident of Mexico if he or she has established his or her home or center of vital interests in Mexico, and a corporation is considered a resident if it has its place of effective management in Mexico. However, any determination of residence should take into account the particular situation of each person or legal entity.

If a legal entity or an individual is deemed to have a permanent establishment in Mexico for Mexican tax purposes, all income attributable to that permanent establishment will be subject to Mexican income taxes, in accordance with applicable tax laws.

This summary does not purport to be a comprehensive description of all the Mexican tax considerations that may be relevant to a decision to purchase, own or dispose of the shares. In particular, this summary (i) does not describe any tax consequences arising under the laws of any state, locality, municipality or taxing jurisdiction other than certain federal laws of Mexico and (ii) does not address all of the Mexican tax consequences that may be applicable to specific holders of the shares, including a holder:

- whose shares were not acquired through the Mexican Stock Exchange or other markets authorized by the Ministry of Finance and Public Credit (*Secretaría de Hacienda y Crédito Público*) or the Mexican Federal Tax Code;
- of Series B Shares or B Share ADSs that control us;
- that holds 10.0% or more of our shares;
- that is part of a group of persons for purposes of Mexican law that controls us (or holds 10.0% or more of our shares); or
- that is a resident of Mexico or is a corporation resident in a tax haven (as defined by the Mexican Income Tax Law).

Tax Treaties

Provisions of the Tax Treaty that may affect the taxation of certain U.S. holders (as defined below) are summarized below.

The Mexican Income Tax Law has established procedural requirements for a nonresident holder to be entitled to benefits under any of the tax treaties to which Mexico is a party, including on dispositions and dividends. These procedural requirements include, among others, the obligation to (i) prove tax treaty residence, (ii) file tax calculations made by an authorized certified public accountant or an informational tax statement, as the case may be, and (iii) appoint representatives in Mexico for taxation purposes. Parties related to the issuer may be subject to additional procedural requirements.

Payment of Dividends

Dividends, either in cash or in kind, paid with respect to Series B Shares or B Share ADSs will generally be subject to a 10.0% Mexican withholding tax (provided that no Mexican withholding tax will apply to distributions of net taxable profits generated before 2014). Nonresident holders could be subject to a lower tax rate, to the extent that they are eligible for benefits under an income tax treaty to which Mexico is a party.

Taxation of Dispositions

The tax rate on income realized by a nonresident holder from a disposition of shares through the Mexican Stock Exchange is generally 10.0%, which is applied to the net gain realized on the disposition. This tax is payable through withholding made by intermediaries. However, such withholding does not apply to a

nonresident holder who certifies that the holder is resident in a country with which Mexico has entered into an income tax treaty.

The sale or other transfer or disposition of shares not carried out through the Mexican Stock Exchange and not held in the form of B Share ADSs will be subject to a 25% tax rate in Mexico, which is applicable to the gross proceeds realized from the sale.

Alternatively, a nonresident holder may, subject to certain requirements, elect to pay taxes on the net gain realized from the sale of shares at a rate of 35%.

The sale or disposition of B Share ADSs through securities exchanges or markets recognized under the Mexican federal tax code (which includes the NYSE) by nonresidents who are residents of a country with which Mexico has entered into an income tax treaty is not subject to income tax in Mexico under the current tax rules. The tax treatment of such transfer of B Share ADSs by nonresidents who are also not residents of a country with which Mexico has entered into an income tax treaty is not clear under the current Mexican tax rules.

Pursuant to the Tax Treaty, gains realized by a U.S. resident that is eligible to receive benefits pursuant to the Tax Treaty from the sale or other disposition of Series B Shares or B Share ADSs, even if the sale or disposition is not carried out under the circumstances described in the preceding paragraphs, will not be subject to Mexican income tax, provided that the gains are not attributable to a permanent establishment or a fixed base in Mexico, and further provided that such U.S. holder owned less than 25% of the shares representing our capital stock (including B Share ADSs), directly or indirectly, during the 12-month period preceding such disposition. U.S. residents should consult their own tax advisors as to their possible eligibility under the Tax Treaty.

Gains and gross proceeds realized by other nonresident holders that are eligible to receive benefits pursuant to other income tax treaties to which Mexico is a party may be exempt from Mexican income tax, in whole or in part. Non-U.S. holders should consult their own tax advisors as to their possible eligibility under such treaties.

Other Mexican Taxes

A nonresident holder generally will not be liable for estate, inheritance or similar taxes with respect to its holdings of Series B Shares or B Share ADSs; provided, however, that gratuitous transfers of Series B Shares or B Share ADSs may, in certain circumstances, result in the imposition of a Mexican tax upon the recipient.

There are no Mexican stamp, issue registration or similar taxes payable by a nonresident holder with respect to Series B Shares or B Share ADSs.

U.S. FEDERAL INCOME TAX CONSIDERATIONS

The following is a summary of certain U.S. federal income tax consequences to holders of the acquisition, ownership and disposition of shares or ADSs. The summary does not purport to be a comprehensive description of all of the tax consequences of the acquisition, ownership or disposition of shares or ADSs. The summary applies only to holders that will hold their shares or ADSs as capital assets and does not apply to special classes of holders, such as regulated investment companies, real estate investment trusts, brokers or dealers in securities or currencies, U.S. holders (defined below) with a functional currency other than the U.S. dollar, holders of 10.0% or more of our shares measured by vote or value (whether held directly or through ADSs or both), tax-exempt organizations, banks, insurance companies or other financial institutions, holders liable for the alternative minimum tax, securities traders electing to account for their investment in their shares or ADSs on a mark-to-market basis, entities that are treated for U.S. federal income tax purposes as partnerships or other pass-through entities or equity holders therein and persons holding their shares or ADSs in a hedging transaction or as part of a “straddle” or conversion transaction or as part of a “synthetic security” or other integrated financial transaction, certain U.S. expatriates and taxpayers using a taxable year other than the calendar year or U.S. holders that are engaged in a trade or business or have a permanent establishment in Mexico.

For purposes of this discussion, a “U.S. holder” is a holder of shares or ADSs that is:

- a citizen or resident of the United States of America,
- a corporation (or other entity taxable as a corporation) organized under the laws of the United States of America or any state thereof or
- otherwise subject to U.S. federal income taxation on a net income basis with respect to the shares or ADSs.

Each holder should consult such holder’s own tax advisor concerning the overall tax consequences to it of the ownership or disposition of shares or ADSs that may arise under foreign, state and local laws.

Treatment of ADSs

In general, a holder of ADSs will be treated as the owner of the shares represented by those ADSs for U.S. federal income tax purposes. Deposits or withdrawals of shares by holders in exchange for ADSs will not result in the realization of gain or loss for U.S. federal income tax purposes. U.S. holders that withdraw any shares should consult their own tax advisors regarding the treatment of any foreign currency gain or loss on any pesos received in respect of such shares.

TAXATION OF SHARES AND ADSs

U.S. TAX CONSEQUENCES FOR U.S. HOLDERS

Taxation of Distributions

In general, a U.S. holder will treat the gross amount of distributions we pay, without reduction for Mexican withholding tax, as dividend income for U.S. federal income tax purposes to the extent of our current and accumulated earnings and profits. Because we do not expect to maintain calculations of our earnings and profits under U.S. federal income tax principles, it is expected that distributions paid to U.S. holders generally will be reported as dividends. In general, the gross amount of any dividends will be includible in the gross income of a U.S. holder as ordinary income on the day on which the dividends are received by the U.S. holder, in the case of shares, or by the depositary, in the case of ADSs.

Dividends will be paid in pesos and will be includible in the income of a U.S. holder in a U.S. dollar amount calculated by reference to the exchange rate in effect on the date that they are received by the U.S. holder, in the case of shares, or by the depositary, in the case of ADSs (regardless of whether such pesos are in fact converted into U.S. dollars on such date). If such dividends are converted into U.S. dollars on the date of such receipt, a U.S. holder generally should not be required to recognize foreign currency gain or loss in respect of the dividends. U.S. holders should consult their own tax advisors regarding the treatment of foreign currency gain or loss, if any, on any pesos received by a U.S. holder or depositary that are converted into U.S. dollars on a date subsequent to receipt. Dividends paid by us will not be eligible for the dividends-received deduction allowed to corporations under the U.S. Internal Revenue Code of 1986, as amended (the “Code”).

Subject to certain exceptions for short-term and hedged positions, the U.S. dollar amount of dividends received by an individual with respect to the shares and ADSs will be subject to taxation at reduced rates if the dividends are “qualified dividends.” Dividends paid on the shares and ADSs will be treated as qualified dividends if (i) (A) the shares and ADSs are readily tradable on an established securities market in the United States or (B) we are eligible for the benefits of a comprehensive tax treaty with the United States which the U.S. Treasury determines is satisfactory for purposes of this provision and which includes an exchange of information program, and (ii) we were not, in the year prior to the year in which the dividend was paid, and are not, in the year in which the dividend is paid, a passive foreign investment company (“PFIC”). Prior to the Reclassification, the A and L Share ADSs were listed on the NYSE and so qualified as readily tradable on an established securities market in the United States. The B Share ADSs are listed on the NYSE, and will qualify as readily tradable on an established securities market in the

United States so long as they are so listed. In addition, the U.S. Treasury has determined that the Tax Treaty meets the requirements for reduced rates of taxation, and we believe we are eligible for the benefits of the Tax Treaty. Based on our audited consolidated financial statements and relevant market data, we believe that we were not treated as a PFIC for U.S. federal income tax purposes with respect to the 2021 and 2022 taxable years. In addition, based on our audited consolidated financial statements and our current expectations regarding the value and nature of our assets, the sources and nature of our income and relevant market data, we do not anticipate becoming a PFIC for the 2023 taxable year. Holders of shares or ADSs should consult their own tax advisors regarding the availability of the reduced dividend tax rate in the light of their own particular circumstances.

Subject to generally applicable limitations and conditions (including a minimum holding period requirement), Mexican dividend withholding tax paid at the appropriate rate applicable to the U.S. holder may be eligible for a credit against such U.S. holder’s U.S. federal income tax liability. These generally applicable limitations and conditions include new requirements recently adopted by the U.S. Internal Revenue Service (“IRS”) and any Mexican tax will need to satisfy these requirements in order to be eligible to be a creditable tax for a U.S. holder. In the case of a U.S. holder that is eligible for, and properly elects, the benefits of the Tax Treaty, the Mexican tax on dividends will be treated as meeting the new requirements and therefore as a creditable tax. In the case of all other U.S. holders, the application of these requirements to the Mexican tax on dividends is uncertain and we have not determined whether these requirements have been met. If Mexican dividend tax is not a creditable tax for a U.S. holder or the U.S. holder does not elect to claim a foreign tax credit for any foreign income taxes paid or accrued in the same taxable year, the U.S. holder may be able to deduct the Mexican tax in computing such U.S. holder’s taxable income for U.S. federal income tax purposes. Dividend distributions will constitute income from sources without the United States and, for U.S. holders that elect to claim foreign tax credits, generally will constitute “passive category income” for foreign tax credit purposes.

The availability and calculation of foreign tax credits and deductions for foreign taxes depend on a U.S. holder’s particular circumstances and involve the application of complex rules to those circumstances. U.S. holders should consult their own tax advisors regarding the application of these rules to their particular situations. Distributions of additional shares or ADSs to U.S. holders with respect to their shares or ADSs that are made as part of a pro rata distribution to all of our shareholders generally will not be subject to U.S. federal income tax.

Taxation of Dispositions

A U.S. holder generally will recognize capital gain or loss on the sale or other taxable disposition of the shares or ADSs in an amount equal to the difference between the U.S. holder's basis in such shares or ADSs (in U.S. dollars) and the amount realized on the disposition (in U.S. dollars, determined at the spot rate on the date of disposition if the amount realized is denominated in a foreign currency). Gain or loss recognized by a U.S. holder on such sale or other taxable disposition generally will be long-term capital gain or loss if, at the time of disposition, the shares or ADSs have been held for more than one year. Long-term capital gain recognized by a U.S. holder that is an individual is taxable at reduced rates. The deductibility of a capital loss is subject to limitations.

Capital gain or loss recognized by a U.S. holder on the sale or other taxable disposition of the shares or ADSs generally will be U.S. source gain or loss for U.S. foreign tax credit purposes. Under the new foreign tax credit requirements recently adopted by the IRS, any Mexican tax imposed on the sale or other disposition of the shares or ADSs generally will not be treated as a creditable tax for U.S. foreign tax credit purposes. If the Mexican tax is not a creditable tax, the tax would reduce the amount realized on the sale or other disposition of the shares or ADSs even if the U.S. holder has elected to claim a foreign tax credit for other taxes in the same year. U.S. holders should consult their own tax advisors regarding the application of the foreign tax credit rules to a sale or other disposition of, the shares or ADSs and any Mexican tax imposed on such sale or disposition.

Information Reporting and Backup Withholding

Dividends on, and proceeds from the sale or other disposition of, the shares or ADSs paid to a U.S. holder generally may be subject to the information reporting requirements of the Code and may be subject to backup withholding unless the holder:

- establishes that it is an exempt recipient, if required, or
- provides an accurate taxpayer identification number on a properly completed IRS Form W-9 and certifies that no loss of exemption from backup withholding has occurred.

The amount of any backup withholding from a payment to a holder will be allowed as a credit against the U.S. holder's U.S. federal income tax liability and may entitle such holder to a refund, provided that certain required information is timely furnished to the IRS.

U.S. Tax Consequences for Non-U.S. Holders

DISTRIBUTIONS.

A holder of shares or ADSs that is, with respect to the United States, a foreign corporation or a nonresident alien individual (a "non-U.S. holder") will generally not be subject to U.S. federal income or withholding tax on dividends received on shares or ADSs, unless such income is effectively connected with the conduct by the holder of a U.S. trade or business.

DISPOSITIONS.

A non-U.S. holder of shares or ADSs will not be subject to U.S. federal income or withholding tax on gain realized on the sale of shares or ADSs, unless:

- gain is effectively connected with the conduct by the holder of a U.S. trade or business or
- in the case of gain realized by an individual holder, the holder is present in the United States for 183 days or more in the taxable year of the sale and certain other conditions are met.

INFORMATION REPORTING AND BACKUP WITHHOLDING.

Although non-U.S. holders generally are exempt from backup withholding, a non-U.S. holder may be required to comply with certification and identification procedures in order to establish its exemption from information reporting and backup withholding.

DESCRIPTION OF SECURITIES OTHER THAN EQUITY SECURITIES

AMERICAN DEPOSITORY SHARES

Fees and charges payable by a holder of B Share ADSs.

Our B Share ADSs are listed on the NYSE under the symbol “AMX”. Citibank N.A. is the depositary (the “Depositary”) of our B Share ADSs pursuant to the deposit agreement for the issuance of the B Share ADSs entered into between the Depositary and us (the “Deposit Agreement”). Each B Share ADS represents the right to receive 20 B Shares. See “Form of Deposit Agreement by and among América Móvil, S.A.B. de C.V., Citibank, N.A., as ADS depositary, and the holders and beneficial owners of American Depositary Shares thereunder (incorporated by reference to Exhibit (a) to the Registration Statement on Form F-6 (File No. 333-270031) filed with the Commission on February 24, 2023)” filed as Exhibit 4.2 with this annual report.

Under the terms of the Deposit Agreement, as of the date of this annual report, a B Share ADS holder may have to pay to the Depositary the fees specified in the table below.

The charges of the Depositary payable by investors are as follows:

SERVICE	RATE	BY WHOM PAID
(1) Issuance of ADSs (e.g., an issuance upon a deposit of Shares, upon a change in the ADS(s)-to-Share(s) ratio, or for any other reason), excluding issuances as a result of distributions described in paragraph (4) below.	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) issued.	Person for whom ADSs are issued.
(2) Cancellation of ADSs (e.g., a cancellation of ADSs for Delivery of deposited Shares, upon a change in the ADS(s)-to-Share(s) ratio, or for any other reason).	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) cancelled.	Person for whom ADSs are being cancelled.
(3) Distribution of cash dividends or other cash distributions (e.g., upon a sale of rights and other entitlements).	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) held.	Person to whom the distribution is made.
(4) Distribution of ADSs pursuant to (i) stock dividends or other free stock distributions, or (ii) an exercise of rights to purchase additional ADSs.	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) held.	Person to whom the distribution is made.
(5) Distribution of securities other than ADSs or rights to purchase additional ADSs (e.g., spin-off shares).	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) held.	Person to whom the distribution is made.
(6) ADS Services.	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) held on the applicable record date(s) established by the Depositary.	Person holding ADSs on the applicable record date(s) established by the Depositary.
(7) Registration of ADS Transfers (as defined in the Deposit Agreement) (e.g., upon a registration of the transfer of registered ownership of ADSs, upon a transfer of ADSs into DTC (as defined in the Deposit Agreement) and <i>vice versa</i> , or for any other reason).	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) transferred.	Person for whom or to whom ADSs are transferred.
(8) Conversion of ADSs of one series for ADSs of another series (e.g., upon conversion of Partial Entitlement ADSs (as defined in the Deposit Agreement) for Full Entitlement ADSs (as defined in the Deposit Agreement), or upon conversion of Restricted ADSs (as defined in the Deposit Agreement) into freely transferable ADSs (as defined in the Deposit Agreement), and <i>vice versa</i>).	Up to U.S. \$5.00 per 100 ADSs (or fraction thereof) converted.	Person for whom ADSs are converted or to whom the converted ADSs are delivered.

Disclosure for fees incurred in past annual period.

For the year ended December 31, 2022, we received from Citibank N.A., the depositary of our A Share ADSs and L Share ADSs pursuant to the deposit agreements entered into between Citibank N.A. and us for the issuance of the A Share ADSs and L Shares ADSs, respectively, U.S.\$1.9 million for expenses we incurred related to the administration and maintenance of the A Share ADS and L Share ADS programs and investor relation activities.





PART V

CORPORATE GOVERNANCE

MANAGEMENT

DIRECTORS

Our Board of Directors has broad authority to manage our company. Our bylaws provide for the Board of Directors to consist of between 5 and 21 directors and allow for the election of an equal number of alternate directors. Directors need not be shareholders. A majority of our directors and a majority of the alternate directors must be Mexican citizens.

Prior to the Reclassification, a majority of the holders of the AA Shares and A Shares voting together elected a majority of the directors and alternate directors, provided that any holder or group of holders of at least 10.0% of the total AA Shares and A Shares was entitled to name one director and one alternate director. Two directors and two alternate directors, if any, were elected by a majority vote of the holders of L Shares. Each alternate director attended meetings of the Board of Directors and voted in the absence of the corresponding director. Directors and alternate directors were elected or reelected at each annual general meeting of shareholders and each annual ordinary special meeting of holders of L Shares.

After giving effect to the Reclassification, B Shares represent our only class of shares, and a majority of the holders of the B Shares elect our directors, and any holder or group of holders of at least 10.0% of the total B Shares was entitled to name one director and one alternate director.

In accordance with the Mexican Securities Market Law (*Ley del Mercado de Valores*), the determination as to the independence of our directors is made by our shareholders, though the CNBV may challenge this determination. Pursuant to our bylaws and the Mexican Securities Market Law, at least 25.0% of our directors must be independent.

At the annual shareholders' meeting held on April 27, 2023, the current members of the Board of Directors, the Executive Committee and the Audit and Corporate Practices Committee were reelected, and the Corporate Secretary and the Corporate Pro Secretary were reappointed, with all directors elected by the holders of our B Shares. 9 (approximately 64%) of the members of the Board of Directors are independent, and 3 (approximately 21%) are women.

Our bylaws provide that the members of the Board of Directors are elected for a term of one year. Pursuant to Mexican law, members of the Board continue in their positions after the expiration of their terms for up to an additional 30-day period if new members are not elected. Furthermore, in certain circumstances provided under the Mexican Securities Market Law, the Board of Directors may elect temporary directors who then may be elected or replaced at the shareholders' meetings.

The names and positions of the members of the Board reelected or elected for the first time at the 2023 annual general shareholders' meeting—their term expiring in 2024—their year of birth, and information concerning their committee membership and principal business activities outside América Móvil are set forth below:

CARLOS SLIM DOMIT

Cochairman of the Board and Member of the Executive Committee

Born:	1967
First elected:	2011
Principal occupation:	Chairman of the Board of América Móvil
Other directorships:	Chairman of the Board of Grupo Carso and its affiliates
Business experience:	Business administration; Chief Executive Officer of Sanborn Hermanos

PATRICK SLIM DOMIT

Cochairman of the Board and Member of the Executive Committee

Born:	1969
First elected:	2004
Principal occupation:	Chief Executive Officer of Grupo Sanborns
Other directorships:	Director of Grupo Carso and its affiliates
Business experience:	Business administration; Chief Executive Officer of Grupo Carso and Vice President of Commercial Markets of Telmex

DANIEL HAJJ ABOUMRAD

Director and Member of the Executive Committee

Born:	1966
First elected:	2000
Principal occupation:	Chief Executive Officer of América Móvil
Other directorships:	Director of Grupo Carso and Telmex
Business experience:	Business administration; Chief Executive Officer of Compañía Hulera Euzkadi

LUIS ALEJANDRO SOBERÓN KURI

Director

Born:	1960
First elected:	2000
Principal occupation:	Chief Executive Officer and Chairman of the Board of Seriném México (a subsidiary of Corporación Interamericana de Entretenimiento)
Other directorships:	Director of CIE; Director of Grupo Financiero Citibanamex
Business experience:	Business administration; Various positions at CIE

FRANCISCO JOSÉ MEDINA CHÁVEZ

Director

Born:	1956
First elected:	2018
Principal occupation:	Chief Executive Officer and Chairman of Grupo Fame, and Chairman of Grupo Altozano
Other directorships:	Director of Banco Nacional de México and Grupo Chedraui
Business experience:	Real estate; Director of Aeroméxico and Mitsui Mexico

ERNESTO VEGA VELASCO**Director and Chairman of the Audit and Corporate Practices Committee**

Born:	1937
First elected:	2007
Principal occupation:	Retired. Member of the board of directors and audit and corporate practices, planning and finance and evaluation and compensation committees of certain companies.
Other directorships:	Director of Kuo and its affiliates, Impulsora de Desarrollo y el Empleo en América Latina and its affiliates, and Industrias Peñoles
Business experience:	Accounting and business administration; Various positions in Desc Group, including Corporate Vice- President

RAFAEL MOISÉS KALACH MIZRAHI**Director and Member of the Audit and Corporate Practices Committee**

Born:	1946
First elected:	2012
Principal occupation:	Chairman and Chief Executive Officer of Grupo Kaltex
Other directorships:	Director of Grupo Carso and its affiliates
Business experience:	Accounting and business administration; various positions in Grupo Kaltex

ANTONIO COSÍO PANDO**Director**

Born:	1968
First elected:	2015
Principal occupation:	Vice President of Grupo Hotelero las Brisas, Compañía Industrial Tepeji del Río, and Bodegas de Santo Tomás
Other directorships:	Director of Grupo Carso and its affiliates, Corporación Actinver, and Grupo Aeroméxico
Business experience:	Engineer; various positions in Grupo Brisas and Compañía Industrial Tepeji del Río

OSCAR VON HAUSKE SOLÍS**Director**

Born:	1957
First elected:	2011
Principal occupation:	Chief Fixed-line Operations Officer of América Móvil
Other directorships:	Member of Telekom Austria's Supervisory Board
Business experience:	Accounting and business administration; Chief Executive Officer of Telmex Internacional, Chief Systems and Telecommunications Operators Officer of Telmex and member of KPN's Supervisory Board

VANESSA HAJJ SLIM**Director**

Born:	1997
First elected:	2018
Principal occupation:	Analyst at Inmuebles Carso, S.A.B de C.V.
Other directorships:	Director of Grupo Carso

DAVID IBARRA MUÑOZ**Director**

Born:	1930
First elected:	2000
Principal occupation:	Retired
Other directorships:	Director of Grupo Carso and its affiliates, and Grupo Mexicano de Desarrollo
Business experience:	Economist; Chief Executive Officer of Nacional Financiera and Secretary of Finance and Public Credit of Mexico

GISSELLE MORÁN JIMÉNEZ**Director**

Born:	1974
First elected:	2021
Principal occupation:	Chief Executive Officer of Real Estate, Market and Lifestyle
Other directorships:	Director of Alignmex Real Estate Capital
Business experience:	Commercial Manager of Grupo Mundo Ejecutivo

PABLO ROBERTO GONZÁLEZ GUAJARDO**Director and Member of the Audit and Corporate Practices Committee**

Born:	1967
First elected:	2007
Principal occupation:	Chief Executive Officer of Kimberly Clark de México
Other directorships:	Director of Kimberly Clark de México, Grupo Sanborns and Grupo Lala
Business experience:	Various positions in the Kimberly Clark Corporation and Kimberly Clark de México

CLAUDIA JAÑEZ SÁNCHEZ**Director**

Born:	1971
First elected:	2021
Principal occupation:	Independent Director
Other directorships:	Director of Bolsa Mexicana de Valores, S.A.B. de C.V., and Board Member of Grupo Industrial Saltillo, HSBC Mexico and other AMX affiliates
Business experience:	Chairman of DuPont Latin America and Chairman of the Executive Council of Global Companies

Our 2023 annual ordinary general shareholders' meeting determined that the following directors are independent: Claudia Jañez Sanchez, Gisselle Morán Jiménez, Ernesto Vega Velasco, Pablo Roberto González Guajardo, David Ibarra Muñoz, Antonio Cosío Pando, Rafael Moisés Kalach Mizrahi, Luis Alejandro Soberón Kuri and Francisco José Medina Chávez.

Alejandro Cantú Jiménez, our General Counsel, serves as Corporate Secretary and Rafael Robles Miaja as Corporate Pro-Secretary.

Patrick Slim Domit and Carlos Slim Domit are brothers. Daniel Hajj Aboumrad is brother-in-law of Patrick Slim Domit and Carlos Slim Domit. Vanessa Hajj Slim is the daughter of Daniel Hajj Aboumrad.

EXECUTIVE COMMITTEE

The Board of Directors is required to consult the Executive Committee before deciding on certain matters set forth in the bylaws, and the Executive Committee must provide its views following a request from the Board of Directors, the Chief Executive Officer or the Chairman of the Board of Directors. If the Executive Committee is unable to make a recommendation within ten calendar days, or if a majority of the Board of Directors or any other corporate body duly acting within its mandate determines in good faith that action cannot be deferred until the Executive Committee makes a recommendation, the Board of Directors is authorized to act without such recommendation. The Executive Committee may also act on matters delegated to it by the Board of Directors. The Executive Committee may not delegate all of its powers to special delegates or attorneys-in-fact.

The Executive Committee is elected from among the directors and alternate directors by a majority vote of the holders of common shares. The majority of its members must be Mexican citizens. The current members of the Executive Committee are Carlos Slim Domit, Patrick Slim Domit and Daniel Hajj Aboumrad. See "Major Shareholders" under Part IV of this annual report.

AUDIT AND CORPORATE PRACTICES COMMITTEE

Our Audit and Corporate Practices Committee is comprised of independent members of the Board of Directors, as determined by our shareholders pursuant to the Mexican Securities Market Law and as defined under Rule 10A-3 under the Exchange. The Audit and Corporate Practices Committee consists of Ernesto Vega Velasco (Chairman), Rafael Moisés Kalach Mizrahi and Pablo Roberto González Guajardo. The mandate of the Audit and Corporate Practices Committee is to assist our Board of Directors in overseeing our operations and establish and monitor procedures and controls in order to ensure that the financial information we distribute is useful, appropriate and reliable and accurately reflects our financial position. In particular, the Audit and Corporate Practices Committee is required to, among other things, (i) call shareholders' meetings and recommend items to be included on the agenda, (ii) advise the Board of Directors on internal control procedures, related party transactions that are outside the ordinary course of our business, succession plans and compensation structures of our key executives, (iii) select and monitor our auditors, (iv) discuss with our auditors the procedures for the preparation of the annual financial statements and the accounting principles to the annual and the interim financial statements and (v) obtain from our auditors a report that includes a discussion of the critical accounting policies used by us, any alternative accounting treatments for material items that have been discussed by management with our auditors and any other written communications between our auditors and management.

The Company is required to make public disclosure of any Board action that is inconsistent with the opinion of the Audit and Corporate Practices Committee. In addition, pursuant to our bylaws, the Audit and Corporate Practices Committee is in charge of our corporate governance functions under the Mexican securities laws and regulations and is required to submit an annual report to the Board of Directors with respect to our corporate and audit practices. The Audit and Corporate Practices Committee must request the opinions of our executive officers for purposes of preparing this annual report.

SENIOR MANAGEMENT

The names, responsibilities and prior business experience of our senior officers are as follows:

DANIEL HAJJ ABOUMRAD	
Chief Executive Officer	
Appointed:	2000
Business experience:	Director of Telmex; Chief Executive Officer of Compañía Hulera Euzkadi

CARLOS JOSÉ GARCÍA MORENO ELIZONDO	
Chief Executive Officer	
Appointed:	2001
Business experience:	General Director of Public Credit at the Ministry of Finance and Public Credit; Managing Director of UBS Warburg; Associate Director of Financing at Petróleos Mexicanos (Pemex); Member of Telekom Austria's Supervisory Board; Member of KPN Supervisory Board

ALEJANDRO CANTÚ JIMÉNEZ	
General Counsel	
Appointed:	2001
Business experience:	Member of Telekom Austria's Supervisory Board

OSCAR VON HAUSKE SOLÍS	
Chief Fixed-line Operations Officer	
Appointed:	2010
Business experience:	Chief Executive Officer of Telmex Internacional; Chief Systems and Telecommunications Officer of Telmex; Head of Finance at Grupo Condomex; Director of Telmex, Telmex Internacional, Empresa Brasileira de Telecomunicações S.A. ("Embratel"), and Net Serviços de Comunicação S.A. ("Net Serviços"); Member of Telekom Austria's Supervisory Board

RAFAEL COUTTOLENC URREA	
Chief Wireless Operations Officer	
Appointed:	2021
Business experience:	Various positions in América Móvil

AUDIT COMMITTEE FINANCIAL EXPERT

Our Board of Directors has determined that Ernesto Vega Velasco qualifies as an "audit committee financial expert," and Mr. Vega Velasco is independent under the definition of independence applicable to us under the rules of the NYSE.

COMPENSATION OF DIRECTORS AND SENIOR MANAGEMENT

The aggregate compensation paid to our directors (including compensation paid to members of our Audit and Corporate Practices Committee) and senior management in 2022 was approximately Ps.5.9 million and Ps.87.5 million, respectively. None of our directors is a party to any contract with us or any of our subsidiaries that provides for benefits upon termination of employment. We do not provide pension, retirement or similar benefits to our directors in their capacity as directors. Our executive officers are eligible for retirement and severance benefits required by Mexican law on the same terms as all other employees, and we do not separately set aside, accrue or determine the amount of our costs that is attributable to executive officers because they are included in the overall accrual for all employees subject to such benefits.

SHARE OWNERSHIP OF DIRECTORS AND SENIOR MANAGEMENT

As of December 31, 2022, prior to the Reclassification, Carlos Slim Domit, Chairman of our Board of Directors, held 647 million (or 3.1%) of our AA Shares and 1,679 million (or 4.0%) of our L Shares directly. Patrick Slim Domit, Cochairman of our Board of Directors, held 323 million (or 1.6%) of our AA Shares and 919 million (or 2.2%) of our L Shares directly.

As of March 31, 2023, after giving effect to the Reclassification, Carlos Slim Domit, Chairman of our Board of Directors, holds 2,326 million (or 3.7%) of our B Shares directly. Patrick Slim Domit, Cochairman of our Board of Directors, holds 1,243 million (or 2.0%) of our B Shares directly.

In addition, according to beneficial ownership reports filed with the SEC, Patrick Slim Domit and Carlos Slim Domit are beneficiaries of a trust that owns shares of the Company. See "Major Shareholders" under Part IV of this annual report. Except as described above, according to the information provided to us by our directors and members of senior management, none of our directors or executive officers is the beneficial owner of more than 1.0% of any class of our capital stock.

CORPORATE GOVERNANCE

Our corporate governance practices are governed by our bylaws, the Mexican Securities Market Law and the regulations issued by the CNBV. We also comply with the Mexican Code of Best Corporate Practices (*Código de Mejores Prácticas Corporativas*). On an annual basis, we file a report with the Mexican Stock Exchange regarding our compliance with the Mexican Code of Best Corporate Practices.

The table below discloses the significant differences between our corporate governance practices and those required for U.S. companies under the NYSE listing standards.

NYSE STANDARDS	OUR CORPORATE GOVERNANCE PRACTICES
DIRECTOR INDEPENDENCE	
Majority of board of directors must be independent. §303A.01. “Controlled companies” are exempt from this requirement. A controlled company is one in which more than 50.0% of the voting power is held by an individual, group or another company, rather than the public. §303A.00. As a controlled company, we would be exempt from this requirement if we were a U.S. issuer.	Pursuant to the Mexican Securities Market Law, our shareholders are required to elect a board of directors of no more than 21 members, 25% of whom must be independent. Certain persons are per se non-independent, including insiders, control persons, major suppliers and any relatives of such persons. Under the Mexican Securities Market Law, our shareholders’ meeting is required to make a determination as to the independence of our directors, though such determination may be challenged by the CNBV. There is no exemption from the independence requirement for controlled companies. Currently, a majority of our Board of Directors is independent.
EXECUTIVE SESSIONS	
Non-management directors must meet at regularly scheduled executive sessions without management. Independent directors should meet alone in an executive session at least once a year. §303A.03.	Our non-management directors have not held executive sessions without management in the past, and they are not required to do so.
NOMINATING/CORPORATE GOVERNANCE COMMITTEE	
Nominating/corporate governance committee composed entirely of independent directors is required. The committee must have a charter specifying the purpose, duties and evaluation procedures of the committee. §303A.04. “Controlled companies” are exempt from these requirements. §303A.00. As a controlled company, we would be exempt from this requirement if we were a U.S. issuer.	Mexican law requires us to have one or more committees that oversee certain corporate practices, including the appointment of directors and executives. Under the Mexican Securities Market Law, committees overseeing certain corporate practices must be composed of independent directors. However, in the case of controlled companies, such as ours, only a majority of the committee members must be independent. Currently, we do not have a nominating committee, and we are not required to have one. Our Audit and Corporate Practices Committee, which is composed of independent directors, oversees our corporate practices, including the compensation and appointment of directors and executives.
COMPENSATION COMMITTEE	
Compensation committee composed entirely of independent directors is required, which must evaluate and approve executive officer compensation. The committee must have a charter specifying the purpose, duties and evaluation procedures of the committee. §303A.02(a)(ii) and §303A.05. “Controlled companies” are exempt from this requirement. §303A.00.	We currently do not have a compensation committee, and we are not required to have one. Our Audit and Corporate Practices Committee, which is comprised solely of independent directors, evaluates and approves the compensation of management (including our CEO) and directors.
AUDIT COMMITTEE	
Audit committee satisfying the independence and other requirements of Rule 10A-3 under the Exchange Act and the additional requirements under the NYSE standards is required. §§303A.06 and 303A.07.	We have an Audit and Corporate Practices Committee of three members. Each member of the Audit and Corporate Practices Committee is independent, as independence is defined under the Mexican Securities Market Law, and also meets the independence requirements of Rule 10A-3 under the U.S. Securities Exchange Act of 1934, as amended. Our Audit and Corporate Practices Committee operates primarily pursuant to (1) a written charter adopted by our Board of Directors, which assigns to the Committee responsibility over those matters required by Rule 10A-3, (2) our bylaws and (3) Mexican law. For a more detailed description of the duties of our Audit and Corporate Practices Committee, see “Management” under Part V of this annual report.

NYSE STANDARDS	OUR CORPORATE GOVERNANCE PRACTICES
EQUITY COMPENSATION PLANS	
Equity compensation plans and all material revisions thereto require shareholder approval, subject to limited exemptions. §§303A.08 and 312.03.	Shareholder approval is required under Mexican law for the adoption or amendment of an equity compensation plan. Such plans must provide for similar treatment of executives in comparable positions.
SHAREHOLDER APPROVAL FOR ISSUANCE OF SECURITIES	
Issuances of securities (1) that will result in a change of control of the issuer, (2) that are to a related party or someone closely related to a related party, (3) that have voting power equal to at least 20.0% of the outstanding common stock voting power before such issuance or (4) that will increase the number of shares of common stock by at least 20.0% of the number of outstanding shares before such issuance requires shareholder approval. §§312.03(b)-(d).	Mexican law requires us to obtain shareholder approval for any issuance of equity securities. Under certain circumstances, however, we may sell treasury stock subject to the approval of our Board of Directors.
CODE OF BUSINESS CONDUCT AND ETHICS	
Corporate governance guidelines and a code of business conduct and ethics are required, with disclosure of any waiver for directors or executive officers. The code must contain compliance standards and procedures that will facilitate the effective operation of the code. §303A.10.	We have adopted a code of ethics, which applies to all of our directors and executive officers and other personnel. For more information, see “Corporate Governance—Code of Ethics” under Part V of this annual report.
CONFLICTS OF INTEREST	
A company’s audit committee or another independent body of the board of directors shall conduct a reasonable prior review and oversight of related party transactions required by Item 7.B of Form 20-F for potential conflicts of interest and will prohibit such transaction if it determines it to be inconsistent with the interests of the company and its shareholders. §314.00. Certain issuances of common stock to a related party require shareholder approval. §312.03(b).	In accordance with Mexican law, an independent audit committee must provide an opinion to the board of directors regarding any transaction with a related party, which must be approved by the board of directors. Pursuant to Mexican Law, non-material related party transactions, or transactions with certain related parties within the ordinary course of business or on arms-length basis, do not require specific board approval, if consistent with guidelines approved by the Board of Directors.
SOLICITATION OF PROXIES	
Solicitation of proxies and provision of proxy materials is required for all meetings of shareholders. Copies of such proxy solicitations are to be provided to NYSE. §§402.01 and 402.04.	We are not required to solicit proxies from our shareholders. In accordance with Mexican law and our bylaws, we inform shareholders of all meetings by public notice, which states the requirements for admission to the meeting and we make materials available to be discussed at each shareholders’ meeting. Under the deposit agreement relating to our ADSs, holders of our ADSs receive notices of shareholders’ meetings and, where applicable, instructions on how to instruct the depositary to vote at the meeting. Under the deposit agreement relating to our ADS, we may direct the voting of any ADS as to which no voting instructions are received by the depositary, except with respect to any matter where substantial opposition exists or that materially and adversely affects the rights of holders.

CONTROLS AND PROCEDURES

A) DISCLOSURE CONTROLS AND PROCEDURES

We carried out an evaluation under the supervision and with the participation of our management, including our Chief Executive Officer and Chief Financial Officer, of the effectiveness of our disclosure controls and procedures as of December 31, 2022. Disclosure controls and procedures are controls and other procedures that are designed to provide reasonable assurance that information required to be disclosed by us in the reports that we file or submit under the Securities Exchange Act of 1934, as amended, is recorded, processed, summarized and reported within the time period specified in the applicable rules and forms, and that it is accumulated and communicated to our management, including our Chief Executive Officer and Chief Financial Officer, as appropriate, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS as issued by the International Accounting Standards Board ("IASB"). Based upon that evaluation, our management has concluded that, because of the material weakness identified below related to certain ineffective information technology general controls ("ITGCs") at our Colombian subsidiary, our disclosure controls and procedures were not effective as of December 31, 2022.

In light of the material weakness discussed below, we performed additional analysis and other post-closing procedures to ensure our consolidated financial statements are prepared in accordance with generally accepted accounting principles. Accordingly, our management, including our Chief Executive Officer and Chief Financial Officer, have concluded that the consolidated financial statements included in this Form 20-F present fairly, in all material respects, our financial position, results of operations and cash flows for the periods presented in conformity with IFRS as issued by the IASB, and no adjustments are required to our financial statements as a result of such weakness.

B) MANAGEMENT'S ANNUAL REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Our management is responsible for establishing and maintaining adequate internal control over financial reporting, as defined in Rules 13a-15(f) and 15d-15(f) under the Exchange Act. Under the supervision and with the participation of our management, including our Chief Executive Officer, Chief Financial Officer and other personnel, we conducted an evaluation of the effectiveness of our internal control over financial reporting based on the framework in Internal Control—Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission (the "COSO criteria").

Our internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS as issued by the IASB. Our internal control over financial reporting includes those policies and procedures that (i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of our assets, (ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with IFRS as issued by the IASB and that our receipts and expenditures are being made only in accordance with authorizations of our management and directors and (iii) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use or disposition of our assets that could have a material effect on our financial statements.

Because of the inherent limitations in all control systems, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions or that the degree of compliance with the policies or procedures may deteriorate.

Based on our evaluation under the COSO criteria, our management concluded that our internal control over financial reporting was not effective as of December 31, 2022. Management has identified a material weakness related to certain ineffective ITGCs in our Colombian subsidiary that are relevant to the preparation of financial statements. Specifically, management did not maintain sufficient controls to (i) ensure that user access is revoked in a timely manner where necessary or appropriate, when a user no longer holds a position that requires such access; and (ii) monitor and oversee the activities of any users that access this subsidiary's information systems and applications, and maintain detailed logs and records of any such activities. As a result, application controls and manual controls dependent on information derived from such systems were also determined to be ineffective. This material weakness did not result in a material misstatement in our consolidated financial statements as of and for the year ended December 31, 2022, and, accordingly, no adjustments are required to our financial statements as a result of such weakness.

Mancera, S.C. ("Mancera"), a member practice of Ernst & Young Global Limited, an independent registered public accounting firm, issued an attestation report on our internal control over financial reporting on May 1, 2023.

C) ATTESTATION REPORT OF THE REGISTERED PUBLIC ACCOUNTING FIRM

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

The Board of Directors and Shareholders of América Móvil, S.A.B. de C.V.

Opinion on Internal Control Over Financial Reporting

We have audited América Móvil, S.A.B. de C.V. and subsidiaries' internal control over financial reporting as of December 31, 2022, based on criteria established in Internal Control—Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) (the COSO criteria). In our opinion, because of the effect of the material weakness described below on the achievement of the objectives of the control criteria, América Móvil, S.A.B. de C.V. and subsidiaries (the Company) has not maintained effective internal control over financial reporting as of December 31, 2022, based on the COSO criteria.

A material weakness is a deficiency, or combination of deficiencies, in internal control over financial reporting, such that there is reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis. The following material weakness has been identified and included in management's assessment. Management has identified a material weakness in controls related to ineffective information technology general controls related to user access in one of the Company's foreign subsidiaries that are relevant to the preparation of financial statements. As a result, application controls and manual controls dependent on information derived from such systems were also determined to be ineffective.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated statements of financial position of the Company as of December 31, 2022 and 2021, the related consolidated statements of comprehensive income, changes in shareholders' equity and cash flows for each of three years in the period ended December 31, 2022, and the related notes. This material weakness was considered in determining the nature, timing, and extent of audit tests applied in our audit of the 2022 consolidated financial statements, and this report does not affect our report dated May 1, 2023, which expressed an unqualified opinion thereon.

Basis for Opinion

The Company's management is responsible for maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying Management's Annual Report on Internal Control over Financial Reporting. Our responsibility is to express an opinion

on the Company's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definitions and Inherent Limitations of Internal Control over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ MANCERA, S.C.

A member practice of Ernst & Young Global Limited

Mexico City, Mexico
May 1, 2023

CONTROLS AND PROCEDURES

D) REMEDIATION PLAN FOR MATERIAL WEAKNESS AND CHANGES IN INTERNAL CONTROL OVER FINANCIAL REPORTING

Management is committed to the remediation of the material weakness described above in its Colombian subsidiary, as well as the continued improvement of the Company's internal control over financial reporting. Management is implementing measures designed to ensure that control deficiencies contributing to the material weakness are remediated, such that these controls are designed, implemented, and operating effectively.

As of the date of this Annual Report, management is continuing to remediate the control deficiencies that led to the material weaknesses, including but not limited to, (i) causing user access revocations to occur in a timely manner to prevent unauthorized access; and (ii) maintaining records and logs of activities by all users and conducting periodic reviews of records and logs of activities by any users following the date on which they no longer required access.

We believe that these actions will remediate the material weakness in internal control over financial reporting described above.

Other than the remediation actions described above to address the material weakness, there has been no change in our internal control over financial reporting during 2022 that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.

CORPORATE SUSTAINABILITY REPORT

Chaired by our CEO, the Corporate Sustainability Executive Committee defines and oversees the implementation of our overall strategy to improve our performance on sustainability matters.

By incorporating sustainability in our daily decision-making, we seek to foster greater efficiencies and operate with the highest sense of social responsibility and environmental care, strengthening our market leadership while contributing to economic, social, and cultural development in the communities where we operate.

Our corporate sustainability reports are available on our website at www.americamovil.com. This URL is intended to be an inactive textual reference only. It is not intended to be an active hyperlink to our website. The information on our website, which might be accessible through a hyperlink resulting from this URL, is not incorporated into this annual report.

CODE OF ETHICS

We have developed an Integrity and Compliance Program (ICP), which has as its foundation our Code of Ethics. The ICP codifies the ethical principles that govern our business and promotes, among other things:

- honest and ethical conduct
- full, fair, accurate, timely and understandable disclosure in reports and documents that we file with, or submit to, the SEC and other authorities;
- compliance with applicable governmental laws, rules and regulations; the prompt internal reporting of violations of the Code of Ethics and the ICP; and
- adherence to the Code of Ethics.

Both the ICP and our Code of Ethics apply to all of our officers, senior management, directors, employees, the Company's supply chain and/or other business relationships.

In 2022 we updated our mission, vision and values as described in our Code of Ethics to include objective content and better reflect our economic, commercial, social and legal realities. The full text of our Code of Ethics may be found on our website at América Móvil—Corporate Governance ([americamovil.com](https://www.americamovil.com)). This URL is intended to be an inactive textual reference only. It is not intended to be an active hyperlink to our website. The information on our website, which might be accessible through a hyperlink resulting from this URL, is not incorporated into this annual report.

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PART VI REGULATION

MEXICO

Legal Framework

The legal framework for the regulation of telecommunications and broadcasting services is based on constitutional amendments passed in June 2013, the Federal Law on Telecommunications and Broadcasting (*Ley Federal de Telecomunicaciones y Radiodifusión*) as amended and the Federal Law on Economic Competition (*Ley Federal de Competencia Económica*) as amended.

Under the framework, the IFT may determine whether there is a “preponderant economic agent” in the telecommunications sector, based on number of customers, traffic or network capacity. In 2014, the IFT determined that an “economic interest group” consisting of us and our Mexican operating subsidiaries (Telcel, Telmex and Telnor) as well as Grupo Carso and Grupo Financiero Inbursa, constitutes the “preponderant economic agent” in the telecommunications sector, based on a finding that we serve more than half of the customers in Mexico, as measured by the IFT on a national basis.

The IFT has authority to impose on any preponderant economic agent a special regulatory regime. The special regime is referred to as “asymmetric” regulation because it applies to one sector participant and not to the others. Pursuant to the IFT’s determination that we are part of a group constituting a preponderant economic agent, we are subject to extensive asymmetric regulations in the telecom sector, which impacts our Mexican fixed-line and wireless businesses. See “—Asymmetric Regulation of the Preponderant Economic Agent” and “—Creation of Red Nacional” under this Part VI. This legal framework has had a substantial impact on our business and operations in Mexico.

Principal Regulatory Authorities

The IFT is an autonomous authority that regulates telecommunications and broadcasting. It is headed by seven commissioners appointed by the President, and ratified by the Senate, from among candidates nominated by an evaluation committee. The IFT has authority over the application of legislation specific to the telecommunications and broadcasting sectors, and also over competition legislation as it applies to those sectors. The Mexican Ministry of Communications and Transportation (*Secretaría de Comunicaciones y Transportes*) retains regulatory authority over a few specific public policy matters.

The Mexican government has certain powers in its relations with concessionaires, including the right to take over the management of an operator’s networks, facilities and personnel in cases of imminent danger to national security, public order or the national economy, natural disasters and public unrest, as well as to ensure continuity of public services.

Telecommunications operators are also subject to regulation by the Federal Consumer Bureau (*Procuraduría Federal del Consumidor*) under the Federal Consumer Protection Law (*Ley Federal de Protección al Consumidor*), which regulates publicity, quality of services and information required to be provided to consumers.

Asymmetric Regulation of the Preponderant Economic Agent

We are currently subject to extensive specific asymmetric measures based on the IFT’s determination that we and certain affiliates constitute the preponderant economic agent in the telecommunications sector. Below is a summary of the most important measures applicable to us.

Interconnection Rates. The Federal Law on Telecommunications and Broadcasting provides that we are not permitted to charge other carriers for the termination services we provide in our networks. These provisions were declared unconstitutional by the Mexican Supreme Court (*Suprema Corte de Justicia de la Nación*) in August 2017 with respect to wireless services and in April 2018 with respect to fixed services. As a result, the IFT ruled that, as of January 1, 2018, in the case of Telcel, and as of January 1, 2019, in the case of Telmex, we are able to charge other carriers for terminating calls to our networks at asymmetric rates established by the IFT. We continue to pay such carriers for their interconnection services in accordance with the fixed and mobile rates set by the IFT.

Sharing Of Wireless Infrastructure and Services. We must provide other carriers access to (i) passive infrastructure, including towers, sites, ducts and rights of way, (ii) elements of our network that allow other carriers and mobile virtual network operators (“MVNOs”) to use our network or resell those services we provide to our customers and (iii) domestic roaming services; in each case, pursuant to IFT pre-approved reference terms (*ofertas públicas de referencia*). If we cannot reach an agreement with other carriers or MVNOs, our rates may be determined by the IFT using a long-run average incremental costs methodology or, in the case of MVNOs, a “retail-minus” methodology.

For mobile services, the IFT has the right to verify, through a replicability test, that carriers using our regulated wholesale services can match our end user rates.

Sharing of Fixed Infrastructure and Services. We must provide other carriers access to (i) passive infrastructure, including towers, sites, telephone poles, ducts, manholes and rights of way, (ii) elements of our network that allow other carriers to use our network or resell those services we provide to our customers and (iii) our dedicated links (either local or long distance). Rates for this access are determined by the IFT using a long-run average incremental cost methodology.

For fixed services, the IFT has the right to verify, through a replicability test, that carriers using our regulated wholesale services can match our end user rates.

Local Loop Unbundling. We must offer other carriers access to elements of our local loop network separately on terms and conditions (including rates) pre-approved by the IFT. The IFT has also ordered the legal and functional separation of the provision of wholesale regulated fixed services related to local loop unbundling, local dedicated links and shared access/use of passive infrastructure related with the local loop network. See “— Creation of Red Nacional” under this Part VI.

Certain Obligations Relating to Retail Services. Rates for the provision of telecommunications services to our customers are subject to the IFT’s prior authorization.

We are also subject to certain obligations and restrictions relating to the sale of our services and products; one such obligation includes unlocking mobile devices for our customers and regulations on the sale and financing of mobile devices.

Content. We are subject to specific limitations on acquisitions of exclusive transmission rights to “relevant” content (*contenidos audiovisuales relevantes*), as determined from time to time by the IFT, including the Mexican national team soccer matches, the opening and closing ceremonies and certain matches of the FIFA World Cup, the semifinal and final matches of the Liga MX soccer tournament and the Super Bowl.

Reference Terms. Every year we must submit, for IFT’s approval, a proposal of the reference terms for all wholesale services that are subject to asymmetric regulation for the following year. Once approved, we must publish and offer the regulated wholesale services, in the terms approved by IFT.

IFT’s Biannual Review of Asymmetric Regulation

The IFT’s biannual review began in December 2022 and is expected to conclude in March 2024. The measures are transitory and may be amended by the IFT, or terminated if the IFT determines effective competition conditions exist in the telecommunications sector or if we cease to be considered a preponderant economic agent. The IFT reviews the impact of the asymmetrical measures every two years and may modify or eliminate measures or set forth new measures. The IFT reviewed the measures in 2020 and determined, among other things, to modify and add new asymmetrical regulations for mobile and fixed services.

Creation of Red Nacional

In 2018, in response to an IFT resolution, we began to separate out the provision of wholesale regulated fixed services by Telmex and Telnor (the “Separation Plan”). Pursuant to the Separation Plan, Telmex and Telnor established new subsidiaries, Red Nacional Última Milla, S.A.P.I. de C.V. and Red Última Milla Del Noroeste, S.A.P.I. de C.V. (jointly, “Red Nacional”), to provide local wholesale

services related to the elements of the access network, including local access dedicated links, as well as those services related to passive infrastructure associated with the access network, such as ducts, poles and rights of way.

The prices and terms of the services provided by Red Nacional are subject to IFT regulation, which could affect the viability and financial requirements of Red Nacional. The practices of Red Nacional may be subject to regulatory challenges by other market participants. In December 2022, Red Nacional received a resolution issued by IFT lifting price regulation on access to certain local loop access services (*servicios de desagregación indirecta del bucle local*) in 83 municipalities.

The implementation of the Separation Plan has been complex, and some features remain uncertain and may require further development. As a result, we are not yet able to identify all the possible consequences, but some of the consequences could have a material adverse impact on us.

We have challenged the resolution in the Mexican courts. However, legal challenges will not suspend the implementation of the Separation Plan and final determinations are pending.

Substantial Market Power Investigations

When IFT was established, it succeeded to several major proceedings begun by predecessor agencies. These legacy proceedings have never been finally resolved, but the substance of the investigations and the potential relief have been largely superseded by the asymmetric regulation and other subsequent actions of IFT.

Our competitors have submitted multiple requests to IFT alleging anti-competitive practices or non-compliance with regulations on the part of the separate subsidiaries we established to provide wholesale services under the Separation Plan. We expect IFT to investigate these allegations, and it is possible that some of them could lead IFT to make findings adverse to us or to impose fines or other penalties.

Concessions

Under the current legal framework, a carrier of public telecommunications networks, such as Telcel or Telmex, must operate under a concession. The IFT is an autonomous federal agency that grants new or extends existing concessions, which may only be granted to a Mexican citizen or corporation that has agreed to the concession terms and may not be transferred or assigned without the approval of the IFT. There are three types of concessions:

NETWORK CONCESSIONS. Telcel, Telmex and its subsidiary Telnor hold network concessions, granted under the previous regulatory framework, to provide specified types of services. Their ability to migrate to the new regime of unified concessions and, consequently, to provide any and all telecommunications and broadcasting services, is subject to conditions, as described under “Migration of Concessions and Additional Services” below.

SPECTRUM CONCESSIONS. Telcel holds multiple concessions, granted under both the previous and current regulatory frameworks, to provide wireless services that utilize frequencies of radio-electric spectrum. These concessions have terms of 15 to 20 years and may be extended for an additional term of equal length.

UNIFIED CONCESSION. Red Nacional holds a unified concession granted to provide only wholesale telecommunications services. These concessions were issued in March 2020 and have a term of 30 years and may be extended for an additional term of equal length.

Termination of Concessions

Mexican legislation provides that under certain circumstances, some assets of a concessionaire may be acquired by the federal government upon termination of these concessions.

There is no specific guidance or precedent for applying these provisions, so the scope of assets covered, the compensation to the concessionaire and the procedures to be followed would depend on the type of concession, the type of assets and the interpretation of applicable legislation by the competent authorities at the time.

Migration of Concessions and Additional Services

The new legislative framework established the unified concession (*concesión única*), which allows the holder to provide all types of telecommunications and broadcasting services, and a regime under which an existing concession can be migrated to the new unified concession at the end of its term or upon request by the concession holder. A unified concession has a term of up to 30 years, extendable for up to an equal term. Also, under this new framework a current concession may be modified to add services not previously contemplated therein.

However, as a result of our preponderant economic agent status, Telcel, Telmex and Telnor are subject to additional conditions for the migration to a unified concession or the addition of a service, such as Pay TV, to a current concession, including in certain cases (i) payment of any new concession fee to be determined by the IFT, (ii) compliance with current requirements under the network concession, the 2013 constitutional amendments, the 2014 legislation and any additional measures imposed by the IFT on the preponderant economic agent and (iii) such other requirements, terms and conditions as the IFT may establish in the concession itself. We expect the process of migration or additional services to be lengthy and complex. Consequently, Telcel, Telmex and Telnor may not be able to provide certain additional services, such as Pay TV and broadcasting, in the near term.

Telcel's Concessions

Telcel operates under several different network and spectrum concessions covering particular frequencies and regions, holding an average of 289.26 MHz of capacity in Mexico's nine regions in the 850 MHz, 1900 MHz, 1.7/2.1 GHz, 2.5 GHz and 3.5 GHz bands. The following table summarizes Telcel's concessions.

FREQUENCY	COVERAGE AREA	INITIAL DATE	TERMINATION DATE
Band A (1900 MHz)	Nationwide	Sep. 1999	Oct. 2039
Band D (1900 MHz)	Nationwide	Oct. 1998	Oct. 2038
Band B (850 MHz)	Regions 1, 2, 3	Aug. 2011	Aug. 2026
Band B (850 MHz)	Regions 4, 5	Aug. 2010	Aug. 2040
Band B (850 MHz)	Regions 6, 7, 8	Oct. 2011	Oct. 2026
Band B (850 MHz)	Region 9	Oct. 2015	Oct. 2030
Bands A and B (1.7/2.1 GHz)	Nationwide	Oct. 2010	Oct. 2030
Bands H, I and J (1.7/2.1 GHz)	Nationwide	May 2016	Oct. 2030
Band 7 (2.5 GHz)	98.94% of the population ⁽¹⁾	Jul. 2017	Sep. 2020 ⁽²⁾ – Nov. 2028 – Oct. 2040 – May 2041, Nov. 2041
Band 3.5 GHz ⁽³⁾	Nationwide	Oct. 2020 ⁽⁴⁾	Oct. 2038 and 2040
Band F (1900 MHz)	Nationwide	Apr. 2025	Apr. 2045

⁽¹⁾ Except 7 municipalities in the state of Jalisco and 34 municipalities in the state of Zacatecas.

⁽²⁾ A request for extension has already been filed with the IFT.

⁽³⁾ On February 15, 2022, Telcel received mobile service authorization for these concessions.

⁽⁴⁾ The term of this concession is currently in force and was extended by IFT in favor of Telmex until 2040 and afterwards it was assigned by Telmex to Telcel as of March 11, 2020. Concessions acquired from Axtel were extended by the IFT until 2038.

Concession Fees

All of Telcel's concessions granted or renewed on or after January 1, 2003 are required to pay annual fees for the use and exploitation of radio spectrum bands. The amounts payable are set forth by the annual Federal Fees Law (*Ley Federal de Derechos*) and vary depending on the relevant region and radio spectrum band.

Telmex's Concessions

Telmex's concession was granted in 1976 and is currently set to expire in 2026. In December 2016, the IFT granted Telmex a 30-year extension of this concession, which will become effective in 2026 and will be valid until 2056. The new terms of this concession will be issued in early 2023.

Telmex's subsidiary, Telnor, holds a separate concession, which covers one state and two municipalities in northwestern Mexico and will expire in 2026. The IFT also granted Telnor a 30-year extension of its concession, which will be effective in 2026 and will be valid until 2056. The material terms of Telnor's concession are similar to those of Telmex's concession.

In addition, Telmex currently holds concessions for the use of frequencies to provide point-to-point and point-to-multipoint transmission in 10.5, 15 and 23 GHz bands.

In 2018, Telmex was notified of a resolution issued by the IFT, through which the IFT imposed a fine of Ps.2.5 billion derived from an alleged breach in 2013 and 2014 of certain minimum quality of service goals for dedicated link services. Telmex has exercised all legal remedies challenging such resolution and a final resolution is pending.

Rates for Wireless Service

Wireless services concessionaires are generally free to establish the prices they charge customers for telecommunications services. Wireless rates are not subject to a price cap or any other form of price regulation. The interconnection rates concessionaires charge other operators are also generally established by agreement between the parties and, if the parties cannot agree, may be imposed by the IFT, subject to certain guidelines, cost models and criteria. The IFT publishes at the end of the year the rates they would impose in the event of a dispute, eliminating all incentives for a negotiation among the parties. The establishment of interconnection rates has resulted, and may in the future result, in disputes between carriers and with the IFT.

As a result of the preponderance determination, Telcel's retail prices are subject to pre-approval by the IFT before they can take effect.

The IFT is also authorized to impose specific rate requirements on any carrier that is determined by the IFT to have substantial market power under the Federal Antitrust Law (*Ley Federal de Competencia Económica*) and the 2014 legislation. For more information on litigation related to the Federal Antitrust Law and the 2014 legislation, see “—Substantial Market Power Investigations” under this Part VI.

Rates for Fixed Service

Telmex's concessions subject its rates for basic retail telephone services in any period, including installation, monthly rent, measured local-service and long-distance service, to a ceiling on the price of a “basket” of such services, weighted to reflect the volume of each service provided by Telmex during the preceding period. Telmex is required to file a survey with the IFT every four years with its projections of units of operation for basic services, costs and prices. Telmex is free to determine the structure of its own rates, with the exception of domestic long-distance rates, which were eliminated in 2015, and of the residential fixed-line rates, which have a cap based on the long-run average incremental cost. As a result of the preponderance determination, Telmex's retail prices are subject to pre-approval by the IFT before they can take effect.

The price ceiling varies directly with the Mexican National Consumer Price Index (*Índice Nacional de Precios al Consumidor*), allowing Telmex to raise nominal rates to keep pace with inflation (minus a productivity factor set for the telecommunications industry), subject to consultation with the IFT. Telmex has not raised its nominal rates for many years. Under Telmex's concession, the price ceiling is also adjusted downward periodically to pass on the benefits of Telmex's increased productivity to its customers. The IFT sets a periodic adjustment for every four-year period to permit Telmex to maintain an internal rate of return equal to its weighted average cost of capital.

In addition, basic retail telephone services, as well as broadband services and “calling party pays” charges, are subject to a separate price ceiling structure based on productivity indicators. In each case, Telmex is required to submit a survey on productivity indicators to the IFT every two years, including a total factor productivity. The IFT establishes the productivity factor that will apply over the next two years, and, based on this, the IFT will approve the customer prices before they can take effect.

Prices for Telmex's wholesale services are established by the IFT based on the long-run average incremental cost model methodology.

BRAZIL

Legal Framework and Principal Regulatory Authorities

The Brazilian Telecommunications Law (*Lei Geral das Telecomunicações Brasileiras*) provides the framework for telecommunications regulation. The primary telecommunications regulator in Brazil is the Telecommunications Agency (*Agência Nacional de Telecomunicações*, or “Anatel”), which has the authority to grant concessions and licenses in connection with telecommunications services and the use of orbits, except broadcasting, and to adopt regulations that are legally binding on telecommunications services providers.

The Brazilian Congress has approved an updated legislation to modernize the current concession-based model to an authorization-based model. The updated law brings the possibility of allowing fixed-line concessionaires, such as Claro Brasil, to provide services under an authorization rather than a concession, as long as certain investment-related obligations are met. Under the new legislation, it is possible to extend the current concessions, as well as radio frequency licenses and orbital positions, for more than one period. The legislation also permits the possibility of a secondary market for trading cellphone frequencies. The legislation will be implemented by regulations promulgated by Anatel. We are currently evaluating the potential impact of this legislation on our operations.

Licenses

In 2014, we simplified our corporate structure, and our subsidiaries Embratel, Embratel Participações S.A. (“Embrapar”) and Net Serviços were merged into Claro Brasil, with all licenses previously granted to our subsidiaries transferred to Claro Brasil.

In 2018, subsidiary Star One merged into Claro Brasil. As a result, all Brazilian satellite operation rights previously granted to Star One were transferred under the same terms and conditions to Claro Brasil. The satellite operation rights (AMC-12) covering regions outside of Brazil were relinquished by Star One before the merger. In 2020, the satellite operation rights were transferred to Embratel Tysat Telecomunicações S.A. (“Claro TV”), after approval by Anatel.

On December 18, 2019, we announced the acquisition of 100% of the shares of Nextel Brazil (currently known as Claro NXT Telecomunicações S.A.) and Sunbird Telecomunicações Ltda. (“Sunbird”), as well as its correspondent subsidiaries and parent companies in Brazil. Nextel Brazil had authorizations to provide personal mobile services, specialized mobile services, multimedia communication services, paid fixed telephony services (national and international long-distance) and radiofrequency services in Brazil that were granted by Anatel. Sunbird had authorizations to provide specialized mobile services and radiofrequency services. Derived from our acquisition of Nextel Brazil and Sunbird, Anatel provided us with: (i) a term of 18 months to consolidate and cancel the overlapped authorizations granted in favor of Nextel Brazil and Sunbird; and (ii) a term of 2 months to adjust the radiofrequency thresholds. In 2020, the authorizations and radiofrequencies granted in favor of Nextel Brazil and Sunbird for specialized mobile services were waived. Also in 2020, Nextel’s PS licenses were transferred to Claro Brasil. Moreover, to comply with the obligation mentioned on item “(i)” above, on February 5, 2021, all of Nextel Brazil’s mobile services assets and licenses were transferred to Claro Brasil by means of a corporate restructuring.

In 2019, the subsidiary Primesys was merged into Claro Brasil. As a result, service authorizations granted to Primesys were transferred under the same terms and conditions to Claro Brasil.

Our Brazilian subsidiaries hold licenses for the telecommunications services listed below and expect to continue acquiring spectrum if Anatel conducts additional public auctions, although Claro Brasil, like all of its peer competitors, is subject to a cap on the additional spectrum it may acquire per frequency band.

SUBSIDIARY	LICENSE	TERMINATION DATE
Claro Brasil	Fixed Local Voice Services	Indefinite
	Domestic and International Long-Distance	2025
	Voice Services	Indefinite
	Personal Communication Services	Indefinite
	Data Services	Indefinite
	Mobile Maritime Services	Indefinite
	Global Mobile Satellite Services	Indefinite
Claro TV	DTH TV Services	Indefinite
	Data Services	Indefinite
Americel S.A.	Data Services	Indefinite
Telmex do Brasil	Data Services	Indefinite
Claro NXT	Data Services	Indefinite
	Cable TV Services	Indefinite

In addition, Claro TV has various orbital position authorizations for our satellite operations, which are set to expire between 2022 and 2033. These grants were transferred from Claro Brasil to Claro TV in 2020, subsequent to Anatel’s approval. Requests for extensions for 15 more years have been requested from Anatel. Claro Brasil also has radio frequency licenses to provide PCS, which are set to expire between 2023 and 2041.

Nextel Brazil had radio frequency licenses to provide PCS, which were transferred to Claro Brasil on February 2021 and will expire between 2026 and 2031.

On June 30, 2021, all of Claro Brasil’s cable TV (SeAC) assets and its license were transferred to Nextel Brazil by means of a corporate restructuring.

On November 4 and 5 of 2021, during a 5G auction, Claro Brasil won 100 MHz of the 3.5 GHz frequency band. This band has national reach and is committed to taking 5G to municipalities with more than 30,000 inhabitants. In the same auction, the company also won the 2.3 GHz frequencies in the North, South, Midwest, São Paulo and Triângulo Mineiro regions and two blocks of 200 MHz National frequencies of 26 GHz. These licenses are valid until 2041 and are renewable.

Brasília became the first city in Brazil to offer 5G connectivity in the 3.5 GHz band in July 2022. In 2022, Brazil’s 26 state capitals were approved for standalone 5G connectivity in 3.5 GHz.

Concessions

Claro Brasil holds two fixed-line concessions to provide domestic and international long-distance telephone services. The remaining telecommunications services provided by Claro Brasil are governed by a system of licenses instead of concession arrangements.

Concession Fees

Claro Brasil is required to pay a biennial fee after the first 15 year term of its PCS authorizations equal to 2.0% of net revenues from wireless services, except for the final year of the 15 year term of its PCS authorizations, in which the fee equals 1.0% of net revenues from wireless services.

Claro Brasil is also required to pay a biennial fee during the term of its domestic and international long-distance concessions equal to 2.0% of the revenues from long-distance telephone services, net of taxes and social contributions, for the year preceding the payment.

Termination of Concessions

Our domestic and international long-distance fixed-line concessions provide that certain of our assets deemed “indispensable” for the provision of these services will revert to the Brazilian state upon termination of these concessions. Compensation for those assets would be their depreciated cost. See Note 17 to our audited consolidated financial statements included in this annual report.

Regulation of Rates

Anatel regulates rates (tariffs and prices) for all telecommunications services, except for fixed-line broadband services, Pay TV and satellite capacity rates, which are not regulated. In general, PCS license holders and fixed local voice services license-holders are authorized to increase basic plan rates annually. Claro Brasil may set domestic long-distance and international long-distance and mobile rates freely, provided that it gives Anatel and the public advance notice.

Regulation of Wholesale Market Competition

In November 2012, Anatel approved the General Competition Plan (*Plano Geral de Metas da Competição*, or “PGMC”), a comprehensive regulatory framework aimed at increasing competition in the telecommunications sector. The PGMC imposes asymmetric measures upon economic groups determined by Anatel to have significant market power in any of the five (5) wholesale markets in the telecommunications sector, on the basis of several criteria, including having over 20.0% of market share in the applicable market.

In 2012, Claro Brasil and three of its primary competitors were determined to have significant market power in the mobile wireless termination and national roaming markets. As a result, Claro Brasil was required to reduce mobile termination rates to 75.0% of the 2013 rates by February 2014, and to 50.0% of the 2013 rates by February 2015. In July 2014, Anatel established termination rates for mobile services applicable to operators with significant market power through 2019, based on a cost model, and in December 2018, Anatel established termination rates for mobile services applicable to operators with significant market power from 2020 to 2023. These termination rates were revised by Anatel in February 2020. Claro Brasil is also required to publish its reference roaming prices for voice, data and SMS on an annual basis, among other measures. These prices must be related to the Anatel reference values and need to be approved by Anatel before they can take effect. The approval of new prices by Anatel took place in January 2021.

In 2018, Anatel approved Claro Brasil’s most recent wholesale reference offers with respect to national roaming, telecommunications duct infrastructure, long-distance leased lines, high capacity transport above 34 Mbps, wireless networks interconnection, fixed network interconnection, internet network interconnection and internet links, which are reviewed and approved by Anatel on an annual basis. Anatel also reviews its determination of which operators have significant market power on a quadrennial basis. Anatel began its first review of all telecom operators in 2014 and published the most recent list of operators with significant market power for each of the relevant markets in 2018. In addition to the review, in 2018 Anatel changed some of the asymmetric measures applicable under the PGMC and added two new wholesale markets covering high capacity transport and fixed network interconnection. Anatel has determined that Claro Brasil has significant market power in eight wholesale markets.

Network Usage Fees and Fixed-Line Interconnection Rates

In July 2014, Anatel approved a resolution establishing the reference terms for fees charged by operators in connection with the use of their mobile network and leased lines and set a price cap on fees charged for fixed network usage by operators deemed to have significant market power. Such fees, based on costs of allocation services (*coubicación*), have been applicable since February 2016.

In December 2018, Anatel published reference values for fees network that are applicable from 2020 to 2023.

Fixed-line operators determined by Anatel to have significant market power in the local fixed-line market may freely negotiate interconnection rates, subject to a price cap established by Anatel.

Other Obligations

Under applicable law and our concessions, Claro Brasil has an obligation to (i) comply with certain coverage obligations to ensure universal access to its fixed-line voice services, (ii) contribute to the funding of the country’s transition from analogue to digital TV (due to the acquisition of the 700 MHz frequency), (iii) meet quality-of-service targets and (iv) comply with applicable telecommunications services consumer rights.

In addition to the associated coverage obligations for the 3.5 GHz band, the winners created an entity (EAF) to clear the spectrum (migration of the parabolic TV signal), build a private communication network for the federal government of Brazil and install an optic fiber network in the North of Brazil. There are no coverage obligations for the 26 GHz band, but the winners created an entity (EACE) which will be responsible for meeting public schools’ connection needs as defined by Anatel, the Ministry of Communications and the Ministry of Education.

CADE Anti-Competition Proceeding

On March 9 2021, the General Superintendence at the Administrative Council for Economic Defense (“CADE”) issued a non-binding opinion recommending fines against Claro Brasil, Oi Móvel S.A. (“Oi”) and Telefônica Brasil S.A. (“Telefônica”, together with Claro Brasil and Oi, the “Defendants”). The potential fines relate to a complaint filed by British Telecom do Brasil (“BT”) against the Defendants alleging, among other things, that, in connection with the formation of a consortia among them to participate in a public bid (*Rede Correios Consortium*), the Defendants (i) colluded to prevent competition between the leading players in the broadband internet services market in Brazil, which caused anti-competitive effects in the telecommunications sector and (ii) made it difficult for BT to participate in the bid through price discrimination tactics and by refusing to supply communication circuits (specifically, MPLS links) that were required for BT to participate in the bid. On May 11, 2022, CADE’s tribunal ruled the Defendants must pay the following fines: Claro Brasil (BRL395 million), Oi Móvel S.A. (BRL266 million) and Telefônica

Brasil S.A. (BRL121.7 million). Since CADE's Tribunal final ruling was not unanimous, Claro Brasil, Telefônica and Oi filed a motion for clarification (*embargos de declaração*) to clarify certain aspects of the reporting decision. The decision of the motion for clarifications is pending and the outcome of the final hearing may impact the amount of the fine applied. Claro Brasil will dispute the final fine applied in judicial court.

COLOMBIA

Legal Framework and Principal Regulatory Authorities

The Information and Communications Ministry (*Ministerio de Tecnologías de la Información y las Comunicaciones*, or "ICT Ministry") and the Communications Regulatory Commission (*Comisión de Regulación de Comunicaciones*, or "CRC") are responsible for overseeing and regulating the telecommunications sector. The main audiovisual regulatory authorities in Colombia with respect to Pay TV services are the CRC, the ICT Ministry and the Industry and Commerce Superintendence (*Superintendencia de Industria y Comercio*, or "SIC"). Claro is also subject to supervision by other government entities responsible for enforcing other regulations, such as antitrust rules or those protecting consumer rights.

Concessions

Comunicación Celular S.A. ("Comcel") is qualified to provide fixed and mobile services and was included in the registry of networks and services administered by the ICT Ministry. Such general authorization superseded all of Comcel's former concession contracts, and, consequently, such former concessions were terminated.

As a result of the termination of Comcel's former concessions, the ICT Ministry and Comcel began discussions with respect to the liquidation of the agreements governing those concessions. In light of the decision of the Colombian Constitutional Court (*Corte Constitucional de Colombia*) holding that certain laws limiting the reversion of assets of telecommunications providers did not apply to concessions granted prior to 1998 and, consequently, that reversion of assets under those earlier concessions would be governed by their contractual terms, the ICT Ministry obtained a domestic award ordering Comcel to revert assets under its earlier concessions to the Colombian government. Comcel challenged such award and the Company filed an international arbitration claim against Colombia arising from Colombia's measures. The international arbitration court overseeing this claim upheld the decision to grant the aforementioned domestic award.

Licenses and Permits

Comcel holds licenses to provide mobile services in the spectrum frequency bands shown in the table below.

FREQUENCY	BANDWIDTH	TERMINATION DATE
850 MHz	25 MHz	Mar. 2024
1900 MHz	10 MHz	Dec. 2039
	5 MHz	Oct. 2041
	15 MHz	Mar. 2024
	30 MHz	Aug. 2023
2.5 GHz	10 MHz	Mar. 2040
	10 MHz	Mar. 2040
	10 MHz	Mar. 2040
	10 MHz	Mar. 2040
700 MHz	20 MHz	May 2040

In 2013, Telmex Colombia S.A. obtained permission to provide Pay TV services under any available technology, pursuant to the ICT Ministry's unified licensing system. On May 31, 2019, Telmex Colombia, S.A. merged into Comcel. The permission to provide Pay TV services granted in favor of Telmex Colombia, S.A. was simultaneously transferred to Comcel without modifications in connection with the merger. On July 30, 2019, Comcel's permission to provide Pay TV was incorporated under Comcel's general power to provide Pay TV granted to it under Law 1978 of 2019.

In 2017, the ICT Ministry issued a decree approving a higher cap on spectrum acquisitions by operators in low and high frequency bands. This new cap allows Comcel to participate in future spectrum auctions. The ICT Ministry has released its plan to conduct spectrum auctions in the 700 MHz, 1900 MHz and 2.5 GHz bands. The final resolution containing the auctions' terms and conditions was published by the ICT Ministry during the fourth quarter of 2019. The auction took place on December 20, 2019. A subsidiary of Novator Partners LLP, a London-based private equity firm (the "Novator Subsidiary"), participated in the auction as a new competitor in the market. The Novator Subsidiary was granted a 20MHz license to operate in the 700MHz frequency band and three blocks of 10MHz for the 2,500MHz frequency band. Colombia Telecomunicaciones (Movistar) and Colombia Movil (Tigo) also participated in the auction. Tigo was granted a 40MHz license to operate in the 700MHz frequency band. Colombia Telecomunicaciones was not granted any licenses in the auction.

Subsequently, the Novator Subsidiary resigned and refused to exercise its rights under the license to operate one block of 10MHz for the 2,500MHz frequency band. As a consequence, on February 11, 2020, the ICT Ministry initiated an administrative proceeding to evaluate and decide on the effects caused by such resignation. Comcel was notified by the ICT Ministry and was considered an interested third party in the administrative

proceeding. The ICT Ministry imposed a sanction of 42 billion Colombian Pesos, approximately U.S. \$12.3 million against Partners as a result of the aforementioned administrative proceeding.

Asymmetric Charges

In January 2017, the Colombian government approved symmetrical access charges among established operators like Comcel, Movistar and Tigo. However, under current regulation, new market entrants continue to receive a higher interconnection rate than incumbent operators and pay lower national roaming fees, in both cases, for a limited period.

In 2017, the CRC issued a resolution updating the list of relevant telecommunication markets by adding the mobile services market (including bundled mobile voice and data services) and by also including the mobile service market in the list of relevant markets subject to ex-ante regulation. In connection with the mobile services market, on January 28, 2021, the CRC determined that COMCEL has a dominant position in the relevant mobile services market, but did not impose particular measures. COMCEL considers that the CRC did not take into account important elements in its determination, which COMCEL has challenged before the administrative courts of competent jurisdiction. This lawsuit was admitted by the administrative court, and we are waiting for the initial hearing and the probatory stage.

SOUTHERN CONE

ARGENTINA

The National Communications Agency (*Ente Nacional de Comunicaciones*, or “Enacom”) is the main telecommunications regulatory authority in Argentina and became operational in 2016.

Fixed and mobile services providers are prohibited from providing DTH technology, which is currently the fastest way to provide Pay TV services. In 2017, the Argentine government issued a decree allowing telecommunications providers, including AMX Argentina S.A. (“AMX Argentina”), to provide Pay TV services via cable within a limited number of territories as of January 2018 and to the rest of the country as of January 2019. AMX Argentina has obtained the permissions necessary to provide Pay TV services via cable in accordance with the decree.

AMX Argentina holds licenses in the 700 MHz, 900 MHz, 1700/2100 MHz (AWS), 1900 MHz and 2600 MHz frequency bands, some of which expire in 15 years and some of which have no expiration date. Each license also contains certain coverage parameters, reporting and service requirements and provides Enacom a revocation right upon a material breach of the license terms.

All telecommunications providers in Argentina must contribute approximately 1.0% of their monthly revenues to finance the provision of telecommunications services in underserved areas and to underserved persons. All providers must also meet certain quality-of-service requirements.

In 2020, the government of Argentina issued decree 690/20 by which it declared information and communications technology (ICT) services and access to telecommunications networks, for and between licensees of ICT services, as essential and strategic public services in competition. It also established that Enacom is the competent authority to approve prices for ICT services and to establish regulations to that effect.

In 2021, in accordance with the provisions of decree 690/20, Enacom established the conditions of a “compulsory universal basic benefit” (PBU), which must be provided under conditions of equality. This PBU covers pay TV, internet, fixed and mobile telephony services, and consists of basic plans for each of these services at affordable prices. It is aimed at a special segment of beneficiaries.

In December 2022, Enacom allocated the 3300 to 3600 MHz frequency band to the land mobile service with primary category for the provision of communications, both fixed and mobile, and the deployment of 5G systems. This service has been deemed “Reliable and Intelligent Telecommunications Service.” Enacom also approved the General Regulation for the Reliable and Intelligent Telecommunications Service, which will regulate the use of this technology.

PARAGUAY

The National Telecommunications Commission of Paraguay (*Comisión Nacional de Telecomunicaciones de Paraguay*) is in charge of supervising the telecommunications industry in Paraguay. It is authorized to cancel licenses in the event of specified breaches of the terms of a license.

AMX Paraguay, S.A. (“AMX Paraguay”) holds licenses to operate in the 1900 MHz and the 1700/2100 MHz bands. The 1700/2100 MHz band was renewed in August 2021. AMX Paraguay also holds a nationwide internet access and data transmission license. The license was renewed in November 2022 for another 5 years (until 2027). In addition, AMX Paraguay holds licenses to provide DTH services and cable TV services. The DTH License was renewed in March 2021 for another 5 years (until 2025). The cable TV services license was renewed in July 2021 for another 10 years (until 2031). Additionally, in January 2018, AMX Paraguay participated in a spectrum auction and was awarded a license to provide telecommunications services in the 700 MHz band. In November 2018, the Telecommunications Commission of Paraguay granted the renewal of spectrum license in the 1900 MHz band. These licenses are renewable, subject to regulatory approval, and contain coverage, reporting and service requirements.

In November 2019, the Telecommunications Commission of Paraguay granted AMX Paraguay a license to provide internet access and data transmission services in the 3,500 MHz frequency band, effective until January 12, 2024.

URUGUAY

The Regulatory Unit of Communications Services (*Unidad Reguladora de Servicios de Comunicaciones*, or “URSEC”) is in charge of the regulation of the telecommunications industry in Uruguay.

AM Wireless Uruguay, S.A. (“AM Wireless Uruguay”) holds licenses to operate in the 1900 MHz, 1700/2100 MHz and 700 MHz frequency bands that expire in 2024, 2033, 2037, 2039 and 2045. Additionally, AM Wireless Uruguay holds an authorization to do a trial for 5G in the 26, 50 GHz – 26, 85 GHz frequency band that expires on July 2021. In 2021, AM Wireless Uruguay obtained a “Class C” license, which enables it to provide internet services using fixed or wireless connections to authorized telecommunications companies. Telstar S.A. holds licenses to provide international long-distance communications and international and national data services that have no expiration date.

Regarding the license granted in 1900 MHz, on November 29, 2022, the executive branch issued Decree 377/022, which provided for the renewal of spectrum in the 1900 MHz band (specifically, sub-blocks 1895 to 1910 MHz and 1975 to 1990 MHz), which is set to expire in July 2024, for the same term and price. The renewal will expire in 2044 and is expected to cost U.S.\$18,120 million.

On the other hand, in February 2023, URSEC issued the project terms and conditions to take to auction two blocks of 100 MHz (sub-blocks 3300 to 3400 MHz and from 3700 to 3800 MHz) in the 3.5 GHz band. The auction is expected to take place in April 2023. The base price is U.S.\$28,000 million for 25 years and the auction is open to local and foreign interested parties.

The license initially granted to Flimay S.A. (“Flimay”) to provide DTH technology services in Uruguay has been contested by the government since 2012. In 2017, the executive branch of Uruguay held under a new ruling that Flimay does not have a valid license to provide DTH services in the country. Flimay requested this ruling be voided, but in February 2018, the executive branch of Uruguay, with support from the Administrative Court (“TCA”), requested the process be closed. In February 2022, TCA issued a ruling (36/2022) stating that the administrative act that revoked Flimay’s license should be annulled, and the license should be restored. On December 2022, we presented a note to URSEC requesting that they adopt the necessary operations to issue the D license to Flimay.

In July 2020, the Consideration Law (*Ley de Urgente Consideración*) No. 19,889 was enacted, and pursuant to articles 471 through 476, established a number portability regime for mobile services. In January 2021 Decree No. 26 approved the regulation of the portability system.

In November 2021, the Accountability Law (*Ley de Rendición de Cuentas*) was enacted, whereby URSEC’s antitrust practices competencies were transferred to the Antitrust Commission (*Comisión de Promoción y Defensa de la Competencia*).

Notwithstanding the foregoing, URSEC remains competent to hold hearings on and authorize mergers and acquisitions of telecommunications licenses.

ANDEAN REGION

ECUADOR

The primary regulatory authorities for our mobile and fixed-line operations are the National Telecommunications, Regulation and Control Agency (*Agencia de Regulación y Control de las Telecomunicaciones*, or “Arcotel”) and the Telecommunications and Information Society Ministry (*Ministerio de Telecomunicaciones y Sociedad de la Información*, or “Mintel”). Arcotel is responsible for the licensing and oversight of radio-electric spectrum use and telecommunications services provisions. Mintel is responsible for the promotion of equal access to telecommunications services.

The Telecommunications Law (*Ley Orgánica de Telecomunicaciones*), adopted in 2015, serves as the legal framework for telecommunications services. It established regulations for operators with significant market power based on their gross incomes as well as additional fees also based on an operator’s gross income, but that can vary depending on the size of their market share. Consorcio Ecuatoriano de Telecomunicaciones, S.A. (“Conecel”) has a significant percentage of users in the advanced wireless services market, and therefore was obliged to make fee payments on its income pursuant to the Telecommunications Law.

Conecel paid to the Ecuadorian government U.S. \$23 million, which corresponds to 3.0% of its wireless service revenues generated in the 2022. An arbitration proceeding to partially void the payment by Conecel of such fees was conducted and a decision in favor of the government was reached. Conecel has appealed this decision and, as of the date of this annual report, a decision of the Constitutional Court is pending. However, the Law for Economic Development and Sustainability after the COVID-19 Pandemic (*Ley Orgánica para el Desarrollo Económico y Sostenibilidad Fiscal tras la Pandemia COVID-19*) issued on November 29, 2021 eliminates the regulation (Article 34) of the Telecommunications Law that required Conecel to make quarterly payments on its income. This elimination became effective on January 1, 2023.

Conecel holds concessions to operate in the 850MHz, 1900 MHz and AWS bands, which include concessions for PCS that expire in August 2023. The PCS concession contains quality-of-service requirements for successful call completions, SMS delivery times, customer service, geographic coverage and other service conditions. The renewal of the PCS concession is in the process of negotiation with the Ecuadorian government.

Conecel also holds licenses to provide Pay TV Services (through DTH technology), bearer services, and internet services, expiring in 2023, 2032 and 2036, respectively. The license expiring in 2023 is in the process of renewal.

Conecel also holds a concession to offer fixed-line voice as well as a license to provide Pay TV (through HFC technology) that expires in 2032 and 2031, respectively.

On May 18, 2021 the Telecommunications Authority issued a resolution that grants Conecel a concession to provide submarine cable services for a period of 20 years.

Recalculation of Concession Fees

Arcotel initiated several proceedings to recalculate the variable portion of the concession fees payable under Conecel's concessions, which, as of the date of this annual report, is equivalent to 2.93% of Conecel's annual subscriber base revenues, for the periods from 2017 to 2019. The recalculation proceeding for 2.93% of Conecel's annual subscriber base revenues remains ongoing.

The recalculation proceedings mentioned in this section were disputed with Arcotel in arbitration. On April 17, 2020, the arbitration court issued its resolution which was favorable for Conecel. Arcotel was ordered to pay Conecel U.S.\$32.4 million plus interest for the periods between 2009 and 2015.

Nevertheless, on January 15, 2021, the Provincial Court of Justice accepted Arcotel's request to nullify the resolution issued by the arbitration court, thereby declaring it null. However, the annulment of the resolution has not ended the dispute with Arcotel. A new arbitration court must issue a new resolution in 2023. At the same time, Conecel enforced its rights by presenting an Extraordinary Action for Protection before the Constitutional Court for the violation of its rights, which is still pending resolution.

Decrease in Monthly Fees For Use of Spectrum

In December 2022, Arcotel released a new regulation aimed at decreasing the monthly fees for use of spectrum. This decrease became effective as of January 2023. According to this regulation, the monthly fees will start decreasing by up to 47% in 2023, 58% in 2024, 69% in 2025 and 79% in 2026.

PERU

The Supervisory Agency for Private Investment in Telecommunication (*Organismo Supervisor de la Inversión Privada en Telecomunicaciones*, or "OSIPTEL") is in charge of the regulation of the telecommunications industry in Peru. The Ministry of Transport and Communications (*Ministerio de Transportes y Comunicaciones*, or "MTC") grants concessions, permits and licenses. The Telecommunications Law (*Decreto Supremo N° 013-93-TCC Ley de Telecomunicaciones*), adopted in 1993, serves as the legal framework for telecommunications services.

América Móvil Perú, S.A.C. ("Claro Perú") holds nationwide concessions to provide wireless, PCS, fixed-line, local wholesale, domestic and international long-distance, Pay TV services (through DTH and HFC technologies), public telephone and value-added services (including internet access). The concessions allow Claro Perú to operate on the 450 MHz, 700 MHz, 850 MHz, 1900 MHz, 3.5 GHz and 10.5 GHz bands. As part of Claro Perú's acquisition of Olo del Perú S.A.C., TVS Wireless S.A.C. and their respective subsidiaries in 2016, Claro Perú has a resale agreement with such companies to operate in certain regions on the 2.5 GHz band.

Spectrum reframing is the process conducted by the MTC to properly order the assignment of a frequency band in order to have continuous coverage nationwide and adequate bandwidth. The MTC issued the final decision on the spectrum reframing for the 2.5 GHz band, granting 80 Mhz to TVS Wireless, S.A.C. (Lima and Callao) and Olo del Peru, S.A.C. (rest of the country).

Each of the concessions was awarded by the MTC and covers a 20-year period. The concessions contain coverage, reporting, service requirement and spectral efficiency goals. The MTC is authorized to cancel any of the concessions in the case of specified breaches of its terms.

In 2021 and 2022, our subsidiaries Olo del Peru and TVS Wireless were merged into América Móvil Perú, S.A.C. ("Claro Peru") with 2.5 GHz spectrum and all licenses previously granted to such subsidiaries transferred to Claro Peru.

EUROPE AND OTHER JURISDICTIONS

European Legal Framework and Principal Regulatory Authorities

The telecommunications regulatory framework in the EU is based on the European Electronic Communications Code (EECC) that is currently in the process of being transposed into national laws for all EU member states. Austria, Bulgaria, Croatia and Slovenia are EU member states. North Macedonia and Serbia, candidates for accession to the EU, are expected to gradually harmonize their regulatory frameworks with the EU's framework.

In each European country in which we operate, we are also subject to a domestic telecommunications regulatory framework and to oversight by one or more local regulators.

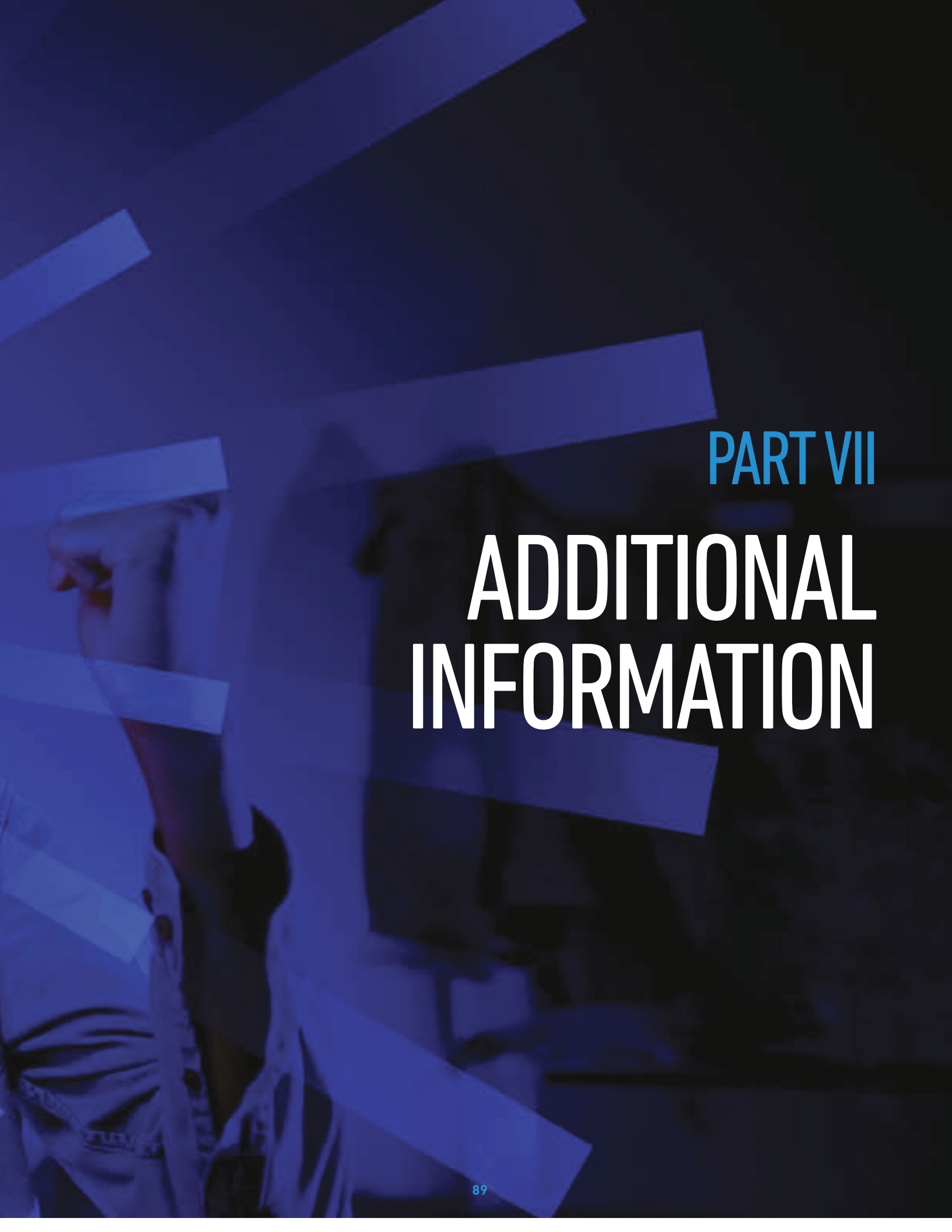
Licenses

COUNTRY	FREQUENCY	TERMINATION DATE
AUSTRIA	800 MHz	2029
	900 MHz	2034
	1500 MHz	2044
	1800 MHz	2034
	2100 MHz	2044
	2600 MHz	2026
	3500 MHz	2039
BELARUS	900 MHz	Not applicable
	1800 MHz	Not applicable
	2100 MHz	Not applicable
BULGARIA	900 MHz	2024
	1800 MHz	2024
	2100 MHz	2025
	3500 MHz	2041
CROATIA	700 MHz	2036
	800 MHz	2024
	900 MHz	2024
	1800 MHz	2024
	2100 MHz	2024
	3500 MHz	2036
	26000 MHz	2036
NORTH MACEDONIA	800 MHz	2033
	900 MHz	2023
	1800 MHz	2033
	2100 MHz	2028
SERBIA	800 MHz	2026
	900 MHz	2026
	1800 MHz	2026
	2100 MHz	2026
SLOVENIA	700 MHz	2036
	800 MHz	2029
	900 MHz	2031
	1500 MHz	2036
	1800 MHz	2031
	2100 MHz	2036
	2600 MHz	2029
	3500 MHz	2036
	26000 MHz	2029

OTHER JURISDICTIONS

COUNTRY	PRINCIPAL REGULATORY AUTHORITIES	CONCESSION AND LICENSES
COSTA RICA	Superintendency of Telecommunications (<i>Superintendencia de Telecomunicaciones</i>) Ministry of Science, Innovation, Technology and Telecommunications (<i>Ministerio de Ciencia, Innovación, Tecnología y Telecomunicaciones</i>)	• Concessions of 70 MHz in the 1800/2100 MHz bands that expire in 2026 • Concessions 30 MHz in the 1800/2100 MHz bands that expire in 2033 • License to operate Pay TV services using DTH technology that will expire in 2026
EL SALVADOR	Electricity and Telecommunications Superintendency (<i>Superintendencia General de Electricidad y Telecomunicaciones</i>)	• Concession of 50 MHz in the 1900 MHz band of which 30 MHz that expire in 2038, 10 MHz that expire in 2041 and 10 MHz that expire in 2028 • Concession to provide public telephone service that expires in 2027 • Licenses to provide Pay TV Services through HFC and DTH technologies have an indefinite term • Concession of 40 MHz in 1700/2100 MHz bands (AWS) that will expire in 2040.
GUATEMALA	Guatemalan Telecommunications Agency (<i>Superintendencia de Telecomunicaciones</i>)	• Licenses (Frequencies Usufruct Rights) to use 12 MHz in the 900 MHz band, 120 MHz in the 1900 MHz band and 175 MHz in the 3.5 GHz band that all expire in 2033 and were granted for the provision of any type of telecommunications service.
NICARAGUA	Nicaraguan Telecommunications and Mailing Institute (<i>Instituto Nicaragüense de Telecomunicaciones y Correos</i>)	• Concessions in the 700 MHz, 850 MHz, 1900 MHz and 1700/2100 MHz bands that all expire in 2042 • Concession of 50 MHz in the 3.5 GHz band that will expire in 2042 • Licenses to provide DTH technology that will expire in January 2028 and Pay TV services that has an indefinite term
HONDURAS	Honduran National Telecommunications Commission (<i>Comisión Nacional de Telecomunicaciones</i>)	• Concessions to use 80 MHz in the 1900 MHz PCS band and 40 MHz in the LTE-4G 1700/2100 MHz band that all expire in 2033 • Licenses to operate Pay TV services through (i) HFC technology that will expire in 2027 and (ii) DTH technology that will expire in 2030
DOMINICAN REPUBLIC	Dominican Institute of Telecommunications (<i>Instituto Dominicano de las Telecomunicaciones</i>)	• Concession to provide fixed and wireless services, internet and pay TV services through DTH and IPTV technologies that expire in 2041 • Licenses to use 25 MHz in the 800 MHz band, 30 MHz in the 1900 MHz band, 80 MHz in the 2.5/2.7 GHz band, 100 MHz in the 3.3-3.4 GHz band and 40 MHz in the 1.7/2.1 GHz (AWS) band that expire in 2041
PUERTO RICO	Federal Communications Commission (FCC) and the Telecommunications Bureau of Puerto Rico	• Concessions to use the 28 GHz band that expire in 2029. • Concessions to use the 700 MHz band that expire in 2031. • Concessions to use the 850 MHz band that expire in 2026, 2028, 2030 and 2031. • Concessions to use the AWS-1 (1700/2100 MHz) band that expire in 2026. • Long-term transfer lease concessions to use the AWS-1 (1700/2100 MHz) band that expire in 2027. • Concessions to use the AWS-3 band (1700/2100 MHz) that expire in 2028. • Concessions to use the 3.5 GHz band that expire in 2030. • Long-term transfer lease concessions to use 35.6 MHz of the 2.5 GHz band that expire in 2022, 2023, 2025, 2026, 2030 and 2032. • Franchise to operate Pay TV services using IPTV technology that expires in 2030.





PART VII

ADDITIONAL INFORMATION

EMPLOYEES

Many of our employees are members of labor unions with which we conduct collective negotiations on wages, benefits and working conditions. We believe that we have good current relations with our workforce.

The following table sets forth the total number of employees and a breakdown of employees by main category of activity and geographic location, as of the dates indicated.

	DECEMBER 31,		
	2020	2021	2022
NUMBER OF EMPLOYEES	183,180	177,713	176,014
CATEGORY OF ACTIVITY:			
Wireless	68,733	68,606	68,981
Fixed	91,460	86,788	84,829
Other businesses	21,987	22,319	22,204
GEOGRAPHIC LOCATION:			
Mexico	88,172	87,233	85,820
South America	56,028	53,227	52,492
Central America	9,384	9,141	9,602
Caribbean	10,647	10,256	10,193
Europe	17,949	17,856	17,907

LEGAL PROCEEDINGS

In each of the countries in which we operate, we are party to various legal proceedings in the ordinary course of business.

These proceedings include tax, labor, antitrust, contractual matters and administrative and judicial proceedings concerning regulatory matters such as interconnection and tariffs. We are party to a number of proceedings regarding our compliance with administrative rules and regulations and concession standards.

Our material legal proceedings are described in Note 17 to our audited consolidated financial statements included in this annual report and in "Regulation" under Part VI of this annual report.

PRINCIPAL ACCOUNTANT FEES AND SERVICES

AUDIT AND NON-AUDIT FEES

The following table sets forth the fees billed to us and our subsidiaries by our independent registered public accounting firm, Mancera, during the fiscal years ended December 31, 2021 and 2022:

	YEAR ENDED DECEMBER 31,	
	2021	2022
	(in millions of Mexican pesos)	
Audit fees ⁽¹⁾	Ps. 267	Ps. 206
Audit-related fees ⁽²⁾	23	32
Tax fees ⁽³⁾	13	14
Total fees	Ps. 303	Ps. 252

⁽¹⁾ Audit fees represent the aggregate fees billed by Mancera and its Ernst & Young Global affiliated firms in connection with the audit of our annual financial statements and statutory and regulatory audits.

⁽²⁾ Audit-related fees represent the aggregate fees billed by Mancera and its Ernst & Young Global affiliated firms for the review of reports on our operations submitted to IFT and attestation services that are not required by statute or regulation.

⁽³⁾ Tax fees represent fees billed by Mancera and its Ernst & Young Global affiliated firms for tax compliance services and tax advice services.

AUDIT AND CORPORATE PRACTICES COMMITTEE APPROVAL POLICIES AND PROCEDURES

Our audit and corporate practices committee has established policies and procedures for the engagement of our independent auditors for services.

Our audit and corporate practices committee expressly approves any engagement of our independent auditors for audit or non-audit services provided to us or our subsidiaries. Prior to providing any service that requires specific pre-approval, our independent auditor and our Chief Financial Officer present to the audit committee a request for approval of services in which they confirm that the request complies with the applicable rules.

ADDITIONAL INFORMATION

We file reports, including annual reports on Form 20-F, and other information with the SEC pursuant to the rules and regulations of the SEC that apply to foreign private issuers.

Any filings we make electronically will be available to the public over the internet at the SEC's web site at www.sec.gov and at our website at www.americamovil.com. This URL is intended to be an inactive textual reference only. It is not intended to be an active hyperlink to our website. The information on our website, which might be accessible through a hyperlink resulting from this URL, is not incorporated into this annual report.

The following documents have been filed with the SEC as exhibits to this annual report:

- 1.1** Amended and Restated Bylaws of América Móvil, S.A.B. de C.V., dated as of December 20, 2022 (incorporated by reference to Exhibit 1.1 to the Registration for Listing of a Security on a National Exchange on Form 8-A (File No. 001-16269) filed with the Commission on March 13, 2023).
- 2.1** Description of Securities Registered Under Section 12 of the Exchange Act.
- 4.1** Stock Purchase Agreement by and among Verizon, América Móvil, S.A.B. de C.V., AMX USA Holding, S.A. de C.V. and TracFone Wireless, Inc. dated as of September 13, 2020 (incorporated by reference to Exhibit 4.1 of our annual report on Form 20-F File No. 001-16269, filed on April 29, 2021).
- 4.2** Form of Deposit Agreement by and among América Móvil, S.A.B. de C.V., Citibank, N.A., as ADS depository, and the holders and beneficial owners of American Depositary Shares thereunder (incorporated by reference to Exhibit (a) to the Registration Statement on Form F-6 (File No. 333-270031) filed with the Commission on February 24, 2023).

- 8.1** List of certain subsidiaries of América Móvil, S.A.B. de C.V.
- 12.1** Certification of Chief Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
- 12.2** Certification of Chief Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
- 13.1** Certification pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
- 15.1** Code of Ethics.
- 15.2** Consent of independent registered public accounting firm.
- 17.1** Subsidiary Guarantors.
- 101.INS** Inline XBRL Instance Document.
- 101.SCH** Inline XBRL Taxonomy Extension Schema Document.
- 101.CAL** Inline XBRL Taxonomy Extension Calculation Linkbase Document.
- 101.LAB** Inline XBRL Taxonomy Extension Label Linkbase Document.
- 101.PRE** Inline XBRL Taxonomy Extension Presentation Linkbase Document.
- 101.DEF** Inline XBRL Taxonomy Extension Definition Document.
- 104** Cover Page Interactive Data File (the cover page XBRL tags are embedded within the inline XBRL document).

Omitted from the exhibits filed with this annual report are certain instruments and agreements with respect to long-term debt of América Móvil, none of which, individually, authorizes securities in a total amount that exceeds 10% of the total assets of América Móvil. We hereby agree to furnish to the SEC copies of any such omitted instruments or agreements as the Commission requests.

FORWARD-LOOKING STATEMENTS

Some of the information contained or incorporated by reference in this annual report constitutes “forward-looking statements” within the meaning of the safe harbor provisions of the Private Securities Litigation Reform Act of 1995.

Although we have based these forward-looking statements on our expectations and projections about future events, it is possible that actual events may differ materially from our expectations. In many cases, we include, together with the forward-looking statements themselves, a discussion of factors that may cause actual events to differ from our forward-looking statements.

Examples of forward-looking statements include the following:

- projections of our commercial, operating or financial performance, our financing, our capital structure or our other financial items or ratios;
- statements of our plans, objectives or goals, including those relating to acquisitions, competition and rates;
- statements concerning regulation or regulatory developments;
- the impact of COVID-19;
- statements about our future economic performance or that of Mexico or other countries in which we operate;
- competitive developments in the telecommunications sector;
- other factors and trends affecting the telecommunications industry generally and our financial condition in particular; and
- statements of assumptions underlying the foregoing statements.

We use words such as “believe,” “anticipate,” “plan,” “expect,” “intend,” “target,” “estimate,” “project,” “predict,” “forecast,” “guideline,” “should” and other similar expressions to identify forward-looking statements, but they are not the only way we identify such statements.

Forward-looking statements involve inherent risks and uncertainties. We caution you that a number of important factors could cause actual results to differ materially from the plans, objectives, expectations, estimates and intentions expressed in such forward-looking statements. These factors, some of which are discussed under “Risk Factors,” include the impact of the COVID-19 pandemic, economic and political conditions and government policies in Mexico, Brazil, Colombia, Europe and elsewhere, inflation rates, exchange rates, regulatory developments, technological improvements, customer demand and competition. We caution you that the foregoing list of factors is not exclusive and that other risks and uncertainties may cause actual results to differ materially from those in forward-looking statements. You should evaluate any statements made by us in light of these important factors.

Forward-looking statements speak only as of the date they are made. We undertake no obligation to publicly update or revise any forward-looking statements, whether as a result of new information or future events or for any other reason.

FORM 20-F CROSS REFERENCE GUIDE

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FORM 20-F CROSS REFERENCE GUIDE

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SIGNATURES

The registrant hereby certifies that it meets all of the requirements for filing on Form 20-F and that it has duly caused and authorized the undersigned to sign this annual report on its behalf.

Dated: May 1, 2023

AMÉRICA MÓVIL, S.A.B. DE C.V.

By:	/s/ Carlos José García Moreno Elizondo
Name:	Carlos José García Moreno Elizondo
Title:	Chief Financial Officer

By:	/s/ Alejandro Cantú Jiménez
Name:	Alejandro Cantú Jiménez
Title:	General Counsel





PART VIII

CONSOLIDATED FINANCIAL STATEMENTS



PART VIII

CONSOLIDATED FINANCIAL STATEMENTS

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

Years Ended December 31, 2020, 2021 and 2022
with Report of Independent Registered Public Accounting Firm

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

Years Ended December 31, 2020, 2021 and 2022

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REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

To the Board of Directors and Shareholders of

América Móvil, S.A.B. de C.V.

Opinion on the Financial Statements

We have audited the accompanying consolidated statements of financial position of América Móvil, S.A.B. de C.V. and subsidiaries (the Company) as of December 31, 2022 and 2021, the related consolidated statements of comprehensive income, changes in shareholders' equity and cash flows for each of the three years in the period ended December 31, 2022, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2022 and 2021, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2022, in conformity with International Financial Reporting Standards, as issued by the International Accounting Standards Board.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 31, 2022, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated May 1, 2023 expressed an adverse opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

***Deferred tax assets, realizability of amounts related to Net Operating Loss
Carryforwards and temporary differences related to employee benefits***

***Description of the
Matter***

As discussed in Note 13 to the consolidated financial statements, as of December 31, 2022, the balance of gross deferred tax assets was Ps. 128,717,811 thousand. The Company has recognized deferred tax assets arising from net operating loss carryforwards (NOLs) of Ps. 33,314,653 thousand, of which Ps. 24,649,353 thousand was generated by its subsidiary in Brazil. In addition, the Company has recognized deferred tax assets of Ps. 36,662,123 thousand related to employee benefits, which are primarily related to one of its Mexican subsidiaries.

Auditing management's assessment of the realizability of the deferred tax assets arising from the Brazilian NOLs and the Mexican subsidiary's employee benefits involved complex auditor judgement because management's estimate of realizability was based on assessing the likelihood, timing and sufficiency of future taxable profits and available tax planning opportunities. These projections are sensitive because they can be affected by future operating results and future market and economic conditions.

***How We Addressed
the Matter in Our
Audit***

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls that address the risks of material misstatement related to the realizability of the deferred tax assets. We tested controls over management's analyses of the future reversal of existing taxable temporary differences, their projections of future taxable income and related assumptions used in developing the projected financial information and their identification of available tax planning opportunities. Our audit also included the testing of controls that address the completeness and accuracy of the data used in the analysis.

To test the realizability of the deferred tax assets our audit procedures included, among others, the review of management's estimates of future taxable income, the methodology used, the significant assumptions and the underlying data used by the Company in developing the projected financial information, such as customer attrition rates, growth rates, and other key assumptions by comparing them with historical, economic and industry trends and evaluating whether changes to the Company's business model and other factors would significantly affect the projected financial information. We also involved our valuation specialists to evaluate the analysis and assumptions used, and to test the calculations used by the Company.

In addition, with the assistance of our tax professionals, we assessed the application of relevant tax laws, including assessing the Company's future tax planning opportunities and tested the Company's scheduling of the timing and amounts of expected reversals of taxable temporary differences.

We also assessed the adequacy of the related financial statement disclosures.

Impairment of goodwill

***Description of the
Matter***

As discussed in Notes 2 and 11 to the consolidated financial statements, as of December 31, 2022, the Company's goodwill balance was Ps. 141,121,365 thousand. The Company tests goodwill at least annually at the Cash Generating Unit (CGU) level. Impairment exists when the carrying value of a CGU exceeds its recoverable amount, which is the higher of its fair value less cost to sell and its value in use. The Company has estimated the recoverable amount of the CGU by calculating the CGU's value in use.

*How We Addressed
the Matter in Our
Audit*

Auditing management's annual assessment of impairment of goodwill involved complex auditor judgement because the significant assumptions required to determine the value in use of the CGUs, including revenue growth rates, operating margins and weighted average cost of capital, are sensitive to, and affected by, expected economic factors, technological changes and market conditions, among other factors.

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls that address the risks of material misstatement related to the determination of the impairment of goodwill, including controls over management's review of the significant assumptions described above, projected financial information and the valuation model used to develop such estimates.

To test the impairment of goodwill our audit procedures included, among others, evaluating the methodology used, testing the significant assumptions mentioned above and the underlying data used by the Company. We assessed the historical accuracy of management's estimates and projections by comparing them to actual results and obtaining explanations for the variances; examined management's support for the current estimates and projections by comparing them to industry and economic trends, including market participant data; evaluated management's methodology on the estimation of the weighted average cost of capital reflecting the economic conditions for each CGU; tested the completeness and accuracy of the underlying data, and evaluated other factors that would significantly affect the projected financial information and thus the value in use of the CGUs.

In addition, we involved our valuation specialist to evaluate the methodologies and assumptions used and to test the calculations made by the Company.

We also assessed the adequacy of the related financial statement disclosures.

*Description of the
Matter*

Discount rate used in determining defined benefit pension obligations in Mexico

As discussed in Note 2, b), item iii), q) and in Note 18 to the consolidated financial statements, as of December 31, 2022, the defined benefit pension obligation balance for Mexico was Ps. 285,775,547 thousand. The Company assessed and updated its estimates and assumptions used to actuarially measure and value the defined benefit pension obligation as of December 31, 2022, using the assistance of independent actuarial specialists.

Auditing the defined benefit pension obligation for Mexico, involved complex auditor judgement and required the involvement of our actuarial and valuation specialists because of the highly judgmental nature of the discount rate used in the Company's measurement process. This assumption was complex because it required a valuation of the credit quality of the corporate bonds used to develop the discount rate and the correlation of those bonds' cash inflows to the timing and amount of future expected benefit payments.

*How We Addressed
the Matter in Our
Audit*

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls that address the risks of material misstatement relating to the determination of the discount rate used in the defined benefit pension calculation. We tested controls over management's determination and review of the discount rate provided to the independent actuaries.

To test the determination of the discount rate of the defined benefit pension obligation we involved our valuation and actuarial specialists to assist us in evaluating the

methodology used to select the yield curve applied on the calculation, assessing the credit quality of the corporate bonds that comprise the yield curve and the timing and amount of cash flows at maturity with the expected amounts and duration of the related benefit payments.

We also evaluated the objectivity and competence management's internal specialist responsible for overseeing the preparation of the discount rate and the independent actuarial specialists through the consideration of their professional qualifications, experience and their use of accepted methodology.

We also assessed the adequacy of the related financial statement disclosures.

/s/ Mancera, S.C.

A member practice of Ernst & Young Global Limited

We have served as the Company's auditor since 1993.

Mexico City, Mexico

May 1, 2023

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Statements of Financial Position

(In thousands of Mexican pesos)

		At December 31,		
	Note	2021	2022	2022 Millions of U.S. dollars
Assets				
Current assets:				
Cash and cash equivalents	3	Ps. 38,679,891	Ps. 33,700,949	US\$ 1,736
Equity investments at fair value through other comprehensive income (OCI) and other short-term investments	4	117,703,202	88,428,111	4,555
Accounts receivable:				
Subscribers, distributors, recoverable taxes, contract assets and other, net	5	202,846,597	199,424,202	10,272
Related parties	6	1,158,611	2,287,213	118
Derivative financial instruments	7	10,130,806	2,602,680	134
Inventories, net	8	24,185,310	23,995,133	1,236
Other current assets, net	9	9,452,252	10,565,422	544
Total current assets		Ps. 404,156,669	Ps. 361,003,710	US\$ 18,595
Non-current assets:				
Property, plant and equipment, net	10	Ps. 731,196,679	Ps. 657,226,210	US\$ 33,853
Intangibles, net	11	143,225,764	128,893,422	6,639
Goodwill	11	136,578,194	141,121,365	7,269
Investments in associated companies	12b	3,052,481	23,975,462	1,235
Deferred income taxes	13	127,287,934	128,717,811	6,630
Accounts receivable, subscriber, distributors and contract assets, net	5	6,928,888	8,724,497	449
Other assets, net	9	39,956,090	39,581,622	2,039
Debt instruments at fair value through other comprehensive income (OCI)	4	6,894,757	6,981,149	360
Right-of-use assets	15	90,372,393	121,874,096	6,278
Total assets		Ps. 1,689,649,849	Ps. 1,618,099,344	US\$ 83,347
Liabilities and equity				
Current liabilities:				
Short-term debt and current portion of long-term debt	14	Ps. 145,222,672	Ps. 102,024,414	US\$ 5,255
Short-term liability related to right-of-use of assets	15	27,632,357	32,902,237	1,695
Accounts payable	16a	206,487,681	174,472,769	8,987
Accrued liabilities	16b	54,391,464	56,815,331	2,926
Income tax	13	33,247,318	29,174,066	1,503
Other taxes payable		26,278,007	33,887,645	1,745
Derivative financial instruments	7	10,034,508	25,331,346	1,305
Related parties	6	4,216,882	7,224,218	372
Deferred revenues		26,501,877	27,044,928	1,393
Total current liabilities		Ps. 534,012,766	Ps. 488,876,954	US\$ 25,181
Non-current liabilities:				
Long-term debt	14	Ps. 418,807,430	Ps. 408,565,066	US\$ 21,045
Long-term liability related to right-of-use of assets	15	71,021,868	101,246,574	5,215
Deferred income taxes	13	49,465,095	30,302,060	1,561
Deferred revenues		2,698,276	2,556,103	132
Asset retirement obligations	16c	16,752,223	10,799,997	556
Employee benefits	18	142,850,465	137,923,317	7,104
Total non-current liabilities		Ps. 701,595,357	Ps. 691,393,117	US\$ 35,613
Total liabilities		Ps. 1,235,608,123	Ps. 1,180,270,071	US\$ 60,794
Equity:				
Capital stock	20	Ps. 96,333,432	Ps. 95,365,329	US\$ 4,912
Retained earnings:				
Prior years		255,267,258	429,324,326	22,114
Profit for the year		192,423,167	76,159,391	3,923
Total retained earnings		447,690,425	505,483,717	26,037
Other comprehensive loss items		(154,388,930)	(227,044,342)	(11,694)
Equity attributable to equity holders of the parent		389,634,927	373,804,704	19,255
Non-controlling interests		64,406,799	64,024,569	3,298
Total equity		454,041,726	437,829,273	22,553
Total liabilities and equity		Ps. 1,689,649,849	Ps. 1,618,099,344	US\$ 83,347

The accompanying notes are an integral part of these consolidated financial statements.

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Statements of Comprehensive Income

(In thousands of Mexican pesos, except for earnings per share)

For the years ended December 31					2022 Millions of U.S. dollars, except for earnings per share
	Note	2020 ⁽¹⁾	2021 ⁽¹⁾	2022	
Operating revenues:					
Service revenues		Ps.688,029,934	Ps.694,300,431	Ps.712,985,548	US\$36,725
Sales of equipment		127,369,153	136,387,021	131,515,849	6,774
		<u>Ps.815,399,087</u>	<u>Ps.830,687,452</u>	<u>Ps.844,501,397</u>	<u>US\$43,499</u>
Operating costs and expenses:					
Cost of sales and services		323,468,972	328,510,002	330,532,450	17,025
Commercial, administrative and general expenses		184,206,436	173,579,745	179,454,030	9,243
Other expenses		4,695,452	4,738,463	5,010,379	258
Depreciation and amortization	9,10,11 and 15	154,215,420	156,302,992	158,633,786	8,171
		<u>Ps.666,586,280</u>	<u>Ps.663,131,202</u>	<u>Ps.673,630,645</u>	<u>US\$34,697</u>
Operating income		<u>Ps.148,812,807</u>	<u>Ps.167,556,250</u>	<u>Ps.170,870,752</u>	<u>US\$ 8,802</u>
Interest income		5,060,636	3,834,150	4,823,579	248
Interest expense		(38,165,205)	(35,738,305)	(41,258,803)	(2,125)
Foreign currency exchange (loss) gain, net		(64,222,136)	(16,714,847)	20,761,622	1,069
Valuation of derivatives, interest cost from labor obligations and other financial items, net	22	1,418,253	(14,243,517)	(19,116,219)	(985)
Equity interest in net result of associated companies		(287,006)	113,918	(1,811,432)	(93)
Profit before income tax		<u>52,617,349</u>	<u>104,807,649</u>	<u>134,269,499</u>	<u>6,916</u>
Income tax	13	<u>13,178,171</u>	<u>32,717,477</u>	<u>46,044,089</u>	<u>2,372</u>
Net profit for the year from continuing operations		<u>Ps. 39,439,178</u>	<u>Ps. 72,090,172</u>	<u>Ps. 88,225,410</u>	<u>US\$ 4,544</u>
Profit (loss) after tax for the year from discontinued operations		<u>11,587,779</u>	<u>124,235,942</u>	<u>(6,719,015)</u>	<u>(346)</u>
Net profit for the year		<u>Ps. 51,026,957</u>	<u>Ps.196,326,114</u>	<u>Ps. 81,506,395</u>	<u>US\$ 4,198</u>
Net profit for the year attributable to:					
Equity holders of the parent from continuing operations	20	Ps. 35,264,826	Ps. 68,187,225	Ps. 82,878,406	US\$ 4,269
Equity holders of the parent from discontinued operations	2, Ac	11,587,779	124,235,942	(6,719,015)	(346)
Non-controlling interests		4,174,352	3,902,947	5,347,004	275
		<u>Ps. 51,026,957</u>	<u>Ps.196,326,114</u>	<u>Ps. 81,506,395</u>	<u>US\$ 4,198</u>
Basic and diluted earnings per share attributable to equity holders of the parent from continuing operations	20	Ps. 0.53	Ps. 1.03	Ps. 1.30	US\$ 0.07
Basic and diluted earnings per share attributable to equity holders of the parent from discontinued operations	20	Ps. 0.17	Ps. 1.88	Ps. (0.11)	US\$ (0.01)
Other comprehensive income (loss) items:					
Net other comprehensive loss that may be reclassified to profit or loss in subsequent years:					
Effect of translation of foreign entities from continuing operations		Ps. (11,515,297)	Ps. (7,134,153)	Ps. (35,114,722)	US\$ (1,809)
Effect of translation of foreign entities from discontinued operations		—	(829,163)	5,193,281	267
Items that will not be reclassified to (loss) or profit in subsequent years:					
Re-measurement of defined benefit plan, net of deferred taxes		(10,299,558)	11,261,896	(4,305,716)	(222)
Unrealized (loss) gain on equity investments at fair value, net of deferred taxes		(1,952,414)	4,560,869	(4,707,276)	(242)
Revaluation surplus, net of deferred taxes		77,230,031	—	—	—
Total other comprehensive income (loss) items for the year, net of deferred taxes	21	<u>53,462,762</u>	<u>7,859,449</u>	<u>(38,934,433)</u>	<u>(2,006)</u>
Total comprehensive income for the year		<u>Ps.104,489,719</u>	<u>Ps.204,185,563</u>	<u>Ps. 42,571,962</u>	<u>US\$ 2,192</u>
Comprehensive income for the year attributable to:					
Equity holders of the parent from continuing operations		Ps. 86,150,118	Ps.202,418,502	Ps. 40,959,024	US\$ 2,109
Non-controlling interests		18,339,601	1,767,061	1,612,938	83
		<u>Ps.104,489,719</u>	<u>Ps.204,185,563</u>	<u>Ps. 42,571,962</u>	<u>US\$ 2,192</u>
Comprehensive income for the period:					
Net comprehensive income from continuing operations		Ps. 92,901,940	Ps. 79,949,621	Ps. 49,290,977	US\$ 2,539
Net comprehensive income (loss) from discontinued operations	2, Ac	11,587,779	124,235,942	(6,719,015)	(347)
		<u>Ps.104,489,719</u>	<u>Ps.204,185,563</u>	<u>Ps. 42,571,962</u>	<u>US\$ 2,192</u>

(1) Restated for discontinued operations.

The accompanying notes are an integral part of these consolidated financial statements.

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Statements of Changes in Shareholders' Equity

For the years ended December 31, 2020, 2021 and 2022

(In thousands of Mexican pesos)

	Capital stock	Legal reserve	Retained earnings	Unrealized (loss) gain on equity investment at fair value	Re-measurement of defined benefit plans	Cumulative translation adjustment	Revaluation surplus	Total equity attributable to equity holders of the parent	Non-controlling interests	Total equity
As of January 1, 2020	Ps. 96,338,262	Ps. 358,440	Ps. 281,091,686	Ps. (8,929,575)	Ps. (103,581,488)	Ps. (87,367,366)	Ps. —	Ps. 177,909,959	Ps. 48,996,906	Ps. 226,906,865
Net profit for the year	—	—	46,852,605	—	—	—	—	46,852,605	4,174,352	51,026,957
Unrealized loss on equity investments at fair value, net of deferred taxes	—	—	—	(1,952,414)	—	—	—	(1,952,414)	—	(1,952,414)
Remeasurement of defined benefit plan, net of deferred taxes	—	—	—	—	(10,026,454)	—	—	(10,026,454)	(273,104)	(10,299,558)
Effect of translation of foreign entities	—	—	—	—	—	(13,558,774)	—	(13,558,774)	2,043,477	(11,515,297)
Revaluation surplus, net of deferred taxes	—	—	—	—	—	—	64,835,155	64,835,155	12,394,876	77,230,031
Comprehensive income (loss) for the year	—	—	46,852,605	(1,952,414)	(10,026,454)	(13,558,774)	64,835,155	86,150,118	18,339,601	104,489,719
Dividends declared	—	—	(25,161,564)	—	—	—	—	(25,161,564)	(1,860,300)	(27,021,864)
Stock dividend	4,650	—	17,054,007	—	—	—	—	17,058,657	—	17,058,657
Repurchase of shares	(1,217)	—	(5,209,880)	—	—	—	—	(5,211,097)	—	(5,211,097)
Other acquisitions of non-controlling interests	—	—	(267,270)	—	—	—	—	(267,270)	(837,392)	(1,104,662)
Balance at December 31, 2020	Ps. 96,341,695	Ps. 358,440	Ps. 314,359,584	Ps. (10,881,989)	Ps. (113,607,942)	Ps. (100,926,140)	Ps. 64,835,155	Ps. 250,478,803	Ps. 64,638,815	Ps. 315,117,618
Net profit for the year	—	—	192,423,167	—	—	—	—	192,423,167	3,902,947	196,326,114
Unrealized gain on equity investments at fair value, net of deferred taxes	—	—	—	4,560,869	—	—	—	4,560,869	—	4,560,869
Remeasurement of defined benefit plan, net of deferred taxes	—	—	—	—	11,100,835	—	—	11,100,835	161,061	11,261,896
Effect of translation of foreign entities	—	—	—	—	—	(2,514,992)	(2,322,214)	(4,837,206)	(2,296,947)	(7,134,153)
Discontinued operations	—	—	—	—	—	(829,163)	—	(829,163)	—	(829,163)
Transfer of assets' revaluation surplus	—	—	3,803,349	—	—	—	(3,803,349)	—	—	—
Comprehensive income (loss) for the year	—	—	196,226,516	4,560,869	11,100,835	(3,344,155)	(6,125,563)	202,418,502	1,767,061	204,185,563
Dividends declared	—	—	(26,640,797)	—	—	—	—	(26,640,797)	(1,919,674)	(28,560,471)
Repurchase of shares	(8,263)	—	(36,752,766)	—	—	—	—	(36,761,029)	—	(36,761,029)
Other acquisitions of non-controlling interests	—	—	139,448	—	—	—	—	139,448	(79,403)	60,045
Balance at December 31, 2021	Ps. 96,333,432	Ps. 358,440	Ps. 447,331,985	Ps. (6,321,120)	Ps. (102,507,107)	Ps. (104,270,295)	Ps. 58,709,592	Ps. 389,634,927	Ps. 64,406,799	Ps. 454,041,726
Net profit for the year	—	—	76,159,391	—	—	—	—	76,159,391	5,347,004	81,506,395
Unrealized loss on equity and debt investments at fair value, net of deferred taxes	—	—	—	(4,707,276)	—	—	—	(4,707,276)	—	(4,707,276)
Remeasurement of defined benefit plan, net of deferred taxes	—	—	—	—	(4,599,407)	—	—	(4,599,407)	293,691	(4,305,716)
Effect of translation of foreign entities	—	—	—	—	—	(29,222,333)	(1,864,632)	(31,086,965)	(4,027,757)	(35,114,722)
Discontinued operations	—	—	—	—	—	5,193,281	—	5,193,281	—	5,193,281
Transfer of assets' revaluation surplus	—	—	2,165,706	—	—	—	(2,165,706)	—	—	—
Comprehensive income (loss) for the year	—	—	78,325,097	(4,707,276)	(4,599,407)	(24,029,052)	(4,030,338)	40,959,024	1,612,938	42,571,962
Dividends declared	—	—	(28,000,073)	—	—	—	—	(28,000,073)	(1,880,736)	(29,880,809)
Repurchase of shares	33,469	—	(26,234,786)	—	—	—	—	(26,201,317)	—	(26,201,317)
Recycling of assets revaluation surplus by spin off, net of deferred taxes	—	—	35,289,339	—	—	—	(35,289,339)	—	(79,806)	(79,806)
Spin-off effects	(1,001,572)	—	(1,581,315)	—	—	—	—	(2,582,887)	(34,626)	(2,582,887)
Other acquisitions of non-controlling interests	—	—	(4,970)	—	—	—	—	(4,970)	—	(39,596)
Balance at December 31, 2022	Ps. 95,365,329	Ps. 358,440	Ps. 505,125,277	Ps. (11,028,396)	Ps. (107,106,514)	Ps. (128,299,347)	Ps. 19,389,915	Ps. 373,804,704	Ps. 64,024,569	Ps. 437,829,273

The accompanying notes are an integral part of these consolidated financial statements.

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Statements of Cash Flows

(In thousands of Mexican pesos)

For the years ended December 31					
	Note	2020 ⁽¹⁾	2021 ⁽¹⁾	2022	2022 Millions of U.S. dollars
Operating activities					
Profit before income tax from continuing operations		Ps. 52,617,349	Ps. 104,807,649	Ps. 134,269,499	US\$ 6,916
Profit before income tax from discontinued operations	2, Ac	14,775,760	148,529,197	(8,524,516)	(439)
Profit before income tax		67,393,109	253,336,846	125,744,983	6,477
Items not requiring the use of cash:					
Depreciation property, plant and equipment and right-of-use assets	10 and 15	134,922,014	136,987,034	140,353,169	7,229
Amortization of intangible and other assets	9 and 11	19,293,406	19,315,958	18,280,617	942
Equity interest in net result of associated companies		287,006	(113,918)	1,811,432	93
Loss (gain) on sale of property, plant and equipment		257,330	(6,849,699)	935,644	48
Net period cost of labor obligations	18	18,085,954	18,688,374	15,979,152	823
Foreign currency exchange loss (income), net		58,779,864	14,192,416	(20,008,610)	(1,030)
Interest income		(5,060,636)	(3,834,150)	(4,823,579)	(248)
Interest expense		38,165,205	35,738,305	41,258,803	2,125
Employee profit sharing		2,066,066	3,130,722	3,637,813	187
(Gain) loss in valuation of derivative financial instruments, capitalized interest expense and other, net		(13,803,458)	5,239,927	17,072,520	879
Gain on net monetary positions		(3,262,512)	(4,876,842)	(11,538,061)	(594)
Gain on sale of subsidiary	2, Ac	—	(132,821,709)	(3,405,014)	(175)
Deconsolidation effect of subsidiary		—	—	9,390,641	484
Working capital changes:					
Subscribers, distributors, recoverable taxes, contract assets and other, net		874,058	8,609,836	(6,803,202)	(350)
Prepaid expenses		(152,586)	(872,738)	(2,527,168)	(130)
Related parties		421,337	449,655	1,884,945	97
Inventories		10,529,392	6,083,461	(1,183,883)	(61)
Other assets		(348,083)	(9,521,953)	(1,321,813)	(68)
Employee benefits		(18,795,532)	(27,223,091)	(25,723,517)	(1,325)
Accounts payable and accrued liabilities		11,806,003	7,447,308	(10,291,588)	(531)
Employee profit sharing paid		(2,436,223)	(1,922,029)	(2,935,880)	(151)
Financial instruments and other		2,606,938	(1,664,465)	(2,353,920)	(121)
Deferred revenues		2,153,607	(9,068,794)	2,430,434	125
Interest received		3,946,110	2,665,854	2,652,195	137
Income taxes paid		(61,366,231)	(60,535,903)	(62,015,057)	(3,194)
Cash flows from discontinued operating		14,465,405	5,601,233	(1,214,025)	(63)
Net cash flows provided by continuing operating activities		Ps. 280,827,543	Ps. 258,181,638	Ps. 225,287,031	US\$11,605
Investing activities					
Purchase of property, plant and equipment		(105,495,242)	(140,789,643)	(146,192,426)	(7,530)
Acquisition of intangibles		(20,647,571)	(12,202,142)	(11,661,530)	(601)
Dividends received	22	2,122,826	2,628,600	5,426,370	280
Proceeds from sale of property, plant and equipment		162,060	7,215,177	3,795,740	195
Acquisition of businesses, net of cash acquired	12	(152,896)	—	(16,227,107)	(835)
Partial sale of shares of associated company		601,509	199,158	6,329	—
Investments in associate companies		(64,341)	—	(1,043,954)	(54)
Proceeds from the sale of businesses		—	75,518,886	5,791,488	298
Short-term investments		(8,671,662)	(3,361,507)	9,690,285	499
Cash flows from discontinued investing		(3,412,176)	(5,729,473)	(1,944,235)	(100)
Net cash flows used in investing continuing activities		Ps.(135,557,493)	Ps. (76,520,944)	Ps.(152,359,040)	US\$ (7,848)
Financing activities					
Loans obtained		277,515,598	93,675,127	188,414,369	9,705
Repayment of loans		(330,607,399)	(152,029,408)	(145,340,377)	(7,486)
Payment of liability related to right-of-use of assets	15	(29,623,565)	(30,544,750)	(33,823,287)	(1,742)
Interest paid		(28,421,734)	(23,884,410)	(26,882,181)	(1,385)
Repurchase of shares		(5,076,119)	(36,745,743)	(26,143,162)	(1,347)
Dividends paid		(9,592,253)	(27,829,345)	(29,534,053)	(1,521)
Acquisition of non-controlling interests	12	(1,104,662)	(7,720)	(39,596)	(2)
Net cash flows used in financing activities		Ps.(126,910,134)	Ps.(177,366,249)	Ps. (73,348,287)	US\$ (3,778)
Net gain (decrease) in cash and cash equivalents		Ps. 18,359,916	Ps. 4,294,445	Ps. (420,296)	US\$ (21)
Adjustment to cash flows due to exchange rate fluctuations, net		(2,187,665)	(1,532,461)	(4,558,646)	(235)
Cash and cash equivalents at beginning of the year		19,745,656	35,917,907	38,679,891	1,992
Cash and cash equivalents at end of the year		Ps. 35,917,907	Ps. 38,679,891	Ps. 33,700,949	US\$ 1,736
Non-cash transactions related to:					
Acquisitions of property, plant and equipment in accounts payable at end year		Ps. 3,063,081	Ps. 18,385,498	Ps. 1,476,834	US\$ 76
Spin-off		107,152,628	—	(1,376,353)	(71)
Revaluation surplus		—	—	—	—
Non-cash transactions		Ps. 110,215,709	Ps. 18,385,498	Ps. 100,481	US\$ 5

(1) Restated for discontinued operations.

The accompanying notes are an integral part of these consolidated financial statements.

AMÉRICA MÓVIL, S.A.B. DE C.V. AND SUBSIDIARIES

Notes to Consolidated Financial Statements

Years ended December 31, 2020, 2021 and 2022

(In thousands of Mexican pesos Ps. and thousands of U.S. dollars US\$, unless otherwise indicated)

Note 1. Description of the Business and Relevant Events

I. Corporate Information

América Móvil, S.A.B. de C.V. and subsidiaries (hereinafter, the “Company”, “América Móvil” or “AMX”) was incorporated under laws of Mexico on September 25, 2000. Until June 30, 2022, the Company provided telecommunications services in 24 countries throughout Latin America, the Caribbean and Europe. As of July 1, 2022, the Company disposed of its business in Panama as disclosed in Note 2 Ac to the consolidated financial statements. As a consequence of the foregoing, the Company provides its services in 22 countries, including through a joint venture in Chile which is described in Note 12b. These telecommunications services include mobile and fixed-line voice services, wireless and fixed data services, internet access, Pay TV, over the top (OTT) and other related services. The Company also sells equipment, accessories and computers.

- Voice services provided by the Company, both wireless and fixed, mainly include the following: airtime, local, domestic and international long-distance services, and network interconnection services.
- Data services include value added, corporate networks, data and Internet services.
- Pay TV represents basic services, as well as pay per view and additional programming and advertising services.
- AMX provides other related services to advertising in telephone directories, publishing and call center services.
- The Company also provides video, audio and other media content that is delivered through the internet directly from the content provider to the end user.

In order to provide these services, América Móvil has licenses, permits and concessions (collectively referred to herein as “licenses”) to build, install, operate and exploit public and/or private telecommunications networks and provide miscellaneous telecommunications services (mostly mobile and fixed voice and data services) and to operate frequency bands in the radio-electric spectrum for point-to-point and point-to-multipoint microwave links. The Company holds licenses in the 22 countries where it has networks, and such licenses have different dates of expiration through 2056.

Certain licenses require the payment to the respective governments of a share in sales determined as a percentage of revenues from services under concession. The percentage is set as either a fixed rate or in some cases based on certain size of the infrastructure in operation.

The corporate offices of América Móvil are located in Mexico City, Mexico, at Lago Zurich 245, Colonia Ampliación Granada, Alcaldía Miguel Hidalgo, 11529, Mexico City, Mexico.

The accompanying consolidated financial statements were approved for their issuance by the Company’s Board of Directors and Chief Financial Officer on April 27, 2023 and subsequent events have been considered through that date.

II. Relevant events in 2022

a) On April 20, 2022, after receiving the necessary approvals from local regulators, the Company reported that its Brazilian subsidiary Claro S.A. completed the previously announced acquisition of 32% of Grupo Oi’s mobile

business in Brazil, through the acquisition of 100% of the shares of the company called Jonava RJ Infraestrutura e Redes de Telecomunicações, S.A. (“Jonava”), which corresponded to it in accordance with the acquisition contract entered into between Grupo Oi as seller and Claro S.A. (as one of several buyers).

The effects of this business acquisition are described in Note 12a.

b) On February 9, 2021, the Company’s Board of Directors approved a reorganization plan which involved an *escisión* (spin-off) of its telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and the Company’s telecommunications towers existing in Peru prior to the spin-off. As part of the spin-off and associated corporate restructuring, the Company contributed to a newly-created company, Sitios Latinoamérica, S.A.B. of C.V. (hereinafter “Sitios Latam”), a portion of the Company’s capital stock, assets and liabilities, mainly consisting of the shares of the Company’s subsidiaries holding telecommunications towers and other associated infrastructure in Latin America outside of Mexico, other than Colombia and the Company’s telecommunications towers existing in Peru prior to the spin-off. The spin-off became effective and the shares of Sitios Latam were distributed on August 8, 2022. As a result, Sitios Latam has a direct or indirect participation in the capital stock of such entities, which are dedicated exclusively to the construction, operation and commercialization of towers and other structures for the installation of telecommunications equipment for the provision of wireless services. The effects of this spin-off are described in Note 12d.

c) On October 6, 2022, Liberty Latin America Ltd. (“Liberty Latin America” or “LLA”) and the Company announced that they completed the transaction to combine their operations in Chile (VTR and Claro Chile, respectively) in order to create a 50:50 joint venture called Claro Chile, SpA. As described in note 12b.

d) On July 1, 2022, the Company completed the sale of Claro Panama, S.A. (“Claro Panama”) to Cable & Wireless Panama, S.A., an affiliate of LLA. As described in note 2ac.

Effects of the COVID-19 Pandemic:

While the negative impact of the COVID-19 pandemic has been gradually declining, the Company continues to closely monitor the evolution of the COVID-19 pandemic in the countries where it operates. Although fiscal year 2022 is the third annual reporting period impacted by the COVID-19 pandemic, the economic and financial impacts still remain to some extent, and preventive measures to ensure the continuity of operations and safeguard the health and safety of personnel and customers must be reinforced.

Note 2. Basis of Preparation of the Consolidated Financial Statements and Summary of Significant Accounting Policies and Practices

a) Basis of preparation

The accompanying consolidated financial statements have been prepared in conformity with International Financial Reporting Standards, as issued by the International Accounting Standards Board (“IASB”) (hereafter referred to as IFRS).

The consolidated financial statements have been prepared on the historical cost basis, except for the derivative financial instruments (assets and liabilities), the passive infrastructure of mobile telecommunications towers, the trust assets of post-employment and other employee benefit plans and the investments in equity at fair value through other comprehensive income (OCI), which are presented at their market value.

Effective July 1, 2018, the Argentinian economy has been considered to be hyperinflationary in accordance with the criteria in IAS 29 “Financial Reporting in Hyperinflationary Economies” (“IAS 29”). Accordingly, for the Argentinian subsidiaries, we have included adjustments for hyperinflation and reclassifications as is required by the standard for purposes of presentation of IFRS in the consolidated financial statements.

The preparation of these consolidated financial statements under IFRS requires the use of critical estimates and assumptions that affect the amounts reported for certain assets, liabilities, income and expenses, including the main impact generated by the COVID-19 pandemic and the potential effect on the amounts disclosed in the consolidated financial statements.

It also requires that management exercise judgment in the application of the Company's accounting policies. Actual results could differ from these estimates and assumptions.

The Mexican peso is the functional currency of the Company's Mexican operations and the consolidated reporting currency of the Company.

i) Changes in Accounting Policies and Disclosures

As of December 31, 2020, the company changed its accounting policy to record the value of the passive infrastructure (towers) of its subsidiaries. With the change, this passive infrastructure was no longer recognized at historical cost, and it began to be recognized under the revaluation model (market value). The company considers that the revaluation model represents the actual conditions of the industry of this class of assets and improves its financial position, this allows its shareholders and stakeholders to have the necessary financial information associated with market expectations about this class of assets.

ii) Basis of consolidation

The consolidated financial statements include the accounts of América Móvil, S.A.B. de C.V. and those subsidiaries over which the Company exercises control. The consolidated financial statements for the subsidiaries were prepared for the same period as the Company's and applying consistent accounting policies. All of the subsidiary companies operate in the telecommunications sector or related.

Subsidiaries are entities over which the Company has control. Control is achieved when the Company has power over the investee, when it is exposed to, or has rights to, variable returns from its involvement with the investee, and has the ability to use its power over the investee to affect the amount of the investor's returns. Subsidiaries are consolidated on a line-by-line basis from the date which control is achieved by the Company. The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control.

On March 6, 2020, in accordance with a resolution of the Federal Telecommunications Institute (Instituto Federal de Telecomunicaciones or IFT), the subsidiaries Teléfonos de México, S.A.B. de C.V. and Teléfonos del Noroeste, S.A. de C.V. created separate companies related to the wholesale services named Red Nacional Última Milla S.A.P.I. de C.V., Servicios de Telecomunicaciones Última Milla, S.A. de C.V. and Red Última Milla del Noroeste S.A.P.I. de C.V. The restructuring of Telmex has no impact on the consolidated financial information of the Company.

Changes in the Company's ownership interests in a subsidiary that do not result in the Company losing control over the subsidiary are accounted for as equity transactions. The carrying amounts of the equity attributable to owners of the parent and non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiary. Any difference between the carrying amount of the non-controlling interests and the fair value of the consideration paid or received in the transaction is recognized directly in the equity attributable to the owners.

Subsidiaries are deconsolidated from the date which control ceases. When the Company ceases to have control over a subsidiary, it derecognizes the assets (including any goodwill) and liabilities of the subsidiary at their carrying amounts, derecognizes the carrying amount of non-controlling interests in the former subsidiary and recognizes the fair value of any consideration received from the transaction. Any retained interest in the former subsidiary is then remeasured to its fair value.

All intra-Company balances and transactions, and any unrealized gains and losses arising from intra-Company transactions, are eliminated in preparing the consolidated financial statements.

Non-controlling interests represent the portion of profits or losses and net assets not held by the Company. Non-controlling interests are presented separately in the consolidated statements of comprehensive income and in equity in the consolidated statements of financial position separately from Company's own equity.

Associates:

An associate is an entity over which the Company has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over those decisions.

The Company's investment in associates includes goodwill identified on acquisition, net of any accumulated impairment losses.

The investments in associated companies in which the Company exercises significant influence are accounted for using the equity method, whereby Company recognizes its share in the net profit (losses) and equity of the associate.

Joint venture:

A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Interests in the joint venture are accounted for using the equity method. Pursuant to such method, the joint venture is initially recognized at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Company's share of the profit or loss and OCI of equity-accounted investees, until the date on which significant influence or joint control ceases.

The results of operations of the subsidiaries and associates are included in the Company's consolidated financial statements beginning as of the month following their acquisition and its share of other comprehensive income after acquisition is recognized directly in other comprehensive income.

The Company assesses at each reporting date whether there is objective evidence that investment in associates is impaired. If so, the Company calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value.

The equity interest in the most significant subsidiaries at December 31, 2021 and 2022 is as follows:

Company name	Country	Equity interest at December 31	
		2021	2022
Subsidiaries:			
América Móvil B.V. ^{a)}	Netherlands	100.0%	100.0%
Compañía Dominicana de Teléfonos, S.A. (“Codetel”) ^{b)}	Dominican Republic	100.0%	100.0%
Sercotel, S.A. de C.V. ^{a)}	Mexico	100.0%	100.0%
Radiomóvil Dipsa, S.A. de C.V. and subsidiaries (“Telcel”) ^{b)}	Mexico	100.0%	100.0%
Puerto Rico Telephone Company, Inc. ^{b)}	Puerto Rico	100.0%	100.0%
Servicios de Comunicaciones de Honduras, S.A. de C.V. (“Sercom Honduras”) ^{b)}	Honduras	100.0%	100.0%
Claro S.A. ^{b)}	Brazil	98.2%	98.2%
NII Brazil Holding S.A.R.L ^{a)}	Luxembourg	100.0%	100.0%
Claro NXT Telecomunicações, S.A. ^{b)}	Brazil	100.0%	100.0%
Telecomunicaciones de Guatemala, S.A. (“Telgua”) ^{b)}	Guatemala	99.3%	99.3%
Claro Guatemala, S.A. ^{b)}	Guatemala	100.0%	100.0%
Empresa Nicaragüense de Telecomunicaciones, S.A. (“Enitel”) ^{b)}	Nicaragua	99.6%	99.6%
Compañía de Telecomunicaciones de El Salvador, S.A. de C.V. (“CTE”) ^{b)}	El Salvador	95.8%	95.8%
Comunicación Celular, S.A. (“Comcel”) ^{b)}	Colombia	99.4%	99.4%
Consortio Ecuatoriano de Telecomunicaciones, S.A. (“Conecel”) ^{b)}	Ecuador	100.0%	100.0%
AMX Argentina, S.A. ^{b)}	Argentina	100.0%	100.0%
AMX Paraguay, S.A. ^{b)}	Paraguay	100.0%	100.0%
AM Wireless Uruguay, S.A. ^{b)}	Uruguay	100.0%	100.0%
Claro Chile, S.A. ^{c)}	Chile	100.0%	—
América Móvil Perú, S.A.C ^{b)}	Peru	100.0%	100.0%
Claro Panamá, S.A. ^{b) d)}	Panama	100.0%	—
Teléfonos de México, S.A.B. de C.V. ^{b)}	Mexico	98.8%	98.8%
Telekom Austria AG ^{b)}	Austria	51.0%	51.0%
Joint venture:			
Claro Chile, SpA ^{c)}	Chile	—	50.0%

a) Holding companies

b) Operating companies of mobile and fixed services

c) On October 6, 2022, this entity combined its operations with the Chilean operations of LLA to form a joint venture. See Note 12b.

d) On July 1, 2022, this entity was discontinued operations. See Note 2Ac.

iii) Basis of translation of financial statements of foreign subsidiaries and associated companies

The operating revenues of foreign subsidiaries represent approximately 65%, 63% and 63% of consolidated operating revenues for the years ended December 31, 2020, 2021 and 2022, respectively, and their total assets represent approximately 70% and 64% of consolidated total assets at December 31, 2021 and 2022, respectively.

The financial statements of foreign subsidiaries have been prepared under or converted to IFRS in the respective local currency (which is their functional currency) and then translated into the Company’s reporting currency as follows:

- all monetary assets and liabilities were translated at the closing exchange rate of the period;

- all non-monetary assets and liabilities at the closing exchange rate of the period;
- equity accounts are translated at the exchange rate at the time the capital contributions were made and the profits were generated;
- revenues, costs and expenses are translated at the average exchange rate of the period, except for the operations of the subsidiaries in Argentina, whose economy is considered hyperinflationary since 2018;
- the consolidated statements of cash flows presented using the indirect method were translated using the weighted-average exchange rate for the applicable period (except for Argentina), and the resulting difference is shown in the consolidated statements of cash flows under the heading “Adjustment to cash flows due to exchange rate fluctuations, net”.

The difference resulting from the translation process is recognized in equity in the caption “Effect of translation of foreign entities”. At December 31, 2021 and 2022, the cumulative translation adjustment was Ps. (104,270,295) and Ps. (128,299,347), respectively.

The basis of translation for the operations of the subsidiaries in Argentina are described below:

In recent years, the Argentina economy has shown high rates of inflation. Although inflation data has not been consistent in recent years and several indexes have coexisted, inflation in Argentina indicates that the three-year cumulative inflation rate exceeded 100% in 2018, which is one of the quantitative references established by IAS 29. As a result, Argentina was considered a hyperinflationary economy in 2018 and the Company applies hyperinflation accounting to its subsidiary whose functional currency is the Argentine peso for financial information for periods ending on or after July 1, 2018, however the calculation of the cumulative impact was measured as of January 1, 2018.

In order to restate for hyperinflation its financial statements, the subsidiary used the series of indices defined by resolution JG No. 539/18 issued by the “Federación Argentina de Consejos Profesionales de Ciencias Económicas” (“FACPCE”), based on the National Consumer Price Index (IPC) published by the Instituto Nacional de Estadística y Censos (INDEC) of the Argentine Republic and the Wholesale Internal Price Index (IPIM) published by FACPCE. The cumulative index at December 31, 2022 is 1,138.639, while on an annual inflation for 2022 is 95.5%.

The main implications are as follows:

- Adjustment of the historical cost of non-monetary assets and liabilities and equity items from their date of acquisition, or the date of inclusion in the consolidated statements of financial position, to the end of the year, in order to reflect changes in the currency’s purchasing power caused by inflation.
- The gain on the net monetary position caused by the impact of inflation in the year is included in the consolidated statements of comprehensive income as part of the caption “*Valuation of derivatives, interest cost from labor obligations and other financial items, net*”. Items in the statement of comprehensive income and in the statements of cash flows are adjusted by the inflation index since their origination, with a balancing entry, and a reconciling item in the statements of cash flows, respectively.
- All items in the financial statements of the Argentine company are translated at the closing exchange rate, which at December 31, 2021 and 2022 were 0.2004 and 0.1096, respectively, per Argentine peso per Mexican peso.

b) Revenue recognition

The Company revenues are derived principally from providing the following telecommunications services and products: wireless voice, wireless data and value-added services, fixed voice, fixed data, broadband and IT services, Pay TV and over-the-top (“OTT”) services.

The Company provides fixed and mobile services. These services are offered independently in contracts with customers or together with the sale of handsets (mobile) under the postpaid model. In accordance with IFRS 15 “*Revenues from contracts with customers*”, the transaction price should be assigned to the different performance obligations based on their relative standalone selling price.

The Company with respect to the provided services, it has market observable information, to determine the standalone selling price of the services. On the other hand, in the case of the sale of bundled mobile phones sold (including service and handset) by the Company, the allocation of the sales is done based on their relative standalone selling price of each individual component related to the total bundled price. The result is that more equipment revenue is recognized at the moment of a sale and, therefore, less service revenue from the monthly fee is being recognized under IFRS 15.

The services provided by the Company are satisfied over the time of the contract period, given that the customer simultaneously receives and consumes the benefits provided by the Company.

Such service bundles, voice and data, accomplish the criteria mentioned in IFRS 15 of being substantially similar and of having the same transfer pattern which is why the Company concluded that the revenue from these different services offered to its customers are considered as a single performance obligation with revenue being recognized over time, except for sales of equipment.

Under IFRS 15, for those contracts with customers in which generally the sale of equipment and other electronic equipment is a single performance obligation, the Company recognizes the revenue at the moment when it transfers control to the customer which generally occurs when such goods are delivered.

The commissions are considered incremental contract acquisition costs that are capitalized and are amortized over the expected period of benefit, during the average duration of customer contracts.

Some subsidiaries have loyalty programs where the Company awards credits customer credit awards referred as “points”. The customer can redeem accrued “points” for awards such as devices, accessories or airtime. The Company provides all awards. The consideration allocated to the award credits is identified as a separate performance obligation; the corresponding liability of the award credits is measured at its fair value. The consideration allocated to award credits amount is recognized as a contract liability until the points are redeemed. Revenue is recognized upon redemption of products by the customer.

c) Cost of sales

The cost of mobile equipment and computers is recognized at the time the client and distributor receive the device which is when the control is transferred to the customer.

d) Cost of services

The cost of services represents the costs incurred to properly deliver the services to the customers, it includes the network operating costs and licenses related costs and is accounted at the moment in which such services are provided.

e) Commissions to distributors

The Company pays commissions to its network of distributors primarily to acquire and retain customers for the Company. Such commissions are recognized in “*commercial, administrative and general expenses*” in the consolidated statements of comprehensive income at the time in which the distributor either reports an activation or reaches certain number of lines activated or obtained at a certain point of time.

f) Cash and cash equivalents

Cash and cash equivalents represent bank deposits and liquid investments with maturities of less than three months. These amounts are stated at cost plus accrued interest, which is similar to their market value.

The Company also maintains restricted cash held as collateral to meet certain contractual obligations. Restricted cash is presented as part of “Other assets” within other non-current financial assets given that the restrictions are long-term in nature. See Note 9.

g) Equity investments at fair value through OCI and other short/long-term investments

Equity investments at fair value through OCI and other short-term investments are primarily composed of equity investments and other short-term financial investments. Amounts are initially recorded at their estimated fair value. Fair value adjustments for equity investments are recorded through other comprehensive income, and other short-term investment.

h) Inventories

Inventories are initially recognized at historical cost and are valued using the average cost method without exceeding their net realizable value.

The estimate of the realizable value of inventories on-hand is based on their age and turnover.

i) Business combinations and goodwill

Business combinations are accounted for using the acquisition method, which in accordance with IFRS 3, “*Business acquisitions*”, consists in general terms as follows:

- (i) Identify the acquirer
- (ii) Determine the acquisition date
- (iii) Value the acquired identifiable assets and assumed liabilities
- (iv) Recognize the goodwill or a bargain purchase gain

For acquired subsidiaries, goodwill represents the difference between the purchase price and the fair value of the net assets acquired at the acquisition date. The investment in acquired associates includes goodwill identified on acquisition, net of any impairment loss.

Goodwill is reviewed annually to determine its recoverability or more often if circumstances indicate that the carrying value of the goodwill might not be fully recoverable.

The possible loss of value in goodwill is determined by analyzing the recovery value of the cash generating unit (or the group thereof) to which the goodwill is associated at the time it was originated. If this recoverable amount is lower than the carrying value, an impairment loss is charged to the results of operations. The recoverable amount is determined based on the higher of fair value less cost of disposal or value in use.

For the years ended December 31, 2020, 2021 and 2022, no impairment losses were recognized for goodwill.

j) Property, plant and equipment

i) Property, plant and equipment are recorded at acquisition cost, net of accumulated depreciation; except for the passive infrastructure of telecommunications towers, which are recognized under the revaluation model as of December 31, 2020. Depreciation is computed on the cost of assets using the straight-line method, based on the estimated useful lives of the related assets, beginning the month after they become available for use.

Borrowing costs that are incurred for general financing for construction in progress for periods exceeding six months are capitalized as part of the cost of the asset. During the years ended December 31, 2020, 2021 and 2022, borrowing costs that were capitalized amounted to Ps. 1,771,613, Ps.1,527,259 and Ps. 1,514,654 respectively.

In addition to the purchase price and costs directly attributable to preparing an asset in terms of its physical location and condition for operating as intended by management, when required, the cost also includes the estimated costs of dismantling and removal of the asset and for restoration of the site where it is located. See Note 16c.

The passive infrastructure of telecommunications towers is recorded at revalued value, which is its fair value at the time of revaluation less accumulated depreciation; if there is any loss or impairment, it must also be considered within its value. The revaluations will be calculated with sufficient regularity to ensure that the book value, every time, does not differ significantly from that which could be determined using the fair value at the end of the reporting period.

The increase resulting from a revaluation is recorded in other comprehensive income (OCI) and is accumulated in equity as a revaluation surplus. To the extent that there is a decrease in revaluation, it will be recognized in profit or loss, except to the extent that it compensates for an existing surplus on the same asset.

An annual transfer of the asset revaluation surplus and accumulated earnings is made to the extent that the asset is used, therefore, the surplus is equal to the difference between the depreciation calculated on the revalued value and the one calculated according to its original cost. These transfers do not record in the results for the period. A total transfer of the surplus may be made when the entity disposes of the asset.

ii) The net book value of property, plant and equipment is removed from the consolidated statements of financial position at the time the asset is sold or when no future economic benefits are expected from its use or sale. Any gains or losses on the sale of property, plant and equipment represent the difference between net proceeds of the sale and the net book value of the item at the time of sale, that are recognized as either other operating income or other operating expenses upon sale.

iii) The Company periodically assesses the residual values, useful lives and depreciation methods associated with its property, plant and equipment. If necessary, the effects of any changes in accounting estimates is recognized prospectively, at the closing of each period, in accordance with IAS 8, *“Accounting Policies, Changes in Accounting Estimates and Errors”*.

For property, plant and equipment made up of several components with different useful lives, the major individual components are depreciated over their individual useful lives. Maintenance costs and repairs are expensed as incurred.

Annual depreciation rates are as follows:

Network infrastructure	5%-33%
Buildings and leasehold improvement	2%-33%
Other assets	10%-50%

iv) The carrying value of property, plant and equipment is reviewed annually if there are indicators of impairment in such assets. If an asset's recovery value is less than the asset's net carrying value, the difference is recognized as an impairment loss.

During the years ended December 31, 2020, 2021 and 2022, no impairment losses were recognized.

v) Spare parts for network operation are recognized at cost.

The valuation of inventory for network considered obsolete, defective or slow-moving, is reduced to their estimated net realizable value. The estimate of the recovery value of inventories is based on their age and turnover.

k) Intangibles

i) Licenses

Licenses to operate wireless telecommunications networks granted by the governments of the countries in which the Company operates are recorded at acquisition cost or at fair value at their acquisition date, net of accumulated amortization. Certain licenses require payments to the governments, such payments are recognized in the cost of service and equipment.

The licenses that in accordance with government requirements are categorized as automatically renewable, for a nominal cost and with substantially consistent terms, are considered by the Company as intangible assets with an indefinite useful life. Accordingly, they are not amortized. Licenses are amortized when the Company does not have a basis to conclude that they are indefinite lived. Licenses are amortized using the straight-line method over a period ranging from 3 to 30 years, which represents the usage period of the assets.

The Company has conducted an internal analysis on the applicability of the International Financial Reporting Interpretation Committee (“IFRIC”) No. 12 (Service Concession Agreements) and has concluded that its concessions are outside the scope of IFRIC 12. To determine the applicability of IFRIC 12, the Company analyzes each concession or group of similar concessions in a given jurisdiction. As a threshold matter, the Company identifies those government concessions that provide for the development, financing, operation or maintenance of infrastructure used to render a public service, and that set out performance standards, mechanisms for adjusting prices and arrangements for arbitrating disputes.

With respect to those services, the Company evaluates whether the grantor controls or regulates (i) what services the operator must provide, (ii) to whom it must provide them and (iii) the applicable price (the “Services Criterion”). In evaluating whether the applicable government, as grantor, controls the price at which the Company provides its services, the Company looks at the terms of the concession agreement according to all applicable regulations. If the Company determines that the concession under analysis meets the Services Criterion, then the Company evaluates whether the grantor would hold a significant residual interest in the concession’s infrastructure at the end of the term of the arrangement.

ii) Trademarks

Trademarks acquired are measured on initial recognition at cost. The cost of trademarks acquired in a business combination is their fair value at the date of acquisition. The useful lives of trademarks are assessed as either definite or indefinite. Trademarks with finite useful lives are amortized using the straight-line method over a period ranging from 1 to 10 years. Trademarks with indefinite useful lives are not amortized but are tested for impairment annually at the cash generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable, if not, the change in useful life from indefinite to definite is made on a prospective basis.

iii) Irrevocable rights of use

Irrevocable rights of use are recognized according to the amount paid for the right and are amortized over the period in which they are granted.

The carrying values of the Company’s licenses and trademarks are reviewed annually and whenever there are indicators of impairment in the value of such assets. When an asset’s recoverable amount, which is the higher of the asset’s fair value, less disposal costs and its value in use (the present value of future cash flows), is less than the asset’s carrying value, the difference is recognized as an impairment loss.

iv) Customer relationships

The value of customer relations is determined and valued at the time that a new subsidiary is acquired, as determined by the Company with the assistance of independent appraisers and is amortized over a 5-year period.

During the years ended December 31, 2020, 2021 and 2022, no significant impairment losses were recognized for licenses, trademarks, irrevocable rights of use or customer relationships.

l) Impairment in the value of long-lived assets

The Company assesses the existence of indicators of impairment in the carrying value of long-lived assets, goodwill and intangible assets according to IAS 36 "*Impairment of assets*". When there are such indicators, or in the case of assets whose nature requires an annual impairment analysis (goodwill and intangible assets with indefinite useful lives), the Company estimates the recoverable amount of the asset, which is the higher of its fair value, less disposal costs, and its value in use. Value in use is determined by discounting estimated future cash flows, applying a pre-tax discount rate that reflects the time value of money and taking into consideration the specific risks associated with the asset. When the recoverable amount of an asset is below its carrying value, impairment is considered to exist. In this case, the carrying value of the asset is reduced to the asset's recoverable amount, recognizing the loss in results of operations for the respective period. Depreciation and/or amortization expense of future periods is adjusted based on the new carrying value determined for the asset over the asset's remaining useful life. Impairment is computed individually for each asset. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets.

In the estimation of impairments, the Company uses the strategic plans established for the separate cash-generating units to which the assets are assigned. Such strategic plans generally cover a period from 3 to 5 years. For longer periods, beginning in the fifth year, projections are based on such strategic plans while applying a constant or declining expected perpetual growth rate.

Key assumptions used in value in use calculations

The forecasts are made in real terms (net of inflation) and in the functional currency of the subsidiary as of December 31, 2022. Financial forecasts, premises and assumptions are similar to what any other market participant in similar conditions would consider, including the impact of the COVID-19 pandemic.

Local synergies, that any other market participant would not have taken into consideration to prepare similar forecasted financial information, have not been included.

The assumptions used to develop the financial forecasts were validated for each of the cash generating units ("CGUs"), typically identified by country and by service (in the case of Mexico) taking into consideration the following:

- Current subscribers and expected growth.
- Type of subscribers (prepaid, postpaid, fixed line, multiple services)
- Market environment and penetration expectations
- New products and services
- Economic environment of each country
- Expenses for maintaining the current assets
- Investments in technology for expanding the current assets
- Market consolidation and synergies

The foregoing forecasts could differ from the results obtained through time; however, the Company prepares its estimates based on the current situation of each of the CGUs.

The recoverable amounts are based on value in use. The value in use is determined based on the method of discounted cash flows. The key assumptions used in projecting cash flows are:

- Margin on EBITDA is determined by dividing EBITDA (operating income plus depreciation and amortization) by total revenues.
- Margin on CAPEX is determined by dividing capital expenditures (“CAPEX”) by total revenues.
- Pre-tax weighted average cost of capital (“WACC”) is used to discount the projected cash flows.

As discount rate, the Company uses the WACC which was determined for each of the cash generating units and is described in the following paragraphs.

The estimated discount rates to perform the IAS 36 “*Impairment of assets*”, impairment test for each CGU consider market participants assumptions. Market participants were selected taking into consideration size, operations and characteristics of the business that were similar to those of Company. These discount rates do not include inflation.

The discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and its operating segments. The WACC takes into account both debt and equity costs. The cost of equity is derived from the expected return on investment for each GCU. The cost of debt is based on the interest-bearing borrowings the Company is obliged to service. Segment-specific risk is incorporated by applying individual beta factors.

The beta factors are evaluated annually based on publicly available market data.

Market participant assumptions are important because, not only do they include industry data for growth rates, but also management assesses how the CGU’s position, relative to its competitors, might change over the forecasted period.

The most significant forward-looking estimates used for the 2021 and 2022 impairment evaluations are shown below:

	Average margin on EBIDTA	Average margin on CAPEX	Average pre-tax discount rate (WACC)
2021:			
Europe (7 countries)	31.60% - 45.32%	7.48% - 24.37%	2.91% - 9.83%
Brazil (fixed line, wireless and TV) . . .	41.37%	22.98%	4.62%
Puerto Rico	21.54%	14.36%	3.00%
Dominican Republic	52.02%	13.86%	5.84%
Mexico (fixed line and wireless)	36.21%	15.89%	6.24%
Ecuador	44.76%	12.48%	14.48%
Peru	36.63%	17.19%	3.99%
El Salvador	44.82%	24.25%	10.78%
Colombia	43.36%	23.18%	7.18%
Other countries	30.55% - 48.52%	4.91% - 30.03%	4.64% - 14.39%
2022:			
Europe (7 countries)	32.70% - 47.31%	7.7% - 21.1%	5.47% - 24.11%
Brazil (fixed line, wireless and TV) . . .	41.90%	19.62%	9.30%
Puerto Rico	26.98%	8.91%	6.14%
Dominican Republic	53.93%	13.82%	11.13%
Mexico (fixed line and wireless)	36.19%	18.61%	8.60%
Ecuador	47.14%	18.42%	20.13%
Peru	36.53%	21.05%	10.39%
El Salvador	45.18%	17.59%	22.37%
Colombia	42.25%	27.41%	13.70%
Other countries	32.92% - 49.54%	9.63% - 25.97%	9.16% - 29.94%

Sensitivity to changes in assumptions:

The implications of the key assumptions for the recoverable amount are discussed below:

Margin on CAPEX- The Company performed a sensitivity analysis by increasing its CAPEX by 5% and maintaining all other assumptions the same. The sensitivity analysis would require the Company to adjust the amount of its long-lived and indefinite-life assets in its CGUs with potential impairment of approximately Ps. 824,210.

WACC- Additionally, should the Company increase by 50 base points in WACC per CGU and maintain all other assumptions the same, results without impairment.

m) Right-of-use assets

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right-of-use assets

The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or

before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Assets	Useful life
Towers and sites	5 to 12 years
Property	10 to 25 years
Other equipment	5 to 15 years

The right-of-use assets are also subject to impairment test.

ii) Lease liabilities.

At the commencement date of the lease, the Company recognizes the lease liabilities measured at the present value of the lease payments to be made over the lease term. Lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or rate, and amounts expected to be paid under residual value guarantees. The lease payments also include payments of penalties for early termination of the lease, if the term of the lease reflects that the Company exercises the option to terminate early. The variable lease payments that do not depend on an index or a rate are recognized as an expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of the lease payments, the Company uses an incremental borrowing rate at the lease commencement date, if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of the lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed payments or change in the assessment to purchase the underlying asset.

iii) Short-term leases and leases of low value assets.

The Company applies the short-term lease recognition exemption for its leases of machinery and equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the recognition exemption lease of low-value assets (that is, below US\$ 5,000). Short-term lease payments and leases of low-value assets are recognized as expenses on straight-line basis over the lease term.

n) Financial assets and liabilities

Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them, with the exception of trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient, the Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)

- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortized cost (debt instruments)

The Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortized cost includes cash equivalents and receivables.

Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)

The Company measures debt instruments at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognized in the statements of profit or loss and computed in the same manner as for financial assets measured at amortized cost. The remaining fair value changes are recognized in OCI. Upon derecognition, the cumulative fair value change recognized in OCI is recycled to profit or loss.

Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under IAS 32 Financial Instruments: Presentation, and are not held for trading. The classification is determined on an instrument by instrument basis. More details of these investments are disclosed in Note 4 to the accompanying consolidated financial statements.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in the statements of profit or loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to

be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortized cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at fair value through profit or loss are carried in the statements of financial position at fair value with net changes in fair value recognized in the consolidated statements of comprehensive income within “Valuation of derivatives, interest cost from labor obligations and other financial items”.

Derecognition of financial assets

A financial asset is primarily derecognized when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a ‘pass-through’ arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Company has transferred its rights to receive cash flows from an asset or has entered into a passthrough arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognize the transferred asset to the extent of its continued involvement. In that case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Impairment of financial assets

The Company recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For some trade receivables and contract assets *based on available information*, the Company applies the simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Company has established a *loss rate approach* that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment, including the impact by the COVID-19 pandemic.

Financial liabilities

Initial recognition

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognized in the statements of profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in IFRS 9 are satisfied. The Company has not designated any financial liability as at fair value through profit or loss.

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statements of profit or loss.

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the consolidated statements of comprehensive income.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statements of financial position if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

o) Transactions in foreign currency

Transactions in foreign currency are initially recorded at the prevailing exchange rate at the time of the related transactions. Foreign currency denominated assets and liabilities are subsequently translated at the prevailing exchange rate at the financial statements reporting date. Exchange differences determined from the transaction date to the time foreign currency denominated assets and liabilities are settled or translated at the financial statements reporting date are charged or credited to the results of operations.

In determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which the Company initially recognizes the non-monetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, the Company determines the transaction date for each payment or receipt of advance consideration.

The exchange rates used for the translation of foreign currencies against the Mexican peso are as follows:

Country or Zone	Currency	Average exchange rate			Closing exchange rate at December 31,	
		2020	2021	2022	2021	2022
Argentina ⁽¹⁾	Argentine Peso (AR\$)	0.3070	0.2137	0.1586	0.2004	0.1096
Brazil	Real (R\$)	4.1850	3.7625	3.9045	3.6885	3.7209
Colombia	Colombian Peso (COP\$)	0.0058	0.0054	0.0048	0.0052	0.0040
Guatemala	Quetzal	2.7826	2.6212	2.5981	2.6666	2.4725
U.S.A. ⁽²⁾	US Dollar	21.4860	20.2769	20.1283	20.5835	19.4143
Uruguay	Uruguay Peso	0.5110	0.4655	0.4893	0.4605	0.4845
Nicaragua	Cordoba	0.6257	0.5765	0.5611	0.5795	0.5359
Honduras	Lempira	0.8678	0.8384	0.8171	0.8396	0.7853
Chile	Chilean Peso	0.0271	0.0268	0.0232	0.0244	0.0226
Paraguay	Guaraní	0.0032	0.0030	0.0029	0.0030	0.0026
Peru	Sol (PEN\$)	6.1483	5.2297	5.2454	5.1484	5.0823
Dominican Republic	Dominican Peso	0.3766	0.3540	0.3647	0.3570	0.3436
Costa Rica	Colon	0.0366	0.0325	0.0310	0.0319	0.0323
European Union	Euro	24.5080	23.9835	21.2285	23.4220	20.7830
Bulgaria	Lev	12.5284	12.2617	10.8523	11.9762	10.6188
Belarus	New Belarusian Ruble	8.8172	7.9932	7.3993	8.0279	7.0644
Croatia	Croatian Kuna	3.2498	3.1852	2.8173	3.1161	2.7584
Macedonia	Macedonian Denar	0.3975	0.3893	0.3445	0.3800	0.3378
Serbia	Serbian Denar	0.2083	0.2040	0.1807	0.1992	0.1772

- (1) Year-end rates are used for the translation of revenues and expenses if IAS 29 “*Financial Reporting in Hyperinflationary Economies*” is applied.

Financial reporting in hyperinflationary economies

Financial statements of Argentina subsidiaries are restated before translation to the reporting currency of the Company and before consolidation in order to reflect the same value of money for all items. Items recognized in the statements of financial position which are not measured at the applicable year-end measuring unit are restated based on the general price index. All non-monetary items measured at cost or amortized cost is restated for the changes in the general price index from the date of transaction or the last hyperinflationary calculation to the reporting date. Monetary items are not restated. All items of shareholders’ equity are restated for the changes in the general price index since their addition or the last hyperinflationary calculation until the end of the reporting period. All items of comprehensive income are restated for the change in a general price index from the date of initial recognition to the reporting date. Gains and losses resulting from the net-position of monetary items are reported in the consolidated

statements of operations in financial result in exchange differences. In accordance with IFRS, prior year financial statements were not restated.

(2) Includes U.S.A., Ecuador, El Salvador, Puerto Rico and Panama.

As of April 28, 2023, the exchange rate between the US dollar and the Mexican Peso was Ps. 18.0723. The appreciation of the Mexican peso against the US dollar represent 6.91% with respect to the year-end value.

p) Accounts payable, accrued liabilities and provisions

Liabilities are recognized whenever (i) the Company has current obligations (legal or assumed) resulting from a past event, (ii) when it is probable the obligation will give rise to a future cash disbursement for its settlement, and (iii) the amount of the obligation can be reasonably estimated.

When the effect of the time value of money is significant, the amount of the liability is determined as the present value of the expected disbursements to settle the obligation. The discount rate is determined on a pre-tax basis and reflects current market conditions at the financial statements reporting date and, where appropriate, the risks specific to the liability. Where discounting is used, an increase in the liability is recognized as finance expense.

Contingent liabilities are recognized only when it is probable, they will give rise to a future cash disbursement for their settlement.

q) Employee benefits

The Company has defined benefit pension plans for its subsidiaries Puerto Rico Telephone Company, Teléfonos de México, Claro S.A., and Telekom Austria. Claro S.A. also has medical plans and defined contribution plans and Telekom Austria provides retirement benefits to its employees under a defined contribution plan. The Company recognizes the costs of these plans based upon independent actuarial computations and are determined using the projected unit credit method. The latest actuarial computations were prepared as of December 31, 2022.

Mexico

Mexican subsidiaries have the obligation to pay seniority premiums to personnel based on the Mexican Federal Labor Law which also establishes the obligation to make certain payments to personnel who cease to provide services under certain circumstances. Pensions (for Telmex) and seniority premiums are determined based on the salary of employees in their final year of service, the number of years worked at and their age at the moment of retirement.

The costs of pensions, seniority premiums and severance benefits, are recognized based on calculations by independent actuaries using the projected unit credit method using financial hypotheses, net of inflation.

Telmex has established an irrevocable trust fund and makes annual contributions to that fund.

Puerto Rico

In Puerto Rico, the Company has noncontributing pension plans for full-time employees, which are tax qualified as they meet Employee Retirement Income Security Act of 1974 requirements.

The pension benefit is composed of two elements:

(i) An employee receives an annuity at retirement if they meet the rule of 85 (age at retirement plus accumulated years of service). The annuity is calculated by applying a percentage times year of services to the last three years of salary.

(ii) The second element is a lump-sum benefit based on years of service ranging from 9 to 12 months of salary. Health care and life insurance benefits are also provided to retirees under a separate plan (post-retirement benefits).

Brazil

Claro S.A. provides a defined benefit plan and post-retirement medical assistance plan, and a defined contribution plan, through a pension fund that supplements the government retirement benefit for certain employees.

Under the defined benefit plan, the Company makes monthly contributions to the pension fund equal to 17.5% of the employee's aggregate salary. In addition, the Company contributes a percentage of the aggregate salary base for funding the post-retirement medical assistance plan for the employees who remain in the defined benefit plan. Each employee makes contributions to the pension fund based on age and salary. All newly hired employees automatically adhere to the defined contribution plan and no further admittance to the defined benefit plan is allowed. For the defined contribution plan. See Note 18.

Austria

Telekom Austria provides retirement benefits to its employees under defined contribution and defined benefit plans.

The Company pays contributions to publicly or privately administered pension or severance insurance plans on mandatory or contractual basis. Once the contributions have been paid, the Company has no further payment obligations. The regular contributions are recognized as employee expenses in the year in which they are due.

All other employee benefit obligations provided in Austria are unfunded defined benefit plans for which the Company records provisions which are calculated using the projected unit credit method. The future benefit obligations are measured using actuarial methods on the basis of an appropriate assessment of the discount rate, rate of employee turnover, rate of compensation increase and rate of increase in pensions.

For severance and pensions, the subsidiary recognizes actuarial gains and losses in other comprehensive income. The re-measurement of defined benefit plans relates to actuarial gains and losses only as Telekom Austria holds no plan assets. Interest expense related to employee benefit obligations is reported in "Valuation of derivatives, interests cost from labor obligation and other financial items, net" in the statements of comprehensive income.

Other subsidiaries

For the rest of the Company's subsidiaries, there are no defined benefit plans or compulsory defined contribution structures. However, certain subsidiaries make contributions to national pension, social security and severance plans in accordance with the percentages and rates established by the applicable social security and labor laws of each country. Such contributions are made to the entities designated by the countries legislation and are recorded as direct labor expenses in the consolidated statements of comprehensive income as they are incurred.

Remeasurements of defined benefit plans, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding net interest and the return on plan assets (excluding net interest), are recognized immediately in the consolidated statements of financial position with a corresponding debit or credit to "Remeasurement of defined benefit plan" through OCI in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Past service costs are recognized in profit or loss on the earlier of:

- (i) The date of the plan amendment or curtailment, and
- (ii) The date that the Company recognizes restructuring-related costs

Net interest on liability for defined benefits is calculated by applying the discount rate to the net defined benefit liability or asset and it is recognized in the “valuation of derivatives, interest cost from labor obligations and other financial items” in the consolidated statements of comprehensive income. The Company recognizes the changes in the net defined benefit obligation under “Cost of sales and services” and “Commercial, administrative and general expenses” in the consolidated statements of comprehensive income.

Paid absences

The Company recognizes a provision for the cost of paid absences, such as vacation time, based on the accrual method.

r) Employee profit sharing (“EPS”)

EPS is paid by certain subsidiaries of the Company to its eligible employees. The Company has employee profit sharing in Mexico, Ecuador and Peru. In Mexico, employee profit sharing is computed at the rate of 10% on the individual subsidiaries taxable base adjusted for employee profit sharing purposes as provided by law.

Employee profit sharing is presented as an operating expense in the consolidated statements of comprehensive income.

The amendment to the Federal Labor Law in Mexico dated April 23, 2021 established a limit on the amount to be paid for profit sharing to employees, which indicates that the amount of EPS assigned to each employee may not exceed the equivalent of three months of the employee’s current salary, or the average EPS received by the employee in the previous three years, whichever is greater. If the EPS determined is less than or equal to this limit, the EPS will be determined by applying 10% of the individual company taxable income. If the EPS determined exceeds this limit, the limit would apply and this should be considered the EPS for the period.

s) Taxes

Income taxes

Current income tax payable is presented as a short-term liability, net of prepayments made during the year.

Deferred income tax is determined using the liability method based on the temporary differences between the tax values of the assets and liabilities and their book values at the consolidated financial statements reporting date.

Deferred tax assets and liabilities are measured using the tax rates that are expected to be in effect in the period when the asset will materialize or the liability will be settled, based on the enacted tax rates (and tax legislation) that have been enacted or substantially enacted at the financial statements reporting date. The value of deferred tax assets is reviewed by the Company at each financial statement reporting date and is reduced to the extent that it is more likely that the Company will not have sufficient future tax profits to allow for the realization of all or a part of its deferred tax assets. Unrecognized deferred tax assets are revalued at each financial statement reporting date and are recognized when it is more likely that there will be sufficient future tax profits to allow for the realization of these assets.

Deferred taxes relating to items recognized in Other Comprehensive Income are recognized together with the concept that generated such deferred taxes. Deferred taxes consequence on unremitted earnings from subsidiaries and associates are considered as temporary differences, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future. Taxes withheld on remitted foreign earnings are creditable against Mexican taxes, thus to the extent that a remittance is to be made, the deferred tax would be limited to the incremental difference between the Mexican tax rate and the rate of the remitting country. As of December 31, 2021 and 2022, the Company has not provided for any deferred taxes related to unremitted foreign earnings.

The Company offsets tax assets and liabilities if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority.

Sales tax

Revenues, expenses and assets are recognized net of the amount of sales tax, except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognized as part of the cost of acquisition of the asset or as part of the expense item, as applicable.
- Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the tax authorities is included as part of the current receivables or payables in the consolidated statements of financial position unless they are due in more than a year in which case they are classified as non-current.

Uncertainty over Income Tax Treatments

The acceptability of a particular tax treatment under tax law may not be known until the tax authority or courts of justice reach a decision in the future. Consequently, a dispute or inspection of a specific tax treatment by the tax authority could affect the accounting of the asset or liability for current or deferred taxes by the Company.

In accordance with IFRIC 23 *Uncertainty over Income Tax Treatments*, the Company determines each uncertain tax treatment based on the approach that best predicts the resolution of the uncertainty.

To determine the approach that best predicts the resolution of the uncertainty, the Company may consider, for example:

- (a) How does the Company prepare their income tax return and support such tax treatments and how it sustains the tax treatments
- (b) How does the Company expect that the tax authority carry-out its inspection and resolve the issues that arise from the aforementioned inspection.

The Company must disclose in the notes to the consolidated financial statements what is mentioned below:

- 1) The Company must determine whether the uncertain tax treatments will be evaluated separately or as a whole;
- 2) The Company will assume that the authority will examine the tax situation and will be aware of considering all information relevant to said treatment;
- 3) If it is concluded that it is unlikely that the authority will accept an uncertain fiscal position, the effect of the uncertainty will be reflected when determining its accounting fiscal position, estimating the effect based on the following methods:
 - a) Most probable quantity – is the only quantity in a range of possible outcomes that can be predicted by the resolution of the uncertainty; either
 - b) Expected value – is the value resulting from the sum of the different amounts weighted by their probability of occurrence, in a range of possible results. The expected value is the one that can best predict the resolution of the uncertainty, if there is a range of possible outcomes.

4) If the uncertain tax treatment affects the tax base for tax (caused) and deferred tax, the Company must make consistent judgments and estimates in the determination of both taxes; and

5) The Company must reassess a judgment or estimate of an uncertain tax treatment and its effects, if the facts and circumstances on which they were initially based change, or if new information arises that affects the judgment or estimate.

The effects should be recognized as a change in an accounting estimate based on the provision of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

t) Advertising

Advertising expenses are recognized as incurred. For the years ended December 31, 2020, 2021 and 2022, advertising expenses were Ps. 10,405,228 , Ps. 11,118,723 and Ps. 12,676,350 respectively, and are presented in the consolidated statements of comprehensive income in the caption “Commercial, administrative and general expenses”.

u) Earnings per share

Basic and diluted earnings per share are determined by dividing net profit of the year by the weighted-average number of shares outstanding during the year. In determining the weighted average number of outstanding shares, shares repurchased by the Company have been excluded.

v) Financial risks

The main risks associated with the Company’s financial instruments are: (i) liquidity risk, (ii) market risk (foreign currency exchange risk and interest rate risk) and (iii) credit risk and counterparty risk. The Board of Directors approves the policies submitted by management to mitigate these risks.

i) Liquidity risk

Liquidity risk is the risk that the Company may not meet its financial obligations associated with financial instruments when they are due. The Company’s financial obligations and commitments are included in Notes 14 and 17.

ii) Market risk

The Company is exposed to certain market risks derived from changes in interest rates and fluctuations in exchange rates of foreign currencies. The Company’s debt is denominated in foreign currencies, mainly in US dollars and euros, other than its functional currency. In order to reduce the risks related to fluctuations in the exchange rate of foreign currency, the Company uses derivative financial instruments such as cross-currency swaps and forwards to adjust exposures resulting from foreign exchange currency. The Company does not use derivatives to hedge the exchange risk arising from having operations in different countries.

Additionally, the Company occasionally uses interest rate swaps to adjust its exposure to the variability of the interest rates or to reduce their financing costs. The Company’s practices vary from time to time depending on judgments about the level of risk, expectations of change in the movements of interest rates and the costs of using derivatives. The Company may terminate or modify a derivative financial instrument at any time. See Note 7 for disclosure of the fair value of derivatives as of December 31, 2021 and 2022.

iii) Credit risk

Credit risk represents the loss that could be recognized in case the counterparties fail to comply with their contractual obligations.

The financial instruments that potentially represent concentrations of credit risk are cash and short-term deposits, trade accounts receivable and financial instruments related to debt and derivatives. The Company's policy is designed in order to limit its exposure to any one financial institution; therefore, the Company's financial instruments are contracted with several different financial institutions located in different geographic regions.

The credit risk in accounts receivable is diversified because the Company has a broad customer base that is geographically dispersed. The Company continuously evaluates the credit conditions of its customers and generally does not require collateral to guarantee collection of its accounts receivable. The Company monitors on a monthly basis its collection cycle to avoid deterioration of its results of operations.

A portion of the Company's cash surplus is invested in short-term deposits with financial institutions with high credit ratings.

iv) Sensitivity analysis for market risks

The Company uses sensitivity analysis to measure the potential losses based on a theoretical increase of 100 basis points in interest rates and a 5% fluctuation in exchange rates:

Interest rate

In the event that the Company's agreed-upon interest rates at December 31, 2022 increase/decrease by 100 basis points and a 6.33% fluctuation in exchange rates between the Mexican Peso and US Dollar, the net interest expense would increase by Ps.1,828,215 and (decrease) by Ps.(11,128,215), respectively.

Exchange rate fluctuations

Should the Company's debt at December 31, 2022 of Ps. 510,589,480, if suffer a 5% increase/(decrease) in exchange rates, the debt would increase/(decrease) by Ps. 536,118,954 and Ps. (485,060,006), respectively.

w) Derivative financial instruments

Derivative financial instruments are recognized in the consolidated statements of financial position at fair value. Valuations obtained by the Company are compared against those of the financial institutions with which the agreements are entered into, and it is the Company's policy to compare such fair value to a valuation provided by an independent pricing provider in case of discrepancies. Changes in the fair value of derivatives that do not qualify as hedging instruments are recognized immediately in the line "Valuation of derivatives, interest cost from labor obligations and other financial items, net".

The Company is exposed to interest rate and foreign currency risks, which tries to mitigate through a controlled risk management program that includes the use of derivative financial instruments. The Company principally uses to attempt to offset the risk of exchange rate and interest rate fluctuations. Additionally, for the years ended December 31, 2020, 2021 and 2022 certain of the Company's derivative financial instruments had been designated, and had qualified, as cash flow hedges. The effective portion of gains or losses on the cash flow derivatives is recognized in equity under the heading "Unrealized (loss) gain on equity investment at fair value", and the ineffective portion is charged to results of operations of the period.

x) Current versus non-current classification

The Company presents assets and liabilities in its consolidated statements of financial position based on current/non-current classification.

An asset is current when it is either:

- (i) Expected to be realized or intended to be sold or consumed in the normal operating cycle.
- (ii) Held primarily for the purpose of trading.
- (iii) Expected to be realized within twelve months after the reporting period.
- (iv) Cash and cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

A liability is current when:

- It is expected to be settled in the normal operating cycle.
- It is held primarily for the purpose of trading.
- It is due to be settled within twelve months after the reporting period.
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other assets and liabilities, including deferred income tax assets and liabilities, as non-current.

y) Presentation of consolidated statements of comprehensive income

The costs and expenses shown in the consolidated statements of comprehensive income are presented in combined manner (based on both their function and nature), which allows a better understanding of the components of the Company's operating income. This classification allows a comparison to the telecommunications industry.

The Company presents operating income in its consolidated statements of comprehensive income since it is a key indicator of the Company's performance. Operating income represents operating revenues less operating costs and expenses.

z) Operating segments

Segment information is presented based on information used by management in its decision-making processes. Segment information is presented based on the geographic areas in which the Company operates.

The management of the Company is responsible for making decisions regarding the resources to be allocated to the Company's different segments, as well as evaluating the performance of each segment. Intersegment revenues and costs, intercompany balances as well as investments in shares in consolidated entities are eliminated upon consolidation and reflected in the "eliminations" column in Note 23.

None of the segment's records revenue from transactions with a single external customer amounting to 10% or more of the revenues.

Aa) Convenience translation

The consolidated financial statements are stated in thousands of Mexican pesos ("Ps."); however, solely for the convenience of the readers, the consolidated statement of financial position as of December 31, 2022 and the consolidated statement of comprehensive income and consolidated statement of cash flows for the year ended December 31, 2022 were converted into U.S. dollars at the exchange rate of Ps. 19.4143 per U.S. dollar, which was the exchange rate at that date. This arithmetic conversion should not be construed as representations that the amounts expressed in Mexican pesos may be converted into U.S. dollars at that or any other exchange rate.

Ab) Significant accounting judgments, estimates and assumptions

In preparing its consolidated financial statements, the Company makes estimates concerning a variety of matters. Some of these matters are highly uncertain, and its estimates involve judgments it makes based on the available information. In the discussion below, the Company has identified several of these matters for which its financial statements would be materially affected if either (1) the Company uses different estimates that it could have reasonably used or (2) in the future América Móvil changes its estimates in response to changes that are reasonably likely to occur.

The following discussion addresses only those estimates that the Company considers most important based on the degree of uncertainty and the likelihood of a material impact had it used a different estimate. There are many other areas in which the Company uses estimates about uncertain matters, but the reasonably likely effect of changed or different estimates is not material to the financial presentation for those other areas.

Estimated useful lives of property, plant and equipment

The Company currently depreciates most of its network infrastructure based on an estimated useful life determined upon the expected particular conditions of operation and maintenance in each of the countries in which it operates. The estimates are based on AMX's historical experience with similar assets, anticipated technological changes and other factors, taking into account the practices of other telecommunications companies. The Company reviews estimated useful lives each year to determine, for each particular class of assets, whether they should be changed. The Company may shorten/extend the estimated useful life of an asset class in response to technological changes, changes in the market or other developments. This results in increased/decreased depreciation expense. See Note 10.

Revaluation of passive infrastructure of telecommunications towers

The Company recognizes the passive infrastructure of the telecommunication towers at fair value, recognizing the changes in OCI. The discounted cash flow model was used. The Company hired a valuation specialist with industry experience to measure fair values as of December 31, 2022

Impairment of Long-Lived Assets

The Company has large amounts of long-lived assets, including property, plant and equipment, intangible assets and goodwill on its consolidated statements of financial position. The Company is required to test long-lived assets for impairment when circumstances indicate a potential impairment or, in some cases, at least on an annual basis. The impairment analysis for long-lived assets requires the Company to estimate the recoverable amount of the asset, which is the higher of its fair value (minus any disposal costs) and its value in use. To estimate the fair value of a long-lived asset, the Company typically takes into account recent market transactions or, if no such transactions can be identified, the Company uses a valuation model that requires making certain assumptions and estimates. Similarly, to estimate the value in use of long-lived assets, the Company typically makes various assumptions about the future prospects for the business to which the asset relates, considers market factors specific to that business and estimates future cash flows to be generated by that business. Based on this impairment analysis, including all assumptions and estimates related thereto, as well as guidance provided by IFRS relating to the impairment of long-lived assets different assumptions and estimates could materially impact the Company's reported financial results. More conservative assumptions of the anticipated future benefits from these businesses could result in impairment charges, which would decrease net income and result in lower asset values on the consolidated statements of financial position. Conversely, less conservative assumptions could result in smaller or no impairment charges, higher net income and higher asset values. The key assumptions used to determine the recoverable amount for the Company's CGUs, are further explained in Notes 23, 10 and 11.

Deferred Income Taxes

The Company is required to estimate its income taxes in each of the jurisdictions in which it operates. This process involves the jurisdiction-by-jurisdiction estimation of actual current tax exposure and the assessment of temporary differences resulting from the differing treatment of certain items, such as accruals and amortization, for tax and financial reporting purposes, as well as net operating loss carry-forwards and other tax credits. These items result in deferred tax assets and liabilities as discussed in Note 2 s). The analysis is based on estimates of taxable income in the jurisdictions in which the Company operates and the period on which the deferred tax assets and liabilities will be recovered or settled. If actual results differ from these estimates, or the Company adjusts these estimates in future periods, its financial position and results of operations may be materially affected.

In assessing the future realization of deferred tax assets, the Company considers future taxable income, ongoing planning strategies and future results in its operations. In the event that the estimates of projected future taxable income are lowered, or changes in current tax regulations are enacted that would impose restrictions on the timing or extent of the ability to utilize the tax benefits of net operating loss carry-forwards in the future, an adjustment to the recorded amount of deferred tax assets would be made, with a related charge to income. See Note 13.

Accruals

Accruals are recorded when, at the end of the period, the Company has a present obligation as a result of past events, whose settlement requires an outflow of resources that is considered probable and can be measured reliably. This obligation may be legal or constructive, arising from, but not limited to, regulation, contracts, common practice or public commitments, which have created a valid expectation for third parties that the Company will assume certain responsibilities. The amount recorded is the best estimation performed by the Company's management in respect of the disbursement that will be required to settle the obligations, considering all the information available at the date of the financial statements, including the opinion of external experts, such as legal advisors or consultants. Accruals are adjusted to account for changes in circumstances for ongoing matters and the establishment of additional accruals for new matters.

If the Company is unable to reliably measure the obligation, no accrual is recorded, and information is then presented in the notes to its consolidated financial statements. Because of the inherent uncertainties in these estimations, actual expenditures may be different from the originally estimated amount recognized. See Note 16.

The Company is subject to various claims and contingencies related to tax, labor and legal proceedings as described in Note 17b).

Labor Obligations

The Company recognizes liabilities on its consolidated statements of financial position and expenses in its statements of comprehensive income to reflect its obligations related to its post-retirement seniority premiums, pension and retirement plans in the countries in which it operates and offer defined contribution and benefit pension plans. The amounts the Company recognizes are determined on an actuarial basis that involves estimations and accounts for post-retirement and termination benefits.

The Company uses estimates in four specific areas that have a significant effect on these amounts: (i) the rate of return the Company assumes its pension plans will earn on its investments, (ii) the salaries increase rate that the Company assumes it will observe in future years, (iii) the discount rates that the Company uses to calculate the present value of its future obligations and (iv) the expected inflation rate. The assumptions applied are further disclosed in Note 18. These estimates are determined based on actuarial studies performed by independent experts using the projected unit-credit method.

Ac) Discontinued operations

a) Claro Panama Disposal

On September 15, 2021, the Company announced that it had entered into an agreement with Cable & Wireless Panama, S.A., an affiliate of Liberty Latin America to sell its 100% interest in its subsidiary Claro Panama. The transaction excludes the telecommunications towers that are owned indirectly by the Company in Panama and the Claro trademarks. The agreed purchase price was US\$200 million, adjusted for net debt (cash/debt free basis). The closing of the transaction would be subject to customary conditions for this type of transaction, including obtaining regulatory authorizations. On July 1, 2022, the Company announced that it had completed the sale to Liberty Latin America of its 100% interest in Claro Panama.

The Company received an adjusted closing consideration of US\$ 116.7 million in cash, resulting in a net gain of Ps. 3,405,014, including a recycling income of accumulated foreign currency translation effect for an amount of Ps. 1,750,451. This gain has been recognized in profit after tax for the period from discontinued operations in the consolidated statement of comprehensive income. Therefore, Claro Panama is deconsolidated from the aforementioned date and no impairment loss was identified.

In accordance with IFRS 5 Non-current Assets Held For Sale and Discontinued Operations, Claro Panama was classified as discontinued operation for all the years presented in these consolidated financial statements; consequently, the results are presented in the loss after tax for the period from discontinued operations in the consolidated statements of comprehensive income. Therefore, the comparative figures in the consolidated statements of comprehensive income have been restated in consequence.

The deconsolidated assets and liabilities of Claro Panama as of the date of disposal were the following:

	As of July 1, 2022
Current assets:	
Cash	Ps. 24,202
Account receivable to subscribers, distributors and others Net	666,114
Inventories, net	169,851
Other assets, net	4,457
Total current assets	864,624
Non-current assets:	
Property, plant and equipment	1,102,062
Intangibles, net	1,810,964
Account receivables to subscribers, distributors and others, Net	42,368
Other assets, net	12,291
Right-of-use	975,019
Total assets	Ps.4,807,328
Short term liability related to right-of-use assets	Ps. 198,289
Accounts payable	576,522
Payable taxes	24,981
Related parties	1,159
Deferred income	126,904
Long term liability related to right-of-use assets	Ps. 855,969
Deferred income	129,062
Total liabilities	1,912,886
Net assets directly related to the Group's disposal	Ps.2,894,442

The results of discontinued operations for the year are shown below:

	For the years ended December 31,		July 1 st .
	2020	2021	2022
Operative revenue:			
Revenue services	Ps. 2,932,390	Ps. 2,667,497	Ps. 1,210,109
Sales of equipment	317,802	394,534	206,595
	3,250,192	3,062,031	1,416,704
Total costs and expenses	5,198,532	3,378,614	1,403,311
Operating profit	(1,948,340)	(316,583)	13,393
Financial costs	(117,300)	(89,974)	(39,538)
Gain on sale of discontinued operations	—	—	3,405,014
Profit before income taxes of discontinued operations	(2,065,640)	(406,557)	3,378,869
Income taxes:	14,713	5,297	—
Net profit of the period of discontinued operations	<u>Ps.(2,080,353)</u>	<u>Ps. (411,854)</u>	<u>Ps. 3,378,869</u>

b) TracFone Disposal

On September 14, 2021, the Company, announced that it had entered into an agreement with Verizon Communications Inc. (“Verizon”) to sell its 100% interest in its subsidiary TracFone Wireless, Inc. (“TracFone”), the largest mobile virtual prepaid service operator in the United States, serving 21 million subscribers. On November 23, 2021, the Company announced that it had completed the sale of its 100% interest in TracFone to Verizon.

AMX received a closing consideration of US\$3,625.7 million in cash, which includes US\$500.7 million related to TracFone’s closing cash and working capital, customary adjustment and other adjustments, and 57,596,544 shares of Verizon stock valued at approximately US\$2,968 million. Verizon has asserted post-closing claims under the adjustments and other provisions of this agreement, which may result in payments by the Company. Following the transaction closing, Verizon shall pay to AMX: (i) up to US\$500 million as an earn-out if TracFone continues to achieve certain performance measures during the 24 months following the closing, calculated and paid in four consecutive six-month periods, and (ii) US\$150 million deferred consideration payable within two years following the transaction closing. The earn-out was not recognized as gain by the Company, in accordance with IFRS 9 and 13 and IAS 37, since management does not believe the realization of income and the inflow of economic benefits are virtually certain.

TracFone was deconsolidated from that date resulting in a net gain of Ps. 106,527,287 including the recycling of foreign currency exchange losses accumulated in equity. This gain has been recognized under profit after tax from discontinued operations in the consolidated statements of comprehensive income. Furthermore, no impairment loss was identified. Moreover, TracFone had identifiable operations and cash flows and represented a separate geographical area. Therefore, in accordance with IFRS 5, TracFone was classified as discontinued operations for all years presented in these consolidated financial statements; results are accordingly presented in the profit after tax from discontinued operations in the consolidated statements of comprehensive income. The consolidated statements of comprehensive income comparative figures have therefore been restated accordingly.

All other notes to the consolidated financial statements include amounts for continuing operations, unless indicated otherwise.

Additionally, TracFone represented the U.S.A. segment until November 23, 2021. With TracFone being classified as discontinued operations, the U.S.A. segment is no longer presented in the segment note. The results of TracFone for the year are presented below:

	For the years ended December 31	
	2020	2021
Operating revenues:		
Service revenues	Ps. 149,376,532	Ps. 130,091,540
Sales of equipment	27,802,837	22,160,481
	177,179,369	152,252,021
Total costs and expenses	157,327,836	134,495,316
Operating income	19,851,533	17,756,705
Financial cost	(2,026)	(1,733)
Gain on disposal of discontinued operations	—	132,821,709
Profit before income tax discontinued operations	19,849,507	150,576,681
Tax expense:		
Related to pre-tax profit from the ordinary activities for the period	2,856,882	2,571,541
Related to gain on disposal from discontinued operations	—	26,294,422
Net profit for the year from discontinued operations	Ps. 16,992,625	Ps. 121,710,718

The assets and liabilities deconsolidated on the date of the disposal were as follows:

	November 23, 2021
Current assets	
Cash	Ps. 338,439
Subscribers, distributors, recoverable taxes, contract assets and other net	12,368,407
Inventories, net	9,604,658
Other current assets, net	389,052
Total current assets	22,700,556
Non-current assets:	
Property, plant and equipment	1,989,498
Intangibles, net	555,012
Goodwill	2,695,557
Deferred income taxes	1,094,756
Other assets, net	327,546
Rights of use	1,625
Total assets	Ps. 29,364,550
Short term liability related to right of use of assets	Ps. 1,625
Accounts payable	17,446,513
Income tax	3,267,585
Deferred revenue	13,187,667
Total liabilities	33,903,390
Net liability directly associated with disposal group	Ps. (4,538,840)

Furthermore, pursuant to the Stock Purchase Agreement, the Company agreed to indemnify Verizon against pre-closing tax matters. As of the closing, certain tax related matters had not been resolved, and Verizon has asserted post-closing claims under the adjustments and other provisions of this agreements, which may result in payments by us.

c) Joint Venture

On October 6, 2022, LLA and the Company announced that they completed the transaction to combine their operations in Chile (VTR and Claro Chile, respectively) in order to create a 50:50 joint venture called Claro Chile, SpA.

In accordance with IFRS 11, this transaction was classified as a joint venture, since both LLA and the Company exercise joint control over Claro Chile, SpA, and all relevant decisions require the consent of both parties. Consequently, in accordance with IFRS 5, Claro Chile's operations are classified as discontinued operations for all the years that are presented in the consolidated financial information and from that date they are recognized by applying the equity method. See Note 12b.

The results of discontinued operations are as follows:

	For the years ended as of December 31,		For the period ended as of October 6,
	2020	2021	2022
Operative revenue:			
Revenue services	Ps.17,521,377	Ps.17,276,464	Ps.10,500,087
Sales of equipment	3,536,505	4,508,925	2,626,823
	21,057,882	21,785,389	13,126,910
Total costs and expenses	22,418,969	22,892,415	14,954,526
Operating profit	(1,361,087)	(1,107,026)	(1,827,616)
Financial costs	(1,647,069)	(533,899)	(685,129)
Profit before income taxes of discontinued operations	(3,008,156)	(1,640,925)	(2,512,745)
Income taxes:	316,386	(4,578,004)	(1,805,500)
Net profit of the period of discontinued operations	<u>Ps. (3,324,542)</u>	<u>Ps. 2,937,079</u>	<u>Ps. (707,245)</u>

Note 3. Cash and Cash Equivalents

Cash and cash equivalents are comprised of short-term deposits with different financial institutions. Cash equivalents only include instruments with purchased maturity of less than three months. The amount includes the amount deposited, plus any interest earned.

Note 4. Equity and debt investments at fair value through OCI and other short/long-term investments

As of December 31, 2021 and 2022, equity investments at fair value through OCI and other short-term investments includes an equity investment in KPN for Ps. 56,087,598 and Ps. 44,371,166, respectively, other short-term investments for Ps. 15,026 in 2021, and an equity investment in Verizon for Ps. 61,600,578 and Ps. 44,056,945, respectively.

The investments in KPN, Verizon and others, are carried at fair value with changes in fair value being recognized through other comprehensive (loss) gain items (equity) in the Company's consolidated statements of financial

position. As of December 31, 2021 and 2022, the Company has recognized in equity changes in fair value of Ps. 4,560,869 and Ps. (4,707,276) respectively, net of deferred taxes.

As of December 31, 2022, the Company has recognized an income associated with the earn-out stipulated in the Verizon's contract, in accordance with IFRS 9 and 13 and IAS 37, of Ps. 4,271,250, which are included within "Valuation of derivatives, interest cost from labor obligations, and other financial items, net" in the consolidated statements of comprehensive income.

During the years ended December 31, 2020, 2021 and 2022, the Company received dividends from KPN for an amount of Ps. 2,119,668, Ps. 2,628,600 and Ps. 2,459,637, respectively, also for Verizon for an amount of Ps. 3,696,356 in December 31, 2022, which are included within "Valuation of derivatives, interest cost from labor obligations, and other financial items, net" in the consolidated statements of comprehensive income.

As of December 31, 2021 and 2022 long-term debt instrument at fair value through OCI for Ps. 6,894,757 and Ps. 6,981,149, respectively.

Note 5. Accounts receivable from subscribers, distributors, recoverable taxes contractual assets and other, net

a) An analysis of accounts receivable by component at December 31, 2021 and 2022 is as follows:

	At December 31,	
	2021	2022
Subscribers and distributors	Ps.157,433,609	Ps.154,659,093
Telecommunications carriers for network interconnection and other services	3,968,675	3,519,170
Recoverable taxes	43,734,164	46,947,187
Sundry debtors	15,573,586	16,528,588
Contract assets	30,901,277	28,573,717
Allowance of expected credit losses	(41,835,826)	(42,079,056)
Total net	Ps.209,775,485	Ps.208,148,699
Non-current subscribers, distributors and contractual assets	6,928,888	8,724,497
Total current subscribers, distributors and contractual assets	<u>Ps.202,846,597</u>	<u>Ps.199,424,202</u>

b) Changes in the allowance of the expected credit losses is as follows:

	For the years ended December 31,		
	(1) 2020	(1) 2021	2022
Balance at beginning of year	Ps.(39,480,909)	Ps.(44,551,735)	Ps.(41,835,826)
Increases recorded in expenses ⁽ⁱ⁾	(18,450,821)	(10,212,490)	(12,197,447)
Write-offs	11,953,227	11,682,343	9,162,382
Business combination	(2,066)	—	—
Translation effect	1,428,834	1,246,056	2,791,835
Balance at year end	<u>Ps.(44,551,735)</u>	<u>Ps.(41,835,826)</u>	<u>Ps.(42,079,056)</u>

(1) Restated by discontinued operations

i) Includes discontinued operation of TracFone, Panama and Chile in joint venture. See note 2Ac.

c) The following table shows the aging of accounts receivable at December 31, 2021 and 2022, for subscribers and distributors:

		Past due				
		Unbilled services				Greater than
Total		provided	a-30 days	31-60 days	61-90 days	90 days
December 31, 2021 . . .	Ps.157,433,609	Ps.69,082,837	Ps.35,694,272	Ps.4,533,604	Ps.2,645,034	Ps.45,477,862
December 31, 2022 . . .	Ps.154,659,093	Ps.66,839,514	Ps.31,726,606	Ps.4,099,261	Ps.2,574,082	Ps.49,419,630

d) The following table shows the accounts receivable from subscribers and distributors included in the allowance for expected credit losses of trade receivables, as of December 31, 2021 and 2022:

	Total	1-90 days	Greater than 90 days
December 31, 2021	Ps.41,835,826	Ps.4,183,583	Ps.37,652,243
December 31, 2022	Ps.42,079,056	Ps.4,207,906	Ps.37,871,150

e) An analysis of contract assets and liabilities at December 31, 2021 and 2022 is as follows:

	2021	2022
Contract Assets:		
Balance at the beginning of the year	Ps. 29,588,104	Ps. 30,901,277
Additions	31,758,626	28,262,872
Business combination	—	404,489
Disposals	(5,946,487)	(5,238,752)
Amortization	(25,354,712)	(22,926,487)
Translation effect	855,746	(2,829,682)
Balance at the end of the year	Ps. 30,901,277	Ps. 28,573,717
Non-current contract assets	Ps. 989,519	Ps. 880,860
Current portion contracts assets	Ps. 29,911,758	Ps. 27,692,857

Note 6. Related Parties

a) The following is an analysis of the balances with related parties as of December 31, 2021 and 2022. All of the companies were considered affiliates of América Móvil since the Company's principal shareholders are either direct or indirect shareholders in the related parties.

	2021	2022
Accounts receivable:		
Sears Roebuck de México, S.A. de C.V. and Subsidiaries	Ps. 339,366	Ps. 260,584
Sitios Latinoamérica, S.A.B. de C.V.	—	1,460,897
Sanborns Hermanos, S.A.	192,599	124,157
Patrimonial Inbursa, S.A.	145,676	166,366
Grupo Condumex, S.A. de C.V. and Subsidiaries	122,555	31,857
Hubard y Bourlon, S.A. de C.V.	52,026	—
Claroshop.com, S.A.P.I de C.V.	40,906	31,559
Other	265,483	211,793
Total	Ps.1,158,611	Ps.2,287,213
Accounts payable:		
Carso Infraestructura y Construcción, S.A. de C.V. and Subsidiaries	Ps.1,273,085	Ps.2,836,689
Grupo Condumex, S.A. de C.V. and Subsidiaries	1,709,487	2,036,371
Sitios Latinoamérica, S.A.B. de C.V.	—	960,244
Fianzas Guardiana Inbursa, S.A. de C.V.	385,287	437,428
Claroshop.com, S.A.P.I de C.V.	247,081	216,774
Grupo Financiero Inbursa, S.A.B. de C.V.	102,314	102,127
Seguros Inbursa, S.A. de C.V.	113,089	107,389
Sociedad Financiera Inbursa, S.A. de C.V.	80,382	13,058
PC Industrial, S.A. de C.V. and Subsidiaries	4,761	3,321
Enesa, S.A. de C.V. and Subsidiaries	9,384	3,854
Cicsa Perú, S.A.C.	—	256,344
Other	292,012	250,619
Total	Ps.4,216,882	Ps.7,224,218

For the years ended December 31, 2020, 2021 and 2022, the Company has not recorded any impairment of receivables in connection with amounts owed by related parties.

b) For the years ended December 31, 2020, 2021 and 2022, the Company conducted the following transactions with related parties:

	2020	2021	2022
Capex and expenses:			
Construction services, purchases of materials, inventories and property, plant and equipment ⁽ⁱ⁾	Ps. 7,130,769	Ps.13,524,989	Ps.13,107,483
Insurance premiums, fees paid for administrative and operating services, brokerage services and others ⁽ⁱⁱ⁾	4,375,113	4,336,133	3,490,596
Other services ⁽ⁱⁱⁱ⁾	1,101,528	1,636,402	1,890,921
	Ps.12,607,410	Ps.19,497,524	Ps.18,489,000
Revenues:			
Service revenues ^(iv)	Ps. 608,248	Ps. 714,148	Ps. 756,347
Sales of towers ^(v)	—	6,943,400	3,323,594
Sales of equipment	656,801	685,781	1,153,439
	Ps. 1,265,049	Ps. 8,343,329	Ps. 5,233,380

- i) In 2022, this amount includes Ps. 11,018,630 (Ps. 11,447,164 in 2021 and Ps. 5,312,845 in 2020) for network construction services and construction materials purchased from subsidiaries of Grupo Carso, S.A.B. de C.V. (Grupo Carso).
 - ii) In 2022, this amount includes Ps. 117,321 (Ps. 121,728 in 2021 and Ps. 203,013 in 2020) for network maintenance services performed by Grupo Carso subsidiaries; Ps. 16,556 in 2022 (Ps. 50,730 in 2021, and Ps. 13,490 in 2020) for software services provided by an associate; Ps. 3,281,176 in 2022 (Ps. 3,814,995 in 2021 and Ps. 2,713,370 in 2020) for insurance premiums with Seguros Inbursa S.A. and Fianzas Guardiana Inbursa, S.A., which, in turn, places most of such insurance with reinsurers.
 - iii) Includes tower rent payment with Telesites, S.A.B. de C.V. (Ps. 316,700 in 2022, and Ps. 19,300 in 2021) and rental payments to Sitios Latam.
 - iv) Includes revenue of administrative services with Sitios Latam. Additionally includes other operations described in note 15.
 - v) In November 2021, November 2022 and December 2022, Telmex through its subsidiaries sold towers to Telesites, S.A.B. de C.V. with a value of Ps. 6,943,400, Ps. 1,194,180 and Ps. 1,390,980 respectively. In addition, as of December 31, 2022, through our subsidiary in Peru, towers were sold to Sitios Latam. with a value of Ps. 738,434.
- c) The aggregate compensation paid to the Company's, directors (including compensation paid to members of the Audit and Corporate Practices Committee), and senior management in 2022 was approximately Ps. 5,900 and Ps. 96,900, respectively. None of the Company's directors is a party to any contract with the Company or any of its subsidiaries that provides for benefits upon termination of employment. The Company does not provide pension, retirement or similar benefits to its directors in their capacity as directors. The Company's executive officers are eligible for retirement and severance benefits required by Mexican law on the same terms as all other employees.
- d) Österreichische Bundes- und Industriebeteiligungen GmbH (ÖBIB) is considered a related party due to it is a significant non-controlling shareholder in Telekom Austria. Through Telekom Austria, América Móvil is related to the Republic of Austria and its subsidiaries, which are mainly ÖBB Group, ASFINAG Group and Post Group as well as Rundfunk und Telekom Regulierungs-GmbH, all of which these are related parties. In 2020, 2021 and 2022, none of the individual transactions associated with government agencies or government-owned entities of Austria were considered significant to América Móvil.

Note 7. Derivative Financial Instruments

To mitigate the risks of future increases in interest rates and foreign exchange rates for the servicing of its debt, the Company has entered into derivative contracts in over-the-counter transactions carried out with financial institutions. In 2022 the weighted-average interest rate of the total debt including the impact of interest rate derivatives held by the Company is 5.0% (3.1% and 3.5% in 2021 and 2020, respectively).

An analysis of the derivative financial instruments contracted by the Company at December 31, 2021 and 2022 is as follows:

Instrument	At December 31,			
	2021		2022	
	Notional amount in millions	Fair Value	Notional amount in millions	Fair Value
Assets:				
Swaps US Dollar – Mexican Peso	US\$ 1,890	Ps. 6,881,943	US\$ 140	Ps. 91,469
Swaps US Dollar – Euro	US\$ 150	307,646	US\$ 800	1,845,832
Swaps Yen – US Dollar	¥ 6,500	119,325	¥ 6,500	101,409
Swaps Pound Sterling – US Dollar	£ 100	99,463	—	—
Forwards US Dollar – Mexican Peso	US\$ 2,080	321,864	US\$ 100	6,636
Forwards Mexican Peso – US Dollar	MX\$ 35,419	1,635,087	—	—
Forwards Brazilian Real – US Dollar	BRL\$ 2,480	127,131	BRL\$2,899	225,933
Forwards Euro – US Dollar	—	—	€ 509	331,401
Put option	€ 374	638,347	—	—
Total Assets	—	Ps. 10,130,806		Ps. 2,602,680

Instrument	At December 31,			
	2021		2022	
	Notional amount in millions	Fair Value	Notional amount in millions	Fair Value
Liabilities:				
Swaps US Dollar – Mexican Peso	—	—	US\$ 1,750	Ps. (731,565)
Swaps US Dollar – Euro	US\$ 800	Ps. (1,270,005)	US\$ 150	(215,240)
Swaps Yen – US Dollar	¥ 6,500	(119,313)	¥ 6,500	(230,843)
Swaps Pound Sterling – Euro	£ 640	(1,924,941)	£ 640	(2,070,175)
Swap Pound Sterling – US Dollar	£ 1,460	(2,117,583)	£ 1,560	(11,507,501)
Swaps Euro – US Dollar	€ 495	(528,298)	€ 1,145	(3,474,154)
Swaps Euro – Mexican Peso	€ 750	(680,720)	€ 750	(2,880,279)
Forwards US Dollar – Mexican Peso	US\$ 1,175	(286,937)	US\$ 1,945	(783,334)
Forwards Brazilian Real – US Dollar	BRL\$ 4,021	(234,822)	BRL\$2,763	(122,201)
Forwards Euro – US Dollar	€ 815	(1,122,641)	€ 952	(915,854)
Forwards US Dollar – Euro	US\$ 8	(1,570)	—	—
Forwards Euro – Mexican Peso	€ 200	(22,182)	—	—
Put option	—	—	€ 374	(368,364)
Call option	€ 2,097	(1,725,495)	€ 2,097	(2,031,836)
Total Liabilities	—	Ps.(10,034,508)	—	Ps.(25,331,346)

* Totals may not sum due to rounding.

The changes in the fair value of these derivative financial instruments for the years ended December 31, 2020, 2021 and 2022 amounted to a gain (loss) of Ps. 12,378,193, Ps. (6,755,214) and Ps. (28,639,687), respectively. Such amounts are included in the consolidated statements of comprehensive income as part of the caption “Valuation of derivatives interest cost from labor obligations and other financial items, net”.

The maturities of the notional amount of the derivatives are as follows:

<u>Instrument</u>	<u>Notional amount in millions</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>	<u>2026</u>	<u>2027 Thereafter</u>
Assets						
Swaps US Dollar – Mexican Peso	US\$	—	—	—	—	140
Swaps Yen – US Dollar	¥	—	—	—	—	6,500
Swaps US Dollar – Euro	US\$	—	—	—	—	800
Forwards US Dollar – Mexican Peso	US\$	100	—	—	—	—
Forwards Brazilian Real – US Dollar	BRL\$	2,899	—	—	—	—
Forwards Euro – US Dollar	€	509	—	—	—	—
Liabilities						
Swaps US Dollar – Mexican Peso	US\$	—	—	—	—	1,750
Swaps US Dollar – Euro	US\$	—	—	—	—	150
Swaps Euro – US Dollar	€	320	175	—	—	650
Swaps Euro – Mexican Peso	US\$	750	—	—	—	—
Swaps Yen – US Dollar	¥	—	—	—	—	6,500
Swaps Sterling Pound – Euro	£	—	—	—	390	250
Swap Sterling Pound – US Dollar	£	—	—	—	110	1,450
Forwards US Dollar – Mexican Peso	US\$	1,945	—	—	—	—
Forwards US Dollar – Euro	US\$	890	62	—	—	—
Forwards Brazilian Real – US Dollar	BRL\$	2,763	—	—	—	—
Put option	€	374	—	—	—	—
Call Option	€	—	2,097	—	—	—

Note 8. Inventories, net

An analysis of inventories at December 31, 2021 and 2022 is as follows:

	<u>2021</u>	<u>2022</u>
Mobile phones, accessories, computers, TVs, cards and other materials	Ps. 26,131,521	Ps. 26,311,415
Less: Reserve for obsolete and slow-moving inventories	(1,946,211)	(2,316,282)
Total	<u>Ps. 24,185,310</u>	<u>Ps. 23,995,133</u>

For the years ended December 31, 2020, 2021 and 2022, the cost of inventories recognized in cost of sales was Ps. 111,186,855, Ps. 117,613,669 and Ps. 115,022,007 respectively.

Note 9. Other assets, net

An analysis of other assets at December 31, 2021 and 2022 is as follows:

	2021	2022
Current portion:		
Advances to suppliers (different from PP&E and inventories)	Ps. 7,474,932	Ps. 8,247,735
Prepaid insurance	1,749,589	1,988,713
Other	227,731	328,974
	<u>Ps. 9,452,252</u>	<u>Ps.10,565,422</u>
	2021	2022
Non-current portion:		
Recoverable taxes	Ps. 11,689,094	Ps. 9,363,682
Prepayments for the use of fiber optics	3,783,496	3,424,850
Judicial Deposits ⁽¹⁾	14,583,504	16,309,977
Prepaid expenses	9,899,996	10,483,113
Total	<u>Ps. 39,956,090</u>	<u>Ps.39,581,622</u>

For the years ended December 31, 2020, 2021 and 2022, amortization expense for other assets was Ps. 204,717 Ps. 442,098 and Ps.215,529, respectively.

- (1) Judicial deposits represent cash and cash equivalents pledged in order to fulfill the collateral requirements for tax contingencies mainly in Brazil. As of December 31, 2021 and 2022, the amount for these deposits is Ps. 14,583,504 and Ps. 16,309,977 respectively for Brazil. Based on its evaluation of the underlying contingencies, the Company believes that such amounts are recoverable. See Note 17 b).

Note 10. Property, Plant and Equipment, net

a) An analysis of activity in property, plant and equipment, net for the years, 2020, 2021 and 2022 is as follows:

	At December 31, 2019	Additions	Retirements	Business combinations	Revaluation adjustments	Transfers	Effect of translation of foreign subsidiaries and hyperinflation adjustment	Depreciation for the year ⁽³⁾	At December 31, 2020
Cost									
Network in operation and equipment	Ps. 990,673,603	Ps. 90,387,449	Ps. (19,574,391)	Ps. 996,974	Ps.107,152,628	Ps.(62,050,212)	Ps.(49,993,808)	Ps. —	Ps.1,057,592,243
Land and buildings	50,801,253	570,062	(2,853,037)	—	—	—	369,300	—	48,887,578
Other assets	162,340,564	17,474,218	(14,454,598)	55,848	—	—	(8,393,187)	—	157,022,845
Construction in process and advances plant suppliers ⁽¹⁾	81,539,174	59,635,316	(68,661,847)	1,099	—	—	(5,011,829)	—	67,501,913
Spare parts for operation of the network	34,233,093	30,721,413	(37,829,818)	—	—	—	(2,328,430)	—	24,796,258
Total	<u>1,319,587,687</u>	<u>198,788,458</u>	<u>(143,373,691)</u>	<u>1,053,921</u>	<u>107,152,628</u>	<u>(62,050,212)</u>	<u>(65,357,954)</u>	<u>—</u>	<u>1,355,800,837</u>
Accumulated depreciation									
Network in operation and equipment	580,370,101	—	(25,726,856)	—	—	(62,050,212) ⁽²⁾	(50,897,558)	89,571,831	531,267,306
Buildings	9,467,308	—	(1,663,796)	—	—	—	(622,253)	1,906,140	9,087,399
Other assets	90,332,191	—	(9,317,821)	—	—	—	(5,120,175)	16,549,822	92,444,017
Spare parts for operation of the network	74,717	—	(176,131)	—	—	—	38,898	135,000	72,484
Total	<u>Ps. 680,244,317</u>	<u>Ps. —</u>	<u>Ps. (36,884,604)</u>	<u>Ps. —</u>	<u>Ps. —</u>	<u>Ps.(62,050,212)</u>	<u>Ps.(56,601,088)</u>	<u>Ps. 108,162,793</u>	<u>Ps. 632,871,206</u>
Net Cost	<u>Ps. 639,343,370</u>	<u>Ps.198,788,458</u>	<u>Ps.(106,489,087)</u>	<u>Ps.1,053,921</u>	<u>Ps.107,152,628</u>	<u>Ps. —</u>	<u>Ps. (8,756,866)</u>	<u>Ps.(108,162,793)</u>	<u>Ps. 722,929,631</u>

- (1) Construction in progress includes fixed and mobile network facilities as well as satellite developments and fiber optic which is in the process of being installed
- (2) This transfer in 2020 relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

(3) Restated for discontinued operations

	At December 31, 2020	Additions	Retirements ⁽²⁾	Transfers	Effect of translation of foreign subsidiaries and hyperinflation adjustment	Depreciation for the year ⁽³⁾	At December 31, 2021
Cost							
Network in operation and equipment	Ps.1,057,592,243	Ps. 89,696,150	Ps. (45,044,049)	Ps. 53,531,590	Ps.(44,061,097)	Ps. —	Ps.1,111,714,837
Land and buildings	48,887,578	784,460	(473,785)	38,250	(1,216,894)	—	48,019,609
Other assets	157,022,845	10,782,903	(11,994,756)	(1,800,756)	(1,870,104)	—	152,140,132
Construction in process and advances plant suppliers ⁽¹⁾	67,501,913	83,366,813	(47,178,796)	(38,944,421)	(1,420,843)	—	63,324,666
Spare parts for operation of the network	24,796,258	46,909,494	(23,108,928)	(13,824,767)	(974,011)	—	33,798,046
Total	1,355,800,837	231,539,820	(127,800,314)	(1,000,104)	(49,542,949)	—	1,408,997,290
Accumulated depreciation							
Network in operation and equipment	531,267,306	—	(24,322,904)	638,066	(29,767,613)	96,857,203	574,672,058
Buildings	9,087,399	—	(219,030)	(221,937)	(667,957)	1,871,028	9,849,503
Other assets	92,444,017	—	(10,522,319)	549,855	(1,879,241)	12,667,367	93,259,679
Spare parts for operation of the network	72,484	—	(92,421)	—	(26,823)	66,131	19,371
Total	Ps. 632,871,206	Ps. —	Ps. (35,156,674)	Ps. 965,984	Ps.(32,341,634)	Ps. 111,461,729	Ps. 677,800,611
Net Cost	Ps. 722,929,631	Ps.231,539,820	Ps. (92,643,640)	Ps. (1,966,088)	Ps.(17,201,315)	Ps.(111,461,729)	Ps. 731,196,679

- (1) Construction in progress includes fixed and mobile network facilities as well as satellite developments and fiber optic which is in the process of being installed
- (2) Includes disposals related to the sale of TracFone. See Note 2Ac.
- (3) Restated for discontinued operations

	At December 31, 2021	Additions	Retirements ⁽²⁾	Business combinations ⁽³⁾	Revaluation adjustments ⁽⁵⁾	Transfer	Incorporation (merger, spin-off, sale) ⁽⁴⁾	Effect of translation of foreign subsidiaries and hyperinflation adjustment	Depreciation for the year	At December 31, 2022
Cost										
Network in operation and equipment	Ps.1,111,714,837	Ps. 56,307,013	Ps. (64,315,475)	Ps.1,415,252	Ps.(55,639,215)	Ps. 63,171,840	Ps.(18,399,253)	Ps.(68,236,057)	Ps. —	Ps.1,026,018,942
Land and buildings	48,019,609	596,165	(2,021,550)	—	—	737,667	—	(3,577,615)	—	43,754,276
Other assets	152,140,132	12,325,614	(13,642,510)	23,723	—	559,935	(698,522)	(5,468,249)	—	145,240,123
Construction in process and advances plant suppliers ⁽¹⁾	63,324,666	96,511,498	(49,559,746)	36,707	—	(48,393,706)	(72,194)	(2,027,587)	—	59,819,638
Spare parts for operation of the network	33,798,046	61,327,596	(30,957,726)	—	—	(19,923,388)	(6,995)	(1,879,058)	—	42,358,475
Total	Ps.1,408,997,290	Ps.227,067,886	Ps.(160,497,007)	Ps.1,475,682	Ps.(55,639,215)	Ps. (3,847,652)	Ps.(19,176,964)	Ps.(81,188,566)	Ps. —	Ps.1,317,191,454
Accumulated depreciation										
Network in operation and equipment	Ps. 574,672,058	Ps. —	Ps. (52,703,338)	Ps. —	Ps. (4,098,583)	Ps. (71,627)	Ps. 4,827,813	Ps.(52,313,781)	Ps. 95,577,534	Ps. 565,890,076
Buildings	9,849,503	—	(622,956)	—	—	47,578	(219,174)	(2,356,617)	1,701,274	8,399,608
Other assets	93,259,679	—	(9,711,246)	—	—	298,060	(8,940,398)	(3,146,276)	13,814,586	85,574,405
Spare parts for the operation of the network	19,371	—	(115,552)	—	—	—	6,717	(84,295)	274,914	101,155
Total	Ps. 677,800,611	Ps. —	Ps. (63,153,092)	Ps. —	Ps. (4,098,583)	Ps. 274,011	Ps. (4,325,042)	Ps.(57,900,969)	Ps. 111,368,308	Ps. 659,965,244
Net Cost	Ps. 731,196,679	Ps.227,067,886	Ps. (97,343,915)	Ps.1,475,682	Ps.(51,540,632)	Ps. (4,121,663)	Ps.(14,851,922)	Ps.(23,287,597)	Ps.(111,368,308)	Ps. 657,226,210

- (1) Construction in progress includes fixed and mobile network facilities as well as satellite developments and fiber optic which is in the process of being installed.
- (2) Includes disposals of Chile's separation process as a result of the Claro Chile, SpA joint venture. See Note 12b. Also includes disposals related to the sale of Claro Panama. See Note 2Ac and disposals related to the partial sale Claro Peru's towers to Sitios Latam as of December 31, 2022.
- (3) "Business Combination" includes the acquisition of Assets of Grupo Oi, Jonava and Ustore, in Brazil. See Note 12a.
- (4) "Incorporation (merger, spin-off, sale)" includes disposals associated as spin-off of assets to Sitios Latam described in Note 12d.

- (5) “Revaluation adjustments” include the surplus associated with the 29,090 telecommunications towers, for an amount of \$50,880,804 that was transferred as part of the spin-off of assets to Sitios Latam described in Note 12d.

The completion period of construction in progress is variable and depends upon the type of plant and equipment under construction.

b) Revaluation of telecommunications towers

The fair value of the passive infrastructure of telecommunications towers was determined using the “income approach” method through a discounted cash flow model (DCF) where, among others, inputs such as average rents per tower were used, contract term and discount rates considering market information.

As of December 31, 2020, date of the revaluation, the fair value of the passive infrastructure of the telecommunications towers was determined by a valuation specialist with experience in the industry. The change in revaluation was not material for recognition in 2021 and 2022.

c) Relevant information related to the computation of the capitalized borrowing costs is as follows:

	Year ended December 31,		
	2020	2021	2022
Amount invested in the acquisition of qualifying assets	Ps. 46,528,232	Ps. 38,573,605	Ps. 30,161,647
Capitalized interest	1,771,613	1,527,259	1,514,654
Capitalization rate	3.8%	4.0%	5.0%

Capitalized interest is being amortized over a period of estimated useful life of the related assets.

Note 11. Intangible assets, net and goodwill

a) An analysis of intangible assets at December 31, 2020, 2021 and 2022 is as follows:

	For the year ended December 31, 2020						
	Balance at beginning of year	Acquisitions	Acquisitions in business combinations	Disposals and other	Amortization of the year ⁽¹⁾	Effect of translation of foreign subsidiaries and Hyperinflation adjustment	Balance at end of year
Licenses and rights of use	Ps. 246,100,862	Ps.15,079,714	Ps. 4,436,313	Ps. 1,502,981	Ps. —	Ps.(14,029,709)	Ps. 253,090,161
Accumulated amortization	(134,667,883)	—	—	(165,803)	(14,002,802)	14,227,424	(134,609,064)
Net	111,432,979	15,079,714	4,436,313	1,337,178	(14,002,802)	197,715	118,481,097
Trademarks	27,419,008	162,309	12,110	4,000	—	1,534,938	29,132,365
Accumulated amortization	(23,930,299)	—	—	(136,028)	(168,975)	(1,119,645)	(25,354,947)
Net	3,488,709	162,309	12,110	(132,028)	(168,975)	415,293	3,777,418
Customer relationships	22,875,011	1,935	2,689,718	(5,763)	—	4,018,365	29,579,266
Accumulated amortization	(19,775,630)	—	—	(845,089)	(808,293)	(3,996,593)	(25,425,605)
Net	3,099,381	1,935	2,689,718	(850,852)	(808,293)	21,772	4,153,661
Software licenses	13,104,110	2,445,784	36	(2,485,429)	—	4,236,645	17,301,146
Accumulated amortization	(8,000,743)	—	—	2,013,617	(2,667,870)	(3,578,452)	(12,233,448)
Net	5,103,367	2,445,784	36	(471,812)	(2,667,870)	658,193	5,067,698
Content rights	10,160,182	1,570,415	—	(313,942)	—	619,657	12,036,312
Accumulated amortization	(8,115,229)	—	—	—	(1,440,749)	(503,241)	(10,059,219)
Net	2,044,953	1,570,415	—	(313,942)	(1,440,749)	116,416	1,977,093
Total of intangibles, net	Ps. 125,169,389	Ps.19,260,157	Ps. 7,138,177	Ps. (431,456)	Ps.(19,088,689)	Ps. 1,409,389	Ps. 133,456,967
Goodwill	Ps. 152,899,801	Ps. —	Ps.(7,014,120) ⁽²⁾	Ps. (537,343)	Ps. —	Ps. (2,295,479)	Ps. 143,052,859

- (1) Restated for discontinued operations of TracFone, Panama and the Claro Chile, SpA joint venture. See Note 2Ac.
(2) Corresponds to adjustments in Purchase Price allocation values, mainly for the spectrum licenses, in subsidiaries acquired during 2019.

For the year ended December 31, 2021

	Balance at beginning of year	Acquisitions	Disposals and other ⁽¹⁾	Amortization of the year ⁽²⁾	Effect of translation of foreign subsidiaries and Hyperinflation adjustment	Balance at end of year
Licenses and rights of use	Ps. 253,090,161	Ps.24,406,905	Ps.(4,427,685)	Ps. —	Ps.(7,011,691)	Ps. 266,057,690
Accumulated amortization	(134,609,064)	—	6,469,128	(14,387,511)	6,737,502	(135,789,945)
Net	118,481,097	24,406,905	2,041,443	(14,387,511)	(274,189)	130,267,745
Trademarks	29,132,365	75,100	(1,129,666)	—	(401,946)	27,675,853
Accumulated amortization	(25,354,947)	—	802,717	(140,205)	308,745	(24,383,690)
Net	3,777,418	75,100	(326,949)	(140,205)	(93,201)	3,292,163
Customer relationships	29,579,266	229,936	(4,133,408)	—	(1,105,668)	24,570,126
Accumulated amortization	(25,425,605)	—	3,830,742	(707,500)	1,093,401	(21,208,962)
Net	4,153,661	229,936	(302,666)	(707,500)	(12,267)	3,361,164
Software licenses	17,301,146	2,660,330	(3,484,755)	—	(1,225,585)	15,251,136
Accumulated amortization	(12,233,448)	(626)	3,482,440	(2,738,978)	1,052,938	(10,437,674)
Net	5,067,698	2,659,704	(2,315)	(2,738,978)	(172,647)	4,813,462
Content rights	12,036,312	818,436	(281,747)	—	429,319	13,002,320
Accumulated amortization	(10,059,219)	—	(147,668)	(899,666)	(404,537)	(11,511,090)
Net	1,977,093	818,436	(429,415)	(899,666)	24,782	1,491,230
Total of intangibles, net	Ps. 133,456,967	Ps.28,190,081	Ps. 980,098	Ps.(18,873,860)	Ps. (527,522)	Ps. 143,225,764
Goodwill	Ps. 143,052,859	Ps. —	Ps.(3,516,287)	Ps. —	Ps.(2,958,378)	Ps. 136,578,194

- (1) Includes disposals related to the sale of TracFone.
(2) Restated by discontinued operations of Panama and the Claro Chile, SpA joint venture. See Note 2. Ac.

For the year ended December 31, 2022

	Balance at beginning of year	Acquisitions	Acquisitions in business combinations	Disposals and other ⁽¹⁾	Amortization of the year ⁽²⁾	Effect of translation of foreign subsidiaries and Hyperinflation adjustment	Balance at end of year
Licenses and rights of use	Ps. 266,057,690	Ps. 2,656,914	Ps. 95,147	Ps.(1,785,196)	Ps. —	Ps.(11,475,085)	Ps. 255,549,470
Accumulated amortization	(135,789,945)	—	—	1,436,078	(13,323,410)	5,252,171	(142,425,106)
Net	130,267,745	2,656,914	95,147	(349,118)	(13,323,410)	(6,222,914)	113,124,364
Trademarks	27,675,853	183,631	40,412	(66,000)	—	(1,366,541)	26,467,355
Accumulated amortization	(24,383,690)	—	—	—	(110,974)	1,041,866	(23,452,798)
Net	3,292,163	183,631	40,412	(66,000)	(110,974)	(324,675)	3,014,557
Customer relationships	24,570,126	22,842	2,863,765	—	—	(3,267,041)	24,189,692
Accumulated amortization	(21,208,962)	—	—	(18)	(954,256)	2,831,217	(19,332,019)
Net	3,361,164	22,842	2,863,765	(18)	(954,256)	(435,824)	4,857,673
Software licenses	15,251,136	5,108,485	14,205	(797,084)	—	(3,358,767)	16,217,975
Accumulated amortization	(10,437,674)	—	—	976,417	(2,645,400)	2,591,274	(9,515,383)
Net	4,813,462	5,108,485	14,205	179,333	(2,645,400)	(767,493)	6,702,592
Content rights	13,002,320	874,961	—	(263,798)	—	(830,079)	12,783,404
Accumulated amortization	(11,511,090)	—	—	3,382	(881,352)	799,892	(11,589,168)
Net	1,491,230	874,961	—	(260,416)	(881,352)	(30,187)	1,194,236
Total of intangibles, net	Ps. 143,225,764	Ps. 8,846,833	Ps.3,013,529	Ps. (496,219)	Ps.(17,915,392)	Ps. (7,781,093)	Ps. 128,893,422
Goodwill	Ps. 136,578,194	Ps.14,447,186	Ps. 280,192	Ps.(2,230,610)	Ps. (149,696)	Ps. (7,803,901)	Ps. 141,121,365

- (1) Includes the transaction related to Panama and Chile disposal.
(2) Includes the discontinued operations of Panama and the Claro Chile, SpA joint venture. See Note 2, Ac.

b) The aggregate carrying amount of goodwill is allocated as follows:

	2021	2022
Europe	Ps. 52,307,190	Ps. 49,465,916
Brazil ⁽¹⁾	18,017,916	31,085,202
Puerto Rico	17,463,394	17,463,394
Dominican Republic	14,186,723	14,186,723
Colombia	11,685,585	8,495,090
Mexico	10,164,814	9,233,694
Peru	2,532,770	2,523,467
Chile ⁽²⁾	2,311,239	—
El Salvador	2,510,595	2,522,768
Ecuador	2,155,384	2,155,384
Guatemala	1,947,203	2,245,161
Other countries	1,295,381	1,744,566
	<u>Ps.136,578,194</u>	<u>Ps.141,121,365</u>

(1) Includes a goodwill as a result of the Jonava acquisition. See Note 12a.

(2) As a result of the Claro Chile, SpA joint venture, goodwill in Chile was unconsolidated. See Note 12b.

c) The following is a description of the major changes in the “Licenses and rights of use” caption during the years ended December 31, 2020, 2021 and 2022:

2020 Acquisitions

i) In February 2020, Comcel increased its licenses value by Ps. 9,246,825 for an auction of the 30 Mhz spectrum in the 2,500 band for a period of 20 years in accordance with resolution. 325,326 and 327 of February 20, 2020 issued by the Ministry of Information and Communication (MINTIC)

ii) In 2020, Telcel acquired licenses for an amount Ps. 1,806,875 for Axtel and Ultra Vision concession titles valid from 2020 to 2040.

iii) In January 2020, CTE acquired licenses by Ps. 620,052 for 12 pairs of frequencies, advance payment of Advanced Wireless Services (AWS) band and complementary payment of AWS band of block 4.

iv) In 2020, TAG acquired licenses for the right of us for Ps. 1,704,280, in Slovenia and VIP Movil 1940E.

v) Additionally, in 2020, the Company acquired other licenses in Puerto Rico, Argentina, Uruguay, Honduras, Paraguay, Brazil and other countries in the amount of Ps. 1,701,682.

2021 Acquisitions

i) In December the subsidiary Claro S.A. acquired a 5G license for Ps. 17,789,163 carried out by ANATEL in November 2021, for the sale of radio frequency bands. The total amount of this license was recorded in the intangibles line on December 31, 2021.

ii) During the year, AMX’s subsidiary in Austria acquired licenses for Ps. 1,752,128.

iii) In November, AMX’s subsidiary in the Dominican Republic acquired a 5G concession and right of operation until 2041 for an amount of Ps. 2,008,503.

iv) AMX's subsidiary in Colombia renewed spectrum at 5 MHZ in the 1900 MHZ band for an amount of Ps. 1,599,473 according to resolution 2802 of October 2021, and made acquisitions of terrestrial fiber optics and submarine cable valid for 2 and 3 years.

v) In February 2021, AMX's subsidiary in El Salvador acquired licenses for an amount of Ps.139,363. The concession is for 10 MHZ in the 1,900 mobile network bandwidth coverage in the national territory, exploitable as of February 28, 2021 with validity of 20 years.

vi) In February 2021, AMX's subsidiary in Chile acquired a concession for Ps. 411,375 for the Concession of Band 1900 MHZ with a term of 10 years.

Additionally, in 2021, the Company acquired other licenses in Mexico, Guatemala, Brazil, Ecuador, Peru, Argentina and other countries for an amount of Ps. 706,900

2022 Acquisitions

i) In August 2022, the Company obtained in Mexico, an extension of 9 spectrum frequency band concession titles, segment 1890-1895 MHz for mobile transmission and segment 1970-1975 MHz both for 20 years from April 2025, for an amount of Ps. 721,647.

ii) In March and September 2022, the Company made payments for a 2.5 MHz license in Argentina, which was obtained pursuant to resolution 3687 OC 4500114567 for Ps. 304,386 and resolution 1728/22-OC 4500137839 for an amount of Ps. 411,930 of ENACOM (the communications authority in Argentina), respectively.

iii) In May 2022, the Company's subsidiary in Nicaragua renewed mobile frequency for 20 years (2022 to 2042) for an amount of Ps. 357,478.

iv) In August 2022, the Company added licenses in Austria as of the acquisition of the Bulgarian company, Stemo (an IT company that sells and integrates hardware solutions, produces and implements information systems and software solutions). Additionally, during the year 2022, Telekom Austria Group acquired licenses and rights of use in Macedonia, Belarus and Austria for an amount of Ps. 331,038, mainly Jetstream (a data-storing platform primarily for streaming data such as IoT device or streaming video or streaming data from any source).

v) During 2022, Claro S.A. acquired software development Claro Pay platform for an amount of Ps. 321,569.

Additionally, in 2022, the Company acquired other licenses in the Dominican Republic, Paraguay, Costa Rica and Colombia for an amount of Ps. 208,866.

Amortization of intangibles for the years ended December 31, 2020, 2021 and 2022 amounted to Ps. 19,088,689, Ps. 18,873,860 and Ps. 18,065,088 respectively.

Some of the jurisdictions in which the Company operates can revoke their concessions under certain circumstances such as imminent danger to national security, national economy and natural disasters.

Note 12. Business combinations, acquisitions, non-controlling interest and spin-off

a) The following is a description of the major acquisitions of investments in associates and subsidiaries during the years ended December 31, 2021 and 2022:

Acquisitions 2021

i) The Company acquired an additional non-controlling interest in its entities for an amount of Ps.7,720.

Acquisitions 2022

i) On April 20, 2022, after receiving the necessary approvals from local regulators, the Company reported that its Brazilian subsidiary Claro S.A. completed the previously announced acquisition of 32% of Grupo Oi's mobile business in Brazil, through the acquisition of 100% of the shares of Jonava, it in accordance with the purchase agreement entered into between Grupo Oi as seller and Claro S.A. (as one of several buyers).

The final purchase price for the aforementioned acquisition was Ps. 14,232,166, net of cash acquired, of which an amount of Ps. 1,315,180 was withheld for price adjustment purposes and other conditions, in accordance with the purchase agreement. Additionally, Ps. 781,217 have been paid for transition services, which are provided by Grupo Oi to Claro S.A. during the following twelve months after the date of the transaction.

For Purchase Price Allocation, the Company determined the fair value of identifiable assets and liabilities based on fair values. Purchase accounting is substantially complete as of the date of consolidated financial statements and the value of assets acquired and liabilities assumed are as follows:

	2022 Figures at acquisition date
Current assets	Ps. 2,815,999
Other non-current assets	3,323
Intangible assets (excluding goodwill)	2,836,537
Property, plant and equipment	1,356,916
Right-of-use	4,247,397
Total acquired assets	11,260,172
Accounts payable	(10,848,303)
Other liabilities	(369,141)
Total assumed liabilities	(11,217,444)
Fair value of acquired assets and assumed liabilities – net of cash acquired	42,728
Acquisition price	14,232,166
Goodwill	Ps. 14,189,438

ii) During 2022, the Company has acquired through its subsidiaries other entities for which it has paid Ps. 670,051, net of cash acquired.

iii) The Company acquired an additional non-controlling interests in its entities for an amount of Ps. 39,596.

b) Joint Venture

On October 6, 2022, LLA and the Company announced that they completed the transaction to combine their operations in Chile (VTR and Claro Chile, respectively) in order to create a 50:50 joint venture called Claro Chile, SpA.

On the date of the joint venture's formation, the Company recognized a loss of Ps. 1,138,859, and recycled a loss of Ps. 8,251,782 from cumulative translation adjustment to net profit. The aforementioned loss was based on preliminary figures, since, as at the date of these consolidated financial statements, the Company continues to determine the fair value of its interest in this joint venture and is evaluating the available qualitative and quantitative information. In addition, at year-end, a loss in the application of the equity method was recognized in the amount of Ps. 1,924,040, corresponding to the last quarter of 2022.

Additionally, the effect of the transaction was classified as discontinued operations in these consolidated financial statements. See Note 2Ac.

c) Consolidated subsidiaries with non-controlling interests

The Company has control over Telekom Austria, which has a material non-controlling interest. Set out below is summarized information as of December 31, 2021 and 2022 of Telekom Austria's consolidated financial statements.

The amounts disclosed for this subsidiary are before inter-company eliminations and using the same accounting policies of América Móvil.

Selected financial data from the consolidated statements of financial position

	December 31,	
	2021	2022
Assets:		
Current assets	Ps. 39,781,192	Ps. 28,648,246
Non-current assets	142,407,870	126,125,904
Total assets	<u>Ps.182,189,062</u>	<u>Ps.154,774,150</u>
Liabilities and equity:		
Current liabilities	Ps. 68,795,807	Ps. 50,106,617
Non-current liabilities	58,312,238	47,420,775
Total liabilities	127,108,045	97,527,392
Equity attributable to equity holders of the parent	28,066,198	29,173,281
Non-controlling interest	27,014,819	28,073,477
Total equity	<u>Ps. 55,081,017</u>	<u>Ps. 57,246,758</u>
Total liabilities and equity	<u>Ps.182,189,062</u>	<u>Ps.154,774,150</u>

Summarized consolidated statements of comprehensive income

	For the year ended December 31,		
	2020	2021	2022
Operating revenues	Ps.111,472,191	Ps.113,838,487	Ps.105,956,057
Operating costs and expenses	98,312,325	98,346,896	89,800,536
Operating income	<u>Ps. 13,159,866</u>	<u>Ps. 15,491,591</u>	<u>Ps. 16,155,521</u>
Net income	<u>Ps. 7,787,388</u>	<u>Ps. 9,104,962</u>	<u>Ps. 11,795,662</u>
Total comprehensive income	<u>Ps. 12,103,406</u>	<u>Ps. 7,790,499</u>	<u>Ps. 6,127,362</u>
Net income attributable to:			
Equity holders of the parent	Ps. 3,986,412	Ps. 4,629,816	Ps. 6,000,942
Non-controlling interest	3,800,976	4,475,146	5,794,720
	<u>Ps. 7,787,388</u>	<u>Ps. 9,104,962</u>	<u>Ps. 11,795,662</u>
Comprehensive income attributable to:			
Equity holders of the parent	Ps. 6,172,737	Ps. 3,973,154	Ps. 3,124,955
Non-controlling interest	5,930,669	3,817,345	3,002,407
	<u>Ps. 12,103,406</u>	<u>Ps. 7,790,499</u>	<u>Ps. 6,127,362</u>

d) Spin-off of telecommunication towers to Sitios Latam

On August 8, 2022, the Company announced that it met the conditions and completed the necessary steps to spin-off its telecommunications towers and other related passive infrastructure in Latin America outside of Mexico, other than Colombia and the Company's telecommunications towers existing in Peru prior to the spin-off, and contribute to Sitios Latam a portion of the Company's capital stock, assets and liabilities, mainly consisting of the shares of the Company's subsidiaries holding telecommunications towers and other associated infrastructure in Latin America outside of Mexico, other than Colombia and the Company's telecommunications towers existing in Peru prior to the spin-off. On that date, such capital stock, assets and liabilities cease to be part of the unaudited interim condensed consolidated statement of financial position of the Company. The National Banking and Securities Commission authorized the registration of the shares of Sitios Latam, which allowed it to complete its listing process as a public company on September 29, 2022.

As of the spin-off effective date, the assets and liabilities of Sitios Latam no longer appear in the consolidated statement of financial position of the Company. The Company transferred assets of Ps. 102,609,435 mainly in property, plant and equipment, right of use and other assets and accounts receivable, Ps. 100,026,548 in debt, lease debt and other net liabilities, which resulted in net assets of Ps. 2,582,887.

The Company, through its subsidiaries, is party to lease agreements with Sitios Latam (its related party) for the use of the space on the towers. The typical term of our site agreements is either five or 10 years, which is a mandatory minimum, except when the underlying floor lease expires in less than the five- or 10-year term, as applicable, in which case the site agreement may expire simultaneously with the floor lease. In most cases, the site agreement is renewable at the customer's request.

Note 13. Income Taxes

As explained previously in these consolidated financial statements, the Company is a Mexican corporation which has numerous consolidated subsidiaries operating in different countries. Presented below is a discussion of income tax matters that relates to the Company's consolidated operations, its Mexican operations and significant foreign operations.

i) Consolidated income tax matters

The composition of income tax expense (benefit) for the years ended December 31, 2020, 2021 and 2022 is as follows:

	2020	2021	2022
Income Tax attributable to a continued operation			
In Mexico:			
Current year income tax	Ps.13,407,948	Ps.24,355,240	Ps.29,865,043
Deferred income tax	(9,334,246)	(5,079,397)	3,454,279
Foreign:			
Current year income tax	11,967,527	23,397,577	17,634,494
Deferred income tax	(2,863,058)	(9,955,943)	(4,909,727)
Total Income tax	<u>Ps.13,178,171</u>	<u>Ps.32,717,477</u>	<u>Ps.46,044,089</u>
Income Tax attributable to a discontinued operation			
Income tax discontinued operations in Mexico	—	26,294,422	—
Income tax discontinued operations Foreign ⁽¹⁾	2,525,783	7,144,249	1,805,500

(1) Includes effects related to the sale of TracFone, Panama and the Claro Chile, SpA joint venture. See Note 2Ac.

Deferred tax expense (benefit) related to items recognized in OCI during the year:

	For the years ended December 31,		
	2020	2021	2022
Remeasurement of defined benefit plans	Ps. 4,151,600	Ps.(4,760,089)	Ps. 2,651,922
Equity investments at fair value	(665,814)	583,892	8,364,109
Other	(35,670)	—	(30,336)
Revaluation assets	(29,922,597)	—	—
Deferred tax benefit recognized in OCI	<u>Ps.(26,472,481)</u>	<u>Ps.(4,176,197)</u>	<u>Ps.10,985,695</u>

In addition, deferred tax of Ps. 902,508 and Ps. 1,621,040 was transferred in 2022 and 2021, respectively, from revaluation surplus to retained earnings. This relates to the difference between the actual depreciation and equivalent depreciation based on cost.

A reconciliation of the statutory income tax rate in Mexico to the consolidated effective income tax rate recognized by the Company is as follows:

	Year ended December 31,		
	2020	2021	2022
Statutory income tax rate in Mexico	30.0%	30.0%	30.0%
Impact of non-deductible and non-taxable items:			
Tax inflation effects	7.9%	7.8%	7.2%
Derivatives	(0.9%)	(0.9%)	(0.2)%
Employee benefits	3.8%	2.6%	2.0%
Other	(3.1%)	(2.9%)	2.2%
Effective tax rate on Mexican operations	37.7%	36.6%	41.2%
Tax recoveries in Brazil	(11.9%)	(10.6%)	(2.2)%
Dividends received from associates Equity	(1.2%)	(0.7)%	(0.1)%
Foreign subsidiaries and other non-deductible items, net	0.5%	5.9%	(4.6)%
Effective tax rate from continuing operations	<u>25.1%</u>	<u>31.2%</u>	<u>34.3%</u>
Effective tax rate from discontinued operations	<u>(21.6)%</u>	<u>(16.4)%</u>	<u>(21.2)%</u>

An analysis of temporary differences giving rise to the net deferred tax assets is as follows:

	Consolidated statements of financial position		Consolidated statements of net income		
	2021	2022	2020	2021	2022
Provisions	Ps. 18,038,607	Ps. 18,813,454	Ps. 3,866,407	Ps. 1,812,523	Ps. 1,759,784
Deferred revenues	9,041,137	8,153,287	897,762	2,202,413	(688,767)
Tax losses carry forward	33,954,926	33,314,653	2,236,244	5,571,115	1,202,546
Property, plant and equipment ⁽¹⁾	(33,445,815)	(18,840,025)	3,990,750	8,016,244	1,696,734
Inventories	135,658	405,489	(2,394,485)	852,888	253,932
Licenses and rights of use ⁽¹⁾	(3,668,389)	(2,630,583)	344,729	480,502	229,244
Employee benefits	40,246,031	36,662,123	422,473	(354,802)	(6,148,504)
Other	13,520,684	22,537,353	2,833,424	(3,545,542)	3,150,479
Net deferred tax assets	Ps. 77,822,839	Ps. 98,415,751			
Deferred tax expense in net profit for the year			Ps. 12,197,304	Ps. 15,035,341	Ps. 1,455,448
Deferred tax discontinued operations			94,710	4,731,603	1,808,298

(1) As of December 31, 2021 and 2022, the balance included the effects of hyperinflation and revaluation of telecommunications towers.

Reconciliation of deferred tax assets and liabilities, net:

	2020	2021	2022
Opening balance as of January 1,	Ps. 88,074,856	Ps. 66,303,077	Ps. 77,822,839
Deferred tax benefit	12,292,014	19,623,461	1,455,448
Translation effect	375,105	(727,099)	(1,644,500)
Deferred tax benefit recognized in OCI	(26,472,481)	(4,176,197)	10,985,695
Deferred taxes acquired in business combinations	(2,580,552)	—	(11,571)
Hyperinflationary effect in Argentina	(5,385,865)	(3,540,962)	(942,751)
Disposals (Note 2Ac)	—	(1,203,203)	(3,856,459)
Spin Off	—	—	14,607,050
Related discontinued operation	—	1,543,762	—
Closing balance as of December 31,	Ps. 66,303,077	Ps. 77,822,839	Ps. 98,415,751
Presented in the consolidated statements of financial position as follows:			
Deferred income tax assets	Ps. 115,370,240	Ps. 127,287,934	Ps. 128,717,811
Deferred income tax liabilities	(49,067,163)	(49,465,095)	(30,302,060)
	Ps. 66,303,077	Ps. 77,822,839	Ps. 98,415,751

The deferred tax assets are in tax jurisdictions in which the Company considers that based on financial projections of its cash flows, results of operations and synergies between subsidiaries, will generate sufficient taxable income in subsequent periods to utilize or realize such assets.

The Company does not recognize a deferred tax liability related to the undistributed earnings of its subsidiaries, because it currently does not expect these earnings to be taxable or to be repatriated in the near future. The Company's policy has been to distribute the profits when it has paid the corresponding taxes in its home jurisdiction and the tax can be accredited in Mexico. The temporary differences associated with investments in the Group's subsidiaries, associate and joint venture, for which a deferred tax liability has not been recognized in the periods presented, aggregate to Ps 218,859,473 and Ps. 187,830,823 as of December 31, 2021 and 2022, respectively.

At December 31, 2021 and 2022, the balance of the contributed capital account (“CUCA”) is Ps. 612,351,412 and Ps. 654,631,901 respectively. Effectively, on January 1, 2014, the *Cuenta de Utilidad Fiscal Neta* (“CUFIN”) is computed on an América Móvil’s stand-alone basis. The balance of the América Móvil’s stand-alone basis CUFIN amounted to Ps. 431,249,107 and Ps. 533,076,863 as of December 31, 2021 and 2022, respectively.

During 2021, America Móvil sold 100% of its participation in Tracfone Wireless, Inc (Tracfone), virtual operator of the most important mobile prepaid services in USA to Verizon Communications Inc. (“Verizon”), tax profit of this transaction was Ps. 93,968,555.

ii) Significant foreign income tax matters

a) Results of operations

The foreign subsidiaries determine their taxes on profits based on their individual taxable income, in accordance with the specific tax regimes of each country.

The effective income tax rate for the Company’s foreign jurisdictions was 16.2% in 2020, 19.3% in 2021 and 17.4% in 2022. The statutory tax rates in these jurisdictions vary, although many approximate 10% to 35%. The primary difference between the statutory rates and the effective rates in 2020, 2021 and 2022 was attributable to dividends received from KPN, other non-deductible items, non-taxable income and tax recoveries in Brazil and registry of benefits related to tax losses credits in Brazil and Impairment related to subsidiaries in Europe.

a.1) In 2021, The Brazilian Federal Supreme Court’s (STF) ruled in favor of a third party’ thesis related to the unconstitutionality of incidence of the IRPJ (Income Tax in Brazil) and CSLL (Social Contribution over Net Profit in Brazil) on the amounts corresponding to the SELIC (Special settlement and custody system) rate received for repetition of the tax that should not be applicable, such thesis being similar to the thesis filed by subsidiaries of the Company in Brazil.

Given the more likely than not position of success of this lawsuit as consequence of the decision, with general repercussion, of the STF, Brazil updated its analysis, support documentation and forecast and recorded Ps. 2,647,919 (R\$703,761) of which Ps. 2,076,594 (R\$551,915) represent an excess on deferred IRPJ and CSLL and Ps. 571,325 (R\$151,846) represent an excess on current IRPJ and CSLL. The subsidiaries are waiting for the necessary procedural steps to continue, to start the compensation of such amounts.

a.2) In 2020, Claro S.A. began to use the tax benefit related to the ICMS Grant on TV based on Complementary Law 160/2017 and art. 30 of Law 12,973, as well as in recent interpretations on the subject, investment grants are not computed in determining actual profit in the amount of Ps. 1,721,453 (R\$411,336). In 2021 the tax benefit was Ps. 1,431,164 (R\$380,373) and 2022 Ps.1,163,081 (R\$297,880).

iii) Tax losses

a) At December 31, 2022, the available tax loss carryforwards recorded in deferred tax assets are as follows on a country by country basis:

<u>Country</u>	<u>Gross balance of available tax loss carryforwards at December 31, 2022</u>	<u>Tax-effected loss carryforward benefit</u>
Brazil	Ps. 72,498,097	Ps.24,649,353
Mexico	26,969,956	8,090,987
Europe	1,882,415	470,604
Peru	345,697	103,709
Total	<u>Ps.101,696,165</u>	<u>Ps.33,314,653</u>

b) The tax loss carryforwards in the different countries in which the Company operates have the following terms and characteristics:

bi) The Company has accumulated Ps. 72,498,097 in net operating loss carryforwards (NOL's) in Brazil as of December 31, 2022. In Brazil, there is no expiration of the NOL's. The NOL's amount used against taxable income in each year may not exceed 30% of the taxable income for such year.

The Company believes that it is more likely than not that the accumulated balances of its net deferred tax assets are recoverable, based on the positive evidence of the Company to generate future taxable income related to the same taxation authority which will result in taxable amounts against which the available tax losses can be utilized before they expire.

bii) The Company has accumulated Ps. 26,969,956 in tax losses in Mexico. The company estimates that there is positive evidence that allows it to use these losses, these should be reduced to the extent that it is considered likely that there will not be sufficient taxable profits to allow them to recover in full or in part, the losses will only be compensated when there is a right legally required and are approved by the tax authorities in Mexico.

biii) The Company has accumulated Ps. 1,882,415 in NOL's in Europe as of December 31, 2022. In Europe, the NOL's have no expiration, but its annual usage is limited to 75% of the taxable income of the year. The realization of deferred tax assets is dependent upon the expected generation of future taxable income during the periods in which these temporary differences become deductible.

biv) The Company has tax losses reserved as of December 31 2022 for an amount of Ps. 14,701,405, which correspond to Telmex and Brazil.

iv) Optional regime

The Mexican Tax Law establishes an optional regime for group companies called: Optional Regime for Groups of Companies. For these purposes, the integrating (controlling) company must own more than 80% of the shares with voting rights of the integrated (controlled) companies. In general terms, the Integration regime allowed deferral, for each of the companies that make up the group, and for up to three years, or sooner if certain assumptions are made, the whole of the income tax that results from considering the determination of the individual income tax to its charge is the effect derived from recognizing, indirectly, the tax losses incurred by the companies in the group for the year in question.

On December 19, 2019, the integrating company submitted to the Mexican tax authorities, the notice to end to belong under the Optional Regime for Groups of Companies, which implied a payment made in January 2020 related to the deferred income tax for the years 2016-2018. From the year 2020, the group is taxable under the General Regime for Legal Persons.

vi) Limiting interest deductions

The Mexican Tax Law establishes since 2020 new rules related to the limit on interest deductions, in concordance with the action 4 of Base Erosion and Profit Shifting (BEPS) project issued by the Organization for Economic Co-operation and Development (OECD), from which Mexico is member.

In general terms, each Mexican companies should calculate an adjusted Tax EBITDA, whose amount times the corporate income tax, will be the interest limit allowed to be deducted in each tax year. It is important to mention that the amount that was not deductible could be carryforward in the following ten years.

vi) Revaluation of telecommunications towers

Deferred taxes related to the revaluation of the passive infrastructure of the telecommunications towers have been calculated at the tax rate of the jurisdiction in which the subsidiaries are located.

Note 14. Debt

a) The Company's short- and long-term debt consists of the following:

At December 31, 2021				(Thousands of Mexican pesos)
Currency	Loan	Interest rate	Maturity	Total
Senior Notes				
U.S. dollars				
	Fixed-rate Senior notes (i)	3.625%	2029	Ps. 20,583,500
	Fixed-rate Senior notes (i)	2.875%	2030	20,583,500
	Fixed-rate Senior notes (i)	6.375%	2035	20,199,206
	Fixed-rate Senior notes (i)	6.125%	2037	7,599,943
	Fixed-rate Senior notes (i)	6.125%	2040	41,167,000
	Fixed-rate Senior notes (i)	4.375%	2042	23,671,025
	Fixed-rate Senior notes (i)	4.375%	2049	25,729,375
	Subtotal U.S. dollars			Ps. 159,533,549
Mexican pesos				
	Fixed-rate Senior notes (i)	6.450%	2022	Ps. 22,500,000
	Fixed-rate Senior notes (i)	7.125%	2024	11,000,000
	Domestic Senior notes (i)	0.000%	2025	5,284,885
	Fixed-rate Senior notes (i)	8.460%	2036	7,871,700
	Domestic Senior notes (i)	8.360%	2037	5,000,000
	Subtotal Mexican pesos			Ps. 51,656,585
Euros				
	Fixed-rate Senior notes (i)	4.000%	2022	Ps. 17,566,473
	Fixed-rate Senior notes (i)	3.500%	2023	7,026,589
	Fixed-rate Senior notes (i)	3.259%	2023	17,566,474
	Fixed-rate Senior notes (i)	1.500%	2024	19,908,670
	Exchangeable Bond (i)	0.000%	2024	49,115,860
	Fixed-rate Senior notes (i)	1.500%	2026	17,566,473
	Fixed-rate Senior notes (i)	0.750%	2027	23,421,965
	Fixed-rate Senior notes (i)	2.125%	2028	15,224,277
	Subtotal Euros			Ps. 167,396,781
Pound sterling				
	Fixed-rate Senior notes (i)	5.000%	2026	Ps. 13,924,738
	Fixed-rate Senior notes (i)	5.750%	2030	18,102,159
	Fixed-rate Senior notes (i)	4.948%	2033	8,354,843
	Fixed-rate Senior notes (i)	4.375%	2041	20,887,106
	Subtotal Pound sterling			Ps. 61,268,846
Brazilian reais				
	Debentures (i)	CDI + 0.960%	2022	Ps. 9,221,172
	Promissory notes (i)	106.000% of CDI	2022	7,376,937
	Debentures (i)	106.500% of CDI	2022	3,688,469
	Subtotal Brazilian reais			Ps. 20,286,578
Other currencies				
Japanese yen				
	Fixed-rate Senior notes (i)	2.950%	2039	Ps. 2,325,617
	Subtotal Japanese yen			Ps. 2,325,617
Chilean pesos				
	Fixed-rate Senior notes (i)	3.961%	2035	Ps. 3,776,051
	Subtotal Chilean pesos			Ps. 3,776,051
	Subtotal other currencies			Ps. 6,101,668
Hybrid Notes				
Euros				
	Euro NC10 Series B Capital Securities (iii)	6.375%	2073	Ps. 12,882,081
	Subtotal Euros			Ps. 12,882,081
	Subtotal Hybrid Notes			Ps. 12,882,081

At December 31, 2021				(Thousands of Mexican pesos)
Currency	Loan	Interest rate	Maturity	Total
Lines of Credit and others				
U.S. dollars	Lines of credit (ii)	0.350% - 0.700%	2022	Ps. 14,723,980
Euros	Lines of credit (ii)	(0.400%) - (0.450%)	2022	Ps. 18,737,572
Mexican pesos	Lines of credit (ii)	TIIE + 0.280% - TIIE + 0.400%	2022	Ps. 34,080,000
Peruvian soles	Lines of credit (ii)	0.976% - 1.045%	2022	Ps. 9,815,068
Chilean pesos	Lines of credit (ii)	TAB + 0.450%	2022	Ps. 7,419,372
	Financial Leases	8.700% - 8.970%	2022 - 2027	Ps. 47,743
Others	Lines of credit (ii)	15.790%	2022	Ps. 80,279
Subtotal Lines of Credit and others				Ps. 84,904,014
Total debt				Ps.564,030,102
Less: Short-term debt and current portion of long-term debt				Ps.145,222,672
Long-term debt				Ps.418,807,430
As of December 31, 2022				(Thousands of Mexican pesos)
Currency	Loan	Interest rate	Maturity	Total
Senior Notes				
U.S. dollars	Fixed-rate Senior notes (i)	3.625%	2029	Ps. 19,414,300
	Fixed-rate Senior notes (i)	2.875%	2030	19,414,300
	Fixed-rate Senior notes (i)	4.700%	2032	14,560,725
	Fixed-rate Senior notes (i)	6.375%	2035	19,051,835
	Fixed-rate Senior notes (i)	6.125%	2037	7,168,245
	Fixed-rate Senior notes (i)	6.125%	2040	38,741,430
	Fixed-rate Senior notes (i)	4.375%	2042	22,326,445
	Fixed-rate Senior notes (i)	4.375%	2049	24,267,875
Subtotal U.S. dollars				Ps.164,945,155
Mexican pesos	Domestic Senior notes (i)	TIIE + 0.050%	2024	Ps. 1,920,231
	Fixed-rate Senior notes (i)	7.125%	2024	11,000,000
	Domestic Senior notes (i)	0.000%	2025	5,683,928
	Domestic Senior notes (i)	TIIE + 0.300%	2025	335,731
	Domestic Senior notes (i)	9.520%	2032	14,679,166
	Fixed-rate Senior notes (i)	8.460%	2036	7,871,700
	Domestic Senior notes (i)	8.360%	2037	4,964,352
	Domestic Senior notes (i)	4.840%	2037	7,099,289
Subtotal Mexican pesos				Ps. 53,554,397
Euros	Commercial Paper (iv)	2.020%	2023	Ps. 519,575
	Commercial Paper (iv)	2.010%	2023	1,039,150
	Commercial Paper (iv)	2.270%	2023	519,575
	Commercial Paper (iv)	2.150%	2023	519,575
	Fixed-rate Senior notes (i)	3.500%	2023	6,234,902
	Fixed-rate Senior notes (i)	3.259%	2023	15,587,256
	Exchangeable Bond (i)	0.000%	2024	43,581,968
	Fixed-rate Senior notes (i)	1.500%	2024	17,665,557
	Fixed-rate Senior notes (i)	1.500%	2026	15,587,256
	Fixed-rate Senior notes (i)	0.750%	2027	15,708,525
	Fixed-rate Senior notes (i)	2.125%	2028	12,395,194
Subtotal euros				Ps.129,358,533

As of December 31, 2022				(Thousands of Mexican pesos)
Currency	Loan	Interest rate	Maturity	Total
Pound Sterling				
	Fixed-rate Senior notes (i)	5.000%	2026	Ps. 11,729,149
	Fixed-rate Senior notes (i)	5.750%	2030	15,247,894
	Fixed-rate Senior notes (i)	4.948%	2033	7,037,490
	Fixed-rate Senior notes (i)	4.375%	2041	17,593,724
	Subtotal Pound Sterling			Ps. 51,608,257
Brazilian reais				
	Debentures (i)	CDI + 1.350%	2023	Ps. 9,302,135
	Promissory Notes (i)	CDI + 1.000%	2023	2,976,683
	Debentures (i)	CDI + 1.400%	2024	15,813,630
	Debentures (i)	CDI + 1.370%	2025	5,581,281
	Subtotal Brazilian reais			Ps. 33,673,729
Other currencies				
Japanese yen				
	Fixed-rate Senior notes (i)	2.950%	2039	Ps. 1,924,847
	Subtotal Japanese yen			Ps. 1,924,847
Chilean pesos				
	Fixed-rate Senior notes (i)	4.000%	2035	Ps. 3,964,099
	Subtotal Chilean pesos			Ps. 3,964,099
	Subtotal other currencies			Ps. 5,888,946
Lines of Credit and others				
U.S. dollars				
	Lines of credit (ii)	5.050%	2023	Ps. 491,750
Euros				
	Lines of credit (ii)	2.083% - 2.650%	2023 - 2024	17,052,458
Mexican pesos				
	Lines of credit (ii)	TIIE + 0.280% - TIIE + 0.580%	2023	43,580,000
Peruvian Soles				
	Lines of credit (ii)	6.00%	2023	4,142,056
Colombian pesos				
	Lines of credit (ii)	IBR + 2.25%	2023	165,479
Brazilian reais				
	Lines of credit (ii)	13.32%	2023	6,105,177
Others				
	Lines of credit (ii)	11.00%	2023	23,543
	Subtotal Lines of Credit and others			Ps. 71,560,463
	Total debt			Ps. 510,589,480
	Less: Short-term debt and current portion of long-term debt			Ps. 102,024,414
	Long-term debt			Ps. 408,565,066

L = LIBOR (London Interbank Offered Rate)

TIIE = Mexican Interbank Rate

CDI = Brazil Interbank Deposit Rate

TAB = Chilean weighted average funding rate

IBR = Colombia Reference Bank Indicator

Interest rates on the Company's debt are subject to fluctuations in international and local rates. The Company's weighted average cost of borrowed funds as of December 31, 2021, and December 31, 2022 was approximately 3.78% and 5.38%, respectively.

Such rates do not include commissions or the reimbursements for Mexican tax withholdings (typically a tax rate of 4.9%) that the Company must pay to international lenders.

An analysis of the Company's short-term debt maturities as of December 31, 2021, and December 31, 2022, is as follows:

	2021	2022
Obligations and Senior Notes	Ps. 60,353,052	Ps. 36,698,853
Lines of credit	84,856,270	65,325,561
Financial Leases	13,350	0.00
Subtotal short term debt	Ps.145,222,672	Ps.102,024,414
Weighted average interest rate	4.02%	8.50%

The Company's long-term debt maturities are as follows:

Years	Amount
2024	Ps. 96,216,288
2025	11,600,939
2026	27,316,405
2027 and thereafter	273,431,434
Total	Ps.408,565,066

(i) Senior Notes

The outstanding Senior Notes as of December 31, 2021, and December 31, 2022, are as follows:

Currency*	2021	2022
U.S. dollars	Ps.159,533,549	Ps.164,945,155
Mexican pesos	51,656,585	53,554,397
Euros	167,396,781	129,358,533
Pound sterling	61,268,846	51,608,257
Brazilian reais	20,286,578	33,673,729
Japanese yens	2,325,617	1,924,847
Chilean pesos	3,776,051	3,964,099

* Thousands of Mexican pesos

* Includes secured and unsecured senior notes.

On November 28, 2022, under the current Domestic Senior Notes program with a notional value up to Ps. 50,000 million, the Company issued Notes for Ps. 24,002 million in four tranches, AMX 22, AMX 22-2, AMX 22X (sustainability linked) and AMX 22UX (sustainability linked).

(ii) Lines of credit

As of December 31, 2021, and December 31, 2022, debt under lines of credit amounted in the aggregate to Ps. 84,856 million and Ps. 71,560 million, respectively. Telekom Austria closed December 2022 with an aggregate debt of Ps. 17,076 million under lines of credit.

The Company has two revolving syndicated credit facilities, one for the Euro equivalent of U.S. \$1,500 million and the other for U.S. \$2,500 million maturing in 2026 and 2024, respectively. As long as the facilities are committed, a commitment fee is paid. As of December 31, 2022, these credit facilities are undrawn. Telekom Austria has an undrawn revolving syndicated credit facility in Euros for €1,000 million that matures in 2026.

(iii) Hybrid Notes

The Company completed a tender offer to purchase for cash any or all outstanding securities of its €550 million hybrid notes due 2073 (callable in May 2023). At the settlement date, the Company repurchased 88.6% of such securities, and the remaining principal amount was redeemed at par.

(iv) Commercial Paper

In August 2020, the Company established a new Euro-Commercial Paper program for a total amount of €2,000 million. As of December 31, 2022, debt under this program amounted to Ps. 2,598 million.

Restrictions

A portion of the Company's debt is subject to certain covenants with respect to maintaining certain financial measures, as well as restrictions on selling a significant portion of groups of assets, among others. As of December 31, 2022, the Company was in compliance with all of these covenants.

A portion of the Company's debt is also subject to mandatory or optional redemption at the option of the holders in the event of a change in control of the Company, as defined in each relevant instrument. The definition of change in control varies from instrument to instrument; however, no change in control shall be considered to have occurred as long as its current shareholders continue to hold the majority of the Company's voting shares.

Covenants

In accordance with the credit agreements, the Company is obligated to comply with certain financial and operating covenants. Such covenants limit in certain cases, the ability of the Company or the guarantor to: pledge assets, carry out certain types of mergers, sell all or substantially all of its assets, and sell control of Telcel.

Such covenants do not restrict the ability of AMX's subsidiaries to pay dividends or other payment distributions to AMX. The more restrictive financial covenants require the Company to maintain a consolidated ratio of debt to EBITDA (defined as operating income plus depreciation and amortization) that does not exceed 4 to 1, and a consolidated ratio of EBITDA to interest paid that is not below 2.5 to 1 (in accordance with the clauses included in the credit agreements).

Several of the financing instruments of the Company may be accelerated, at the option of the debt holder in the case that a change in control occurs.

As of December 31, 2022, the Company was in compliance with all of such covenants.

Note 15. Liability related to right of use of assets

The Company has lease contracts for various items of towers & sites, property and other equipment used in its operations. Towers and sites generally have lease terms for 10 years, while property and other equipment generally have lease terms between 5 and 25 years.

At December 31, 2020, 2021 and 2022 the right-of-use assets and lease liabilities are as follows:

	Right-of-use assets				Liability related to right-of-use of assets
	Towers & Sites	Property	Other equipment	Total	
As of January 1, 2020	Ps.96,102,449	Ps.17,439,370	Ps.4,461,404	Ps.118,003,223	Ps.120,596,733
Additions and release ⁽¹⁾	5,745,869	309,576	1,514,519	7,569,964	4,833,959
Modifications	8,559,335	(3,035,831)	1,048,858	6,572,362	7,769,326
Depreciation ⁽¹⁾	(20,672,460)	(3,235,914)	(2,850,847)	(26,759,221)	—
Interest expense	—	—	—	—	8,800,153
Payments	—	—	—	—	(29,623,565)
Translation adjustment	(4,516,318)	728,234	378,600	(3,409,484)	(3,049,365)
Balance at December 31, 2020	<u>Ps.85,218,875</u>	<u>Ps.12,205,435</u>	<u>Ps.4,552,534</u>	<u>Ps.101,976,844</u>	<u>Ps.109,327,241</u>

(1) Restated for discontinued operations

	Right-of-use assets				Liability related to right-of-use of assets
	Towers & Sites	Property	Other equipment	Total	
As of January 1, 2021	Ps.85,218,875	Ps.12,205,435	Ps.4,552,534	Ps.101,976,844	Ps.109,327,241
Additions and release ⁽¹⁾	3,145,941	482,456	1,052,022	4,680,419	3,060,042
Modifications	10,945,985	1,024,573	998,161	12,968,719	12,535,394
Depreciation ⁽¹⁾	(19,849,598)	(3,086,201)	(2,589,506)	(25,525,305)	—
Interest expense	—	—	—	—	7,129,251
Payments	—	—	—	—	(30,544,750)
Translation adjustment	(2,904,175)	(689,558)	(134,551)	(3,728,284)	(2,852,953)
Balance at December 31, 2021	<u>Ps.76,557,028</u>	<u>Ps.9,936,705</u>	<u>Ps.3,878,660</u>	<u>Ps.90,372,393</u>	<u>Ps. 98,654,225</u>

(1) Restated for discontinued operations

	Right-of-use assets				Liability related to right-of-use of assets
	Towers & Sites	Property	Other equipment	Total	
As of January 1, 2022	Ps. 76,557,028	Ps. 9,936,705	Ps. 3,878,660	Ps. 90,372,393	Ps. 98,654,225
Additions and release ⁽¹⁾	42,958,221	574,801	5,463,706	48,996,728	44,134,101
Business combinations	4,247,042	318	5,413	4,252,773	9,129,255
Modifications	11,859,492	3,584,607	1,790,905	17,235,004	19,038,741
Depreciation	(22,858,868)	(3,369,095)	(2,756,898)	(28,984,861)	—
Interest expense	—	—	—	—	8,903,397
Payments	—	—	—	—	(33,823,287)
Disposals ⁽²⁾	(696,904)	(88,303)	(36,694)	(821,901)	(1,044,480)
Transfers ⁽³⁾	(165,779)	(126,763)	(112,301)	(404,843)	(438,571)
Translation adjustment	(5,680,583)	(1,289,832)	(1,800,782)	(8,771,197)	(10,404,570)
Balance at December 31, 2022	<u>Ps.106,219,649</u>	<u>Ps. 9,222,438</u>	<u>Ps. 6,432,009</u>	<u>Ps.121,874,096</u>	<u>Ps.134,148,811</u>

(1) The increase as compared to the previous year, was due to rights of use and their corresponding liability with Sitios Latam, resulting from the spin-off occurred in August 2022.

(2) Disposals includes the Panama disposal. See Note 2Ac.

(3) Transfers includes the Claro Chile, SpA joint venture. See Note 12b.

At December 31, 2021 and 2022, the total of the right-of-use assets include an amount of Ps. 14,785,012 and Ps. 64,582,841, corresponding to related parties, respectively and the total of lease liabilities include an amount of Ps. 16,212,629 and Ps. 65,686,036 corresponding to related parties, respectively.

The lease debt of the Company is integrated according to its maturities as follows:

	2021	2022
Short term	Ps.27,632,357	Ps. 32,902,237
Long term	71,021,868	101,246,574
Total	Ps.98,654,225	Ps.134,148,811

The Company's long-term debt maturities as of December 31, 2022 are as follows:

Year ended December 31,	
2024	Ps. 7,958,375
2025	10,209,699
2026	20,897,718
2027	14,326,772
2028	17,580,798
2029 and thereafter	30,273,212
Total	Ps.101,246,574

During the years ended December 31, 2020, 2021 and 2022, the Company recognized expenses as follows:

	2020		
	Others	Related parties	Total
Depreciation expense of right-of-use assets ⁽¹⁾	Ps.22,404,924	Ps.4,354,297	Ps.26,759,221
Interest expense on lease liabilities ⁽¹⁾	7,081,693	1,718,460	8,800,153
Expense relating to short-term leases	32,238	—	32,238
Expense relating to leases of low-value assets	2,883	—	2,883
Variable lease payments	78,494	—	78,494
Total	Ps.29,600,232	Ps.6,072,757	Ps.35,672,989

(1) Restated for discontinued operations

	2021		
	Others	Related parties	Total
Depreciation expense of right-of-use assets ⁽²⁾	Ps.19,932,317	Ps.5,592,988	Ps.25,525,305
Interest expense on lease liabilities ⁽²⁾	6,212,774	916,477	7,129,251
Expense relating to short-term leases	29,833	—	29,833
Expense relating to leases of low-value assets	685	—	685
Variable lease payments	68,236	—	68,236
Total	Ps.26,243,845	Ps.6,509,465	Ps.32,753,310

(2) Restated for discontinued operations

	2022		
	Others	Related parties	Total
Depreciation expense of right-of-use assets	Ps.18,095,871	Ps.10,888,990	Ps.28,984,861
Interest expense on lease liabilities	6,395,988	2,507,409	8,903,397
Expense relating to short-term leases	24,234	—	24,234
Expense relating to leases of low-value assets ...	886	—	886
Variable lease payments	65,520	—	65,520
Total	Ps.24,582,499	Ps.13,396,399	Ps.37,978,898

Impact on accounting for changes in lease payments applying the exemption.

Based on the information available for evaluation as of the date of adoption, the effect of applying this amendment to IFRS 16 Covid-19 Related Rent Concessions in the Company's consolidated financial statements as of December 31, 2022 was Ps. 37,642, reflecting an adjustment to accrued liability for leases and recognizing a benefit in the income statement for the period.

Note 16. Accounts payable, accrued liabilities and asset retirement obligations

a) The components of the accounts payable are as follows:

	At December 31,	
	2021	2022
Suppliers	Ps. 87,942,106	Ps. 69,238,025
Sundry creditors	107,111,390	95,270,108
Interest payable	6,827,225	6,671,247
Guarantee deposits from customers	1,577,424	833,424
Dividends payable	3,029,536	2,459,965
Total	<u>Ps.206,487,681</u>	<u>Ps.174,472,769</u>

b) The balance of accrued liabilities at December 31, 2021 and 2022 are as follows:

	At December 31,	
	2021	2022
Current liabilities		
Direct employee benefits payable	Ps.20,052,946	Ps.20,964,474
Provisions	34,338,518	35,850,857
Total	<u>Ps.54,391,464</u>	<u>Ps.56,815,331</u>

The movements in contingencies for the years ended December 31, 2021 and 2022 are as follows:

	Balance at December 31, 2020	Effect of translation	Increase of the year	Applications		Balance at December 31, 2021
				Payments	Reversals	
Contingencies	<u>Ps.31,326,691</u>	<u>Ps.1,556,950</u>	<u>Ps.7,425,182</u>	<u>Ps.(4,079,190)</u>	<u>Ps.(1,891,115)</u>	<u>Ps.34,338,518</u>

	Balance at December 31, 2021	Effect of translation	Increase of the year	Applications		Balance at December 31, 2022
				Payments	Reversals	
Contingencies	<u>Ps.34,338,518</u>	<u>Ps.1,430,535</u>	<u>Ps.5,236,368</u>	<u>Ps.(3,864,013)</u>	<u>Ps.(1,290,551)</u>	<u>Ps.35,850,857</u>

Provisions and contingencies include tax, labor, regulatory and other legal type contingencies. See Note 17 b) for detail of contingencies.

c) The movements in the asset retirement obligations for the years ended December 31, 2021 and 2022 are as follows:

	Balance at December 31, 2020	Effect of translation	Increase of the year	Applications		Balance at December 31, 2021
				Payments	Reversals	
Asset retirement obligations	Ps.17,887,991	Ps.(910,181)	Ps.1,273,201	Ps.(148,634)	Ps.(1,350,154)	Ps.16,752,223

	Balance at December 31, 2021	Business combination	Spin-off effect ⁽²⁾	Effect of translation	Increase of the year	Applications		Balance at December 31, 2022
						Payments	Reversals ⁽¹⁾	
Asset retirement obligations	Ps.16,752,223	Ps.156,578	Ps.(4,257,531)	Ps.(1,138,217)	Ps.350,802	Ps.(201,523)	Ps.(862,335)	Ps.10,799,997

(1) Reversals includes the sale of Claro Panama and Claro Chile disposal as a joint venture. See Note 12b.

(2) See Note 12d.

The discount rates used for the asset retirement obligation are based on market rates that are expected to be undertaken by the dismantling or restoration of cell sites and may include labor costs.

Note 17. Commitments and Contingencies

a) Commitments

The Company and its subsidiaries have commitments that mature on different dates, related to committed capital expenditures.

As of December 31, 2022, the total amounts equivalent to the contract period are detailed below:

Year ended December 31,	
2023	Ps. 944,948
2024	15,568,565
2025	3,231,796
2026	3,190,572
2027 and 2028	6,386,664
2029 and thereafter	14,894,378
Total	Ps.44,216,923

b) Provisions and Contingencies

Contingencies

In each of the countries in which we operate, we are party to legal proceedings in the ordinary course of business. These proceedings include tax, labor, antitrust, contractual matters and administrative and judicial proceedings concerning regulatory matters regarding interconnection and tariffs. The following is a description of our material legal proceedings.

(1) Telcel Mobile Termination Rates

The mobile termination rates between Telcel and other network operators have been the subject of various legal proceedings. With respect to interconnection fees for 2018, 2019, 2020, 2021, 2022 and 2023, Telcel has challenged the applicable resolutions and final resolutions are pending.

Given that the “zero rate” that prevented Telcel from charging termination rates in its mobile network was held unconstitutional by the Supreme Court (*Suprema Corte de Justicia de la Nación* or “SCJN”), the IFT has determined asymmetric interconnection rates for the termination of traffic in Telcel’s and other operators’ networks for 2018, 2019, 2020, 2021, 2022 and 2023. The resolutions setting such rates have been challenged by Telcel, and final resolutions are pending.

The Company expects that mobile termination rates, as well as other rates applicable to mobile interconnection (such as transit), will continue to be the subject of litigation and administrative proceedings. The Company cannot predict when or how these disputes will be resolved or the financial effects of any such resolutions.

(2) Telcel Class Action Lawsuit

A class action lawsuit was filed against Telcel by customers allegedly affected by Telcel’s quality of service and wireless and broadband rates continues in process. At this stage, the Company cannot assess whether this class action lawsuit could have an adverse effect on the Company’s business and results of operations in the event that it is resolved against Telcel, due to uncertainty about the factual and legal claims underlying this proceeding. Consequently, the Company has not established a provision in the accompanying consolidated financial statements for an eventual loss arising from this proceeding.

(3) IFT Proceedings Against Telmex

In 2018, the IFT imposed a fine of Ps. 2,543,937 on Telmex relating to a sanction procedure triggered by the alleged breach in 2013 and 2014 of certain minimum quality goals for dedicated link services. Telmex challenged this fine, and a final resolution is pending.

(4) Brazilian Tax Matters

As of December 31, 2022, certain Company’s Brazilian subsidiaries had aggregate tax contingencies of Ps. 132,440,125 (R\$35,594,051) for which the Company has established provisions of Ps. 19,135,992 (R\$ 5,142,909) in the accompanying consolidated financial statements for eventual losses arising from contingencies that the Company considers probable. The most significant matters for which provisions have been established are:

- Ps. 35,621,523 (R\$ 9,573,491) aggregate contingencies and Ps. 3,515,261 (R\$ 944,747) provisions related to value-added tax (*Imposto sobre a Circulação de Mercadorias e Prestação de Serviços* or “ICMS”) assessments;
- Ps. 16,126,122 (R\$ 4,333,989) aggregate contingencies and Ps. 4,067,063 (R\$ 1,093,047) provisions related to social contribution on net income (*Contribuição Social sobre o Lucro Líquido* or “CSLL”) and corporate income tax (*Imposto de Renda sobre Pessoa Jurídica* or “IRPJ”) assessments;
- Ps. 18,667,727 (R\$ 5,017,060) aggregate contingencies and Ps. 5,572,638 (R\$ 1,497,679) provisions related to the social integration program (*Programa de Integração Social* or “PIS”) and the contribution for social security financing (*Contribuição para o Financiamento da Seguridade Social* or “COFINS”) assessments;
- Ps. 7,870,074 (R\$ 2,115,128) aggregate contingencies and Ps.83,960 (R\$ 22,565) provisions related to offset’s rejections of tax credits related to Income Tax (*Imposto de Renda Pessoa Jurídica* o “IRPJ”) and Social Contributions over Profits (*Contribuição Social sobre o Lucro Líquido* o “CSLL”), arising from non-appellable judicial resolutions, mainly;
- Ps. 13,243,052 (R\$ 3,559,147) aggregate contingencies and Ps.1,468,894 (R\$ 394,774) provisions mainly related to an allegedly improper exclusion of interconnection revenues and costs from the basis used to calculate Fund for Universal Telecommunication Services (*Fundo de Universalização dos Serviços de Telecomunicações* or “FUST”) obligations, which are being contested;

- Ps. 5,689,462 (R\$1, 529,076) aggregate contingencies and Ps. 431 (R\$ 116) provisions related to an alleged underpayment of obligations to the Telecommunications Technology Development Fund (*Fundo para o Desenvolvimento Tecnológico das Telecomunicações* or “FUNTTEL”), which are being challenged and for which a final resolution is pending;
- Ps. 2,097,833 (R\$ 563,805) aggregate contingencies and Ps. 45,926 (R\$ 12,343) provisions related to the alleged nonpayment of Services Tax (*Imposto Sobre Serviços* or “ISS”) over several communication services, including Pay TV services, considered taxable for ISS by the Municipal Revenue Services, which are being challenged and for which a final resolution is pending;
- Ps. 4,481,801 (R\$ 1,204,510) aggregate contingencies and Ps. 127,509 (R\$ 34,269) provisions arising from, among other, things the alleged underpayment of IRRF and CIDE taxes and on remittances made to foreign operators as remuneration for completing international calls abroad (outgoing traffic); and
- Ps. 4,577,981 (R\$ 1, 230,359) aggregate contingencies and Ps. 4,073,679 (R\$ 1,094,825) provisions related to the requirement to contribute to the Promotion of Public Radio Broadcasting (“EBC”).

In addition, the Company’s Brazilian subsidiaries are subject to a number of contingencies for which it has not established provisions in the accompanying consolidated financial statements because the Company does not consider the potential losses related to these contingencies to be probable. These include Ps. 21,961,918 (R\$ 5,902,393) related to an unpaid installation inspection rate (*Taxa de Fiscalização de Instalação* or “TFI”) allegedly due to the renovation of radio base stations, which is being challenged on the basis that there was no new equipment installation that could have led to this charge, along with any unpaid functioning inspection rate (*Taxa de Fiscalização de Funcionamento* or “TFF”).

(5) Anatel Challenge to Inflation Adjustments

Anatel has challenged the calculation of inflation-related adjustments due under the concession agreements with Tess S.A. (“Tess”), and Algar Telecom Leste S.A. (“ATL”), two of the Company’s subsidiaries that were previously merged into Claro S.A. Anatel rejected Tess and ATL’s calculation of the inflation-related adjustments applicable to 60% of the concessions price (which was due in three equal annual installments, subject to inflation-related adjustments and interest), claiming that the companies’ calculation of the inflation related adjustments resulted in a shortfall of the installment payments. The companies filed declaratory and consignment actions seeking the resolution of the disputes and have obtained injunctions from the Federal Court of Appeal suspending any payment until the pending appeals are resolved. After certain unfavorable resolutions issued by the Federal Court of Appeals to the appeals filed by such companies, new appeals have been filed before the Superior Court of Appeals for which definitive resolutions are pending.

The amount of the alleged shortfall as well as the method used to calculate monetary corrections are in dispute. If other methods or assumptions are applied, the amount may increase. In 2022, Anatel calculated the monetary correction in a total amount of Ps. 16,215,464 (R\$ 4,358,000). As of December 31, 2022, the Company has established a provision of Ps. 5,584,995 (R\$ 1,501,000) in the accompanying consolidated financial statements for the losses arising from these contingencies, which the Company considers probable.

Note 18. Employee Benefits

An analysis of the net liability and net period cost for employee benefits is as follows:

	At December 31,	
	2021	2022
Mexico	Ps.110,225,654	Ps.112,031,055
Puerto Rico	12,502,377	8,859,265
Brazil	6,108,744	6,303,584
Europe	13,127,228	9,971,256
Ecuador	601,239	519,239
El Salvador	177,922	135,299
Nicaragua	75,084	62,327
Honduras	32,217	41,292
Total	Ps.142,850,465	Ps.137,923,317

	For the year ended December 31,		
	2020	2021	2022
Mexico	Ps.14,911,208	Ps.15,507,652	Ps.13,673,155
Puerto Rico	664,046	548,550	538,681
Brazil	722,412	724,587	587,552
Europe	1,701,424	1,753,872	1,176,028
Ecuador	67,402	111,353	(29,743)
El Salvador	15,751	19,081	14,384
Nicaragua	3,711	18,561	11,502
Honduras	—	4,718	7,593
Total	Ps.18,085,954	Ps.18,688,374	Ps.15,979,152

a) Defined Benefit Plans

The defined benefit obligation (DBO) and plan assets for the pension and other benefit obligation plans, by country, are as follows:

	At December 31							
	2021				2022			
	DBO	Plan Assets	Effect of asset ceiling	Net employee benefit liability	DBO	Plan Assets	Effect of asset ceiling	Net employee benefit liability
Mexico	Ps.286,396,483	Ps.(177,270,561)	Ps. —	Ps.109,125,922	Ps.285,775,547	Ps.(174,814,669)	Ps. —	Ps.110,960,878
Puerto Rico	38,092,662	(25,590,285)	—	12,502,377	26,747,454	(17,888,189)	—	8,859,265
Brazil	15,497,227	(15,466,336)	4,422,459	4,453,350	14,599,954	(15,823,761)	6,064,069	4,840,262
Europe	5,093,036	—	—	5,093,036	3,464,777	—	—	3,464,777
Total	Ps.345,079,408	Ps.(218,327,182)	Ps.4,422,459	Ps.131,174,685	Ps.330,587,732	Ps.(208,526,619)	Ps.6,064,069	Ps.128,125,182

Below is a summary of the actuarial results generated for the pension and retirement plans as well as the medical services in Puerto Rico and Brazil; the pension plans and seniority premiums related to Telmex; the pension plan, the service awards plan and severance in Austria corresponding to the years ended December 31, 2020, 2021 and 2022:

	At December 31, 2020			
	DBO	Plan Assets	Effect of asset ceiling	Net employee benefit liability
Balance at the beginning of the year	Ps.342,569,774	Ps.(206,300,821)	Ps.4,428,021	Ps.140,696,974
Current service cost	2,810,584			2,810,584
Interest cost on projected benefit obligation	30,482,173			30,482,173
Expected return on plan assets		(17,655,119)		(17, 655,119)
Changes in the asset ceiling during the period and others			278,639	278,639
Past service costs and other		148,253		148,253
Actuarial gain for changes in experience . .	(8,945)			(8,945)
Actuarial gain from changes in demographic assumptions	(270)			(270)
Actuarial loss from changes in financial assumptions	20,219			20,219
Net period cost	Ps. 33,303,761	Ps. (17,506,866)	Ps. 278,639	Ps. 16,075,534
Actuarial gain for changes in experience . .	(9,677)			(9,677)
Actuarial gain from changes in demographic assumptions	(103,987)			(103,987)
Actuarial loss from changes in financial assumptions	3,475,345			3,475,345
Changes in the asset ceiling during the period and others			(542,430)	(542,430)
Return on plan assets greater than discount rate (shortfall)		12,320,777		12,320,777
Others	(924,084)			(924,084)
Recognized in other comprehensive income	Ps. 2,437,597	Ps. 12,320,777	Ps. (542,430)	Ps. 14,215,944
Contributions made by plan participants . .	137,947	(137,947)		—
Contributions to the pension plan made by the Company		(1,882,654)		(1,882,654)
Benefits paid	(19,740,727)	19,740,727		—
Payments to employees	(14,426,720)			(14,426,720)
Effect of translation	(1,278,392)	2,217,201	(770,590)	168,219
Others	Ps. (35,307,892)	Ps. 19,937,327	Ps. (770,590)	Ps. (16,141,155)
Balance at the end of the year	343,003,240	(191,549,583)	3,393,640	154,847,297
Less short-term portion	(268,940)			(268,940)
Non-current obligation	<u>Ps.342,734,300</u>	<u>Ps.(191,549,583)</u>	<u>Ps.3,393,640</u>	<u>Ps.154,578,357</u>

	At December 31, 2021			
	DBO	Plan Assets	Effect of asset ceiling	Net employee benefit liability
Balance at the beginning of the year	Ps.343,003,240	Ps.(191,549,583)	Ps.3,393,640	Ps.154,847,297
Current service cost	2,090,896			2,090,896
Interest cost on projected benefit obligation	28,913,257			28,913,257
Expected return on plan assets		(15,112,669)		(15,112,669)
Changes in the asset ceiling during the period and others			215,544	215,544
Past service costs and other		139,910		139,910
Actuarial gain for changes in experience	(23,024)			(23,024)
Actuarial gain from changes in demographic assumptions	(48)			(48)
Actuarial gain from changes in financial assumptions	(6,907)			(6,907)
Net period cost	Ps. 30,974,174	Ps. (14,972,759)	Ps. 215,544	Ps. 16,216,959
Actuarial loss for changes in experience	10,728,950			10,728,950
Actuarial gain from changes in demographic assumptions	(104,568)			(104,568)
Actuarial gain from changes in financial assumptions	(4,099,321)			(4,099,321)
Changes in the asset ceiling during the period and others			969,433	969,433
Return on plan assets greater than discount rate (shortfall)		(22,198,615)		(22,198,615)
Recognized in other comprehensive income	Ps. 6,525,061	Ps. (22,198,615)	Ps. 969,433	Ps. (14,704,121)
Contributions made by plan participants	99,201	(99,201)		—
Contributions to the pension plan made by the Company		311,108		311,108
Benefits paid	(10,574,420)	10,348,544		(225,876)
Payments to employees	(25,042,314)			(25,042,314)
Effect of translation	330,770	(166,676)	(156,158)	7,936
Others	Ps. (35,186,763)	Ps. 10,393,775	Ps. (156,158)	Ps. (24,949,146)
Balance at the end of the year	345,315,712	(218,327,182)	4,422,459	131,410,989
Less short-term portion	(236,304)			(236,304)
Non-current obligation	<u>Ps.345,079,408</u>	<u>Ps.(218,327,182)</u>	<u>Ps.4,422,459</u>	<u>Ps.131,174,685</u>

	At December 31, 2022			
	DBO	Plan Assets	Effect of asset ceiling	Net employee benefit liability
Balance at the beginning of the year	Ps.345,315,712	Ps.(218,327,182)	Ps.4,422,459	Ps.131,410,989
Current service cost	1,534,180	—	—	1,534,180
Interest cost on projected benefit obligation . .	30,565,134	—	—	30,565,134
Expected return on plan assets	—	(18,819,322)	—	(18,819,322)
Changes in the asset ceiling during the period and others	—	—	398,399	398,399
Past service costs and other	—	142,911	—	142,911
Actuarial gain for changes in experience	(43,603)	—	—	(43,603)
Actuarial gain from changes in demographic assumptions	(64)	—	—	(64)
Actuarial gain from changes in financial assumptions	(88,990)	—	—	(88,990)
Net period cost	Ps. 31,966,657	Ps. (18,676,411)	Ps. 398,399	Ps. 13,688,645
Actuarial loss for changes in experience	2,747,706	—	—	2,747,706
Actuarial loss from changes in demographic assumptions	55,037	—	—	55,037
Actuarial gain from changes in financial assumptions	(9,838,708)	—	—	(9,838,708)
Changes in the asset ceiling during the period and others	—	—	1,283,501	1,283,501
Return on plan assets greater than discount rate (shortfall)	—	13,719,181	—	13,719,181
Recognized in other comprehensive income . .	Ps. (7,035,965)	Ps. 13,719,181	Ps.1,283,501	Ps. 7,966,717
Contributions made by plan participants	78,642	(78,642)	—	—
Contributions to the pension plan made by the Company	—	516,280	—	516,280
Benefits paid	(13,502,781)	13,221,202	—	(281,579)
Payments to employees	(23,753,735)	—	—	(23,753,735)
Plan changes	12,461	—	—	12,461
Effect of translation	(2,218,050)	1,098,953	(40,290)	(1,159,387)
Others	Ps.(39,383,463)	Ps. 14,757,793	Ps. (40,290)	Ps.(24,665,960)
Balance at the end of the year	330,862,941	(208,526,619)	6,064,069	128,400,391
Less short-term portion	(275,209)	—	—	(275,209)
Non-current obligation	Ps.330,587,732	Ps.(208,526,619)	Ps.6,064,069	Ps.128,125,182

In the case of other subsidiaries in Mexico, the net period cost of other employee benefits for the years ended December 31, 2020, 2021 and 2022 was Ps. 174,994 Ps. 267,728 and Ps. 126,735 , respectively. The balance of other employee benefits at December 31, 2021 and 2022 was Ps. 1,099,732 and Ps. 1,070,177, respectively.

In the case of Brazil, the net period cost of other benefits for the years ended December 31, 2020, 2021 and 2022 was Ps. 268,562 Ps. 225,984 and Ps. 166,503, respectively. The balance of employee benefits at December 31, 2021 and 2022 was Ps.1,380,764 and Ps. 1,428,547,respectively.

In the case of Ecuador, the net period cost of other benefits for the years ended December 31, 2020, 2021 and 2022 was Ps. 67,402, Ps. 111,353 and Ps. (29,743), respectively. The balance of employee benefits at December 31, 2021 and 2022 was Ps. 601,239 and Ps. 519,239, respectively.

In the case of Central America, the net period cost of other benefits for the years ended December 31, 2021 and 2022 was Ps. 42,360 and Ps. 33,479, respectively. The balance of employee benefits at December 31, 2021 and 2022 was Ps. 285,223 and Ps. 238,918, respectively.

Plan assets are invested in:

At December 31

	2021			2022		
	Puerto Rico	Brazil	Mexico	Puerto Rico	Brazil	Mexico
Equity instruments	42%	—	74%	40%	—	74%
Debt instruments	21%	94%	26%	24%	92%	26%
Others	37%	6%	—	36%	8%	—
	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>

Included in the Telmex's net pension plan liability are plan assets of Ps.177,270,561 and Ps. 174,814,669 as of December 31, 2021 and 2022, respectively, of which 47.5% and 44.2% during 2021 and 2022, respectively, were invested in equity and debt instruments of both América Móvil and also of related parties, primarily entities that are under common control of the Company's principal shareholder. The Telmex pension plan recorded a re-measurement of its defined pension plan of Ps.(9,928,728) and Ps. 11,590,623 during 2021 and 2022, respectively, attributable to a change in actuarial assumptions, and also a decline and an increase in the fair value of plan investments from December 31, 2021 to December 31, 2022. The decrease and increase in fair value of the aforementioned related party pension plan investments approximated Ps. (20,234,095) and Ps. 9,806,143 during the years ended December 31, 2021 and 2022, respectively.

The assumptions used in determining the net period cost were as follows:

	2020				2021				2022			
	Puerto Rico	Brazil	Mexico	Europe	Puerto Rico	Brazil	Mexico	Europe	Puerto Rico	Brazil	Mexico	Europe
				0.25%,				0.25%,				
		6.48% &		0.50% &		8.51% &		0.75% &		10.11% &		
Discount rate and long-term rate return	2.34%	7.39%	10.04%	0.75%	2.75%	8.67%	10.4%	1.00%	5.42%	10.05%	11.5%	3.75%
				3.00%,				3.00%,				4.5%
				3.5% &				3.40% &				5.3% &
Rate of future salary increases	2.75%	3.25%	2.84%	4.10%	2.75%	3.25%	2.80%	4.00%	2.75%	3.50%	2.8%	3.4%,4.6%
Percentage of increase in health care costs for the coming year	2.28%	9.96%			2.72%	9.44%			5.44%	9.71%		
Year to which this level will be maintained	N/A	2031			NA	2030			NA	2031		
Rate of increase of pensions				1.60%				1.60%				1.90%
Employee turnover rate*				0.00%				0.00%				0.00%
				-1.31%				-1.12%				-1.03%

* Depending on years of service

Biometric

Puerto Rico:

Mortality: RP 2014, MSS 2022 Tables.

Brazil:

Mortality: 2000 Basic AT Table for gender

Disability for assets: UP 84 modified table for gender

Disability retirement: 80 CSO Code Table

Rotation: Probability of leaving the Company other than death, Disability and retirement is zero

Europe

Life expectancy in Austria is based on “AVÖ 2018-P – Rechnungsgrundlagen für die Pensionsversicherung – Pagler & Pagler”.

Telmex

Mortality: Mexican 2000 (CNSF) adjusted

Disability: Mexican Social Security adjusted by Telmex experience

Turnover: Telmex experience

Retirement: Telmex experience

At December 31, 2022, the Company conducted a sensitivity analysis on the most significant variables that affect the DBO, simulating independently, reasonable changes to roughly 100 basis points in each of these variables. The increase (decrease) would have resulted in the DBO pension and other benefits at December 31, 2022 are as follows:

	-100 points	+100 points
Discount rate	Ps.25,334,948	Ps.(22,163,575)
Health care cost trend rat	Ps. (388,889)	Ps. 444,735

Telmex Plans

Part of the Telmex’s employees are covered under defined benefit pension plans and seniority premiums. Pension benefits and seniority premiums are determined on the basis in their final year of employment, their seniority, and their age at the time of retirement. Telmex has set up an irrevocable trust fund to finance these employee benefits and has adopted the policy of making contributions to such fund when it is considered necessary.

Europe

Defined benefit pension plans

A1 Telekom Austria Group provides defined benefits for certain former employees in Austria. All eligible employees are retired and were employed prior to January 1, 1975. This unfunded plan provides benefits based on a percentage of salary and years employed, not exceeding 80% of the salary before retirement, and taking into consideration the pension provided by the social security system. A1 Telekom Austria Group is exposed primarily to the risk of development of life expectancy and inflation because the benefits from pension plans are lifetime benefits. Furthermore, the obligation for pensions relate to the employees of the company Akenes in Lausanne are included.

Service awards

Civil servants and certain employees (in the following “employees”) are eligible to receive service awards. In accordance with the legal regulations, eligible employees receive a cash bonus of two months’ salary after 25 years of service and four months’ salary after 40 years of service. Employees with at least 35 years of service when retiring (at the age of 65) or who are retiring based on specific legal regulations are also eligible to receive the service award of four monthly salaries. The obligation is accrued over the period of service, taking into account the employee turnover rate for employees who leave employment prematurely. The main risk that A1 Telekom Austria Group is exposed to is the risk of development of salary increases and changes of interest rates.

Severance

Defined contribution plans

Employees who started work for A1 Telekom Austria Group in Austria on or after January 1, 2003 are covered by a defined contribution plan. In 2022, A1 Telekom Austria Group paid Ps. 66,700 (2021: Ps. 68,425), 1.53% of the salary or wage, into this defined contribution plan (BAWAG Allianz Mitarbeitervorsorgekasse AG).

Defined benefit plans

Severance benefit obligations for employees, whose employment commenced before January 1, 2003, excluding civil servants, are covered by defined benefit plans. Upon termination of employment by A1 Telekom Austria Group or upon retirement, eligible employees receive severance payments. Depending on their time in service, their severance amounts to a multiple of their monthly basic compensation plus variable components such as overtime or bonuses, up to a maximum of twelve monthly salaries. In case of death, the heirs of eligible employees receive 50% of the severance benefits. The primary risks to A1 Telekom Austria Group are salary increases and changes of interest rates.

b) Defined Contribution Plans

Brazil

Claro S.A. makes contributions to the DCP through Embratel Social Security Fund – Telos. Contributions are computed based on the salaries of the employees, who decide on the percentage of their contributions to the plan (participants enrolled before October 31st, 2014 is from 1% to 8% and, for those subscribed after that date, the contribution is from 1% to 7% of their salaries). Claro S.A. contributes the same percentage as the employee, capped at 8% of the participant’s balance for the employees that are eligible to participate in this plan.

At December 31, 2021 and 2022, the balance of the DCP liability was Ps. 274,630 and Ps. 34,775 respectively. For the years ended December 31, 2020, 2021 and 2022 the cost of labor were Ps. 2,930, Ps. 61,649 and Ps. 5,021, respectively.

Europe

In Austria, pension benefits are generally provided by the social security system for employees, and by the government for civil servants. The contributions of 12.55% of gross salaries that A1 Telekom Austria Group made to the social security system and the government in Austria as of December 31, 2022 and 2021 amounts to Ps. 1,272,331 and Ps. 1,436,587, respectively. Contributions of the foreign subsidiaries into the respective systems range between 7% and 29% of gross salaries and, as of December 31, 2022 and 2021 amounts to Ps. 597,710 and Ps. 601,626, respectively.

Additionally, A1 Telekom Austria Group offers a defined contribution plan for employees of some of its Austrian subsidiaries. A1 Telekom Austria Group’s contributions to this plan are based on a percentage of the compensation not exceeding 5%. In 2022, the annual expenses for this plan amounted to Ps. 252,980 (2021: Ps. 286,195).

As of December 31, 2021 and 2022 the liability related to this defined contribution plan amounted to Ps. 114,233 and Ps. 55,937, respectively.

Other countries

For the rest of the countries where the Company operates and that do not have defined benefit plans or defined contribution plans, the Company makes contributions to the respective governmental social security agencies which are recognized in results of operations as they are incurred.

c) Long-term direct employee benefits

	Balance at December 31, 2020	Effect of translation	Increase of the year	Payments	Balance at December 31, 2021
Long-term direct employee benefits	<u>Ps.8,750,603</u>	<u>Ps.(328,619)</u>	<u>Ps.1,824,693</u>	<u>Ps.(2,320,831)</u>	<u>Ps.7,925,846</u>
	Balance at December 31, 2021	Effect of translation	Increase of the year	Payments	Balance at December 31, 2022
Long-term direct employee benefits	<u>Ps.7,925,846</u>	<u>Ps.(879,484)</u>	<u>Ps.1,376,566</u>	<u>Ps.(2,019,176)</u>	<u>Ps.6,403,752</u>

In 2008, a comprehensive restructuring program was initiated in the segment Austria. The provision for restructuring includes future compensation of employees who will no longer provide services for A1 Telekom Austria Group but who cannot be laid off due to their status as civil servants. These employment contracts are onerous contracts under IAS 37, as the unavoidable cost related to the contractual obligation exceeds the future economic benefit. The restructuring program also includes social plans for employees whose employment will be terminated in a socially responsible way. In 2009 and every year from 2011 to 2020, new social plans were initiated that provide for early retirement, special severance packages and golden handshake options. Due to their nature as termination benefits, these social plans are accounted for according to IAS 19.

Note 19. Financial Assets and Liabilities

Set out below is the categorization of the financial instruments, excluding cash and cash equivalents, held by the Company as of December 31, 2021 and 2022:

	December 31, 2021		
	Loans and Receivables	Fair value through profit or loss	Fair value through OCI
Financial Assets:			
Equity investments at fair value through OCI and other short-term investments (Note 4)	Ps. 15,026	Ps. —	Ps.117,688,176
Accounts receivable from subscribers, distributors, contractual assets and other (Note 5)	166,041,321	—	—
Related parties (Note 6)	1,158,611	—	—
Derivative financial instruments (Note 7)	—	10,130,806	—
Total current assets	167,214,958	10,130,806	117,688,176
Non-current assets	—	—	—
Debt instruments at fair value through OCI	—	—	6,894,757
Total	Ps.167,214,958	Ps.10,130,806	Ps.124,582,933
Financial Liabilities:			
Debt (Note 14)	Ps. 564,030,102	Ps. —	Ps. —
Liability related to right-of-use of assets (Note 15)	98,654,225	—	—
Accounts payable (Note 16)	206,487,681	—	—
Related parties (Note 6)	4,216,882	—	—
Derivative financial instruments (Note 7)	—	10,034,508	—
Total	Ps.873,388,890	Ps.10,034,508	Ps. —
	December 31, 2022		
	Loans and Receivables	Fair value through profit or loss	Fair value through OCI
Financial Assets:			
Equity investments at fair value through OCI and other short-term investments (Note 4)	Ps. —	Ps. —	Ps.88,428,111
Accounts receivable from subscribers, distributors, contractual assets and other (Note 5)	161,201,512	—	—
Related parties (Note 6)	2,287,213	—	—
Derivative financial instruments (Note 7)	—	2,602,680	—
Total current assets	163,488,725	2,602,680	88,428,111
Non-current assets	—	—	—
Debt instruments at fair value through OCI	—	—	6,981,149
Total	Ps.163,488,725	Ps. 2,602,680	Ps.95,409,260
Financial Liabilities:			
Debt (Note 14)	Ps.510,589,480	Ps. —	Ps. —
Liability related to right-of-use of assets (Note 15)	134,148,811	—	—
Accounts payable (Note 16)	174,472,769	—	—
Related parties (Note 6)	7,224,218	—	—
Derivative financial instruments (Note 7)	—	25,331,346	—
Total	Ps.826,435,278	Ps.25,331,346	Ps. —

Fair value hierarchy

The Company's valuation techniques used to determine and disclose the fair value of its financial instruments are based on the following hierarchy:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities;

Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable .

The fair value for the financial assets (excluding cash and cash equivalents) and financial liabilities shown in the consolidated statements of financial position at December 31, 2021 and 2022 is as follows:

	Measurement of fair value at December 31, 2021			
	Level 1	Level 2	Level 3	Total
Assets:				
Equity investments at fair value through OCI and other short-term investments	Ps. 117,688,176	Ps. 15,026	Ps. —	Ps.117,703,202
Derivative financial instruments (Note 7)	—	10,130,806	—	10,130,806
Revalued of assets (Note 10)	—	—	98,172,675	98,172,675
Pension plan assets (Note 18)	196,148,604	22,124,138	54,440	218,327,182
Total current assets	313,836,780	32,269,970	98,227,115	444,333,865
Debt instruments at fair value through OCI	—	6,894,757	—	6,894,757
Total	Ps. 313,836,780	Ps. 39,164,727	Ps.98,227,115	Ps.451,228,622
Liabilities:				
Debt	Ps. 440,660,165	Ps.180,122,540	Ps. —	Ps.620,782,705
Liability related to right-of-use of assets	98,654,225	—	—	98,654,225
Derivative financial instruments (Note 7)	—	10,034,508	—	10,034,508
Total	Ps. 539,314,390	Ps.190,157,048	Ps. —	Ps.729,471,438

Measurement of fair value at December 31, 2022				
	Level 1	Level 2	Level 3	Total
Assets:				
Equity investments at fair value through OCI and other short-term investments	Ps. 88,428,111	Ps. —	Ps. —	Ps. 88,428,111
Derivative financial instruments (Note 7)	—	2,602,680	—	2,602,680
Revalued of assets (Note 10)	—	—	38,353,719	38,353,719
Pension plan assets (Note 18)	192,829,688	15,657,661	39,270	208,526,619
Total current assets	281,257,799	18,260,341	38,392,989	337,911,129
Debt instruments at fair value through OCI	—	6,981,149	—	6,981,149
Total	Ps. 281,257,799	Ps. 25,241,490	Ps. 38,392,989	Ps. 344,892,278
Liabilities:				
Debt	Ps. 371,709,395	Ps. 116,848,635	Ps. —	Ps. 488,558,030
Liability related to right-of-use of assets	134,148,811	—	—	134,148,811
Derivative financial instruments	—	25,331,346	—	25,331,346
Total	Ps. 505,858,206	Ps. 142,179,981	Ps. —	Ps. 648,038,187

Fair value of derivative financial instruments is valued using valuation techniques with market observable inputs. To determine its Level 2 fair value, the Company applies different valuation techniques including forward pricing and swaps models, using present value calculations. The models incorporate various inputs including credit quality of counterparties, foreign exchange spot and forward rates and interest rate curves. Fair value of debt Level 2 has been determined using a model based on present value calculation incorporating credit quality of AMX. The Company's investment in equity investments at fair value, specifically the investment in KPN and Verizon, is valued using the quoted prices (unadjusted) in active markets for identical assets. The net realized (loss) gain related to derivative financial instruments for the years ended December 31, 2021 and 2022 was Ps. (1,664,465) and Ps. (2,353,920) respectively.

The fair value of the asset revaluation was calculated using valuation techniques, using observable market data and internal information on transactions carried out with independent third parties. To determine fair value we use level 2 and 3 information, the Company used inputs such as average rents, contract term and discount rates for discounted flow modeling techniques; in the case of discount rates, we use level 2 data where the information is public and is found in recognized databases, such as country risks, inflation, etc. In the case of average rents and contract terms, we use level 3 data, where the information is mainly internal based on lease contracts entered into with independent third parties.

During the end of the period ended December 31, 2021 and 2022, there were no transfers between the Level 1 and Level 2 fair value measurement hierarchies.

Changes in liabilities arising from financing activities

	At December 31, 2020	Cash flow	Foreign currency exchange and other	At December 31, 2021
Debt	Ps.628,382,956	Ps.(58,354,281)	Ps.(5,998,573)	Ps.564,030,102
Liability related to right-of-use of assets	109,327,241	(30,544,750)	19,871,734	98,654,225
Total liabilities from financing activities	<u>Ps.737,710,197</u>	<u>Ps. (88,899,031)</u>	<u>Ps. 13,873,161</u>	<u>Ps.662,684,327</u>
	At December 31, 2021	Cash flow	Foreign currency exchange and other	At December 31, 2022
Debt	Ps.564,030,102	Ps. 43,073,992	Ps.(96,514,614)	Ps.510,589,480
Liability related to right-of-use of assets	98,654,225	(33,823,287)	69,317,873	134,148,811
Total liabilities from financing activities	<u>Ps.662,684,327</u>	<u>Ps. 9,250,705</u>	<u>Ps.(27,196,741)</u>	<u>Ps.644,738,291</u>

Note 20. Shareholders' Equity

a) Pursuant to the Company's bylaws, the authorized capital stock of the Company consists of a minimum fixed portion of Ps. 239,356 (nominal amount), represented as of December 31, 2022 by a total of 63,381,000,000 shares (including treasury shares available for placement in accordance with the provisions of the Ley del Mercado de Valores), of which (i) 20,554,697,460 are "AA" shares (full voting rights); (ii) 488,283,894 are "A" shares (full voting rights); and (iii) 42,338,018,646 are "L" shares (limited voting rights).

b) As of December 31, 2022 and 2021, the Company's outstanding capital stock was represented by 63,325,000,000 shares (20,554,697,460 "AA" shares, 488,283,894 "A" shares and 42,282,018,646 "L" shares), and 64,689,740,633 shares (20,554,697,460 "AA" shares, 502,404,175 "A" shares and 43,632,638,998 "L" shares), respectively.

c) As of December 31, 2022 and 2021, the Company's treasury held for placement in accordance with the provisions of the Ley del Mercado de Valores and the *Disposiciones de carácter general aplicables a las emisoras de valores y a otros participantes en el Mercado de valores* issued by the *Comisión Nacional Bancaria y de Valores*, a total amount of 56,000,000 shares all of which are series L shares and 1,721,520,016 series L shares, respectively, all acquired pursuant to the Company's share repurchase program.

d) The holders of "AA" and "A" shares are entitled to full voting rights. The holders of "L" shares may only vote in limited circumstances, and they are only entitled to appoint two members of the Board of Directors and their respective alternates. The matters in which "L" shares holders are entitled to vote are the following: extension of the Company's corporate life, dissolution of the Company, change of Company's corporate purpose, change of nationality of the Company, transformation of the Company, a merger with another company, any transaction representing 20% or more of the Company's consolidated assets, as well as the cancellation of the inscription of the shares issued by the Company at the *Registro Nacional de Valores* and any other foreign stock exchanges where they may be registered, except for quotation systems or other markets not organized as stock exchanges. Within their respective series, all shares confer the same rights to their holders.

The Company's bylaws contain restrictions and limitations related to the subscription and acquisition of "AA" shares by non-Mexican investors.

e) Pursuant to the Company's bylaws, "AA" shares must at all times represent no less than 20% and no more than 51% of the Company's capital stock, and they shall also represent at all times, no less than 51% of the common shares (entitled to full voting rights, represented by "AA" and "A" shares) representing said capital stock.

"A" shares, which may be freely subscribed, must not represent more than 19.6% of capital stock and must not exceed 49% of the common shares representing such capital. Common shares (entitled to full voting rights, represented by "AA" and "A" shares), must represent no more than 51% of the Company's capital stock.

Lastly, "L" shares which have limited voting rights and may be freely subscribed may not exceed, along with "A" shares, 80% of the Company's capital stock. For purposes of determining these restrictions, the percentages mentioned above refer only to the number of the Company's shares outstanding.

Dividends

On April 20, 2022, the Company's shareholders approved among other resolutions, the payment of a dividend of Ps. 0.44 (forty four peso cents) per share to each of the shares series of its capital stock "AA", "A" and "L". It was approved that such dividend would be paid in one installment of Ps. 0.44 (forty four peso cents), on August 29, 2022.

On April 26, 2021, the Company's shareholders approved, among other resolutions, the payment of a dividend of Ps. 0.40 (forty peso cents) per share to each of the shares series of its capital stock "AA", "A" and "L". It was approved that such dividend would be paid in two installments of Ps. 0.20 (twenty peso cents) each, on July 19 and November 08, 2021 respectively.

Spin-off

On August 8, 2022, the Company's capital stock reflects a reduction of Ps.1,572 (nominal amount), derived from the Company's spin-off and its contribution to Sitios Latam, without having modified the number of shares of the Company due to the spin-off.

Legal Reserve

According to the *Ley General de Sociedades Mercantiles*, companies must allocate from the net profit of each year, at least 5% to increase the legal reserve until it reaches 20% of its capital stock. This reserve may not be distributed to shareholders during the existence of the Company, except as a stock dividend. As of December 31, 2022 and 2021, the legal reserve amounted Ps. 358,440.

Restrictions on Certain Transactions

Pursuant to the Company's bylaws any transfer of more than 10% of the full voting shares ("A" shares and "AA" shares), effected in one or more transactions by any person or group of persons acting in concert, requires prior approval by our Board of Directors. If the Board of Directors denies such approval, however, the Company bylaws require it to designate an alternate transferee, who must pay market price for the shares as quoted on the Bolsa Mexicana de Valores, S.A.B. de C.V.

Payment of Dividends

Dividends, either in cash or in kind, paid with respect to the "A" Shares, "L" Shares, "A" Share ADSs or "L" Share ADSs will generally be subject to a 10% Mexican withholding tax (provided that no Mexican withholding tax will apply to distributions of net taxable profits generated before 2014). Nonresident holders could be subject to a lower tax rate, to the extent that they are eligible for benefits under an income tax treaty to which Mexico is a party.

Repurchase of shares

On April 20, 2022, the Company's shareholders authorized an amount of Ps. 26 billion to repurchase the Company's own shares. During the fiscal year ended on December 31, 2022, the Company repurchased 1,364,740,633 series A and L shares. At the end of 2022 and after the cancellation of shares approved by the shareholders meeting on December 20, 2022, the Company had in treasury 56,000,000 series L shares.

Earnings per Share

The following table shows the computation of the basic and diluted earnings per share:

	For the years ended December 31,		
	(1) 2020	(1) 2021	2022
Net profit for the period attributable to equity holders of the parent from continuing operations	Ps.35,264,826	Ps. 68,187,225	Ps.82,878,406
Net profit for the period attributable to equity holders of the parent from discontinued operations	11,587,779	124,235,942	(6,719,015)
Net profit for the period attributable to equity holders of the parent	46,852,605	192,423,167	76,159,391
Weighted average shares (in millions)	66,265	65,967	63,936
Earnings per share attributable to equity holders of the parent continuing operations	Ps. 0.53	Ps. 1.03	Ps. 1.30
Earnings per share attributable to equity holders of the parent discontinued operations	Ps. 0.17	Ps. 1.88	Ps. (0.11)

(1) Restated for discontinued operations

Note 21. Components of other comprehensive income (loss)

The movement on the components of the other comprehensive income (loss) for the years ended December 31, 2020, 2021 and 2022 is as follows:

	For the years ended December 31,		
	2020	2021	2022
Controlling interest:			
Unrealized (loss) gain on equity investments at fair value, net of deferred taxes	Ps. (1,952,414)	Ps. 4,560,869	Ps. (4,707,276)
Translation effect of foreign entities	(13,558,774)	(4,837,206)	(31,086,965)
Translation effect by discontinued operations	—	(829,163)	5,193,281
Remeasurement of defined benefit plan, net of deferred taxes	(10,026,454)	11,100,835	(4,599,407)
Asset's revaluation surplus net of deferred taxes	64,835,155	—	—
Non-controlling interest of the items above	14,165,249	(2,135,886)	(3,734,066)
Other comprehensive income (loss)	<u>Ps. 53,462,762</u>	<u>Ps. 7,859,449</u>	<u>Ps.(38,934,433)</u>

Note 22. Valuation of derivatives, interest cost from labor obligations and other financial items, net

For the years ended December 31, 2020, 2021 and 2022, valuation of derivatives and other financial items are as follows:

	For the years ended December 31,		
	2020	2021	2022
Gain (loss) in valuation of derivatives, net (Note 7) . . .	Ps.12,378,193	Ps.(6,755,214)	Ps.(28,639,687)
Capitalized interest expense (Note 10 b)	1,771,613	1,527,259	1,514,654
Commissions	(1,106,980)	(1,067,381)	(1,061,278)
Interest cost of labor obligations (Note 18)	(13,105,693)	(14,375,520)	(12,376,939)
Contractual earn out Verizon (Note 4)	—	—	4,271,250
Interest expense on taxes	(59,032)	(243,075)	(190,822)
Dividend received (Note 4)	2,122,826	2,628,600	6,155,993
Gain on net monetary positions	3,262,512	4,876,842	11,538,061
Other financial cost ⁽¹⁾	(3,845,186)	(835,028)	(327,451)
Total	<u>Ps. 1,418,253</u>	<u>Ps.(14,243,517)</u>	<u>Ps.(19,116,219)</u>

(1) Excludes discontinued operations of TracFone, Chile and Panama (See note 2ac)

Note 23. Segments

América Móvil operates in different countries. As mentioned in Note 1, the Company has operations in Mexico, Guatemala, Nicaragua, Ecuador, El Salvador, Costa Rica, Brazil, Argentina, Colombia, Honduras, Peru, Paraguay, Uruguay, the Dominican Republic, Puerto Rico, Austria, Croatia, Bulgaria, Belarus, Macedonian, Serbia and Slovenia. The accounting policies for the segments are the same as those described in Note 2.

The Chief Executive Officer, who is the Chief Operating Decision Maker (“CODM”), analyzes the financial and operating information by operating segment. All operating segments that (i) represent more than 10% of consolidated revenues, (ii) more than the absolute amount of its reported 10% of profits before income tax or (iii) more than 10% of consolidated assets, are presented separately.

The Company presents the following reportable segments for the purposes of its consolidated financial statements: Mexico (includes Telcel and Corporate operations and assets), Telmex (Mexico), Brazil, Southern Cone (includes Argentina, Paraguay and Uruguay), Colombia, Andean (includes Ecuador and Peru), Central America (includes Guatemala, El Salvador, Honduras, Nicaragua and Costa Rica), Caribbean (includes the Dominican Republic and Puerto Rico), and Europe (includes Austria, Bulgaria, Croatia, Belarus, Slovenia, Macedonia and Serbia).

The segment Southern Cone comprises mobile communication services in Argentina as well as Paraguay and Uruguay. Beginning in 2018, hyperinflation accounting in accordance with IAS 29 was initially applied to Argentina, which results in the restatement of non-monetary assets, liabilities and all items of the statement of comprehensive income for the change in a general price index and the translation of these items applying the period-end exchange rate.

The Company considers that the quantitative and qualitative aspects of any aggregated operating segments (that is, Central America and Caribbean reportable segments) are similar in nature for all periods presented. In evaluating the appropriateness of aggregating operating segments, the key indicators considered included but were not limited to: (i) the similarity of key financial statements measures and trends, (ii) all entities provide telecommunications services, (iii) similarities of customer base and services, (iv) the methods to distribute services are the same, based on telephone plant in both cases, wireless and fixed lines, (v) similarities of governments and regulatory entities that oversee the activities and services of telecom companies, (vi) inflation trends, and (vii) currency trends.

	Mexico	Telmex	Brazil	(3) Southern Cone	Colombia	Andean	(2) Central America	U.S.A. (1)	Caribbean	Europe	Eliminations	Consolidated total
As of and for the year ended December 31, 2020 (in Ps.):												
External revenues	214,578,600	77,920,910	163,865,421	34,426,863	77,282,658	53,846,358	44,823,244	—	37,182,842	111,472,191	—	815,399,087
Intersegment revenues	17,663,525	13,668,264	4,207,466	1,220,100	352,694	88,305	(129,419)	—	1,440,983	—	(38,511,918)	—
Total revenues	232,242,125	91,589,174	168,072,887	35,646,963	77,635,352	53,934,663	44,693,825	—	38,623,825	111,472,191	(38,511,918)	815,399,087
Depreciation and amortization	24,748,756	13,341,479	41,795,397	7,199,898	14,413,760	11,447,356	11,784,026	—	7,094,331	25,593,204	(3,202,787)	154,215,420
Operating income	70,851,525	11,204,433	25,203,504	3,238,167	15,111,947	8,698,645	5,844,137	—	6,701,086	13,159,865	(11,200,502)	148,812,807
Interest income	21,322,406	1,479,021	2,904,430	979,181	822,447	1,049,261	1,130,767	—	1,105,420	90,746	(25,823,043)	5,060,636
Interest expense	30,936,195	1,306,867	17,976,227	2,955,339	2,586,708	2,223,478	1,419,010	—	1,658,619	2,546,255	(25,443,493)	38,165,205
Income tax	4,905,863	577,178	(4,442,598)	676,444	2,078,789	3,115,693	1,504,240	—	2,524,214	2,234,065	4,283	13,178,171
Equity interest in net result of associated companies	(3,820)	23,955	(2,972)	(15,422)	—	—	—	—	—	(288,747)	—	(287,006)
Net profit (loss) attributable to equity holders of the parent	3,613,907	(1,085,038)	4,963,424	4,909,164	16,579,303	4,649,047	3,922,577	—	3,294,111	7,777,426	(13,359,095)	35,264,826
Net profit (loss) attributable to equity holders of the parent discontinued operations	—	—	—	—	—	—	—	—	—	—	—	11,587,779
Net profit (loss) attributable to equity holders of the parent	3,613,907	(1,085,038)	4,963,424	4,909,164	16,579,303	4,649,047	3,922,577	—	3,294,111	7,777,426	(13,359,095)	46,852,605
Assets by segment	947,396,510	203,081,314	386,982,711	118,266,380	132,210,369	101,717,708	88,690,683	35,083,285	109,914,293	239,583,759	(737,878,785)	1,625,048,227
Plant, property and equipment, net	52,117,395	110,751,083	145,307,497	62,157,797	48,876,853	36,102,261	37,855,227	1,761,595	39,128,447	82,595,077	(876,229)	615,777,003
Revalued of assets	—	—	36,076,207	7,494,408	12,893,284	9,500,708	7,059,247	—	2,572,504	31,556,270	—	107,152,628
Goodwill	26,949,185	215,381	16,048,092	5,436,675	12,253,743	4,866,363	6,345,659	3,362,899	14,186,723	53,388,139	—	143,052,859
Trademarks, net	126,823	181,094	—	—	—	—	—	269,325	219,087	2,981,089	—	3,777,418
Licenses and rights, net	12,017,318	100,623	26,171,345	12,099,873	12,363,039	6,870,531	5,427,857	—	8,616,880	27,963,250	—	111,630,716
Investment in associated companies	51,645	613,449	64,125	(20,970)	395	—	25,413	—	—	—	1,095,703	1,829,760
Liabilities by segments	725,408,198	193,840,756	263,989,566	61,786,265	63,610,642	53,379,366	34,252,511	33,141,315	60,839,340	138,747,621	(319,064,971)	1,309,930,609

(1) Restated for discontinued operations (TracFone disposal)

(2) Restated for discontinued operations (Panama disposal)

(3) Restated for discontinued operations (Claro Chile, SpA joint venture)

	Mexico	Telmex	Brazil	(2) Southern Cone		Colombia	Andean	(1) Central America	Caribbean	Europe	Eliminations	Consolidated total
As of and for the year ended												
December 31, 2021 (in Ps.):												
External revenues	225,219,719	87,189,642	148,729,232	40,244,826	79,312,071	52,888,323	45,406,174	37,858,979	113,838,486	—	—	830,687,452
Intersegment revenues	18,041,465	15,237,420	4,044,386	(699,479)	360,638	73,828	62,764	2,069,648	—	—	(39,190,670)	—
Total revenues	243,261,184	102,427,062	152,773,618	39,545,347	79,672,709	52,962,151	45,468,938	39,928,627	113,838,486	—	—	830,687,452
Depreciation and amortization	25,797,791	12,740,332	40,342,871	9,585,858	15,067,211	11,211,523	10,830,440	6,987,129	27,469,463	(3,729,626)	(3,729,626)	156,302,992
Operating income	77,783,972	21,100,316	21,867,457	2,968,702	15,165,356	7,457,802	8,700,382	8,661,475	13,421,147	(9,570,359)	(9,570,359)	167,556,250
Interest income	14,864,242	758,126	2,104,574	820,449	431,314	833,540	269,379	701,785	116,031	(17,065,290)	(17,065,290)	3,834,150
Interest expense	24,586,641	1,385,103	15,875,138	2,790,000	2,240,707	1,213,421	1,061,526	1,066,733	2,414,415	(16,895,379)	(16,895,379)	35,738,305
Income tax	25,002,390	2,496,010	(9,603,701)	782,844	3,112,946	2,375,281	2,940,404	2,171,594	3,438,161	1,548	1,548	32,717,477
Equity interest in net result of associated companies	85,648	44,525	4,575	(19,073)	—	—	—	—	(1,757)	—	—	113,918
Net profit (loss) attributable to equity holders of the parent continues operations	34,195,093	4,594,450	14,185,905	(2,804,630)	5,959,563	4,180,473	4,746,847	5,151,166	8,313,018	(10,334,660)	(10,334,660)	68,187,225
Net profit (loss) attributable to equity holders of the parent discontinued operations	—	—	—	—	—	—	—	—	—	—	—	124,235,942
Net profit (loss) attributable to equity holders of the parent	34,195,093	4,594,450	14,185,905	(2,804,630)	5,959,563	4,180,473	4,746,847	5,151,166	8,313,018	(10,334,660)	(10,334,660)	192,423,167
Assets by segment	999,502,407	195,869,232	407,458,440	135,862,040	133,232,525	95,719,937	101,725,955	102,949,901	210,944,575	(693,615,163)	(693,615,163)	1,689,649,849
Plant, property and equipment, net	50,420,866	118,056,718	153,607,199	64,864,986	48,888,907	34,395,339	42,407,727	41,601,009	79,764,422	(983,169)	(983,169)	633,024,004
Revalued of assets	—	—	33,004,669	6,159,077	10,266,464	8,389,460	9,113,632	2,564,149	28,675,224	—	—	98,172,675
Goodwill	26,965,618	215,381	15,335,322	5,191,841	11,685,585	4,688,154	6,002,380	14,186,723	52,307,190	—	—	136,578,194
Trademarks, net	90,673	149,865	—	—	—	—	—	229,000	2,822,625	—	—	3,292,163
Licenses and rights, net	11,081,972	129,233	39,620,009	13,791,003	11,384,533	5,502,139	5,220,437	10,847,685	25,709,849	—	—	123,286,860
Investment in associated companies	4,725,279	522,403	65,699	(34,401)	351	—	26,348	—	—	(2,253,198)	(2,253,198)	3,052,481
Liabilities by segments	679,954,783	176,177,522	273,655,967	72,702,285	65,631,866	44,676,727	42,823,861	53,885,848	134,357,142	(308,257,878)	(308,257,878)	1,235,608,123

(1) Restated for discontinued operations (Panama disposal)

(2) Restated for discontinued operations (Claro Chile, SpA joint venture)

	Mexico	Telmex	Brazil	(2) Southern Cone	(1) Central America	Caribbean	Europe	Eliminations	Consolidated total
As of and for the year ended									
December 31, 2022 (in Ps.):									
External revenues	236,608,249	83,046,967	165,804,342	38,820,073	70,925,374	55,426,258	47,054,127	—	844,501,397
Internal revenues	9,290,955	16,937,889	5,075,716	(95,105)	374,225	72,142	160,459	(33,670,310)	—
Total revenues	245,899,204	99,984,856	170,880,058	38,724,968	71,299,599	55,498,400	47,214,586	(33,670,310)	844,501,397
Depreciation and amortization	26,383,113	13,171,616	43,422,821	10,807,072	13,085,226	10,698,869	11,178,361	(9,138)	158,633,786
Operating income	76,708,954	16,172,472	26,665,816	1,796,672	14,170,936	8,262,395	7,540,132	(6,886,979)	170,870,752
Interest income	18,336,415	925,158	2,679,103	719,851	624,304	906,176	431,741	(20,730,921)	4,823,579
Interest expense	24,909,724	3,342,459	23,411,387	2,573,356	2,699,010	860,572	1,033,792	(20,005,724)	41,258,803
Income tax	30,642,242	2,767,673	454,205	(160,199)	2,286,809	2,870,743	1,708,728	(109,785)	46,044,089
Equity interest in net result of associated companies	(1,821,608)	31,000	20,864	(2,198)	—	—	—	(39,490)	(1,811,432)
Net profit (loss) attributable to equity holders of the parent	63,711,537	(373,036)	10,254,969	(1,157,911)	6,486,771	6,122,291	5,059,038	(25,669,919)	82,878,406
continues operations	—	—	—	—	—	—	—	—	—
Net profit (loss) attributable to equity holders of the parent discontinued operations	—	—	—	—	—	—	—	—	(6,719,015)
Net profit (loss) attributable to equity holders of the parent	63,711,537	(373,036)	10,254,969	(1,157,911)	6,486,771	6,122,291	5,059,038	(25,669,919)	76,159,391
Assets by segment	1,042,849,460	215,543,807	407,802,373	87,971,767	104,769,670	85,782,831	96,321,649	(678,859,545)	1,618,099,344
Plant, property and equipment, net	49,677,868	134,928,482	159,382,793	42,674,620	44,999,710	33,480,299	41,312,113	(462,650)	618,872,491
Revalued of assets	—	—	—	—	7,700,459	5,938,449	—	—	38,353,719
Goodwill	26,481,707	215,381	31,085,202	199,984	8,495,090	4,678,851	6,312,511	—	141,121,365
Trademarks, net	110,397	118,634	—	—	—	—	—	—	3,014,557
Licenses and rights, net	10,559,914	106,659	37,638,695	12,965,021	8,068,013	4,271,910	3,599,560	—	107,795,187
Investment in associated companies	24,656,295	550,493	22,708	(19,866)	—	—	23,896	(1,260,122)	23,975,462
Liabilities by segments	621,482,350	204,294,033	297,234,805	54,393,204	57,393,854	36,223,727	42,725,447	(279,439,292)	1,180,270,071

(1) Discontinued operations (Panama disposal)

(2) Discontinued operations (Claro Chile, SpA joint venture)

Note 24. Recently Issued Accounting Standards

New and amended standards and interpretations

The Company applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2022 (unless otherwise stated). The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Onerous Contracts – Costs of Fulfilling a Contract – Amendments to IAS 37

An onerous contract is a contract under which the unavoidable of meeting the obligations under the contract costs (i.e., the costs that the Company cannot avoid because it has the contract) exceed the economic benefits expected to be received under it.

The amendments specify that when assessing whether a contract is onerous or loss-making, an entity needs to include costs that relate directly to a contract to provide goods or services including both incremental costs (e.g., the costs of direct labour and materials) and an allocation of costs directly related to contract activities (e.g., depreciation of equipment used to fulfil the contract and costs of contract management and supervision). General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

Prior to the application of the amendments, the Company identified no significant contracts as being onerous as the unavoidable costs under the contracts, which were the costs of fulfilling them, comprised only incremental costs directly related to the contracts.

Reference to the Conceptual Framework – Amendments to IFRS 3

The amendments replace a reference to a previous version of the IASB's Conceptual Framework with a reference to the current version issued in March 2018 without significantly changing its requirements.

The amendments add an exception to the recognition principle of *IFRS 3 Business Combinations* to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of *IAS 37 Provisions, Contingent Liabilities and Contingent Assets* or *IFRIC 21 Levies*, if incurred separately. The exception requires entities to apply the criteria in IAS 37 or IFRIC 21, respectively, instead of the Conceptual Framework, to determine whether a present obligation exists at the acquisition date.

The amendments also add a new paragraph to IFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

In accordance with the transitional provisions, the Company applies the amendments prospectively, i.e., to business combinations occurring after the beginning of the annual reporting period in which it first applies the amendments (the date of initial application).

These amendments had no impact on the consolidated financial statements of the Company as there were no contingent assets, liabilities or contingent liabilities within the scope of these amendments that arose during the period.

Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16 Leases

The amendment prohibits entities from deducting from the cost of an item of property, plant and equipment, any proceeds of the sale of items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

In accordance with the transitional provisions, the Company applies the amendments retrospectively only to items of PP&E made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment (the date of initial application).

These amendments had no impact on the consolidated financial statements of the Company as there were no sales of such items produced by property, plant and equipment made available for use on or after the beginning of the earliest period presented.

IFRS 1 First-time Adoption of International Financial Reporting Standards – Subsidiary as a first-time adopter

The amendment permits a subsidiary that elects to apply paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported in the parent's consolidated financial statements, based on the parent's date of transition to IFRS, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of IFRS 1.

These amendments had no impact on the consolidated financial statements of the Company as it is not a first-time adopter.

IFRS 9 Financial Instruments – Fees in the '10 per cent' test for derecognition of financial liabilities

The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. There is no similar amendment proposed for *IAS 39 Financial Instruments: Recognition and Measurement*.

In accordance with the transitional provisions, the Company applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment (the date of initial application). These amendments had no impact on the consolidated financial statements of the Company as there were no modifications of the Company's financial instruments during the period.

Note 25. Subsequent Events

a) On February 6, 2023, the Company announced the execution of a definitive agreement (Agreement of Shareholders), with Österreichische Beteiligungs AG ("OBAG"), in respect of their shares in Telekom Austria AG ("Telekom Austria"), ensuring leadership and control by AMX of the Telekom Austria Group, granting it the right to continue nominating the majority of the members of the Board of Directors (Supervisory Board), and the President and CEO of the Management Board of Telekom Austria, with voting power in all company management decisions. The Shareholders Agreement provides a new term of 10 years, from that date.

In addition, the spin-off of the Telekom Austria towers was agreed for the majority of the countries where it operates, including Austria, which will allow Telekom Austria to allocate more efficiently its equity and expand its investment in high-speed connectivity infrastructure in Austria, including fiber and 5G infrastructure. This spin-off will not generate changes in the majority shareholding structure and it is intended to list the tower's shares on the Vienna Stock Exchange.

The spin-off of the towers is subject to various corporate and regulatory approvals, including the approval of the Supervisory Board and the shareholders of Telekom Austria.

- b) On February 3, 2023, the Company completed the sale of 1,388 telecommunications towers, property of its subsidiary in the Dominican Republic, to Sitios Latam.
- c) On March 31, 2023, the Company completed the sale of 2,980 telecommunications towers, property of its subsidiary in Peru, to Sitios Latam, therefore, a total of 3,480 towers were finally transferred.
- d) On December 20, 2022, the Company's shareholders approved the conversion of all its series "A", "AA" and "L" shares into common shares of a single new series "B", with full voting rights, as well as to amend AMX's bylaws to implement said conversion. The conversion was subject to various corporate and regulatory approvals. The conversion was implemented at a 1:1 conversion ratio, and completed on March 16, 2023.
- e) On January 16, 2023, the company informed that after extensive dialogue with the Telephone Operators Union of the Mexican Republic, a constructive agreement has been reached regarding retirement conditions (pensions) for newly hired personnel that TELMEX hires from January 2023
- f) On April 14, the Company's shareholders approved a repurchase fund for an amount of Ps. 20 billion to be used in the period from April 2023 to April 2024.
- g) On April 27, the Company's shareholders approved to pay a 0.46 (forty six peso cents) ordinary dividend, per share, in two equal installments, to each of the shares of its capital stock series B.



















DESCRIPTION OF SECURITIES REGISTERED UNDER SECTION 12 OF THE EXCHANGE ACT

As of December 31, 2022, América Móvil (the “Company,” “we,” “us,” and “our”) had the following classes of securities registered pursuant to Section 12(b) of the Exchange Act:

No.	Title of each class	Trading symbol(s)	Name of each exchange on which registered
I.	AA Shares, A Shares and L Shares*	—	—
	A Shares ADSs	AMOV	New York Stock Exchange
II.	L Shares ADSs	AMX	New York Stock Exchange
	3.625% Senior Notes Due 2029	AMX29	New York Stock Exchange
	2.875% Senior Notes Due 2030	AMX30	New York Stock Exchange
	4.700% Senior Notes Due 2032	AMX32	New York Stock Exchange
	6.375% Senior Notes Due 2035	AMX35	New York Stock Exchange
III.	6.125% Senior Notes Due 2037	AMX37	New York Stock Exchange
	6.125% Senior Notes Due 2040	AMX40	New York Stock Exchange
	4.375% Senior Notes Due 2042	AMX42	New York Stock Exchange
	4.375% Senior Notes Due 2049	AMX49	New York Stock Exchange

* *Not for trading, but only in connection with the registration of A Share ADSs and L Shares ADSs representing such shares.*

Capitalized terms used but not defined herein have the meanings given to them in our annual report on Form 20-F for the fiscal year ended December 31, 2022.

I. RECLASSIFICATION OF CAPITAL STOCK

On December 20, 2022, our shareholders approved the reclassification of our AA Shares, A Shares and L Shares into a single new “B” series of shares (the “B Shares”), such that all series of shares representing our capital stock would be converted into a single series of ordinary shares with full voting rights on a one for one basis (the “Reclassification”). On the same date, our shareholders also approved amendments to our bylaws in order to implement the Reclassification.

Pursuant to the Reclassification, our A Share ADSs and L Share ADSs were cancelled, and the applicable holders of A Share ADSs and L Share ADSs received the same number of B Share ADSs, with each B Share ADS representing twenty (20) B Shares. The B Shares and the B Share ADSs started trading on the Mexican Stock Exchange (*Bolsa Mexicana de Valores, S.A.B. de C.V.*) and on the New York Stock Exchange, respectively, on March 16, 2023.

For more information on the Reclassification, see (i) our Reclassification Proposal, dated November 22, 2022, which was furnished to the SEC on November 22, 2022 under cover of Form 6-K (File No. 1-16269), (ii) our Registration Statement for the B Share ADSs, dated March 13, 2023, filed with the SEC under cover of Form 8-A (File No. 1-16269) and (iii) our notice dated March 16, 2023, which was furnished to the SEC under cover of Form 6-K (File No. 1-16269).

II. AA SHARES, A SHARES AND L SHARES

Below is a brief summary of certain significant provisions of our bylaws and Mexican law relating to the AA Shares, A Shares and L Shares as of December 31, 2022 (before giving effect to the Reclassification). It does not purport to be complete and is qualified by reference to the bylaws themselves. An English translation of the bylaws containing these provisions was filed with the SEC as exhibit 1.1 to our annual report on Form 20-F for the year ended December 31, 2021, filed with the SEC on April 29, 2022 (SEC File No. 001-16269). An English translation of our current bylaws (giving effect to the Reclassification) has been filed with the SEC as an exhibit to our annual report filed herewith.

Shareholders' Equity

As of December 31, 2022, we had three classes of outstanding shares: AA Shares, A Shares and L Shares, all without par value, fully paid and non-assessable.

AA Shares and A Shares have full voting rights

L Shares may vote only in limited circumstances as described below under "Voting Rights."

The rights of all series of shares are generally identical except for voting rights and the limitations on non-Mexican ownership of AA Shares and A Shares. The AA Shares must always represent at least 51.0% of the combined AA Shares and A Shares. At least 20.0% of our outstanding shares must consist of AA Shares, and not more than 80% can be A Shares and L Shares.

Each AA Share or A Share may be exchanged at the option of the holder for one L Share, provided that the AA Shares may never represent less than 20.0% of our outstanding shares or less than 51.0% of our combined AA Shares and A Shares.

Any capital increase must be represented by new shares of each series in proportion to the number of shares of each series outstanding.

Voting Rights

Each AA Share or A Share entitles the holder to one vote at any shareholders meeting.

Each L Share entitles the holder to one vote at any meeting at which L Shares are entitled to vote. L Shares are entitled to vote to elect only two members of the Board and the corresponding alternate directors, as well as on the following limited matters: our transformation from one type of company to another; any merger involving us; the extension of our authorized corporate duration; our voluntary dissolution; any change in our corporate purpose; any transaction that represents 20.0% or more of the Company's consolidated assets; any change in our jurisdiction of incorporation; removal of our shares from listing on the Mexican Stock Exchange or any foreign exchange; and any action that would prejudice the rights of L Shares. A resolution on any of the specified matters requires the affirmative vote of both a majority of all outstanding shares and a majority of the AA Shares and the A Shares voting together.

Shares of any series are also entitled to vote as a class on any action that would prejudice the rights of that series and are entitled to judicial relief against any action taken without their vote.

Shareholders' Meetings

General shareholders' meetings may be ordinary or extraordinary. Extraordinary general meetings are those called to consider certain specified matters, including, principally, changes to the bylaws, liquidation, merger and transformation, as well as to consider the removal of our shares from listing on the Mexican Stock Exchange or any foreign stock exchange. General meetings called to consider all other matters are ordinary meetings.

An ordinary general meeting of AA Shares and A Shares must be held each year to consider the approval of the financial statements for the preceding fiscal year, to elect directors and to determine the allocation of the profits. Transactions that represent 20.0% or more of our consolidated assets in any fiscal year must be approved by an ordinary general shareholder meeting of all shareholders, including L Shares. All other matters on which L Shares are entitled to vote would be considered at an extraordinary general meeting.

The two directors elected by the L Shares are elected at a special meeting of L Shares. A special meeting of the L Shares must be held each year for the election of directors.

The quorum for an ordinary general meeting of the AA Shares and A Shares is 50.0% of such shares, and action may be taken by a majority of the shares present. If a quorum is not available, a second meeting may be called at which action may be taken by a majority of the AA Shares and A Shares present, regardless of the number of such shares. Special meetings of L Shares are governed by the same rules applicable to ordinary general meetings of AA Shares and A Shares. The quorum for an extraordinary general meeting at which L Shares may not vote is 75.0% of the AA Shares and A Shares, and the quorum for an extraordinary general meeting at which L Shares are entitled to vote is 75.0% of the outstanding capital stock. If a quorum is not available in either case, a second meeting may be called and action may be taken, provided a majority of the shares entitled to vote is present. Whether on first or second call, actions at an extraordinary general meeting may be taken by a majority vote of the AA Shares and A Shares outstanding and, on matters which L Shares are entitled to vote, a majority vote of all the capital stock.

Holders of 20.0% of our outstanding capital stock may have any shareholder action set aside by filing a complaint with a Mexican court of law within 15 days after the close of the meeting at

which such action was taken and showing that the challenged action violates Mexican law or our bylaws. In addition, any holder of our capital stock may bring an action at any time within five years challenging any shareholder action. Relief under these provisions is only available to holders who were entitled to vote on, or whose rights as shareholders were adversely affected by, the challenged shareholder action and whose shares were not represented when the action was taken or, if represented, voted against it.

Shareholders' meetings may be called by the Board, its chairman, its corporate secretary, the Chairman of the Audit and Corporate Practices Committee or a Mexican court of law. The Chairman of the Board or the Chairman of the Audit and Corporate Practices Committee may be required to call a meeting of shareholders by the holders of 10.0% of the outstanding shares. Notice of meetings must be published at least 15 days prior to the meeting.

A shareholder is required to deposit its shares with a custodian in order to attend a shareholders' meeting.

Dividend Rights

At the annual ordinary general meeting of AA Shares and A Shares, the Board submits our financial statements for the previous fiscal year to the holders of AA Shares and A Shares for approval. Once financial statements are approved, the allocation of our net profits is determined, and we must allocate 5.0% of such net profits to a legal reserve, which is not thereafter available for distribution except as a stock dividend, until the amount of the legal reserve equals 20.0% of our capital stock. The remainder of net profits is available for distribution.

All shares outstanding are entitled to participate in a dividend or other distribution. L shares are entitled to a nominal preference with respect to dividends or liquidation, but the preference has no economic significance.

Preemptive Rights

In new issuances of shares, each shareholder has a preferential right to subscribe for a sufficient number of shares of the same series to maintain its existing proportionate holdings, except in certain circumstances such as mergers, convertible debentures, public offers and placement of treasury or repurchased shares. These rights cannot be traded separately from the shares. As a result, there is no trading market for such rights.

Limitations on Share Ownership

AA Shares and A Shares may be owned only by holders that qualify as Mexican investors as defined in the Foreign Investment Law (*Ley de Inversión Extranjera*) and our bylaws. AA Shares can only be held or acquired by Mexican citizens, Mexican corporations whose capital stock is held completely by Mexican citizens or other Mexican qualified investors. Non-Mexican investors cannot hold AA Shares except through trusts that effectively neutralize their votes.

If a foreign government or state acquires our AA Shares, such shares would immediately be rendered without effect or value.

We have a foreign exclusion clause that restricts ownership of our shares to holders that qualify as Mexican investors. It does not apply to the L Shares, and, under transitional provisions adopted by our shareholders, it does not limit foreign ownership of A Shares outstanding as of the date of the shareholders' meeting approving the amendment.

Restrictions on Certain Transfers

Any transfer of 10.0% or more of our voting shares, in one or more transactions, by any person or group of persons acting in concert, requires prior approval by our Board. If the Board denies such approval, however, it shall designate an alternate transferee, who must pay market price for the shares as quoted on the Mexican Stock Exchange.

Restrictions on Deregistration in Mexico

Our shares are registered with the RNV maintained by the CNBV.

If we wish to cancel our registration, or if it is cancelled by the CNBV, we are required to conduct a public offer to purchase all of the outstanding shares prior to such cancellation. Such offer shall exclude our controlling group of shareholders. If, after the public offer is concluded, there are still outstanding shares held by the general public, we will be required to create a trust for a period of six months, with funds in an amount sufficient to purchase, at the same price as the offer price, the number of outstanding shares held by the public that did not participate in the offer.

Unless the CNBV authorizes otherwise, upon the prior approval of the Board, which must take into account the opinion of the Audit and Corporate Practices Committee, the offer price will be the higher of (i) the average of the closing price during the previous 30 days on which the shares may have been quoted or (ii) the book value of the shares in accordance with the most recent quarterly report submitted to the CNBV and to the Mexican Stock Exchange.

The voluntary cancellation of the registration will be subject to (i) the prior authorization of the CNBV and (ii) the authorization of not less than 95.0% of the outstanding capital stock in a general extraordinary shareholders' meeting.

Tender Offer Requirement

Certain significant acquisitions of our capital stock may require the purchaser to make a tender offer.

Other Provisions

EXCLUSIVE JURISDICTION. Our bylaws provide that legal actions relating to the execution, interpretation or performance of the bylaws shall be brought only in Mexican courts.

PURCHASE OF OUR OWN SHARES. We may repurchase our shares on the Mexican Stock Exchange at any time at the then-prevailing market price. Any such repurchase must conform to guidelines established by the Board, and the amount available to repurchase shares must be approved by the general ordinary shareholders' meeting. The economic and voting rights corresponding to repurchased shares may not be exercised during the period in which we own such

shares, and such shares are not deemed to be outstanding for purposes of calculating any quorum or vote at any shareholders' meeting during such period.

CONFLICT OF INTEREST. A shareholder that votes on a business transaction in which its interest conflicts with our interests may be liable for damages, but only if the transaction would not have been approved without its vote.

WITHDRAWAL RIGHTS. Whenever a shareholders meeting approve a change of corporate purposes, change of nationality of the corporation or transformation from one type of company to another, any shareholder entitled to vote on such change that has voted against may withdraw and receive the book value of its shares, provided this right is exercised within 15 days following the meeting.

III. AMERICAN DEPOSITARY SHARES

Citibank, N.A. ("the Depositary") serves as the depositary for our ADSs and our American Depositary Receipts ("ADR") program. ADS holders are required to pay various fees to the Depositary, and the Depositary may refuse to provide any service for which a fee is assessed until the applicable fee has been paid.

ADS holders are required to pay the Depositary amounts in respect of expenses incurred by the Depositary or its agents on behalf of ADS holders, including expenses arising from (i) taxes or other governmental charges, (ii) registration fees payable to us that may be applicable to the transfer of shares upon deposits to or withdrawals from the ADS program, (iii) cable, telex and facsimile transmission, (iv) conversion of foreign currency into U.S. dollars, (v) compliance with exchange control regulations and other regulatory requirements or (vi) servicing of the ADSs or the shares underlying ADSs. The Depositary may decide in its sole discretion to seek payment either by billing holders or by deducting the fee from one or more cash dividends or other cash distributions.

ADS holders are also required to pay additional fees for certain services provided by the Depositary, as set forth in the table below.

DEPOSITARY SERVICE	FEE PAYABLE BY ADS HOLDERS
Issuance and delivery of ADSs, including in connection with share distributions, purchase rights, sales and stock splits	Up to U.S.\$5.00 per 100 ADSs (or a fraction thereof)
Cash distributions	Up to U.S.\$5.00 per 100 ADSs (or a fraction thereof)
Surrender, withdrawal or cancellation	Up to U.S.\$5.00 per 100 ADSs (or a fraction thereof)

Share distributions other than ADSs or rights to purchase additional ADSs Up to U.S.\$5.00 per 100 ADSs (or a fraction thereof) (i.e., spin-off shares)

ADS services

Up to U.S.\$5.00 per 100 ADSs (or a fraction thereof) held on the applicable record date(s) established by the Depositary

Payments by the Depositary

The Depositary reimburses us for certain expenses we incur in connection with the ADR program, subject to a ceiling agreed between us and the Depositary from time to time. These reimbursable expenses currently include legal and accounting fees, listing fees, investor relations expenses and fees payable to service providers for the distribution of material to ADS holders. During the year ended December 31, 2022, the Depositary reimbursed us a total of U.S.\$1.9 million for reimbursable expenses. For more information, see “Description of securities other than equity securities—Disclosure of fees incurred in past annual period” under Part IV of América Móvil’s annual report on Form 20-F for the fiscal year ended December 31, 2022.

Shareholders’ Meetings

A shareholder is required to deposit its shares with a custodian in order to attend a shareholders’ meeting. A holder of ADSs will not be able to meet this requirement, and accordingly is not entitled to attend shareholders’ meetings. A holder of ADSs is entitled to instruct the depositary as to how to vote the shares represented by ADSs, in accordance with procedures provided for in the deposit agreements. However, a holder of ADSs will not be able to vote its shares directly at a shareholders’ meeting or to appoint a proxy to do so.

Preemptive Rights

In new issuances of shares, each shareholder has a preferential right to subscribe for a sufficient number of shares of the same series to maintain its existing proportionate holdings, except in certain circumstances such as mergers, convertible debentures, public offers and placement of treasury or repurchased shares. These rights cannot be traded separately from the shares. As a result, there is no trading market for such rights. Holders of ADSs may exercise these rights only through the depositary. We are not required to take steps that may be necessary to make this possible.

IV. DEBT SECURITIES

Each series of notes listed on the New York Stock Exchange, as set forth on the cover page of América Móvil’s annual report on Form 20-F for the fiscal year ended December 31, 2022, has been issued by América Móvil. Some series have also been guaranteed by a subsidiary, as set forth in the descriptions below. Each of these series of notes and related guarantees was issued under an indenture (each a “Base Indenture”) and a supplemental indenture (each a “Supplemental Indenture”).

The following table sets forth the general information of each relevant series of notes (the “Notes”).

<u>Section</u>	<u>Series</u>	<u>Date of Base Indenture</u>	<u>Date of Supplemental Indenture</u>
A	6.375% Notes Due 2035 (“2035 Notes”)	March 9, 2004 (“2004 Indenture”)	February 25, 2005 (“2005 Supplemental Indenture”)
	6.125% Notes due 2037 (“2037 Notes”)		October 30, 2007 (“2007 Supplemental Indenture”)
B	6.125% Senior Notes Due 2040 (“2040 Notes”)	September 30, 2009 (“2009 Indenture”)	March 30, 2010 (“2010 Supplemental Indenture”)
C	4.375% Senior Notes Due 2042 (“2042 Notes”)	June 28, 2012 (“2012 Indenture”)	July 16, 2012 (“2012 Supplemental Indenture”)
	3.625% Senior Notes due 2029 (“2029 Notes”)		April 22, 2019 (“2019 Supplemental Indenture”)
	4.375% Senior Notes Due 2049 (“2049 Notes”)		
D	2.875% Senior Notes Due 2030 (“2030 Notes”)	October 1, 2018 (“2018 Indenture”)	May 7, 2020 (“2020 Supplemental Indenture”)
			July 21, 2022 (“2022 Supplemental Indenture”)
	4.700% Senior Notes Due 2032 (“2032 Notes”)		

The summary set out below of the general terms and provisions of our debt securities does not purport to be complete and is subject to, and qualified in its entirety by reference to, all of the definitions and provisions of the relevant Indenture and the instrument representing each series of our Notes. Certain terms, unless otherwise defined here, have the meaning given to them in the relevant Indenture.

A. 2035 Notes and 2037 Notes

General

The 2035 Notes and the 2037 Notes constitute separate series of notes. The following discussion of the terms of the notes, including without limitation the discussions under “Optional Redemption”, “Defaults, Remedies and Waiver of Defaults,” “Modification and Waiver” and “Defeasance” below, applies to each series separately. References to “notes” and “debt securities” in this section III.A. are to the 2035 Notes and the 2037 Notes.

Indenture and Supplemental Indenture

The 2035 Notes were issued under the 2004 Indenture and the 2005 Supplemental Indenture. The 2037 Notes were issued under the 2004 Indenture and the 2007 Supplemental Indenture. The indentures are agreements among América Móvil, Radiomóvil Dipsa, S.A. de C.V (“Telcel”), as guarantor, and The Bank of New York (as successor to JPMorgan Chase Bank, N.A.), as trustee. References to the “indenture” in this section III.A. are to the 2004 Indenture as supplemented by the applicable Supplemental Indenture.

The trustee has the following two main roles:

- First, the trustee can enforce the rights of holders of the notes against América Móvil if it defaults in respect of the notes and Telcel defaults in respect of the guarantees. There are some limitations on the extent to which the trustee acts on the holders’ behalf, which are described under “Defaults, Remedies and Waiver of Defaults” below.
- Second, the trustee performs administrative duties for América Móvil, such as making interest payments and sending notices to holders of the notes.

Principal and Interest

The original aggregate principal amount of the 2035 Notes is U.S.\$1,000,000,000. The 2035 Notes will mature on March 1, 2035.

The 2035 Notes bear interest at a rate of 6 3/8% per year from February 25, 2005. Interest on the 2035 Notes is payable semi-annually on March 1 and September 1 of each year, to the holders in whose names the notes are registered at the close of business on the February 15 or August 15 immediately preceding the related interest payment date.

The original aggregate principal amount of the 2037 Notes is U.S.\$400,000,000. The 2037 Notes will mature on November 15, 2037.

The 2037 Notes bear interest at a rate of 6.125% per year from October 30, 2007. Interest on the 2037 Notes is payable semi-annually on May 15 and November 15 of each year, to the holders in whose names the notes are registered at the close of business on the May 1 or November 1 immediately preceding the related interest payment date.

América Móvil pays interest on the notes on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity will include interest accrued from and including the last date to which interest has been paid or made available for payment, or from the issue date, if none has been paid or made available for payment, to but excluding the relevant payment date. América Móvil computes interest on the notes on the basis of a 360-day year of twelve 30-day months.

Subsidiary Guarantor

Telcel has irrevocably and unconditionally guaranteed the full and punctual payment of principal, premium, if any, interest, additional amounts and any other amounts that may become due and payable by América Móvil in respect of the notes. If América Móvil fails to pay any such amount, Telcel will immediately pay the amount that is due and required to be paid.

Ranking of the Notes and the Guarantees

América Móvil is a holding company and its principal assets are shares that it holds in its subsidiaries. The notes are not secured by any of its assets or properties. As a result, a holder of the notes is an unsecured creditor of América Móvil. The notes are not subordinated to any of América Móvil's other unsecured debt obligations. In the event of a bankruptcy or liquidation proceeding against América Móvil, the notes would rank equally in right of payment with all its other unsecured and unsubordinated debt.

Telcel's guarantees of the notes are not secured by any of its assets or properties. As a result, if Telcel is required to pay under the guarantees, holders of the notes would be unsecured creditors of Telcel. The guarantees are not subordinated to any of Telcel's other unsecured debt obligations. In the event of a bankruptcy or liquidation proceeding against Telcel, the guarantees would rank equally in right of payment with all of Telcel's other unsecured and unsubordinated debt.

A creditor of Telcel, including a holder of the notes, which are guaranteed by Telcel, may face limitations under Mexican law in attempting to enforce a claim against Telcel's assets to the extent those assets are used in providing public service under Telcel's concessions.

Form and Denominations

The notes were issued only in registered form without coupons and in denominations of U.S.\$2,000 and integral multiples of U.S.\$1,000 in excess thereof.

Except in limited circumstances, the notes will be issued in the form of global notes.

Further Issues

América Móvil reserves the right, from time to time without the consent of holders of the notes, to issue additional notes of either series on terms and conditions identical to those of the original notes of that series, which additional notes shall increase the aggregate principal amount of, and shall be consolidated and form a single series with, the original notes of that series.

Payment of Additional Amounts

América Móvil is required by Mexican law to deduct Mexican withholding taxes from payments of interest to investors who are not residents of Mexico for tax purposes.

América Móvil will pay to holders of the notes all additional amounts that may be necessary so that every net payment of interest or principal to the holder will not be less than the amount provided for in the notes. By net payment, América Móvil means the amount that it or its paying agent will pay the holder after deducting or withholding an amount for or on account of any present or future taxes, duties, assessments or other governmental charges imposed with respect to that payment by a Mexican taxing authority.

América Móvil's obligation to pay additional amounts is, however, subject to several important exceptions. It will not pay additional amounts to any holder for or on account of any of the following:

- any taxes, duties, assessments or other governmental charges imposed solely because at any time there is or was a connection between the holder and Mexico (other than the mere receipt of a payment or the ownership or holding of a debt security);
- any estate, inheritance, gift or other similar tax, assessment or other governmental charge imposed with respect to the debt securities;
- any taxes, duties, assessments or other governmental charges imposed solely because the holder or any other person fails to comply with any certification, identification or other reporting requirement concerning the nationality, residence, identity or connection with Mexico of the holder or any beneficial owner of the debt security if compliance is required by law, regulation or by an applicable income tax treaty to which Mexico is a party, as a precondition to exemption from, or reduction in the rate of, the tax, assessment or other governmental charge and we have given the holders at least 30 days' notice prior to the first payment date with respect to which such certification, identification or reporting requirement is required to the effect that holders will be required to provide such information and identification;
- any tax, duty, assessment or other governmental charge payable otherwise than by deduction or withholding from payments on the debt securities;
- any taxes, duties, assessments or other governmental charges with respect to a debt security presented for payment more than 15 days after the date on which the payment became due and payable or the date on which payment thereof is duly provided for and notice thereof given to holders, whichever occurs later, except to the extent that the holders of such debt security would have been entitled to such additional amounts on presenting such debt security for payment on any date during such 15-day period; and
- any payment on a debt security to a holder that is a fiduciary or partnership or a person other than the sole beneficial owner of any such payment, to the extent that a beneficiary or settlor with respect to such fiduciary, a member of such a partnership or the beneficial owner of the

payment would not have been entitled to the additional amounts had the beneficiary, settlor, member or beneficial owner been the holder of such debt security.

The limitations on América Móvil's obligations to pay additional amounts described in the third bullet point above will not apply if the provision of information, documentation or other evidence described in the applicable bullet point would be materially more onerous, in form, in procedure or in the substance of information disclosed, to a holder or beneficial owner of a debt security, taking into account any relevant differences between U.S. and Mexican law, regulation or administrative practice, than comparable information or other reporting requirements imposed under U.S. tax law (including the United States/Mexico Income Tax Treaty), regulations (including proposed regulations) and administrative practice.

Applicable Mexican regulations currently allow América Móvil to withhold at a reduced rate, provided that it complies with certain information reporting requirements. Accordingly, the limitations on its obligations to pay additional amounts described in the third bullet point above also will not apply unless (a) the provision of the information, documentation or other evidence described in the applicable bullet point is expressly required by the applicable Mexican regulations, (b) it cannot obtain the information, documentation or other evidence necessary to comply with the applicable Mexican regulations on its own through reasonable diligence, and (c) it otherwise would meet the requirements for application of the applicable Mexican regulations.

In addition, the limitation described in the third bullet point above does not require that any person, including any non-Mexican pension fund, retirement fund or financial institution, register with the Ministry of Finance and Public Credit to establish eligibility for an exemption from, or a reduction of, Mexican withholding tax.

América Móvil will remit the full amount of any Mexican taxes withheld to the applicable Mexican taxing authorities in accordance with applicable law. It will also provide the trustee with documentation satisfactory to the trustee evidencing the payment of Mexican taxes in respect of which we have paid any additional amount. It will provide copies of such documentation to the holders of the debt securities or the relevant paying agent upon request.

Any reference in the indenture or the debt securities or guarantees to principal, premium, if any, interest or any other amount payable in respect of the debt securities by América Móvil will be deemed also to refer to any additional amount that may be payable with respect to that amount under the obligations referred to in this subsection.

In the event that additional amounts actually paid with respect to the debt securities pursuant to the preceding paragraphs are based on rates of deduction or withholding of withholding taxes in excess of the appropriate rate applicable to the holder of such debt securities, and as a result thereof such holder is entitled to make a claim for a refund or credit of such excess from the authority imposing such withholding tax, then such holder shall, by accepting such debt securities, be deemed to have assigned and transferred all right, title and interest to any such claim for a refund or credit of such excess to América Móvil. However, by making such assignment, the holder makes no representation or warranty that América Móvil will be entitled to receive such claim for a refund or credit and incurs no other obligation with respect thereto.

Optional Redemption

América Móvil will not be permitted to redeem the notes before their stated maturity, except as set forth below. The notes will not be entitled to the benefit of any sinking fund—meaning that we will not deposit money on a regular basis into any separate account to repay holders' notes. In addition, holders will not be entitled to require América Móvil to repurchase their notes from them before the stated maturity.

Optional Redemption With “Make-Whole” Amount

América Móvil will have the right at its option to redeem any of the notes in whole or in part, at any time or from time to time prior to their maturity, on at least 30 days' but not more than 60 days' notice, at a redemption price equal to the greater of (1) 100% of the principal amount of such notes and (2) the sum of the present values of each remaining scheduled payment of principal and interest thereon (exclusive of interest accrued to the date of redemption) discounted to the redemption date on a semiannual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate plus 35 basis points in the case of the 2035 Notes and 25 basis points in the case of the 2037 Notes (the “Make-Whole Amount”), plus in each case accrued interest on the principal amount of the notes to the date of redemption.

“Treasury Rate” means, with respect to any redemption date, the rate per annum equal to the semiannual equivalent yield to maturity or interpolated maturity (on a day count basis) of the Comparable Treasury Issue, assuming a price for the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price for such redemption date.

“Comparable Treasury Issue” means the United States Treasury security or securities selected by an Independent Investment Banker as having an actual or interpolated maturity comparable to the remaining term of the notes to be redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of a comparable maturity to the remaining term of such notes.

“Independent Investment Banker” means one of the Reference Treasury Dealers appointed by América Móvil.

“Comparable Treasury Price” means, with respect to any redemption date (1) the average of the Reference Treasury Dealer Quotations for such redemption date, after excluding the highest and lowest such Reference Treasury Dealer Quotation or (2) if the trustee obtains fewer than four such Reference Treasury Dealer Quotations, the average of all such quotations.

“Reference Treasury Dealer” means (i) in the case of the 2035 Notes, Credit Suisse First Boston LLC, or its respective affiliates which are primary United States government securities dealers and two other leading primary United States government securities dealers in New York City reasonably designated by América Móvil and (ii) in the case of the 2037 Notes, Credit Suisse Securities (USA) LLC, Goldman, Sachs & Co., or their respective affiliates which are primary United States government securities dealers and two other leading primary United States government securities dealers in New York City reasonably designated by América Móvil; provided, however, that if any of the foregoing shall cease to be a primary United States

government securities dealer in New York City (a “Primary Treasury Dealer”), América Móvil will substitute therefor another Primary Treasury Dealer.

“Reference Treasury Dealer Quotation” means, with respect to each Reference Treasury Dealer and any redemption date, the average, as determined by the trustee, of the bid and asked prices for the Comparable Treasury Issue (expressed in each case as a percentage of its principal amount) quoted in writing to the trustee by such Reference Treasury Dealer at 3:30 pm New York time on the third business day preceding such redemption date.

On and after the redemption date, interest will cease to accrue on the notes or any portion of the notes called for redemption (unless América Móvil defaults in the payment of the redemption price and accrued interest). On or before the redemption date, América Móvil will deposit with the trustee money sufficient to pay the redemption price of and (unless the redemption date shall be an interest payment date) accrued interest to the redemption date on the notes to be redeemed on such date. If less than all of the notes are to be redeemed, the notes to be redeemed shall be selected by the trustee by such method as the trustee shall deem fair and appropriate.

Redemption for Taxation Reasons

América Móvil will have the right to redeem the notes upon the occurrence of certain changes in the tax laws of Mexico as a result of which we become obligated to pay additional amounts on the notes in respect of withholding taxes at a rate in excess of 10% for the 2035 Notes and 4.9% for the 2037 Notes, in which case we may redeem the notes in whole but not in part, at any time on giving not less than 30 nor more than 60 days’ notice, at a redemption price equal to 100% of the principal amount of the notes plus accrued interest to the redemption date and any additional amounts due thereon up to but not including the date of redemption; *provided, however*, that (1) no notice of redemption for tax reasons may be given earlier than 90 days prior to the earliest date on which América Móvil would be obligated to pay these additional amounts if a payment on the debt securities of such series were then due and (2) at the time such notice of redemption is given such obligation to pay such additional amounts remains in effect.

Prior to the publication of any notice of redemption for taxation reasons, América Móvil will deliver to the trustee:

- a certificate signed by one of our duly authorized representatives stating that we are entitled to effect the redemption and setting forth a statement of facts showing that the conditions precedent to our right of redemption for taxation reasons have occurred; and
- an opinion of Mexican legal counsel (which may be América Móvil’s counsel) of recognized standing to the effect that it has or will become obligated to pay such additional amounts as a result of such change or amendment.

This notice, after it is delivered by América Móvil to the trustee, will be irrevocable.

Merger, Consolidation or Sale of Assets

América Móvil may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into it, unless all of the following conditions are met:

- if América Móvil is not the successor person in the transaction, the successor is organized and validly existing under the laws of Mexico or the United States or any political subdivision thereof and expressly assumes our obligations under the debt securities or the indenture;
- immediately after the transaction, no default under the debt securities has occurred and is continuing. For this purpose, “default under the debt securities” means an event of default or an event that would be an event of default with respect to any series of debt securities if the requirements for giving América Móvil default notice and for its default having to continue for a specific period of time were disregarded. See “Defaults, Remedies and Waiver of Defaults” below; and
- América Móvil has delivered to the trustee an officers’ certificate and opinion of counsel, each stating, among other things, that the transaction complies with the indenture.

If the conditions described above are satisfied, América Móvil will not have to obtain the approval of the holders in order to merge or consolidate or to sell or otherwise dispose of its properties and assets substantially as an entirety. In addition, these conditions will apply only if it wishes to merge into or consolidate with another person or sell or otherwise dispose of all or substantially all of its assets and properties. América Móvil will not need to satisfy these conditions if it enters into other types of transactions, including any transaction in which it acquires the stock or assets of another person, any transaction that involves a change of control of the company, but in which it does not merge or consolidate, and any transaction in which it sells or otherwise disposes of less than substantially all its assets.

Telcel may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into it, unless substantially the same conditions set forth above are satisfied with respect to Telcel.

Covenants

The following covenants will apply to América Móvil and certain of its subsidiaries for so long as any debt security remains outstanding. These covenants restrict its ability and the ability of its subsidiaries to enter into certain transactions. However, these covenants do not limit its ability to incur indebtedness or require it to comply with financial ratios or to maintain specified levels of net worth or liquidity.

Limitation on Liens

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, create, incur, issue or assume any liens on its restricted property to secure debt where the debt secured by such liens, plus the aggregate amount of our attributable debt and that of its restricted subsidiaries in respect of sale and leaseback transactions, would exceed an amount equal to an aggregate of 15% of its Consolidated Net Tangible Assets unless it secures the debt securities equally with, or prior to, the debt secured by such liens. This restriction will not, however, apply to the following:

- liens on restricted property acquired and existing on the date the property was acquired or arising after such acquisition pursuant to contractual commitments entered into prior to such acquisition;
- liens on any restricted property securing debt incurred or assumed for the purpose of financing its purchase price or the cost of its construction, improvement or repair, *provided* that such lien attaches to the restricted property within 12 months of its acquisition or the completion of its construction, improvement or repair and does not attach to any other restricted property;
- liens existing on any restricted property of any restricted subsidiary prior to the time that the restricted subsidiary became a subsidiary of América Móvil or liens arising after that time under contractual commitments entered into prior to and not in contemplation of that event;
- liens on any restricted property securing debt owed by a subsidiary of América Móvil to América Móvil or to another of its subsidiaries; and
- liens arising out of the refinancing, extension, renewal or refunding of any debt described above, provided that the aggregate principal amount of such debt is not increased and such lien does not extend to any additional restricted property.

“Consolidated Net Tangible Assets” means total consolidated assets less (1) all current liabilities, (2) all goodwill, (3) all trade names, trademarks, patents and other intellectual property assets and (4) all licenses, each as set forth on our most recent consolidated balance sheet and computed in accordance with Mexican GAAP.

“Restricted property” means (1) any exchange and transmission equipment, switches, cellular base stations, microcells, local links, repeaters and related facilities, whether owned as of the date of the indenture or acquired after that date, used in connection with the provision of telecommunications services in Mexico, including any land, buildings, structures and other equipment or fixtures that constitute any such facility, owned by América Móvil or its restricted subsidiaries and (2) any share of capital stock of any restricted subsidiary.

“Restricted subsidiaries” means América Móvil’s subsidiaries that own restricted property.

Limitation on Sales and Leasebacks

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, enter into any sale and leaseback transaction without effectively providing that the debt securities will be secured equally and ratably with or prior to the sale and leaseback transaction, unless:

- the aggregate principal amount of all debt then outstanding that is secured by any lien on any restricted property that does not ratably secure the debt securities (excluding any secured indebtedness permitted under “Limitation on Liens” above) plus the aggregate amount of our attributable debt and the attributable debt of its restricted subsidiaries in respect of sale and leaseback transactions then outstanding (other than any sale and leaseback transaction permitted under the following bullet point) would not exceed an amount equal to 15% of its Consolidated Net Tangible Assets; or
- América Móvil or one of its restricted subsidiaries, within 12 months of the sale and leaseback transaction, retire an amount of its secured debt which is not subordinate to the debt securities in an amount equal to the greater of (1) the net proceeds of the sale or transfer of the property or other assets that are the subject of the sale and leaseback transaction and (2) the fair market value of the restricted property leased.

Notwithstanding the foregoing, América Móvil and/or its restricted subsidiaries may enter into sale and leaseback transactions during 2004 in respect of which attributable debt is not in excess of U.S.\$300 million in the aggregate, and additional sale and leaseback transactions that solely refinance, extend, renew or refund such sale and leaseback transactions, and (a) the restriction described in the preceding paragraph shall not apply to such sale and leaseback transactions and (b) such transactions shall be excluded in determining the aggregate amount of its attributable debt and the attributable debt of our restricted subsidiaries for purposes of the preceding paragraph and also for purposes of the covenant described under “Limitation on Liens” described above.

“Sale and leaseback transaction” means an arrangement between América Móvil or one of its restricted subsidiaries and a bank, insurance company or other lender or investor where it or its restricted subsidiary leases a restricted property for an initial term of three years or more that was or will be sold by it or its restricted subsidiary to that lender or investor for a sale price of U.S.\$1 million or its equivalent or more.

“Attributable debt” means, with respect to any sale and leaseback transaction, the lesser of (1) the fair market value of the asset subject to such transaction and (2) the present value, discounted at a rate per annum equal to the discount rate of a capital lease obligation with a like term in accordance with Mexican generally accepted accounting principles, of the obligations of the lessee for net rental payments (excluding amounts on account of maintenance and repairs, insurance, taxes, assessments and similar charges and contingent rents) during the term of the lease.

Limitation on Sale of Capital Stock of Telcel

América Móvil may not, and América Móvil may not allow any of our subsidiaries to, sell, transfer or otherwise dispose of any shares of capital stock of Telcel if following such sale, transfer or

disposition it would own, directly or indirectly, less than (1) 50% of the voting power of all of the shares of capital stock of Telcel and (2) 50% of all of the shares of capital stock of Telcel.

Provision of Information

América Móvil will furnish the trustee with copies of its annual report and the information, documents and other reports that it is required to file with the SEC pursuant to Section 13 or 15(d) of the U.S. Securities Exchange Act of 1934, as amended, including its annual reports on Form 20-F and reports on Form 6-K. In addition, América Móvil will make the same information, documents and other reports available, at its expense, to holders who so request in writing. In the event that, in the future, América Móvil is not required to file such information, documents or other reports pursuant to Section 13 or 15(d) of the Securities Exchange Act, it will furnish on a reasonably prompt basis to the trustee and holders who so request in writing, substantially the same financial and other information that it would be required to include and file in an annual report on Form 20-F and reports on Form 6-K.

If any of América Móvil's officers becomes aware that a default or event of default or an event that with notice or the lapse of time would be an event of default has occurred and is continuing, as the case may be, América Móvil will also file a certificate with the trustee describing the details thereof and the action we are taking or propose to take.

Defaults, Remedies and Waiver of Defaults

Holders have special rights if an event of default with respect to the notes they hold occurs and is not cured, as described below.

Events of Default

Each of the following will be an "event of default" with respect to any series of debt securities:

- América Móvil or Telcel fail to pay the principal of any debt securities of that series on its due date;
- América Móvil or Telcel fail to pay interest on any debt securities of that series within 30 days after its due date;
- América Móvil or Telcel remain in breach of any covenant in the indenture for the benefit of holders of that series of debt securities, for 60 days after América Móvil receives a notice of default (sent by the trustee or the holders of not less than 25% in principal amount of the series of debt securities) stating that it is in breach;
- América Móvil or Telcel file for bankruptcy, or other events of bankruptcy, insolvency or reorganization or similar proceedings occur relating to América Móvil or Telcel;
- América Móvil or Telcel experience a default or event of default under any instrument relating to debt having an aggregate principal amount exceeding U.S.\$25 million (or its equivalent in

other currencies) that constitutes a failure to pay principal or interest when due or results in the acceleration of the debt prior to its maturity;

- a final judgment is rendered against América Móvil or Telcel in an aggregate amount in excess of U.S.\$25 million (or its equivalent in other currencies) that is not discharged or bonded in full within 30 days; or
- the guarantee of the debt securities of that series is held in a final judgment to be unenforceable or invalid or ceases for any reason to be in full force and effect, or Telcel, or any person acting on behalf of Telcel, denies or disaffirms its obligations under the guarantees of the debt securities.

Remedies Upon Event of Default

If an event of default with respect to any series of debt securities occurs and is not cured or waived, the trustee, at the written request of holders of not less than 25% in principal amount of that series of debt securities, may declare the entire principal amount of all the debt securities of that series to be due and payable immediately, and upon any such declaration the principal, any accrued interest and any additional amounts shall become due and payable. If, however, an event of default occurs because of a bankruptcy, insolvency or reorganization relating to América Móvil or Telcel, the entire principal amount of all the debt securities and any accrued interest and any additional amounts will be automatically accelerated, without any action by the trustee or any holder and any principal, interest or additional amounts will become immediately due and payable.

Each of the situations described above is called an acceleration of the maturity of the debt securities. If the maturity of any series of the debt securities is accelerated and a judgment for payment has not yet been obtained, the holders of a majority in aggregate principal amount of that series of debt securities may cancel the acceleration for all the debt securities of that series, provided that all amounts then due (other than amounts due solely because of such acceleration) have been paid and all other defaults with respect to that series of debt securities have been cured or waived.

If any event of default occurs, the trustee will have special duties. In that situation, the trustee will be obligated to use those of its rights and powers under the indenture, and to use the same degree of care and skill in doing so, that a prudent person would use under the circumstances in conducting his or her own affairs.

Except as described in the prior paragraph, the trustee is not required to take any action under the indenture at the request of any holders unless the holders offer the trustee reasonable protection, known as an indemnity, from expenses and liability. If the trustee receives an indemnity that is reasonably satisfactory to it, the holders of a majority in principal amount of a series of debt securities may direct the time, method and place of conducting any lawsuit or other formal legal action seeking any remedy available to the trustee. These majority holders may also direct the trustee in performing any other action under the indenture with respect to the debt securities.

Before holders bypass the trustee and bring their own lawsuit or other formal legal action or take other steps to enforce their rights or protect their interests relating to the debt securities of any series, the following must occur:

- they must give the trustee written notice that an event of default has occurred and the event of default has not been cured or waived;
- the holders of not less than 25% in principal amount of debt securities of that series must make a written request that the trustee take action with respect to that series because of the default and they or other holders must offer to the trustee indemnity reasonably satisfactory to the trustee against the cost and other liabilities of taking that action;
- the trustee must not have taken action for 60 days after the above steps have been taken; and
- during those 60 days, the holders of a majority in principal amount of debt securities of that series must not have given the trustee for such series directions that are inconsistent with the written request of the holders of not less than 25% in principal amount of debt securities of that series.

Holders of the notes are entitled, however, at any time to bring a lawsuit for the payment of money due on their debt security on or after its due date.

Book-entry and other indirect holders should consult their bank or brokers for information on how to give notice or direction to or make a request of the trustee and how to declare or cancel an acceleration of the maturity.

Waiver of Default

The holders of not less than a majority in principal amount of the debt securities of any series may waive a past default for all the debt securities of that series. If this happens, the default will be treated as if it had been cured. No one can waive a payment default on any debt security, however, without the approval of the particular holder of that debt security.

Modification and Waiver

There are three types of changes América Móvil can make to the indenture, the outstanding debt securities under the indenture and guarantees thereof.

Changes Requiring Each Holder's Approval

The following changes cannot be made without the approval of each holder of an outstanding debt security affected by the change:

- a change in the stated maturity of any principal or interest payment on a debt security;
- a reduction in the principal amount, the interest rate or the redemption price for a debt security;

- a change in the obligation to pay additional amounts;
- a change in the currency of any payment on a debt security other than as permitted by the debt security;
- a change in the place of any payment on a debt security;
- an impairment of the holder's right to sue for payment of any amount due on its debt security;
- a change in the terms and conditions of the obligations of the guarantor under the guarantees to make due and punctual payment of the principal, premium, if any, or interest in respect of the outstanding debt securities under the indenture;
- a reduction in the percentage in principal amount of the debt securities needed to change the indenture, the outstanding debt securities under the indenture or guarantees thereof; and
- a reduction in the percentage in principal amount of the debt securities needed to waive our compliance with the indenture or to waive defaults.

Changes Not Requiring Approval

Some changes will not require the approval of holders of debt securities. These changes are limited to specific kinds of changes, like the addition of covenants, events of default or security, and other clarifications and changes that would not adversely affect the holders of outstanding debt securities under the indenture in any material respect.

Changes Requiring Majority Approval

Any other change to the indenture, the debt securities or the guarantees will be required to be approved by the holders of a majority in principal amount of each series of debt securities affected by the change or waiver. The required approval must be given by written consent.

The same majority approval will be required for América Móvil to obtain a waiver of any of its covenants in the indenture. Its covenants include the promises it makes about merging and creating liens on our interests, which are described under "Merger, Consolidation or Sale of Assets" and "Covenants" above. If the holders approve a waiver of a covenant, América Móvil will not have to comply with it. The holders, however, cannot approve a waiver of any provision in a particular debt security or guarantee, or the indenture, as it affects that debt security, that América Móvil cannot change without the approval of the holder of that debt security as described under "Changes Requiring Each Holder's Approval" above, unless that holder approves the waiver.

Book-entry and other indirect holders should consult their banks or brokers for information on how approval may be granted or denied if we seek to change the indenture or the debt securities or request a waiver.

Defeasance

América Móvil may, at its option, elect to terminate (1) all of its or Telcel's obligations with respect to a series of debt securities and the related guarantees ("legal defeasance"), except for certain obligations, including those regarding any trust established for defeasance and obligations relating to the transfer and exchange of the debt securities of that series, the replacement of mutilated, destroyed, lost or stolen debt securities of that series and the maintenance of agencies with respect to the debt securities of that series or (2) América Móvil's or Telcel's obligations under the covenants in the indenture, so that any failure to comply with such obligations will not constitute an event of default ("covenant defeasance") in respect of debt securities of that series. In order to exercise either legal defeasance or covenant defeasance, América Móvil must irrevocably deposit with the trustee money or U.S. government obligations, or any combination thereof, in such amounts as will be sufficient to pay the principal, premium, if any, and interest (including additional amounts) in respect of the debt securities of that series then outstanding on the maturity date of the debt securities of that series, and comply with certain other conditions, including, without limitation, the delivery of opinions of counsel as to specified tax and other matters.

If América Móvil elects either legal defeasance or covenant defeasance with respect to any debt securities of a series, it must so elect it with respect to all of the debt securities of that series.

Special Rules for Actions by Holders

When holders take any action under the indenture, such as giving a notice of default, declaring an acceleration, approving any change or waiver or giving the trustee an instruction, América Móvil will apply the following rules.

Only Outstanding Debt Securities are Eligible for Action by Holders

Only holders of outstanding debt securities will be eligible to vote or participate in any action by holders. In addition, América Móvil will count only outstanding debt securities in determining whether the various percentage requirements for voting or taking action have been met. For these purposes, a debt security will not be "outstanding" if it has been surrendered for cancellation or if we have deposited or set aside, in trust for its holder, money for its payment or redemption.

Determining Record Dates for Action by Holders

América Móvil will generally be entitled to set any day as a record date for the purpose of determining the holders that are entitled to take action under the indenture. In some limited circumstances, only the trustee will be entitled to set a record date for action by holders. If América Móvil or the trustee set a record date for an approval or other action to be taken by holders, that vote or action may be taken only by persons or entities who are holders on the record date and must be taken during the period that we specify for this purpose, or that the trustee specifies if it sets the record date. América Móvil or the trustee, as applicable, may shorten or lengthen this period from time to time. This period, however, may not extend beyond the 180th day after the record date for the action. In addition, record dates for any global debt securities may be set in accordance with procedures established by the depositary from time to time.

Payment Provisions

Payments on the Debt Securities

For interest due on a debt security on an interest payment date, América Móvil will pay the interest to the holder in whose name the debt security is registered at the close of business on the regular record date relating to the interest payment date. For interest due at maturity but on a day that is not an interest payment date, América Móvil will pay the interest to the person or entity entitled to receive the principal of the debt security. For principal due on a debt security at maturity, América Móvil will pay the amount to the holder of the debt security against surrender of the debt security at the proper place of payment. América Móvil will compute interest on debt securities bearing interest at a fixed rate on the basis of a 360-day year of twelve 30-day months.

Payments on Global Debt Securities. For debt securities issued in global form, América Móvil will make payments on the debt securities in accordance with the applicable policies of the depositary as in effect from time to time. Under those policies, América Móvil will make payments directly to the depositary, or its nominee, and not to any indirect holders who own beneficial interests in a global debt security. An indirect holder's right to receive those payments will be governed by the rules and practices of the depositary and its participants.

Payments on Certificated Debt Securities. For debt securities issued in certificated form, América Móvil will pay interest that is due on an interest payment date by check mailed on the interest payment date to the holder at the holder's address shown on the trustee's records as of the close of business on the regular record date, and América Móvil will make all other payments by check to the paying agent described below, against surrender of the debt security. All payments by check may be made in next-day funds, that is, funds that become available on the day after the check is cashed. If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to receive payments of principal and interest on their debt securities at the office of our paying agent maintained in New York City.

Payment When Offices Are Closed

If any payment is due on a debt security on a day that is not a business day, América Móvil will make the payment on the day that is the next business day. Payments postponed to the next business day in this situation will be treated under the indenture as if they were made on the original due date. Postponement of this kind will not result in a default under the debt securities, guarantees or the indenture, and no interest will accrue on the postponed amount from the original due date to the next day that is a business day.

"Business day" means each Monday, Tuesday, Wednesday, Thursday and Friday that is not a day on which banking institutions in New York City or Mexico City generally are authorized or obligated by law, regulation or executive order to close and a day on which banks and financial institutions in Mexico are open for business with the general public.

Paying Agents

If América Móvil issues debt securities in certificated form, it may appoint one or more financial institutions to act as our paying agents, at whose designated offices the debt securities may be

surrendered for payment at their maturity. América Móvil may add, replace or terminate paying agents from time to time, *provided* that if any debt securities are issued in certificated form, so long as such debt securities are outstanding, it will maintain a paying agent in New York City. América Móvil may also choose to act as its own paying agent. Initially, América Móvil has appointed the trustee, at its corporate trust office in New York City, as a paying agent. América Móvil must notify holders of the notes of changes in the paying agents as described under “Notices” below.

Unclaimed Payments

All money paid by América Móvil to a paying agent that remains unclaimed at the end of two years after the amount is due to a holder will be repaid to América Móvil. After that two-year period, the holder may look only to América Móvil for payment and not to the trustee, any other paying agent or anyone else.

Governing Law

The indenture, the debt securities and the guarantees will be governed by, and construed in accordance with, the laws of the State of New York, United States of America.

Submission to Jurisdiction

In connection with any legal action or proceeding arising out of or relating to the debt securities, the guarantees or the indenture (subject to the exceptions described below), América Móvil and the guarantor have each:

- submitted to the jurisdiction of any New York state or U.S. federal court sitting in New York City, and any appellate court thereof;
- agreed that all claims in respect of such legal action or proceeding may be heard and determined in such New York state or U.S. federal court and waived, to the fullest extent permitted by law, the defense of an inconvenient forum to the maintenance of such action or proceeding and any right of jurisdiction in such action or proceeding on account of the place of residence or domicile of we or the guarantor; and
- appointed CT Corporation System, with an office at 111 Eighth Avenue, New York, New York 10011, United States of America as process agent.

The process agent will receive, on behalf of each of América Móvil and the guarantor, service of copies of the summons and complaint and any other process which may be served in any such legal action or proceeding brought in such New York state or U.S. federal court sitting in New York City. Service may be made by mailing or delivering a copy of such process to América Móvil or the guarantor, as the case may be, at the address specified above for the process agent.

A final judgment in any of the above legal actions or proceedings will be conclusive and may be enforced in other jurisdictions, in each case, to the extent permitted under the applicable laws of such jurisdiction.

In addition to the foregoing, the holders may serve legal process in any other manner permitted by applicable law. The above provisions do not limit the right of any holder to bring any action or proceeding against either América Móvil or the guarantor or América Móvil or its properties in other courts where jurisdiction is independently established.

To the extent that either we or the guarantor has or hereafter may acquire or have attributed to América Móvil or the guarantor any sovereign or other immunity under any law, each of América Móvil and the guarantor has agreed to waive, to the fullest extent permitted by law, such immunity from jurisdiction or to service of process in respect of any legal suit, action or proceeding arising out of or relating to the indenture or the debt securities.

Currency Indemnity

América Móvil's obligations and the obligations of the guarantor under the debt securities and the guarantees, respectively, will be discharged only to the extent that the relevant holder is able to purchase U.S. dollars with any other currency paid to that holder in accordance with any judgment or otherwise. If the holder cannot purchase U.S. dollars in the amount originally to be paid, we and the guarantor have agreed to pay the difference. The holder, however, agrees that, if the amount of U.S. dollars purchased exceeds the amount originally to be paid to such holder, the holder will reimburse the excess to América Móvil or the guarantor, as the case may be. The holder will not be obligated to make this reimbursement if we or the guarantor are in default of our or its obligations under the debt securities or the guarantees.

Transfer Agents

América Móvil may appoint one or more transfer agents, at whose designated offices any notes in certificated form may be transferred or exchanged and also surrendered before payment is made at maturity. Initially, América Móvil has appointed the trustee, at its corporate office in New York City, as transfer agent. América Móvil may also choose to act as its own transfer agent. América Móvil must notify holders of the notes of changes in the transfer agents as described under "Notices" below. If it issues notes in certificated form, holders of notes in certificated form will be able to transfer their notes, in whole or in part, by surrendering the notes, with a duly completed form of transfer, for registration of transfer at the office of our transfer agent in New York City, The Bank of New York. América Móvil will not charge any fee for the registration or transfer or exchange, except that it may require the payment of a sum sufficient to cover any applicable tax or other governmental charge payable in connection with the transfer.

Notices

As long as América Móvil issues notes in global form, notices to be given to holders will be given to DTC, in accordance with its applicable policies as in effect from time to time. If it issues notes in certificated form, notices to be given to holders will be sent by mail to the respective addresses of the holders as they appear in the trustee's records, and will be deemed given when mailed.

Neither the failure to give any notice to a particular holder, nor any defect in a notice given to a particular holder, will affect the sufficiency of any notice given to another holder.

B. 2040 Notes

General

Indenture and Supplemental Indenture

The 2040 Notes were issued under the 2009 Indenture and the 2010 Supplemental Indenture, as supplemented by an additional notes supplement. The indenture is an agreement among América Móvil, Telcel, as guarantor, and The Bank of New York Mellon, as trustee. References to the “indenture” in this section III.B are to the 2009 Indenture as supplemented by the 2010 Supplemental Indenture and the additional notes supplement.

The trustee has the following two main roles:

- First, the trustee can enforce the rights of the holders of the 2040 Notes against América Móvil, if it defaults in respect of the 2040 Notes and Telcel defaults in respect of the guarantees.
- Second, the trustee performs administrative duties for América Móvil, such as making interest payments and sending notices to holders of notes.

Principal and Interest

The aggregate principal amount of the 2040 Notes is U.S.\$2,000,000,000. The 2040 Notes will mature on March 30, 2040 and bear interest at a rate of 6.125% per year from March 30, 2010.

Interest on the 2040 Notes is payable on March 30 and September 30 of each year, to the holders in whose names the 2040 Notes were registered at the close of business on March 15 or September 15 immediately preceding the related interest payment date.

América Móvil will pay interest on the 2040 Notes on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity will include interest accrued from and including the last date to which interest has been paid or made available for payment, or from the issue date, if none has been paid or made available for payment, to but excluding the relevant payment date. América Móvil computes interest on the 2040 Notes on the basis of a 360-day year consisting of twelve 30-day months.

Subsidiary Guarantor

Telcel has irrevocably and unconditionally guaranteed the full and punctual payment of principal, premium, if any, interest, additional amounts and any other amounts that may become due and payable by América Móvil in respect of the 2040 Notes. If América Móvil fails to pay any such amount, Telcel will immediately pay the amount that is due and required to be paid.

Ranking of the Notes and the Guarantees

América Móvil is a holding company, and its principal assets are shares that it holds in its subsidiaries. The 2040 Notes are not secured by any of its assets or properties. As a result, by owning the 2040 Notes, the holders of the 2040 Notes will be one of our unsecured creditors. The 2040 Notes are not be subordinated to any of our other unsecured debt obligations. In the event of

a bankruptcy or liquidation proceeding against América Móvil, the 2040 Notes would rank equally in right of payment with all our other unsecured and unsubordinated debt.

Telcel's guarantees of the 2040 Notes are not secured by any of its assets or properties. As a result, if Telcel is required to pay under the guarantees, holders of the 2040 Notes would be unsecured creditors of Telcel. The guarantees are not subordinated to any of Telcel's other unsecured debt obligations. In the event of a bankruptcy or liquidation proceeding against Telcel, the guarantees would rank equally in right of payment with all of Telcel's other unsecured and unsubordinated debt.

A creditor of Telcel, including a holder of the 2040 Notes, which are guaranteed by Telcel, may face limitations under Mexican law in attempting to enforce a claim against Telcel's assets to the extent those assets are used in providing public service under Telcel's concessions.

Form and Denominations

The 2040 Notes will be issued only in registered form without coupons and in minimum denominations of U.S.\$100,000 and integral multiples of U.S.\$1,000 in excess thereof.

Except in limited circumstances, the 2040 Notes will be issued in the form of global notes.

Further Issues

América Móvil reserves the right, from time to time without the consent of holders of the 2040 Notes, to issue additional notes of a series on terms and conditions identical to the 2040 Notes, which additional notes will increase the aggregate principal amount of, and will be consolidated and form a single series with, the 2040 Notes.

Payment of Additional Amounts

América Móvil is required by Mexican law to deduct Mexican withholding taxes from payments of interest to investors who are not residents of Mexico for tax purposes.

América Móvil will pay to holders of the 2040 Notes all additional amounts that may be necessary so that every net payment of interest or principal or premium, if any, to the holder will not be less than the amount provided for in the 2040 Notes. By net payment, América Móvil means the amount that it or its paying agent will pay the holder after deducting or withholding an amount for or on account of any present or future taxes, duties, assessments or other governmental charges imposed with respect to that payment by a Mexican taxing authority.

América Móvil's obligation to pay additional amounts is, however, subject to several important exceptions. América Móvil will not pay additional amounts to any holder for or on account of any of the following:

- any taxes, duties, assessments or other governmental charges imposed solely because at any time there is or was a connection between the holder and Mexico (other than the mere receipt of a payment or the ownership or holding of a debt security);

- any estate, inheritance, gift or other similar tax, assessment or other governmental charge imposed with respect to the 2040 Notes;
- any taxes, duties, assessments or other governmental charges imposed solely because the holder or any other person fails to comply with any certification, identification or other reporting requirement concerning the nationality, residence, identity or connection with Mexico of the holder or any beneficial owner of the 2040 Notes if compliance is required by law, regulation or by an applicable income tax treaty to which Mexico is a party, as a precondition to exemption from, or reduction in the rate of, the tax, assessment or other governmental charge and we have given the holders at least 30 days' notice prior to the first payment date with respect to which such certification, identification or reporting requirement is required to the effect that holders will be required to provide such information and identification;
- any tax, duty, assessment or other governmental charge payable otherwise than by deduction or withholding from payments on the debt securities;
- any taxes, duties, assessments or other governmental charges with respect to the 2040 Notes presented for payment more than 15 days after the date on which the payment became due and payable or the date on which payment thereof is duly provided for and notice thereof given to holders, whichever occurs later, except to the extent that the holders of such 2040 Notes would have been entitled to such additional amounts on presenting such notes for payment on any date during such 15-day period; and
- any payment on the 2040 Notes to a holder that is a fiduciary or partnership or a person other than the sole beneficial owner of any such payment, to the extent that a beneficiary or settlor with respect to such fiduciary, a member of such a partnership or the beneficial owner of the payment would not have been entitled to the additional amounts had the beneficiary, settlor, member or beneficial owner been the holder of such note.

The limitations on América Móvil's obligations to pay additional amounts described in the third bullet point above will not apply if the provision of information, documentation or other evidence described in the applicable bullet point would be materially more onerous, in form, in procedure or in the substance of information disclosed, to a holder or beneficial owner of a note, taking into account any relevant differences between U.S. and Mexican law, regulation or administrative practice, than comparable information or other reporting requirements imposed under U.S. tax law (including the United States/Mexico Income Tax Treaty), regulations (including proposed regulations) and administrative practice.

Applicable Mexican regulations currently allow América Móvil to withhold at a reduced rate, provided that América Móvil complies with certain information reporting requirements. Accordingly, the limitations on América Móvil's obligations to pay additional amounts described in the third bullet point above also will not apply unless (a) the provision of the information, documentation or other evidence described in the applicable bullet point is expressly required by the applicable Mexican regulations, (b) América Móvil cannot obtain the information, documentation or other evidence necessary to comply with the applicable Mexican regulations on

its own through reasonable diligence and (c) América Móvil otherwise would meet the requirements for application of the applicable Mexican regulations.

In addition, the limitation described in the third bullet point above does not require that any person, including any non-Mexican pension fund, retirement fund or financial institution, register with the Ministry of Finance and Public Credit to establish eligibility for an exemption from, or a reduction of, Mexican withholding tax.

América Móvil will remit the full amount of any Mexican taxes withheld to the applicable Mexican taxing authorities in accordance with applicable law. América Móvil will also provide the trustee with documentation satisfactory to the trustee evidencing the payment of Mexican taxes in respect of which we have paid any additional amount. América Móvil will provide copies of such documentation to the holders of the 2040 Notes or the paying agent upon request.

Any reference in the indenture, the 2040 Notes or the guarantees to principal, premium, if any, interest or any other amount payable in respect of the 2040 Notes by América Móvil will be deemed also to refer to any additional amount that may be payable with respect to that amount under the obligations referred to in this subsection.

In the event that additional amounts actually paid with respect to the 2040 Notes pursuant to the preceding paragraphs are based on rates of deduction or withholding of withholding taxes in excess of the appropriate rate applicable to the holder of such notes, and as a result thereof such holder is entitled to make a claim for a refund or credit of such excess from the authority imposing such withholding tax, then such holder shall, by accepting such notes, be deemed to have assigned and transferred all right, title and interest to any such claim for a refund or credit of such excess to América Móvil. However, by making such assignment, the holder makes no representation or warranty that we will be entitled to receive such claim for a refund or credit and incurs no other obligation with respect thereto.

Optional Redemption

América Móvil will not be permitted to redeem the 2040 Notes before their stated maturity, except as set forth below. The 2040 Notes will not be entitled to the benefit of any sinking fund (meaning that América Móvil will not deposit money on a regular basis into any separate account to repay the 2040 Notes). In addition, the holders of the 2040 Notes will not be entitled to require América Móvil to repurchase their notes before the stated maturity.

Optional Redemption With “Make-Whole” Amount

América Móvil will have the right at its option to redeem the 2040 Notes in whole or in part, at any time or from time to time prior to their maturity, on at least 30 days’ but not more than 60 days’ notice, at a redemption price equal to the greater of (1) 100% of the principal amount of the 2040 Notes to be redeemed and (2) the sum of the present values of each remaining scheduled payment of principal and interest thereon (exclusive of interest accrued to the date of redemption) discounted to the redemption date on a semi-annual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate plus 25 basis points (the “Make-Whole Amount”), plus accrued interest on the principal amount of the 2040 Notes being redeemed to the redemption date.

“Treasury Rate” means, with respect to any redemption date, the rate per annum equal to the semi-annual equivalent yield to maturity or interpolated maturity (on a day count basis) of the Comparable Treasury Issue, assuming a price for the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price for such redemption date.

“Comparable Treasury Issue” means the United States Treasury security or securities selected by an Independent Investment Banker as having an actual or interpolated maturity comparable to the remaining term of the 2040 Notes to be redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of a comparable maturity to the remaining term of such notes.

“Independent Investment Banker” means one of the Reference Treasury Dealers appointed by América Móvil.

“Comparable Treasury Price” means, with respect to any redemption date, (1) the average of the Reference Treasury Dealer Quotations for such redemption date, after excluding the highest and lowest such Reference Treasury Dealer Quotation or (2) if the trustee obtains fewer than four such Reference Treasury Dealer Quotations, the average of all such quotations.

“Reference Treasury Dealer” means Citigroup Global Markets, Inc., Goldman, Sachs & Co. and J.P. Morgan Securities LLC, or, their respective affiliates which are primary United States government securities dealers and two other leading primary United States government securities dealers in New York City reasonably designated by América Móvil; provided, however, that if any of the foregoing shall cease to be a primary United States government securities dealer in New York City (a “Primary Treasury Dealer”), América Móvil will substitute therefor another Primary Treasury Dealer.

“Reference Treasury Dealer Quotation” means, with respect to each Reference Treasury Dealer and any redemption date, the average, as determined by the trustee, of the bid and asked prices for the Comparable Treasury Issue (expressed in each case as a percentage of its principal amount) quoted in writing to the trustee by such Reference Treasury Dealer at 3:30 pm (New York City time) on the third business day preceding such redemption date.

On and after the redemption date, interest will cease to accrue on the 2040 Notes or any portion of the 2040 Notes called for redemption (unless América Móvil defaults in the payment of the redemption price and accrued interest). On or before the redemption date, América Móvil will deposit with the trustee money sufficient to pay the redemption price of and (unless the redemption date shall be an interest payment date) accrued interest to the redemption date on the 2040 Notes to be redeemed on such date. If less than all of the 2040 Notes are to be redeemed, the notes to be redeemed shall be selected by the trustee by such method as the trustee shall deem fair and appropriate.

Tax Redemption

América Móvil will have the right to redeem the 2040 Notes upon the occurrence of certain changes in the tax laws of Mexico as a result of which América Móvil becomes obligated to pay additional amounts on the 2040 Notes in respect of withholding taxes at a rate in excess of 4.9%,

in which case América Móvil may redeem the 2040 Notes, in whole but not in part, at any time on giving not less than 30 nor more than 60 days' notice, at a redemption price equal to 100% of the principal amount of the 2040 Notes, plus accrued interest to the redemption date and any additional amounts due thereon up to but not including the date of redemption; *provided, however*, that (1) no notice of redemption for tax reasons may be given earlier than 90 days prior to the earliest date on which América Móvil would be obligated to pay these additional amounts if a payment on the debt securities were then due and (2) at the time such notice of redemption is given such obligation to pay such additional amounts remains in effect.

Merger, Consolidation or Sale of Assets

América Móvil may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into them, unless all of the following conditions are met:

- if América Móvil is not the successor person in the transaction, the successor is organized and validly existing under the laws of Mexico or the United States or any political subdivision thereof and expressly assumes our obligations under the 2040 Notes and the indenture;
- immediately after the transaction, no default under the 2040 Notes has occurred and is continuing. For this purpose, "default under the debt securities" means an event of default or an event that would be an event of default with respect to the 2040 Notes if the requirements for giving América Móvil default notice and for its default having to continue for a specific period of time were disregarded. See "Defaults, Remedies and Waiver of Defaults" below; and
- América Móvil has delivered to the trustee an officers' certificate and opinion of counsel, each stating, among other things, that the transaction complies with the indenture.

If the conditions described above are satisfied, América Móvil will not have to obtain the approval of the holders in order to merge or consolidate or to sell or otherwise dispose of its properties and assets substantially as an entirety. In addition, these conditions will apply only if América Móvil wishes to merge into or consolidate with another person or sell or otherwise dispose of all or substantially all of its assets and properties. América Móvil will not need to satisfy these conditions if it enters into other types of transactions, including any transaction in which it acquires the stock or assets of another person, any transaction that involves a change of control of the company, but in which it does not merge or consolidate, and any transaction in which it sells or otherwise disposes of less than substantially all its assets.

Telcel may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into it, unless substantially the same conditions set forth above are satisfied with respect to Telcel.

Covenants

The following covenants will apply to América Móvil and certain of its subsidiaries for so long as the 2040 Notes remain outstanding. These covenants restrict América Móvil's ability and the ability of its subsidiaries to enter into certain transactions. However, these covenants do not limit América Móvil's ability to incur indebtedness or require América Móvil to comply with financial ratios or to maintain specified levels of net worth or liquidity.

Limitation on Liens

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, create, incur, issue or assume any liens on its restricted property to secure debt where the debt secured by such liens, plus the aggregate amount of our attributable debt and that of its restricted subsidiaries in respect of sale and leaseback transactions, would exceed an amount equal to an aggregate of 15% of its Consolidated Net Tangible Assets unless América Móvil secures the debt securities equally with, or prior to, the debt secured by such liens. This restriction will not, however, apply to the following:

- liens on restricted property acquired and existing on the date the property was acquired or arising after such acquisition pursuant to contractual commitments entered into prior to such acquisition;
- liens on any restricted property securing debt incurred or assumed for the purpose of financing its purchase price or the cost of its construction, improvement or repair, *provided* that such lien attaches to the restricted property within 12 months of its acquisition or the completion of its construction, improvement or repair and does not attach to any other restricted property;
- liens existing on any restricted property of any restricted subsidiary prior to the time that the restricted subsidiary became a subsidiary of América Móvil or liens arising after that time under contractual commitments entered into prior to and not in contemplation of that event;
- liens on any restricted property securing debt owed by a subsidiary of América Móvil to América Móvil or to another of its subsidiaries; and
- liens arising out of the refinancing, extension, renewal or refunding of any debt described above, provided that the aggregate principal amount of such debt is not increased and such lien does not extend to any additional restricted property.

“Consolidated Net Tangible Assets” means total consolidated assets less (1) all current liabilities, (2) all goodwill, (3) all trade names, trademarks, patents and other intellectual property assets and (4) all licenses, each as set forth on our most recent consolidated balance sheet and computed in accordance with generally accepted accounting principles in Mexico.

“Restricted property” means (1) any exchange and transmission equipment, switches, cellular base stations, microcells, local links, repeaters and related facilities, whether owned as of the date of the 2009 Indenture or acquired after that date, used in connection with the provision of telecommunications services in Mexico, including any land, buildings, structures and other

equipment or fixtures that constitute any such facility, owned by América Móvil or our restricted subsidiaries and (2) any share of capital stock of any restricted subsidiary.

“Restricted subsidiaries” means América Móvil’s subsidiaries that own restricted property.

Limitation on Sales and Leasebacks

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, enter into any sale and leaseback transaction without effectively providing that the 2040 Notes will be secured equally and ratably with or prior to the sale and leaseback transaction, unless:

- the aggregate principal amount of all debt then outstanding that is secured by any lien on any restricted property that does not ratably secure the 2040 Notes (excluding any secured indebtedness permitted under “Limitation on Liens” above) plus the aggregate amount of América Móvil’s attributable debt and the attributable debt of its restricted subsidiaries in respect of sale and leaseback transactions then outstanding (other than any sale and leaseback transaction permitted under the following bullet point) would not exceed an amount equal to 15% of its Consolidated Net Tangible Assets; or
- América Móvil or one of its restricted subsidiaries, within 12 months of the sale and leaseback transaction, retire an amount of its secured debt which is not subordinate to the 2040 Notes in an amount equal to the greater of (1) the net proceeds of the sale or transfer of the property or other assets that are the subject of the sale and leaseback transaction and (2) the fair market value of the restricted property leased.

“Sale and leaseback transaction” means an arrangement between América Móvil or one of its restricted subsidiaries and a bank, insurance company or other lender or investor where América Móvil or its restricted subsidiary leases a restricted property for an initial term of three years or more that was or will be sold by América Móvil or its restricted subsidiary to that lender or investor for a sale price of U.S.\$1 million or its equivalent or more.

“Attributable debt” means, with respect to any sale and leaseback transaction, the lesser of (1) the fair market value of the asset subject to such transaction and (2) the present value, discounted at a rate per annum equal to the discount rate of a capital lease obligation with a like term in accordance with Mexican generally accepted accounting principles, of the obligations of the lessee for net rental payments (excluding amounts on account of maintenance and repairs, insurance, taxes, assessments and similar charges and contingent rents) during the term of the lease.

Limitation on Sale of Capital Stock of Telcel

América Móvil may not, and América Móvil may not allow any of its subsidiaries to, sell, transfer or otherwise dispose of any shares of capital stock of Telcel if following such sale, transfer or disposition América Móvil would own, directly or indirectly, less than (1) 50% of the voting power of all of the shares of capital stock of Telcel and (2) 50% of all of the shares of capital stock of Telcel.

Provision of Information

América Móvil will furnish the trustee with copies of its annual report and the information, documents and other reports that it is required to file with the SEC pursuant to Section 13 or 15(d) of the U.S. Securities Exchange Act of 1934, as amended, including our annual reports on Form 20-F and reports on Form 6-K, within 15 days after we file them with the SEC. In addition, América Móvil will make the same information, documents and other reports available, at its expense, to holders who so request in writing.

In the event that, in the future, América Móvil is not required to file such information, documents or other reports pursuant to Section 13 or 15(d) of the Securities Exchange Act, América Móvil will furnish on a reasonably prompt basis to the trustee and holders who so request in writing, substantially the same financial and other information that América Móvil would be required to include and file in an annual report on Form 20-F and reports on Form 6-K.

If any of América Móvil's officers becomes aware that a default or event of default or an event that with notice or the lapse of time would be an event of default has occurred and is continuing, as the case may be, América Móvil will also file a certificate with the trustee describing the details thereof and the action it is taking or propose to take.

Defaults, Remedies and Waiver of Defaults

A Holder of the 2040 Notes will have special rights if an event of default with respect to the 2040 Notes it holds occurs and is not cured, as described below.

Events of Default

Each of the following will be an "event of default" with respect to the 2040 Notes:

- América Móvil or Telcel fail to pay the principal of the 2040 Notes on its due date;
- América Móvil or Telcel fail to pay interest on the 2040 Notes within 30 days after its due date;
- América Móvil or Telcel remain in breach of any covenant in the indenture for the benefit of holders of the 2040 Notes, for 60 days after América Móvil receives a notice of default (sent by the trustee or the holders of not less than 25% in principal amount of the 2040 Notes) stating that it is in breach;
- América Móvil or Telcel file for bankruptcy, or other events of bankruptcy, insolvency or reorganization or similar proceedings occur relating to América Móvil or Telcel;
- América Móvil or Telcel experience a default or event of default under any instrument relating to debt having an aggregate principal amount exceeding U.S.\$25 million (or its equivalent in other currencies) that constitutes a failure to pay principal or interest when due or results in the acceleration of the debt prior to its maturity;

- a final judgment is rendered against América Móvil or Telcel in an aggregate amount in excess of U.S.\$25 million (or its equivalent in other currencies) that is not discharged or bonded in full within 30 days; or
- the guarantee of the 2040 Notes is held in a final judgment proceeding to be unenforceable or invalid or ceases for any reason to be in full force and effect, or Telcel, or any person acting on behalf of Telcel, denies or disaffirms its obligations under the guarantees of the 2040 Notes.

Remedies Upon Event of Default

If an event of default with respect to the 2040 Notes occurs and is not cured or waived, the trustee, at the written request of holders of not less than 25% in principal amount of the 2040 Notes, may declare the entire principal amount of all the 2040 Notes to be due and payable immediately, and upon any such declaration the principal, any accrued interest and any additional amounts shall become due and payable. If, however, an event of default occurs because of a bankruptcy, insolvency or reorganization relating to América Móvil or Telcel, the entire principal amount of all the 2040 Notes and any accrued interest and any additional amounts will be automatically accelerated, without any action by the trustee or any holder and any principal, interest or additional amounts will become immediately due and payable.

Each of the situations described in the preceding paragraph is called an acceleration of the maturity of the 2040 Notes. If the maturity of the 2040 Notes is accelerated and a judgment for payment has not yet been obtained, the holders of a majority in aggregate principal amount of the 2040 Notes may cancel the acceleration for all the 2040 Notes, provided that all amounts then due (other than amounts due solely because of such acceleration) have been paid and all other defaults with respect to the 2040 Notes have been cured or waived.

If any event of default occurs, the trustee will have special duties. In that situation, the trustee will be obligated to use those of its rights and powers under the indenture, and to use the same degree of care and skill in doing so, that a prudent person would use under the circumstances in conducting his or her own affairs.

Except as described in the prior paragraph, the trustee is not required to take any action under the indenture at the request of any holders unless the holders offer the trustee reasonable protection, known as an indemnity, from expenses and liability. If the trustee receives an indemnity that is reasonably satisfactory to it, the holders of a majority in principal amount of the 2040 Notes may direct the time, method and place of conducting any lawsuit or other formal legal action seeking any remedy available to the trustee. These majority holders may also direct the trustee in performing any other action under the indenture with respect to the 2040 Notes.

Before any holder of the 2040 Notes bypasses the trustee and bring its own lawsuit or other formal legal action or take other steps to enforce its rights or protect its interests relating to the 2040 Notes, the following must occur:

- holders of the 2040 Notes must give the trustee written notice that an event of default has occurred and the event of default has not been cured or waived;

- the holders of not less than 25% in principal amount of the 2040 Notes must make a written request that the trustee take action with respect to the 2040 Notes because of the default and they or other holders must offer to the trustee indemnity reasonably satisfactory to the trustee against the cost and other liabilities of taking that action;
- the trustee must not have taken action for 60 days after the above steps have been taken; and
- during those 60 days, the holders of a majority in principal amount of the 2040 Notes must not have given the trustee directions that are inconsistent with the written request of the holders of not less than 25% in principal amount of the 2040 Notes.

Holders of the 2040 Notes will be entitled, however, at any time to bring a lawsuit for the payment of money due on the 2040 Notes on or after its due date.

Book-entry and other indirect holders should consult their banks or brokers for information on how to give notice or direction to or make a request of the trustee and how to declare or cancel an acceleration of the maturity.

Waiver of Default

The holders of not less than a majority in principal amount of the 2040 Notes may waive a past default for all the 2040 Notes. If this happens, the default will be treated as if it had been cured. No one can waive a payment default on any debt security, however, without the approval of the particular holder of that debt security.

Modification and Waiver

There are three types of changes América Móvil can make to the indenture, the outstanding 2040 Notes and guarantees thereof.

Changes Requiring Each Holder's Approval

The following changes cannot be made without the approval of each holder of a 2040 Note affected by the change:

- a change in the stated maturity of any principal or interest payment on the 2040 Notes;
- a reduction in the principal amount, the interest rate or the redemption price of the 2040 Notes;
- a change in the obligation to pay additional amounts;
- a change in the currency of any payment on the 2040 Notes other than as permitted by the 2040 Notes;
- a change in the place of any payment on the 2040 Notes;
- an impairment of the holder's right to sue for payment of any amount due on its debt security;

- a change in the terms and conditions of the obligations of the guarantor under the guarantees to make due and punctual payment of the principal, premium, if any, or interest in respect of the outstanding 2040 Notes;
- a reduction in the percentage in principal amount of the 2040 Notes needed to change the indenture, the outstanding 2040 Notes or guarantees thereof; and
- a reduction in the percentage in principal amount of the 2040 Notes needed to waive América Móvil's compliance with the indenture or to waive defaults.

Changes Not Requiring Approval

Some changes will not require the approval of holders of the 2040 Notes. These changes are limited to specific kinds of changes, like the addition of covenants, events of default or security, and other clarifications and changes that would not adversely affect the holders of outstanding 2040 Notes under the indenture in any material respect.

Changes Requiring Majority Approval

Any other change to the indenture, the 2040 Notes or the guarantees will be required to be approved by the holders of a majority in principal amount of each series of debt securities affected by the change or waiver. The required approval must be given by written consent.

The same majority approval will be required for América Móvil to obtain a waiver of any of its covenants in the indenture. América Móvil's covenants include the promises it makes about merging and creating liens on its interests, which is described under "Merger, Consolidation or Sale of Assets" and "Covenants". If the holders approve a waiver of a covenant, América Móvil will not have to comply with it. The holders, however, cannot approve a waiver of any provision in a particular debt security or guarantee, or the indenture, as it affects that debt security, that it cannot change without the approval of the holder of that debt security as described under in "Changes Requiring Each Holder's Approval", unless that holder approves the waiver.

Book-entry and other indirect holders should consult their banks or brokers for information on how approval may be granted or denied if América Móvil seeks to change the indenture or the 2040 Notes or request a waiver.

Defeasance

América Móvil may, at its option, elect to terminate (1) all of its or Telcel's obligations with respect to the 2040 Notes and the related guarantees ("legal defeasance"), except for certain obligations, including those regarding any trust established for defeasance and obligations relating to the transfer and exchange of the 2040 Notes, the replacement of mutilated, destroyed, lost or stolen debt securities and the maintenance of agencies with respect to the debt securities or (2) América Móvil's or Telcel's obligations under the covenants in the indenture, so that any failure to comply with such obligations will not constitute an event of default ("covenant defeasance") in respect of the 2040 Notes. In order to exercise either legal defeasance or covenant defeasance, América Móvil must irrevocably deposit with the trustee money or U.S. government

obligations, or any combination thereof, in such amounts as will be sufficient to pay the principal, premium, if any, and interest (including additional amounts) in respect of the 2040 Notes then outstanding on the maturity date of the 2040 Notes, and comply with certain other conditions, including, without limitation, the delivery of opinions of counsel as to specified tax and other matters.

If América Móvil elects either legal defeasance or covenant defeasance with respect to the 2040 Notes, América Móvil must so elect it with respect to all of the 2040 Notes.

Special Rules for Actions by Holders

When holders take any action under the indenture, such as giving a notice of default, declaring an acceleration, approving any change or waiver or giving the trustee an instruction, América Móvil will apply the following rules.

Only Outstanding Debt Securities are Eligible for Action by Holders

Only holders of outstanding 2040 Notes will be eligible to vote or participate in any action by holders. In addition, América Móvil will count only outstanding debt securities in determining whether the various percentage requirements for voting or taking action have been met. For these purposes, a debt security will not be “outstanding” if it has been surrendered for cancellation or if we have deposited or set aside, in trust for its holder, money for its payment or redemption.

Determining Record Dates for Action by Holders

América Móvil will generally be entitled to set any day as a record date for the purpose of determining the holders that are entitled to take action under the indenture. In some limited circumstances, only the trustee will be entitled to set a record date for action by holders. If América Móvil or the trustee set a record date for an approval or other action to be taken by holders, that vote or action may be taken only by persons or entities who are holders on the record date and must be taken during the period that América Móvil specifies for this purpose, or that the trustee specifies if it sets the record date. América Móvil or the trustee, as applicable, may shorten or lengthen this period from time to time. This period, however, may not extend beyond the 180th day after the record date for the action. In addition, record dates for any global debt securities may be set in accordance with procedures established by the depositary from time to time.

Payment Provisions

Payments on the Debt Securities

For interest due on the 2040 Notes on an interest payment date, América Móvil will pay the interest to the holder in whose name the note is registered at the close of business on the regular record date relating to the interest payment date. For interest due at maturity but on a day that is not an interest payment date, América Móvil will pay the interest to the person or entity entitled to receive the principal of the note. For principal due on a note at maturity, we will pay the amount to the holder of the note against surrender of the note at the proper place of payment.

América Móvil will compute interest on the 2040 Notes bearing interest at a fixed rate on the basis of a 360-day year of twelve 30-day months.

Payments on Global Debt Securities. América Móvil will make payments on the 2040 Notes in accordance with the applicable policies of the depository. Under those policies, América Móvil will make payments directly to the depository, or its nominee, and not to any indirect holders who own beneficial interests in a global debt security. An indirect holder's right to receive those payments will be governed by the rules and practices of the depository and its participants.

Payments on Certificated Debt Securities. For debt securities issued in certificated form, América Móvil will pay interest that is due on an interest payment date by check mailed on the interest payment date to the holder at the holder's address shown on the trustee's records as of the close of business on the regular record date, and we will make all other payments by check to the paying agent described below, against surrender of the debt security. All payments by check may be made in next-day funds, that is, funds that become available on the day after the check is cashed. If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to receive payments of principal and interest on their debt securities at the office of our paying agent maintained in New York City.

Payment When Offices Are Closed

If any payment is due on the 2040 Notes on a day that is not a business day, América Móvil will make the payment on the day that is the next business day. Payments postponed to the next business day in this situation will be treated under the indenture as if they were made on the original due date. Postponement of this kind will not result in a default under the 2040 Notes, guarantees or the indenture, and no interest will accrue on the postponed amount from the original due date to the next day that is a business day.

"Business day" means each Monday, Tuesday, Wednesday, Thursday and Friday that is (a) not a day on which banking institutions in New York City or Mexico City generally are authorized or obligated by law, regulation or executive order to close and (b) a day on which banks and financial institutions in Mexico are open for business with the general public.

Paying Agents

If América Móvil issues debt securities in certificated form, it may appoint one or more financial institutions to act as its paying agents, at whose designated offices the debt securities may be surrendered for payment at their maturity. América Móvil may add, replace or terminate paying agents from time to time, *provided* that if any debt securities are issued in certificated form, so long as such debt securities are outstanding, América Móvil will maintain a paying agent in New York City. América Móvil may choose to act as its own paying agent. Initially, América Móvil has appointed the trustee, at its corporate trust office in New York City, as a paying agent. América Móvil must notify the holders of the 2040 Notes of changes in the paying agents as described under "Notices" below.

Unclaimed Payments

All money paid by América Móvil to a paying agent that remains unclaimed at the end of two years after the amount is due to a holder will be repaid to América Móvil. After that two-year period, the holder may look only to América Móvil for payment and not to the trustee, any other paying agent or anyone else.

Governing Law

The indenture, the 2040 Notes and the guarantees will be governed by, and construed in accordance with, the laws of the State of New York, United States of America.

Submission to Jurisdiction

In connection with any legal action or proceeding arising out of or relating to the 2040 Notes, the guarantees or the indenture (subject to the exceptions described below), América Móvil and Telcel have each:

- submitted to the jurisdiction of any New York state or U.S. federal court sitting in New York City, and any appellate court thereof;
- agreed that all claims in respect of such legal action or proceeding may be heard and determined in such New York state or U.S. federal court and waived, to the fullest extent permitted by law, the defense of an inconvenient forum to the maintenance of such action or proceeding and any right of jurisdiction in such action or proceeding on account of the place of residence or domicile of we or the guarantor; and
- appointed CT Corporation System, with an office at 111 Eighth Avenue, New York, New York 10011, United States of America, as process agent.

The process agent will receive, on behalf of each of América Móvil and Telcel, service of copies of the summons and complaint and any other process which may be served in any such legal action or proceeding brought in such New York state or U.S. federal court sitting in New York City. Service may be made by mailing or delivering a copy of such process to América Móvil or Telcel, as the case may be, at the address specified above for the process agent.

A final judgment in any of the above legal actions or proceedings will be conclusive and may be enforced in other jurisdictions, in each case, to the extent permitted under the applicable laws of such jurisdiction.

In addition to the foregoing, the holders may serve legal process in any other manner permitted by applicable law. The above provisions do not limit the right of any holder to bring any action or proceeding against either América Móvil or the guarantor or our or its properties in other courts where jurisdiction is independently established.

To the extent that either América Móvil or Telcel have or hereafter may acquire or have attributed to América Móvil or Telcel any sovereign or other immunity under any law, each of América Móvil and Telcel has agreed to waive, to the fullest extent permitted by law, such immunity from

jurisdiction or to service of process in respect of any legal suit, action or proceeding arising out of or relating to the indenture or the 2040 Notes.

Currency Indemnity

América Móvil's obligations and the obligations of the guarantor under the 2040 Notes and the guarantees, respectively, will be discharged only to the extent that the relevant holder is able to purchase U.S. dollars with any other currency paid to that holder in accordance with any judgment or otherwise. If the holder cannot purchase U.S. dollars in the amount originally to be paid, América Móvil and the guarantor have agreed to pay the difference. The holder, however, agreed that, if the amount of U.S. dollars purchased exceeds the amount originally to be paid to such holder, the holder will reimburse the excess to América Móvil or the guarantor, as the case may be. The holder will not be obligated to make this reimbursement if América Móvil or the guarantor are in default of its obligations under the 2040 Notes or the guarantees.

Transfer Agents

América Móvil may appoint one or more transfer agents, at whose designated offices any debt securities in certificated form may be transferred or exchanged and also surrendered before payment is made at maturity. Initially, América Móvil has appointed the trustee, at its corporate office in New York City, as transfer agent. América Móvil may also choose to act as our its own transfer agent. América Móvil must notify holders of the 2040 Notes of changes in the transfer agent as described under "Notices" below. If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to transfer their debt securities, in whole or in part, by surrendering the debt securities, with a duly completed form of transfer, for registration of transfer at the office of our transfer agent in New York City. América Móvil will not charge any fee for the registration or transfer or exchange, except that it may require the payment of a sum sufficient to cover any applicable tax or other governmental charge payable in connection with the transfer.

Notices

As long as we issue notes in global form, notices to be given to holders will be given to DTC, in accordance with its applicable policies as in effect from time to time. If América Móvil issues debt securities in certificated form, notices to be given to holders will be sent by mail to the respective addresses of the holders as they appear in the trustee's records, and will be deemed given when mailed.

Neither the failure to give any notice to a particular holder, nor any defect in a notice given to a particular holder, will affect the sufficiency of any notice given to another holder.

C. 2042 Notes

General

Indenture and Supplemental Indenture

The 2042 Notes were issued under the 2012 Indenture and the 2012 Supplemental Indentures, as supplemented by additional notes supplements. References to the “indenture” in this section III.C are to the 2012 Indenture as supplemented by the applicable supplemental indenture and additional notes supplement. The indenture is an agreement between América Móvil and The Bank of New York Mellon, as trustee.

The 2042 Notes are not guaranteed by any of América Móvil’s subsidiaries.

The trustee has the following two main roles:

- First, the trustee can enforce the rights of the holder of the 2042 Notes against América Móvil if it defaults in respect of the 2042 Notes. There are some limitations on the extent to which the trustee acts on its behalf, which are described under “Defaults, Remedies and Waiver of Defaults”.
- Second, the trustee performs administrative duties for América Móvil, such as making interest payments and sending notices to holders of notes.

Principal and Interest

The original aggregate principal amount of the 2042 Notes is U.S.\$1,150,000,000. The 2042 Notes will mature on July 16, 2042 and bear interest at a rate of 4.375% per year from July 16, 2012.

Interest on the 2042 Notes is payable on January 16 and July 16 of each year, to the holders in whose names the 2042 Notes are registered at the close of business on January 1 or July 1 immediately preceding the related interest payment date. Purchasers of the 2042 Notes were entitled to receive the full amount of the first interest payment on January 16, 2013.

América Móvil pays interest on the 2042 Notes on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity include interest accrued from and including the last date to which interest has been paid or made available for payment, or from the issue date, if none has been paid or made available for payment, to but excluding the relevant payment date. América Móvil computes interest on the 2042 Notes on the basis of a 360-day year consisting of twelve 30-day months.

If any payment is due on the 2042 Notes on a day that is not a business day, América Móvil will make the payment on the next business day. Payments postponed to the next business day in this situation will be treated under the indenture as if they were made on the original payment date. Postponement of this kind will not result in a default under the notes or the indenture, and no interest will accrue on the postponed amount from the original payment date to the next business day.

“Business day” means each Monday, Tuesday, Wednesday, Thursday and Friday that is (a) not a day on which banking institutions in New York City or Mexico City generally are authorized or obligated by law, regulation or executive order to close and (b) a day on which banks and financial institutions in Mexico are open for business with the general public.

Ranking of the Notes

América Móvil is a holding company, and its principal assets are shares that it holds in its subsidiaries. The 2042 Notes are not secured by any of its assets or properties. As a result, by owning the 2042 Notes, the holder is one of América Móvil’s unsecured creditors. The 2042 Notes are not subordinated to any of América Móvil’s other unsecured debt obligations. In the event of a bankruptcy or liquidation proceeding against América Móvil, the 2042 Notes would rank equally in right of payment with all of América Móvil’s other unsecured and unsubordinated debt.

Claims of creditors of América Móvil’s subsidiaries, including trade creditors and bank and other lenders, will have priority over the holders of the 2042 Notes in claims to assets of its subsidiaries. All of América Móvil’s outstanding debt securities that were issued in the Mexican and international markets through mid-September 2011 are unconditionally guaranteed by Telcel. Accordingly, the holders of those outstanding debt securities will have priority over the holders of the 2042 Notes with respect to claims to the assets of Telcel.

Form and Denominations

The 2042 Notes were issued only in registered form without coupons in minimum denominations of U.S.\$200,000 and integral multiples of U.S.\$1,000 in excess thereof.

Except in limited circumstances, the 2042 Notes will be issued in the form of global notes.

Further Issues

América Móvil reserves the right, from time to time without the consent of holders of the 2042 Notes, to issue additional notes of a series on terms and conditions identical to those of the 2042 Notes (except for issue date, issue price and the date from which interest will accrue and, if applicable, first to be paid), which additional notes will increase the aggregate principal amount of, and will be consolidated and form a single series with the 2042 Notes.

Payment of Additional Amounts

América Móvil is required by Mexican law to deduct Mexican withholding taxes from payments of interest to investors who are not residents of Mexico for tax purposes.

América Móvil will pay to holders of the 2042 Notes all additional amounts that may be necessary so that every net payment of interest or principal or premium, if any, to the holder will not be less than the amount provided for in the 2042 Notes. By net payment, América Móvil means the amount that it or its paying agent will pay the holder after deducting or withholding an amount for or on account of any present or future taxes, duties, assessments or other governmental charges imposed with respect to that payment by a Mexican taxing authority.

América Móvil's obligation to pay additional amounts is, however, subject to several important exceptions. América Móvil will not pay additional amounts to or on behalf of any holder or beneficial owner, or to the trustee, for or on account of any of the following:

- any taxes, duties, assessments or other governmental charges imposed solely because at any time there is or was a connection between the holder and Mexico (other than the mere receipt of a payment or the ownership or holding of a debt security);
- any taxes, duties, assessments or other governmental charges imposed solely because the holder or any other person fails to comply with any certification, identification or other reporting requirement concerning the nationality, residence, identity or connection with Mexico of the holder or any beneficial owner of the 2042 Notes if compliance is required by law, regulation or by an applicable income tax treaty to which Mexico is a party, as a precondition to exemption from, or reduction in the rate of, the tax, assessment or other governmental charge and we have given the holders at least 30 calendar days' notice prior to the first payment date with respect to which such certification, identification or reporting requirement is required to the effect that holders will be required to provide such information and identification;
- any taxes, duties, assessments or other governmental charges with respect to the 2042 Notes presented for payment more than 15 days after the date on which the payment became due and payable or the date on which payment thereof is duly provided for and notice thereof given to holders, whichever occurs later, except to the extent that the holders of such 2042 Notes would have been entitled to such additional amounts on presenting such debt security for payment on any date during such 15-day period;
- any estate, inheritance, gift or other similar tax, assessment or other governmental charge imposed with respect to the 2042 Notes;
- any tax, duty, assessment or other governmental charge payable otherwise than by deduction or withholding from payments on the debt securities;
- any payment on the 2042 Notes to a holder that is a fiduciary or partnership or a person other than the sole beneficial owner of any such payment, to the extent that a beneficiary or settlor with respect to such fiduciary, a member of such a partnership or the beneficial owner of the payment would not have been entitled to the additional amounts had the beneficiary, settlor, member or beneficial owner been the holder of such debt security;
- any taxes, duties, assessments or other governmental charges that are imposed on a payment to an individual and are required to be made pursuant to European Council Directive 2003/48/EC on the
- taxation of savings income or any other directive implementing the conclusions of the ECOFIN Council meetings of November 26 and 27, 2000, December 13, 2001, and January 21, 2003, or any law or agreement implementing or complying with, or introduced in order to conform to, such a directive; and

- any combination of the items in the bullet points above.

The limitations on América Móvil's obligations to pay additional amounts described in the second bullet point above will not apply if the provision of information, documentation or other evidence described in the applicable bullet point would be materially more onerous, in form, in procedure or in the substance of information disclosed, to a holder or beneficial owner of a debt security, taking into account any relevant differences between U.S. and Mexican law, regulation or administrative practice, than comparable information or other reporting requirements imposed under U.S. tax law (including the United States/Mexico Income Tax Treaty), regulations (including proposed regulations) and administrative practice.

Applicable Mexican regulations currently allow América Móvil to withhold at a reduced rate, provided that it complies with certain information reporting requirements. Accordingly, the limitations on our obligations to pay additional amounts described in the second bullet point above also will not apply unless (a) the provision of the information, documentation or other evidence described in the applicable bullet point is expressly required by the applicable Mexican regulations, (b) América Móvil cannot obtain the information, documentation or other evidence necessary to comply with the applicable Mexican regulations on its own through reasonable diligence and (c) América Móvil otherwise would meet the requirements for application of the applicable Mexican regulations.

In addition, the limitation described in the second bullet point above does not require that any person, including any non-Mexican pension fund, retirement fund or financial institution, register with the Ministry of Finance and Public Credit (*Secretaría de Hacienda y Crédito Público*) to establish eligibility for an exemption from, or a reduction of, Mexican withholding tax.

América Móvil will remit the full amount of any Mexican taxes withheld to the applicable Mexican taxing authorities in accordance with applicable law. América Móvil will also provide the trustee with documentation satisfactory to the trustee evidencing the payment of Mexican taxes in respect of which we have paid any additional amounts. América Móvil will provide copies of such documentation to the holders of the 2042 Notes or the relevant paying agent upon request.

In the event that additional amounts actually paid with respect to the 2042 Notes pursuant to the preceding paragraphs are based on rates of deduction or withholding of withholding taxes in excess of the appropriate rate applicable to the holder of such debt securities, and as a result thereof such holder is entitled to make a claim for a refund or credit of such excess from the authority imposing such withholding tax, then such holder shall, by accepting such debt securities, be deemed to have assigned and transferred all right, title and interest to any such claim for a refund or credit of such excess to América Móvil. However, by making such assignment, the holder makes no representation or warranty that América Móvil will be entitled to receive such claim for a refund or credit and incurs no other obligation with respect thereto.

Any reference to the indenture or the 2042 Notes to principal, premium, if any, interest or any other amount payable in respect of the debt securities by América Móvil will be deemed also to refer to any additional amounts that may be payable with respect to that amount under the obligations referred to in this subsection.

Optional Redemption

América Móvil is not permitted to redeem the 2042 Notes before their stated maturity, except as set forth below. The 2042 Notes will not be entitled to the benefit of any sinking fund (meaning that we will not deposit money on a regular basis into any separate account to repay the 2042 Notes). In addition, the holders of the 2042 Notes will not be entitled to require América Móvil to repurchase their notes from them before the stated maturity.

Optional Redemption With “Make-Whole” Amount

América Móvil will have the right at its option to redeem the 2042 Notes in whole or in part, at any time or from time to time prior to their maturity, on at least 30 days’ but not more than 60 days’ notice, at a redemption price equal to the greater of (1) 100% of the principal amount of the 2042 Notes to be redeemed and (2) the sum of the present values of each remaining scheduled payment of principal and interest thereon (exclusive of interest accrued to the date of redemption) discounted to the redemption date on a semi-annual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate plus 30 basis points (the “make-whole” amount), plus accrued interest on the principal amount of the 2042 Notes being redeemed to the redemption date.

“Treasury Rate” means, with respect to any redemption date, the rate per annum equal to the semi-annual equivalent yield to maturity or interpolated maturity (on a day count basis) of the Comparable Treasury Issue, assuming a price for the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price for such redemption date.

“Comparable Treasury Issue” means the United States Treasury security or securities selected by an Independent Investment Banker as having an actual or interpolated maturity comparable to the remaining term of the 2042 Notes to be redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of a comparable maturity to the remaining term of such notes.

“Independent Investment Banker” means one of the Reference Treasury Dealers appointed by América Móvil.

“Comparable Treasury Price” means, with respect to any redemption date, (1) the average of the Reference Treasury Dealer Quotations for such redemption date, after excluding the highest and lowest such Reference Treasury Dealer Quotation or (2) if the trustee obtains fewer than four such Reference Treasury Dealer Quotations, the average of all such quotations.

“Reference Treasury Dealer” means each of Goldman, Sachs & Co. and Morgan Stanley & Co. LLC or their respective affiliates which are primary United States government securities dealers and two other leading primary United States government securities dealers in New York City reasonably designated by América Móvil; provided, however, that if any of the foregoing shall cease to be a primary United States government securities dealer in New York City (a “Primary Treasury Dealer”), América Móvil will substitute therefor another Primary Treasury Dealer.

“Reference Treasury Dealer Quotation” means, with respect to each Reference Treasury Dealer and any redemption date, the average, as determined by the trustee, of the bid and asked prices for

the Comparable Treasury Issue (expressed in each case as a percentage of its principal amount) quoted in writing to the trustee by such Reference Treasury Dealer at 3:30 pm (New York City time) on the third business day preceding such redemption date.

On and after the redemption date, interest will cease to accrue on the 2042 Notes or any portion of the 2042 Notes called for redemption (unless América Móvil defaults in the payment of the redemption price and accrued interest). On or before the redemption date, América Móvil will deposit with the trustee money sufficient to pay the redemption price of and (unless the redemption date shall be an interest payment date) accrued interest to the redemption date on the 2042 Notes to be redeemed on such date. If less than all of the 2042 Notes are to be redeemed, the notes to be redeemed shall be selected by the trustee by such method as the trustee shall deem fair and appropriate or in accordance with the applicable procedures of DTC.

Tax Redemption

América Móvil will have the right to redeem the 2042 Notes upon the occurrence of certain changes in the tax laws of Mexico as a result of which América Móvil becomes obligated to pay additional amounts on the 2042 Notes in respect of withholding taxes at a rate in excess of 4.9%, in which case América Móvil may redeem the 2042 Notes, in whole but not in part at any time on giving not less than 30 nor more than 60 days' notice, at a redemption price equal to 100% of the principal amount of the 2042 Notes, plus accrued interest to the redemption date and any premium applicable in the case of a redemption prior to maturity and any additional amounts due thereon up to but not including the date of redemption; *provided, however*, that (1) no notice of redemption for tax reasons may be given earlier than 90 days prior to the earliest date on which América Móvil would be obligated to pay these additional amounts if a payment on the debt securities were then due and (2) at the time such notice of redemption is given such obligation to pay such additional amounts remains in effect.

Prior to the publication of any notice of redemption for taxation reasons, América Móvil will deliver to the trustee:

- a certificate signed by one of our duly authorized representatives stating that América Móvil is entitled to effect the redemption and setting forth a statement of facts showing that the conditions precedent to its right of redemption for taxation reasons have occurred; and
- an opinion of Mexican legal counsel (which may be América Móvil's counsel) of recognized standing to the effect that América Móvil have or will become obligated to pay such additional amounts as a result of such change or amendment.

This notice, after it is delivered to the holders, will be irrevocable.

Merger, Consolidation or Sale of Assets

América Móvil may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into América Móvil, unless all of the following conditions are met:

- if América Móvil is not the successor person in the transaction, the successor is organized and validly existing under the laws of Mexico or the United States or any political subdivision thereof and expressly assumes its obligations under the 2042 Notes or the indenture;
- immediately after the transaction, no default under the 2042 Notes has occurred and is continuing. For this purpose, “default under the debt securities” means an event of default or an event that would be an event of default with respect to the 2042 Notes if the requirements for giving América Móvil default notice and for its default having to continue for a specific period of time were disregarded. See “Defaults, Remedies and Waiver of Defaults”; and
- América Móvil has delivered to the trustee an officer’s certificate and opinion of counsel, each stating, among other things, that the transaction complies with the indenture.

If the conditions described above are satisfied, América Móvil will not have to obtain the approval of the holders in order to merge or consolidate or to sell or otherwise dispose of its properties and assets substantially as an entirety. In addition, these conditions will apply only if América Móvil wishes to merge into or consolidate with another person or sell or otherwise dispose of all or substantially all of its assets and properties. América Móvil will not need to satisfy these conditions if it enters into other types of transactions, including any transaction in which it acquires the stock or assets of another person, any transaction that involves a change of control of the company, but in which América Móvil does not merge or consolidate, and any transaction in which it sells or otherwise dispose of less than substantially all of its assets.

Covenants

Holders of the 2042 Notes will benefit from the following covenants contained in the indenture and affecting América Móvil’s ability to incur liens to secure debt, enter into sale and leaseback transactions, sell shares of capital stock of Telcel, merge or consolidate with other entities and take other specified actions, as well as requiring América Móvil to provide certain reports or information to holders of the 2042 Notes.

Limitation on Liens

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, create, incur, issue or assume any liens on our restricted property to secure debt where the debt secured by such liens, plus the aggregate amount of our attributable debt and that of our restricted subsidiaries in respect of sale and leaseback transactions, would exceed an amount equal to an aggregate of 15% of its Consolidated Net Tangible Assets unless it secures the debt securities equally with, or prior to, the debt secured by such liens. This restriction will not, however, apply to the following:

- liens on restricted property acquired and existing on the date the property was acquired or arising after such acquisition pursuant to contractual commitments entered into prior to such acquisition;
- liens on any restricted property securing debt incurred or assumed for the purpose of financing its purchase price or the cost of its construction, improvement or repair; *provided* that such lien

attaches to the restricted property within 12 months of its acquisition or the completion of its construction, improvement or repair and does not attach to any other restricted property;

- liens existing on any restricted property of any restricted subsidiary prior to the time that the restricted subsidiary became a subsidiary of América Móvil or liens arising after that time under contractual commitments entered into prior to and not in contemplation of that event;
- liens on any restricted property securing debt owed by a subsidiary of América Móvil to América Móvil or to another of its subsidiaries; and
- liens arising out of the refinancing, extension, renewal or refunding of any debt described above, provided that the aggregate principal amount of such debt is not increased and such lien does not extend to any additional restricted property.

“Consolidated Net Tangible Assets” means total consolidated assets less (1) all current liabilities, (2) all goodwill, (3) all trade names, trademarks, patents and other intellectual property assets and (4) all licenses, each as set forth on América Móvil’s most recent consolidated balance sheet and computed in accordance with International Financial Reporting Standards (“IFRS”).

“Restricted property” means (1) any exchange and transmission equipment, switches, cellular base stations, microcells, local links, repeaters and related facilities, whether owned as of the date of the indenture or acquired after that date, used in connection with the provision of telecommunications services in Mexico, including any land, buildings, structures and other equipment or fixtures that constitute any such facility, owned by América Móvil or its restricted subsidiaries and (2) any share of capital stock of any restricted subsidiary.

“Restricted subsidiaries” means our subsidiaries that own restricted property.

Limitation on Sales and Leasebacks

América Móvil may not, and it may not allow any of its restricted subsidiaries to, enter into any sale and leaseback transaction without effectively providing that the 2042 Notes will be secured equally and ratably with or prior to the sale and leaseback transaction, unless:

- the aggregate principal amount of all debt then outstanding that is secured by any lien on any restricted property that does not ratably secure the 2042 Notes (excluding any secured indebtedness permitted under “Limitation on Liens”) plus the aggregate amount of América Móvil’s attributable debt and the attributable debt of its restricted subsidiaries in respect of sale and leaseback transactions then outstanding (other than any sale and leaseback transaction permitted under the following bullet point) would not exceed an amount equal to 15% of its Consolidated Net Tangible Assets; or
- América Móvil or one of its restricted subsidiaries, within 12 months of the sale and leaseback transaction, retire an amount of its secured debt which is not subordinate to the 2042 Notes in an amount equal to the greater of (1) the net proceeds of the sale or transfer of the property or other assets that are the subject of the sale and leaseback transaction and (2) the fair market value of the restricted property leased.

“Sale and leaseback transaction” means an arrangement between América Móvil or one of its restricted subsidiaries and a bank, insurance company or other lender or investor where América Móvil or its restricted subsidiary leases a restricted property for an initial term of three years or more that was or will be sold by América Móvil or its restricted subsidiary to that lender or investor for a sale price of U.S.\$1 million (or its equivalent in other currencies) or more.

“Attributable debt” means, with respect to any sale and leaseback transaction, the lesser of (1) the fair market value of the asset subject to such transaction and (2) the present value, discounted at a rate per annum equal to the discount rate of a capital lease obligation with a like term in accordance with IFRS, of the obligations of the lessee for net rental payments (excluding amounts on account of maintenance and repairs, insurance, taxes, assessments and similar charges and contingent rents) during the term of the lease.

Limitation on Sale of Capital Stock of Telcel

América Móvil may not, and it may not allow any of its subsidiaries to, sell, transfer or otherwise dispose of any shares of capital stock of Telcel if following such sale, transfer or disposition it would own, directly or indirectly, less than (1) 50% of the voting power of all of the shares of capital stock of Telcel and (2) 50% of all of the shares of capital stock of Telcel.

Provision of Information

América Móvil will furnish the trustee with copies of its annual report and the information, documents and other reports that it is required to file with the SEC pursuant to Section 13 or 15(d) of the U.S. Securities Exchange Act of 1934, as amended (the “Exchange Act”), including its annual reports on Form 20-F and reports on Form 6-K, within 15 days after it files them with the SEC. In addition, América Móvil will make the same information, documents and other reports available, at its expense, to holders who so request in writing.

In the event that, in the future, América Móvil is not required to file such information, documents or other reports pursuant to Section 13 or 15(d) of the Exchange Act, it will furnish on a reasonably prompt basis to the trustee and holders who so request in writing, substantially the same financial and other information that we would be required to include and file in an annual report on Form 20-F and reports on Form 6-K.

If América Móvil becomes aware that a default or event of default or an event that with notice or the lapse of time would be an event of default has occurred and is continuing, as the case may be, it will deliver a certificate to the trustee describing the details thereof and the action it is taking or propose to take.

Defaults, Remedies and Waiver of Defaults

Holders of the 2042 Notes will have special rights if an event of default with respect to the 2042 Notes it holds occurs and is not cured, as described below.

Events of Default

Each of the following will be an “event of default” with respect to the 2042 Notes:

- América Móvil fails to pay interest on the 2042 Notes within 30 days after its due date;
- América Móvil fails to pay the principal or premium, if any, of the 2042 Notes on its due date;
- América Móvil remains in breach of any covenant in the indenture for the benefit of holders of the 2042 Notes, for 60 days after it receives a notice of default (sent by the trustee or the holders of not less than 25% in principal amount of the 2042 Notes) stating that it is in breach;
- América Móvil or Telcel experience a default or event of default under any instrument relating to debt having an aggregate principal amount exceeding U.S.\$50 million (or its equivalent in other currencies) that constitutes a failure to pay principal or interest when due or results in the acceleration of the debt prior to its maturity;
- a final judgment is rendered against América Móvil or Telcel in an aggregate amount in excess of U.S.\$50 million (or its equivalent in other currencies) that is not discharged or bonded in full within 30 days; or
- América Móvil or Telcel file for bankruptcy, or other events of bankruptcy, insolvency or reorganization or similar proceedings occur relating to América Móvil or Telcel.

Remedies Upon Event of Default

If an event of default with respect to the 2042 Notes occurs and is not cured or waived, the trustee, at the written request of holders of not less than 25% in principal amount of the 2042 Notes, may declare the entire principal amount of all the 2042 Notes to be due and payable immediately, and upon any such declaration the principal, any accrued interest and any additional amounts shall become due and payable. If, however, an event of default occurs because of a bankruptcy, insolvency or reorganization relating to América Móvil or Telcel, the entire principal amount of all the 2042 Notes and any accrued interest and any additional amounts will be automatically accelerated, without any action by the trustee or any holder and any principal, interest or additional amounts will become immediately due and payable.

Each of the situations described in the preceding paragraph is called an acceleration of the maturity of the 2042 Notes. If the maturity of the 2042 Notes is accelerated and a judgment for payment has not yet been obtained, the holders of a majority in aggregate principal amount of the 2042 Notes may cancel the acceleration for all the 2042 Notes, provided that all amounts then due (other than amounts due solely because of such acceleration) have been paid and all other defaults with respect to the 2042 Notes have been cured or waived.

If any event of default occurs, the trustee will have special duties. In that situation, the trustee will be obligated to use those of its rights and powers under the indenture, and to use the same degree of care and skill in doing so, that a prudent person would use under the circumstances in conducting his or her own affairs.

Except as described in the prior paragraph, the trustee is not required to take any action under the indenture at the request of any holders unless the holders offer the trustee reasonable protection, known as an indemnity, from expenses and liability. If the trustee receives an indemnity that is

reasonably satisfactory to it, the holders of a majority in principal amount of the 2042 Notes may direct the time, method and place of conducting any lawsuit or other formal legal action seeking any remedy available to the trustee. These majority holders may also direct the trustee in performing any other action under the indenture with respect to the 2042 Notes.

Before the holders bypass the trustee and bring their own lawsuit or other formal legal action or take other steps to enforce their rights or protect their interests relating to the debt securities of any series, the following must occur:

- they must give the trustee written notice that an event of default has occurred and the event of default has not been cured or waived;
- the holders of not less than 25% in principal amount of the 2042 Notes must make a written request that the trustee take action with respect to the 2042 Notes because of the default and they or other holders must offer to the trustee indemnity reasonably satisfactory to the trustee against the cost and other liabilities of taking that action;
- the trustee must not have taken action for 60 days after the above steps have been taken; and
- during those 60 days, the holders of a majority in principal amount of the 2042 Notes must not have given the trustee directions that are inconsistent with the written request of the holders of not less than 25% in principal amount of the 2042 Notes.

Holders of the 2042 Notes will be entitled, however, at any time to bring a lawsuit for the payment of money due on the 2042 Notes on or after its due date.

Book-entry and other indirect holders should consult their banks or brokers for information on how to give notice or direction to or make a request of the trustee and how to declare or cancel an acceleration of the maturity.

Waiver of Default

The holders of not less than a majority in principal amount of the 2042 Notes may waive a past default for all the 2042 Notes. If this happens, the default will be treated as if it had been cured. No one can waive a payment default on any debt security, however, without the approval of the particular holder of that debt security.

Modification and Waiver

There are three types of changes América Móvil can make to the indenture and the outstanding 2042 Notes under the indenture.

Changes Requiring Each Holder's Approval

The following changes cannot be made without the approval of each holder of a 2042 Note affected by the change:

- a change in the stated maturity of any principal or interest payment on the 2042 Notes;
- a reduction in the principal amount, the interest rate or the redemption price for the 2042 Notes;
- a change in the obligation to pay additional amounts;
- a change in the currency of any payment on the 2042 Notes other than as permitted by the 2042 Notes;
- a change in the place of any payment on the 2042 Notes;
- an impairment of the holder's right to sue for payment of any amount due on its debt security;
- a reduction in the percentage in principal amount of the 2042 Notes needed to change the indenture or the outstanding 2042 Notes under the indenture; and
- a reduction in the percentage in principal amount of the 2042 Notes needed to waive our compliance with the indenture or to waive defaults.

Changes Not Requiring Approval

Some changes will not require the approval of holders of the 2042 Notes. These changes are limited to specific kinds of changes, like the addition of covenants, events of default or security, and other clarifications and changes that would not adversely affect the holders of outstanding 2042 Notes under the indenture in any material respect.

Changes Requiring Majority Approval

Any other change to the indenture or the 2042 Notes will be required to be approved by the holders of a majority in principal amount of the debt securities affected by the change or waiver. The required approval must be given by written consent.

The same majority approval will be required for América Móvil to obtain a waiver of any of its covenants in the indenture. América Móvil's covenants include the promises it makes about merging and creating liens on our interests, which are described under "Merger, Consolidation or Sale of Assets" and "Covenants". If the holders approve a waiver of a covenant, América Móvil will not have to comply with it. The holders, however, cannot approve a waiver of any provision in a particular debt security or the indenture, as it affects that debt security, that América Móvil cannot change without the approval of the holder of that debt security as described under in "Changes Requiring Each Holder's Approval", unless that holder approves the waiver.

Book-entry and other indirect holders should consult their banks or brokers for information on how approval may be granted or denied if América Móvil seeks to change the indenture or the 2042 Notes or request a waiver.

Defeasance

América Móvil may, at its option, elect to terminate (1) all of its obligations with respect to the 2042 Notes (“legal defeasance”), except for certain obligations, including those regarding any trust established for defeasance and obligations relating to the transfer and exchange of the 2042 Notes, the replacement of mutilated, destroyed, lost or stolen debt securities and the maintenance of agencies with respect to the debt securities or (2) its obligations under the covenants in the indenture, so that any failure to comply with such obligations will not constitute an event of default (“covenant defeasance”) in respect of the 2042 Notes. In order to exercise either legal defeasance or covenant defeasance, América Móvil must irrevocably deposit with the trustee U.S. dollars or such other currency in which the 2042 Notes are denominated (the “securities currency”), government obligations of the United States or a government, governmental agency or central bank of the country whose currency is the securities currency, or any combination thereof, in such amounts as will be sufficient to pay the principal, premium, if any, and interest (including additional amounts) in respect of the 2042 Notes then outstanding on the maturity date of the 2042 Notes, and comply with certain other conditions, including, without limitation, the delivery of opinions of counsel as to specified tax and other matters.

If América Móvil elects either legal defeasance or covenant defeasance with respect to the 2042 Notes, it must so elect it with respect to all of the 2042 Notes.

Special Rules for Actions by Holders

When holders take any action under the indenture, such as giving a notice of default, declaring an acceleration, approving any change or waiver or giving the trustee an instruction, América Móvil will apply the following rules.

Only Outstanding Debt Securities are Eligible for Action by Holders

Only holders of outstanding 2042 Notes will be eligible to vote or participate in any action by holders. In addition, América Móvil will count only outstanding debt securities in determining whether the various percentage requirements for voting or taking action have been met. For these purposes, a debt security will not be “outstanding” if it has been surrendered for cancellation or if América Móvil has deposited or set aside, in trust for its holder, money for its payment or redemption.

Determining Record Dates for Action by Holders

América Móvil will generally be entitled to set any day as a record date for the purpose of determining the holders that are entitled to take action under the indenture. In some limited circumstances, only the trustee will be entitled to set a record date for action by holders. If América Móvil or the trustee set a record date for an approval or other action to be taken by holders, that vote or action may be taken only by persons or entities who are holders on the record date and must be taken during the period that we specify for this purpose, or that the trustee specifies if it sets the record date. América Móvil or the trustee, as applicable, may shorten or lengthen this period from time to time. This period, however, may not extend beyond the 180th day after the record date for the action. In addition, record dates for any global debt securities may be set in accordance with procedures established by the depositary from time to time.

Payment Provisions

Payments on the Debt Securities

América Móvil will pay interest on the 2042 Notes on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity include interest accrued from and including the last date to which interest has been paid or made available for payment, or from the issue date, if none has been paid or made available for payment, to but excluding the relevant payment date.

For interest due on a debt security on an interest payment date, América Móvil will pay the interest to the holder in whose name the debt security is registered at the close of business on the regular record date relating to the interest payment date. For interest due at maturity but on a day that is not an interest payment date, América Móvil will pay the interest to the person or entity entitled to receive the principal of the debt security. For principal due on a debt security at maturity, América Móvil will pay the amount to the holder of the debt security against surrender of the debt security at the proper place of payment.

Unless otherwise specified, América Móvil computes interest on the 2042 Notes bearing interest at a fixed rate on the basis of a 360-day year of twelve 30-day months.

Payments on Global Debt Securities. For the 2042 Notes issued in global form, América Móvil makes payments on the 2042 Notes in accordance with the applicable procedures of the depositary as in effect from time to time. Under those procedures, América Móvil makes payments directly to the depositary, or its nominee, and not to any indirect holders who own beneficial interests in a global debt security. An indirect holder's right to receive those payments is governed by the rules and practices of the depositary and its participants.

Payments on Certificated Debt Securities. For debt securities issued in certificated form, América Móvil pays interest that is due on an interest payment date by check mailed on the interest payment date to the holder at the holder's address shown on the trustee's records as of the close of business on the regular record date, and it will make all other payments by check to the paying agent described below, against surrender of the debt security. All payments by check may be made in next-day funds, that is, funds that become available on the day after the check is cashed. If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to receive payments of principal and interest on their debt securities at the office of our paying agent maintained in New York City.

Payment When Offices Are Closed

If any payment is due on the 2042 Notes on a day that is not a business day, América Móvil makes the payment on the day that is the next business day. Payments postponed to the next business day in this situation are treated under the indenture as if they were made on the original due date. Postponement of this kind will not result in a default under the 2042 Notes or the indenture. If interest on the 2042 Notes is calculated on the basis of a 360-day year of twelve 30-day months, no interest will accrue on the postponed amount from the original due date to the next day that is a business day.

Paying Agents

If América Móvil issues debt securities in certificated form, it may appoint one or more financial institutions to act as its paying agents, at whose designated offices the debt securities may be surrendered for payment at their maturity. América Móvil may add, replace or terminate paying agents from time to time; *provided* that if any debt securities are issued in certificated form, so long as such debt securities are outstanding, América Móvil will maintain a paying agent in New York City. América Móvil may also choose to act as its own paying agent. Initially, América Móvil has appointed the trustee, at its corporate trust office in New York City, as a paying agent. América Móvil must notify holder of the 2042 Notes of changes in the paying agents as described under “Notices”.

Unclaimed Payments

All money paid by América Móvil to the trustee or any paying agent that remains unclaimed at the end of two years after the amount is due to a holder will be repaid to América Móvil. After that two-year period, the holder may look only to América Móvil for payment and not to the trustee, any paying agent or anyone else.

Governing Law

The indenture and the 2042 Notes will be governed by, and construed in accordance with, the laws of the State of New York, United States of America.

Submission to Jurisdiction

In connection with any legal action or proceeding arising out of or relating to the 2042 Notes or the indenture (subject to the exceptions described below), América Móvil has:

- submitted to the jurisdiction of any U.S. federal or New York state court in the Borough of Manhattan, The City of New York, and any appellate court thereof;
- agreed that all claims in respect of such legal action or proceeding may be heard and determined in such U.S. federal or New York state court and waived, to the fullest extent permitted by law, the defense of an inconvenient forum to the maintenance of such action or proceeding and any right of jurisdiction in such action or proceeding on account of our place of residence or domicile; and
- appointed CT Corporation System, with an office at 111 Eighth Avenue, New York, New York 10011, United States of America, as process agent.

The process agent will receive, on América Móvil’s behalf, service of copies of the summons and complaint and any other process which may be served in any such legal action or proceeding brought in such New York state or U.S. federal court sitting in New York City. Service may be made by mailing or delivering a copy of such process to América Móvil at the address specified above for the process agent.

A final judgment in any of the above legal actions or proceedings will be conclusive and may be enforced in other jurisdictions, in each case, to the extent permitted under the applicable laws of such jurisdiction.

In addition to the foregoing, the holders may serve legal process in any other manner permitted by applicable law. The above provisions do not limit the right of any holder to bring any action or proceeding against América Móvil or our properties in other courts where jurisdiction is independently established.

To the extent that América Móvil has or hereafter may acquire or have attributed to América Móvil any sovereign or other immunity under any law, América Móvil has agreed to waive, to the fullest extent permitted by law, such immunity from jurisdiction or to service of process in respect of any legal suit, action or proceeding arising out of or relating to the indenture or the 2042 Notes.

Currency Indemnity

América Móvil's obligations under the 2042 Notes will be discharged only to the extent that the relevant holder is able to purchase the securities currency with any other currency paid to that holder in accordance with any judgment or otherwise. If the holder cannot purchase the securities currency in the amount originally to be paid, América Móvil agrees to pay the difference. The holder, however, agrees that, if the amount of the securities currency purchased exceeds the amount originally to be paid to such holder, the holder will reimburse the excess to América Móvil. The holder will not be obligated to make this reimbursement if América Móvil is in default of its obligations under the 2042 Notes.

Transfer Agents

América Móvil may appoint one or more transfer agents, at whose designated offices any debt securities in certificated form may be transferred or exchanged and also surrendered before payment is made at maturity. Initially, América Móvil has appointed the trustee, at its corporate trust office in New York City, as transfer agent. América Móvil may also choose to act as its own transfer agent. América Móvil must notify holders of the 2042 Notes of changes in the transfer agent as described under "Notices". If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to transfer their debt securities, in whole or in part, by surrendering the debt securities, with a duly completed form of transfer, for registration of transfer at the office of our transfer agent in New York City. América Móvil will not charge any fee for the registration or transfer or exchange, except that it may require the payment of a sum sufficient to cover any applicable tax or other governmental charge payable in connection with the transfer.

Notices

As long as we issue notes in global form, notices to be given to holders will be given to DTC, in accordance with its applicable policies as in effect from time to time. If América Móvil issues notes in certificated form, notices to be given to holders will be sent by mail to the respective addresses of the holders as they appear in the trustee's records, and will be deemed given when mailed.

Neither the failure to give any notice to a particular holder, nor any defect in a notice given to a particular holder, will affect the sufficiency of any notice given to another holder.

D. 2029 Notes, 2049 Notes, 2030 Notes and 2032 Notes

The 2029 Notes, the 2049 Notes, the 2030 Notes and the 2032 Notes constitute separate series of notes. The following discussion of the terms of the notes, including without limitation under “Optional Redemption”, “Defaults, Remedies and Waiver of Defaults,” “Modification and Waiver” and “Defeasance” below, applies to each series separately. References to “notes” and “debt securities” in this section III.D are to the 2029 Notes, 2049 Notes, the 2030 Notes and the 2032 Notes, as applicable.

General

Indenture and Supplemental Indentures

The 2029 Notes and the 2049 Notes were issued under the 2018 Indenture and the 2019 Supplemental Indenture. The 2030 Notes were issued under the 2018 Indenture and the 2020 Supplemental Indenture. The 2032 Notes were issued under the 2018 Indenture and the 2022 Supplemental Indenture. References to the “indenture” in this section III.D are to the 2018 Indenture as supplemented by the supplemental indentures relating to each series of notes. The indenture is an agreement among América Móvil, Citibank, N.A., as trustee, registrar and transfer agent, and Citibank, N.A., London Branch, as paying agent and, in the case of the 2030 Notes, authenticating agent.

The trustee has the following two main roles:

- First, the trustee can enforce the rights of holders against us if we default in respect of the debt securities. There are some limitations on the extent to which the trustee acts on behalf of holders, which we describe under “Defaults, Remedies and Waiver of Defaults” below.
- Second, the trustee performs administrative duties for América Móvil, such as making interest payments and sending notices to holders of debt securities.

Principal and Interest

The original aggregate principal amount of the 2029 Notes is U.S.\$1,000,000,000. The 2029 Notes will mature on April 22, 2029 and bear interest at a rate of 3.625% per year from April 22, 2019.

The original aggregate principal amount of the 2049 Notes is U.S.\$1,250,000,000. The 2049 Notes will mature on April 22, 2049 and bear interest at a rate of 4.375% per year from April 22, 2019.

The original aggregate principal amount of the 2030 Notes is U.S.\$1,000,000,000. The 2030 Notes will mature on May 7, 2030 and bear interest at a rate of 2.875% per year from May 7, 2020.

The original aggregate principal amount of the 2032 Notes is U.S.\$750,000,000. The 2032 Notes will mature on July 21, 2032 and bear interest at a rate of 4.700% per year from July 21, 2022.

Interest on the 2029 Notes and the 2049 Notes is payable on April 22 and October 22 of each year, to the holders in whose names the notes are registered at the close of business on April 7 or October 7 immediately preceding the related interest payment date (whether or not a business day).

Interest on the 2030 Notes is payable on May 7 and November 7 of each year, commencing on November 7, 2020, to the holders in whose names the notes are registered at the close of business on April 22 or October 23 immediately preceding the related interest payment date (whether or not a business day).

Interest on the 2032 Notes is payable on January 21 and July 21 of each year, commencing on January 21, 2023, to the holders in whose names the notes are registered at the close of business on January 6 or July 6 immediately preceding the related interest payment date (whether or not a business day).

América Móvil pays interest on each series of the notes on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity will include interest accrued from and including the last date to which interest has been paid or made available for payment, or from the issue date, if none has been paid or made available for payment, to but excluding the relevant payment date. Interest on the notes are computed at a fixed rate on the basis of a 360-day year of twelve 30-day months.

If any payment is due on the notes on a day that is not a business day, América Móvil will make the payment on the next business day. Payments postponed to the next business day in this situation will be treated under the indenture as if they were made on the original payment date. Postponement of this kind will not result in a default under the notes or the indenture, and no interest will accrue on the postponed amount from the original payment date to the next business day.

“Business day” means each Monday, Tuesday, Wednesday, Thursday and Friday that is (a) not a day on which banking institutions in New York City, London or Mexico City generally are authorized or obligated by law, regulation or executive order to close and (b) a day on which banks and financial institutions in Mexico are open for business with the general public.

Ranking of the Debt Securities

América Móvil is a holding company and its principal assets are shares that it holds in its subsidiaries. Its debt securities will not be secured by any of its assets or properties. As a result, by owning the debt securities, holders will be one of its unsecured creditors. The debt securities will not be subordinated to any of its other unsecured debt obligations. In the event of a bankruptcy or liquidation proceeding against América Móvil, the debt securities would rank equally in right of payment with all of its other unsecured and unsubordinated debt.

América Móvil’s debt securities will not be guaranteed by any of its subsidiaries. Claims of creditors of its subsidiaries, including trade creditors and bank and other lenders, will have priority over the holders of the debt securities in claims to assets of its subsidiaries. Some of its outstanding debt securities that were issued in the Mexican and international markets are guaranteed by Telcel. Accordingly, the holders of those outstanding debt securities will have priority over the holders of the debt securities with respect to claims to the assets of Telcel. In addition, some securities

América Móvil has issued in the Mexican and international markets provide for a covenant and events of default relating to Telcel (specifically, relating to its continued control of Telcel and to defaults or insolvency events involving Telcel) that are not included in its debt securities offered by the indenture.

Form and Denominations

The notes were issued only in registered form without coupons and in minimum denominations of U.S.\$200,000 and integral multiples of U.S.\$1,000 in excess thereof.

Except in limited circumstances, the notes will be issued in the form of global notes.

Further Issues

América Móvil reserves the right, from time to time without the consent of holders of the notes of any series, to issue additional notes of a series on terms and conditions identical to those of the notes of that series (except for issue date, issue price and the date from which interest will accrue and, if applicable, the date on which interest will first be paid), which additional notes will increase the aggregate principal amount of, and will be consolidated and form a single series with, the notes of that series.

Payment of Additional Interest

América Móvil is required by Mexican law to deduct Mexican withholding taxes from payments of interest to holders of the notes who are not residents of Mexico for tax purposes.

América Móvil will pay to holders of the notes all additional interest that may be necessary so that every net payment of interest or principal or premium, if any, to the holder will not be less than the amount provided for in the notes. By net payment, América Móvil means the amount that it or its paying agent will pay the holder after deducting or withholding an amount for or on account of any present or future taxes, duties, assessments or other governmental charges imposed or levied with respect to that payment by a Mexican taxing authority.

Any references to principal, premium, if any, interest or any other amount payable in respect of the notes by América Móvil will be deemed also to refer to any additional interest that may be payable in accordance with the provisions described herein.

América Móvil's obligation to pay additional interest is, however, subject to several important exceptions. América Móvil will not pay additional interest to or on behalf of any holder or beneficial owner, or to the trustee, for or on account of any of the following:

- any taxes, duties, assessments or other governmental charges imposed solely because at any time there is or was a connection between the holder and Mexico (other than the mere receipt of a payment or the ownership or holding of a debt security);
- any taxes, duties, assessments or other governmental charges imposed solely because the holder or any other person fails to comply with any certification, identification or other reporting requirement concerning the nationality, residence, identity or connection with

Mexico of the holder or any beneficial owner of a debt security if compliance is required by law, regulation or by an applicable income tax treaty to which Mexico is a party, as a precondition to exemption from, or reduction in the rate of, the tax, assessment or other governmental charge and we have given the holders at least 30 calendar days' notice prior to the first payment date with respect to which such certification, identification or reporting requirement is required to the effect that holders will be required to provide such information and identification;

- any taxes, duties, assessments or other governmental charges with respect to a debt security presented for payment more than 15 days after the date on which the payment became due and payable or the date on which payment thereof is duly provided for and notice thereof given to holders, whichever occurs later, except to the extent that the holders of such debt security would have been entitled to such additional interest on presenting such debt security for payment on any date during such 15-day period;
- any estate, inheritance, gift or other similar tax, assessment or other governmental charge imposed with respect to the debt securities;
- any tax, duty, assessment or other governmental charge payable otherwise than by deduction or withholding from payments on the debt securities;
- any payment on a debt security to a holder that is a fiduciary or partnership or a person other than the sole beneficial owner of any such payment, to the extent that a beneficiary or settlor with respect to such fiduciary, a member of such a partnership or the beneficial owner of the payment would not have been entitled to the additional interest had the beneficiary, settlor, member or beneficial owner been the holder of such debt security; and
- any combination of the items in the bullet points above.

The limitations on América Móvil's obligations to pay additional interest described in the second bullet point above will not apply if the provision of information, documentation or other evidence described in that bullet point would be materially more onerous, in form, in procedure or in the substance of information disclosed, to a holder or beneficial owner of a debt security, taking into account any relevant differences between U.S. and Mexican law, regulation or administrative practice, than comparable information or other reporting requirements imposed under U.S. tax law (including the United States/Mexico Income Tax Treaty), regulations (including proposed regulations) and administrative practice.

Applicable Mexican laws and regulations (including Article 166, Section II, subsection (a) of the Mexican Income Tax Law or any substantially similar successor provision, whether included in any law or regulation) currently allow América Móvil to withhold at a reduced rate, provided that it complies with certain information reporting requirements. Accordingly, the limitations América Móvil's obligations to pay additional interest described in the second bullet point above also will not apply unless (a) the provision of the information, documentation or other evidence described in that bullet point is expressly required by the applicable Mexican laws and regulations (including Article 166, Section II, subsection (a) of the Mexican Income Tax Law or any substantially similar successor provision, whether included in any law or regulation), (b) América Móvil cannot obtain

the information, documentation or other evidence necessary to comply with the applicable Mexican laws and regulations on its own through reasonable diligence and (c) it otherwise would meet the requirements for application of the applicable Mexican laws and regulations (including Article 166, Section II, subsection (a) of the Mexican Income Tax Law or any substantially similar successor provision, whether included in any law or regulation).

In addition, the limitation described in the second bullet point above does not require that any person, including any non-Mexican pension fund, retirement fund or financial institution, register with the Mexican Ministry of Finance and Public Credit (*Secretaría de Hacienda y Crédito Público*) to establish eligibility for an exemption from, or a reduction of, Mexican withholding tax.

América Móvil will remit the full amount of any Mexican taxes withheld to the applicable Mexican taxing authorities in accordance with applicable law. It will also provide the trustee with documentation satisfactory to the trustee evidencing the payment of Mexican taxes in respect of which we have paid any additional interest. América Móvil will provide copies of such documentation to the holders of the debt securities or the relevant paying agent upon request.

In the event that additional interest actually paid with respect to the debt securities pursuant to the preceding paragraphs is based on rates of deduction or withholding of withholding taxes in excess of the appropriate rate applicable to the holder of such debt securities, and as a result thereof such holder is entitled to make a claim for a refund or credit of such excess from the authority imposing such withholding tax, then such holder shall, by accepting such debt securities, be deemed to have assigned and transferred all right, title and interest to any such claim for a refund or credit of such excess to América Móvil. However, by making such assignment, the holder makes no representation or warranty that América Móvil will be entitled to receive such claim for a refund or credit and incurs no other obligation with respect thereto.

Any reference in the indenture or the debt securities to principal, premium, if any, interest or any other amount payable in respect of the debt securities by América Móvil will be deemed also to refer to any additional interest that may be payable with respect to that amount under the obligations referred to in this subsection.

Optional Redemption

América Móvil will not be permitted to redeem the notes before their stated maturity, except as set forth below. The notes will not be entitled to the benefit of any sinking fund—meaning that América Móvil will not deposit money on a regular basis into any separate account to repay the notes. In addition, holders will not be entitled to require América Móvil to repurchase their notes from them before the stated maturity.

Optional Redemption With “Make-Whole” Amount or at Par

Prior to the applicable Par Call Date, América Móvil will have the right, at its option, to redeem the outstanding notes of each series, in whole at any time or in part from time to time, on at least 30 days’ but not more than 60 days’ notice, at a redemption price equal to the greater of (1) 100% of the principal amount of the notes to be redeemed and (2) the sum of the present values of the Remaining Payments, discounted to the redemption date on a semi-annual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate plus 20 basis points, in the case

of the 2029 Notes, or plus 25 basis points, in the case of the 2049 Notes, or plus 35 basis points, in the case of the 2030 Notes, or plus 30 basis points in the case of the 2032 Notes (in each case, the “make-whole” amount), plus, in each case, accrued and unpaid interest on the principal amount of the notes being redeemed to the redemption date. On or after the applicable Par Call Date, América Móvil will have the right, at its option, to redeem the outstanding notes of each series, in whole at any time or in part from time to time, on at least 30 days’ but not more than 60 days’ notice, at par plus accrued and unpaid interest on the principal amount of the notes being redeemed to the redemption date.

“Par Call Date” means, in the case of the 2029 Notes, January 22, 2029 (the date that is three months prior to the stated maturity of the 2029 Notes), in the case of the 2049 Notes, October 22, 2048 (the date that is six months prior to the stated maturity of the 2049 Notes), in the case of the 2030 Notes, February 7, 2030 (the date that is three months prior to the stated maturity of the notes) and, in the case of the 2032 Notes, April 21, 2032 (the date that is three months prior to the stated maturity of the notes).

“Treasury Rate” means, with respect to any redemption date, the rate per annum equal to the semi-annual equivalent yield to maturity or interpolated maturity (on a day count basis) of the Comparable Treasury Issue (as defined below), assuming a price for the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price (as defined below) for such redemption date.

“Comparable Treasury Issue” means the United States Treasury security or securities selected by an Independent Investment Banker (as defined below) as having an actual or interpolated maturity comparable to the applicable Par Call Date of the series of notes to be redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of a comparable maturity to the applicable Par Call Date of the series of notes to be redeemed.

“Independent Investment Banker” means one of the Reference Treasury Dealers appointed by América Móvil.

“Comparable Treasury Price” means, with respect to any redemption date, (1) the arithmetic average of the Reference Treasury Dealer Quotations for such redemption date, after excluding the highest and lowest such Reference Treasury Dealer Quotation or (2) if the Independent Investment Banker obtains fewer than four such Reference Treasury Dealer Quotations, the arithmetic average of all such quotations.

“Reference Treasury Dealer” means Citigroup Global Markets Inc., Morgan Stanley & Co. LLC, Barclays Capital Inc. and Merrill Lynch, Pierce, Fenner & Smith Incorporated or their respective affiliates, in the case of the 2029 Notes and the 2049 Notes, or BofA Securities, Inc., J.P. Morgan Securities LLC, BBVA Securities Inc., BNP Paribas Securities Corp. and Morgan Stanley and Co. LLC, in the case of the 2030 Notes, which are primary United States government securities dealers and at least one additional leading primary United States government securities dealers in New York City reasonably designated by América Móvil; provided, however, that if any of the foregoing shall cease to be a primary United States government securities dealer in New York City

(a “Primary Treasury Dealer”), América Móvil will substitute therefor another Primary Treasury Dealer.

“Reference Treasury Dealer Quotation” means, with respect to each Reference Treasury Dealer and any redemption date, the average, as determined by the Independent Investment Banker, of the bid and asked prices for the Comparable Treasury Issue (expressed in each case as a percentage of its principal amount) quoted in writing to the Independent Investment Banker by such Reference Treasury Dealer at 3:30 p.m. (New York City time) on the third business day preceding such redemption date.

“Remaining Payments” means, with respect to the notes of a series to be redeemed, the remaining payments of principal of and interest on such notes that would be due after the related redemption date as if the notes were redeemed on the applicable Par Call Date. If the applicable redemption date is not an interest payment date with respect to the applicable series of notes, the amount of the next succeeding scheduled interest payment on the notes will be reduced by the amount of interest accrued on the notes to such redemption date.

On and after the redemption date, interest will cease to accrue on the notes or any portion of the notes called for redemption (unless we default in the payment of the redemption price and accrued interest). On or before the redemption date, América Móvil will deposit with the trustee money sufficient to pay the redemption price of and (unless the redemption date shall be an interest payment date) accrued and unpaid interest thereon to the redemption date on the notes to be redeemed on such date. If less than all of the outstanding notes of any series are to be redeemed, the notes to be redeemed shall be selected by the trustee on a *pro rata* basis or by lot (and, in the case of notes in global form, in accordance with the applicable procedures of DTC).

Tax Redemption

We will have the right to redeem the notes of any series upon the occurrence of certain changes in the tax laws of Mexico as a result of which we become obligated to pay additional interest on the notes of that series in respect of withholding taxes at a rate in excess of 4.9%, in which case we may redeem the outstanding notes of that series, in whole but not in part, at any time on giving not less than 30 nor more than 60 days’ notice, at a redemption price equal to 100% of the principal amount of the notes to be redeemed, plus accrued and unpaid interest thereon to the redemption date, any premium applicable in the case of a redemption prior to maturity and any additional interest due thereon up to but not including the date of redemption; *provided, however*, that (1) no notice of redemption for tax reasons may be given earlier than 90 days prior to the earliest date on which América Móvil would be obligated to pay such additional interest if a payment on the debt securities of that series were then due and (2) at the time such notice of redemption is given such obligation to pay such additional interest remains in effect.

Prior to the publication of any notice of redemption for taxation reasons, América Móvil will deliver to the trustee:

- a certificate signed by one of our duly authorized representatives stating that we are entitled to effect the redemption and setting forth a statement of facts showing that the conditions precedent to our right of redemption for taxation reasons have occurred; and

- an opinion of Mexican legal counsel (which may be our counsel) of recognized standing to the effect that América Móvil have or will become obligated to pay such additional interest as a result of such change or amendment.

This notice, after it is delivered to the holders, will be irrevocable.

Merger, Consolidation or Sale of Assets

América Móvil may not consolidate with or merge into any other person or, directly or indirectly, transfer, convey, sell, lease or otherwise dispose of all or substantially all of its assets and properties and may not permit any person to consolidate with or merge into it, unless all of the following conditions are met:

- if América Móvil is not the successor person in the transaction, the successor is organized and validly existing under the laws of Mexico or the United States or any political subdivision thereof and expressly assumes our obligations under the debt securities or the indenture;
- immediately after the transaction, no default under the debt securities has occurred and is continuing. For this purpose, “default under the debt securities” means an event of default or an event that would be an event of default with respect to the debt securities if the requirements for giving América Móvil default notice and for its default having to continue for a specific period of time were disregarded. See “Defaults, Remedies and Waiver of Defaults”; and
- América Móvil has delivered to the trustee an officer’s certificate and opinion of counsel, each stating, among other things, that the transaction complies with the indenture.

If the conditions described above are satisfied, América Móvil will not have to obtain the approval of the holders in order to merge or consolidate or to sell or otherwise dispose of its properties and assets substantially as an entirety. In addition, these conditions will apply only if it wishes to merge into or consolidate with another person or sell or otherwise dispose of all or substantially all of its assets and properties. América Móvil will not need to satisfy these conditions if it enters into other types of transactions, including any transaction in which it acquires the stock or assets of another person, any transaction that involves a change of control of the company, but in which it does not merge or consolidate, or any transaction in which it sells or otherwise disposes of less than substantially all its assets.

Covenants

The following covenants will apply to América Móvil and certain of our subsidiaries for so long as any debt security remains outstanding. These covenants restrict our ability and the ability of these subsidiaries to enter into certain transactions. However, these covenants do not limit América Móvil’s ability to incur indebtedness or require América Móvil to comply with financial ratios or to maintain specified levels of net worth or liquidity.

Limitation on Liens

América Móvil may not, and it may not allow any of its restricted subsidiaries to, create, incur, issue or assume any liens on its restricted property to secure debt where the debt secured by such liens, plus the aggregate amount of our attributable debt and that of our restricted subsidiaries in respect of sale and leaseback transactions, would exceed an amount equal to an aggregate of 15% of our Consolidated Net Tangible Assets unless it secures the debt securities equally with, or prior to, the debt secured by such liens. This restriction will not, however, apply to the following:

- liens on restricted property acquired and existing on the date the property was acquired or arising after such acquisition pursuant to contractual commitments entered into prior to such acquisition;
- liens on any restricted property securing debt incurred or assumed for the purpose of financing its purchase price or the cost of its construction, improvement or repair; *provided* that such lien attaches to the restricted property within 12 months of its acquisition or the completion of its construction, improvement or repair and does not attach to any other restricted property;
- liens existing on any restricted property of any restricted subsidiary prior to the time that the restricted subsidiary became a subsidiary of América Móvil or liens arising after that time under contractual commitments entered into prior to and not in contemplation of that event;
- liens on any restricted property securing debt owed by a subsidiary of América Móvil to América Móvil or to another of its subsidiaries; and
- liens arising out of the refinancing, extension, renewal or refunding of any debt described above; *provided* that the aggregate principal amount of such debt is not increased and such lien does not extend to any additional restricted property.

“Consolidated Net Tangible Assets” means total consolidated assets less (1) all current liabilities, (2) all goodwill, (3) all trade names, trademarks, patents and other intellectual property assets and (4) all licenses, each as set forth on our most recent consolidated balance sheet and computed in accordance with International Financial Reporting Standards (“IFRS”).

“Restricted property” means (1) any exchange and transmission equipment, switches, cellular base stations, microcells, local links, repeaters and related facilities, whether owned as of the date of the indenture or acquired after that date, used in connection with the provision of telecommunications services in Mexico, including any land, buildings, structures and other equipment or fixtures that constitute any such facility, owned by América Móvil or our restricted subsidiaries and (2) any share of capital stock of any restricted subsidiary.

“Restricted subsidiaries” means América Móvil’s subsidiaries that own restricted property.

Limitation on Sales and Leasebacks

América Móvil may not, and América Móvil may not allow any of its restricted subsidiaries to, enter into any sale and leaseback transaction without effectively providing that the debt securities will be secured equally and ratably with or prior to the sale and leaseback transaction, unless:

- the aggregate principal amount of all debt then outstanding that is secured by any lien on any restricted property that does not ratably secure the debt securities (excluding any secured indebtedness permitted under “Limitation on Liens”) plus the aggregate amount of its attributable debt and the attributable debt of its restricted subsidiaries in respect of sale and leaseback transactions then outstanding (other than any sale and leaseback transaction permitted under the following bullet point) would not exceed an amount equal to 15% of our Consolidated Net Tangible Assets; or
- América Móvil or one of its restricted subsidiaries, within 12 months of the sale and leaseback transaction, retire an amount of its secured debt which is not subordinate to the debt securities in an amount equal to the greater of (1) the net proceeds of the sale or transfer of the property or other assets that are the subject of the sale and leaseback transaction and (2) the fair market value of the restricted property leased.

“Sale and leaseback transaction” means an arrangement between América Móvil or one of its restricted subsidiaries and a bank, insurance company or other lender or investor where América Móvil or its restricted subsidiary leases a restricted property for an initial term of three years or more that was or will be sold by it or its restricted subsidiary to that lender or investor for a sale price of U.S.\$ 1 million (or its equivalent in other currencies) or more.

“Attributable debt” means, with respect to any sale and leaseback transaction, the lesser of (1) the fair market value of the asset subject to such transaction and (2) the present value, discounted at a rate per annum equal to the discount rate inherent in the applicable lease, of the obligations of the lessee for net rental payments (excluding, amounts on account of maintenance and repairs, insurance, taxes, assessments and similar charges and contingent rents) during the term of the lease (as determined in good faith by América Móvil in accordance with IFRS).

Provision of Information

América Móvil will furnish the trustee with copies of its annual report and the information, documents and other reports that we are required to file with the SEC pursuant to Section 13 or 15(d) of the U.S. Securities Exchange Act of 1934, as amended (the “Exchange Act”), including our annual reports on Form 20-F and reports on Form 6-K, within 15 days after it files them with the SEC. In addition, it will make the same information, documents and other reports available, at its expense, to holders who so request in writing.

In the event that, in the future, América Móvil is not required to file such information, documents or other reports pursuant to Section 13 or 15(d) of the Exchange Act, América Móvil will furnish on a reasonably prompt basis to the trustee and holders who so request in writing, substantially the same financial and other information that it would be required to include and file in an annual report on Form 20-F and reports on Form 6-K.

If América Móvil becomes aware that a default or event of default or an event that with notice or the lapse of time would be an event of default has occurred and is continuing, as the case may be, América Móvil will deliver a certificate to the trustee describing the details thereof and the action we are taking or propose to take.

Defaults, Remedies and Waiver of Defaults

Holders will have special rights if an event of default with respect to the debt securities they hold occurs and is not cured, as described below.

Events of Default

Each of the following will be an “event of default” with respect to the debt securities:

- América Móvil fails to pay interest on any debt security within 30 days after its due date;
- América Móvil fails to pay the principal or premium, if any, of any debt security on its due date;
- América Móvil remains in breach of any covenant in the indenture for the benefit of holders of the debt securities, for 60 days after it receives a notice of default (sent by the trustee or the holders of not less than 25% in principal amount of the debt securities) stating that it is in breach;
- América Móvil experiences a default or event of default under any instrument relating to debt having an aggregate principal amount exceeding U.S.\$50 million (or its equivalent in other currencies) that constitutes a failure to pay principal or interest when due or results in the acceleration of the debt prior to its maturity;
- a final judgment is rendered against América Móvil in an aggregate amount in excess of U.S.\$50 million (or its equivalent in other currencies) that is not discharged or bonded in full within 30 days; or
- América Móvil files for bankruptcy, or other events of bankruptcy, insolvency or reorganization or similar proceedings occur relating to it.

Remedies Upon Event of Default

If an event of default with respect to the debt securities occurs and is not cured or waived, the trustee, at the written request of holders of not less than 25% in principal amount of the debt securities, may declare the entire principal amount of all the debt securities to be due and payable immediately, and upon any such declaration the principal, any accrued interest and any additional interest shall become due and payable. If, however, an event of default occurs because of a bankruptcy, insolvency or reorganization relating to América Móvil, the entire principal amount of all the debt securities and any accrued interest and any additional interest will be automatically accelerated, without any action by the trustee or any holder and any principal, interest or additional interest will become immediately due and payable.

Each of the situations described in the preceding paragraph is called an acceleration of the maturity of the debt securities. If the maturity of the debt securities is accelerated and a judgment for payment has not yet been obtained, the holders of a majority in aggregate principal amount of the debt securities may cancel the acceleration for all the debt securities, provided that all amounts then due (other than amounts due solely because of such acceleration) have been paid and all other defaults with respect to the debt securities have been cured or waived.

If any event of default occurs, the trustee will have special duties. In that situation, the trustee will be obligated to use those of its rights and powers under the indenture, and to use the same degree of care and skill in doing so, that a prudent person would use under the circumstances in conducting his or her own affairs.

Except as described in the prior paragraph, the trustee is not required to take any action under the indenture at the request of any holders unless the holders offer the trustee reasonable protection, known as indemnity and/or security, from expenses and liability. If the trustee receives an indemnity and/or security that is satisfactory to it, the holders of a majority in principal amount of the debt securities may direct the time, method and place of conducting any lawsuit or other formal legal action seeking any remedy available to the trustee. These majority holders may also direct the trustee in performing any other action under the indenture with respect to the debt securities.

Before holders bypass the trustee and bring their own lawsuit or other formal legal action or take other steps to enforce their rights or protect their interests relating to the debt securities of any series, the following must occur:

- such holders must give the trustee written notice that an event of default has occurred and the event of default has not been cured or waived;
- the holders of not less than 25% in principal amount of debt securities of that series must make a written request that the trustee take action with respect to the debt securities because of the default and they or other holders must offer to the trustee indemnity and/or security satisfactory to the trustee against the cost and other liabilities of taking that action;
- the trustee must not have taken action for 60 days after the above steps have been taken; and
- during those 60 days, the holders of a majority in principal amount of debt securities of that series must not have given the trustee directions that are inconsistent with the written request of the holders of not less than 25% in principal amount of the debt securities of that series.

Holders will be entitled, however, at any time to bring a lawsuit for the payment of money due on their debt securities on or after its due date.

Book-entry and other indirect holders should consult their banks or brokers for information on how to give notice or direction to or make a request of the trustee and how to declare or cancel an acceleration of the maturity.

Waiver of Default

The holders of not less than a majority in principal amount of the debt securities may waive a past default for all the debt securities. If this happens, the default will be treated as if it had been cured. No one can waive a payment default on any debt security, however, without the approval of the particular holder of that debt security.

Modification and Waiver

There are three types of changes América Móvil can make to the indenture and the outstanding debt securities under the indenture.

Changes Requiring Each Holder's Approval

The following changes cannot be made without the approval of each holder of an outstanding debt security affected by the change:

- a change in the stated maturity of any principal or interest payment on a debt security;
- a reduction in the principal amount, the interest rate or the redemption price for a debt security;
- a change in the obligation to pay additional interest;
- a change in the currency of any payment on a debt security other than as permitted by the debt security;
- a change in the place of any payment on a debt security;
- an impairment of the holder's right to sue for payment of any amount due on its debt security;
- a reduction in the percentage in principal amount of the debt securities needed to change the indenture or the outstanding debt securities under the indenture; and
- a reduction in the percentage in principal amount of the debt securities needed to waive our compliance with the indenture or to waive defaults.

Changes Not Requiring Approval

Some changes will not require the approval of holders of debt securities. These changes are limited to curing any ambiguity, defect or inconsistency, making changes to conform the provisions contained in the indentures to the description of debt securities contained in the prospectus or an applicable prospectus supplement and making changes that do not adversely affect the rights of holders of the debt securities in any material respect, such as adding covenants, additional events of default, collateral or successor trustees.

Changes Requiring Majority Approval

Any other change to the indenture or the debt securities will be required to be approved by the holders of a majority in principal amount of the debt securities affected by the change or waiver. The required approval must be given by written consent.

The same majority approval will be required for América Móvil to obtain a waiver of any of its covenants in the indenture. Its covenants include the promises it makes about merging and creating liens on its interests, which are described under “Merger, Consolidation or Sale of Assets” and “Covenants”. If the holders approve a waiver of a covenant, América Móvil will not have to comply with it. The holders, however, cannot approve a waiver of any provision in a particular debt security or the indenture, as it affects that debt security, that it cannot change without the approval of the holder of that debt security as described under “—Changes Requiring Each Holder’s Approval,” unless that holder approves the waiver.

Book-entry and other indirect holders should consult their banks or brokers for information on how approval may be granted or denied if we seek to change the indenture or the debt securities or request a waiver.

Defeasance

América Móvil may, at its option, elect to terminate (1) all of its obligations with respect to the debt securities (“legal defeasance”), except for certain obligations, including those regarding any trust established for defeasance and obligations relating to the transfer and exchange of the debt securities, the replacement of mutilated, destroyed, lost or stolen debt securities and the maintenance of agencies with respect to the debt securities or (2) our obligations under the covenants in the indenture, so that any failure to comply with such obligations will not constitute an event of default (“covenant defeasance”) in respect of the debt securities. In order to exercise either legal defeasance or covenant defeasance, América Móvil must irrevocably deposit with the trustee U.S. dollars or such other currency in which the debt securities are denominated (the “securities currency”), government obligations of the United States or a government, governmental agency or central bank of the country whose currency is the securities currency, or any combination thereof, in such amounts as will be sufficient to pay the principal, premium, if any, and interest (including additional interest) in respect of the debt securities then outstanding on the maturity date of the debt securities, and comply with certain other conditions, including, without limitation, the delivery of opinions of counsel as to specified tax and other matters.

If América Móvil elects either legal defeasance or covenant defeasance with respect to any debt securities, it must so elect it with respect to all of the debt securities.

Special Rules for Actions by Holders

When holders take any action under the indenture, such as giving a notice of default, declaring an acceleration, approving any change or waiver or giving the trustee an instruction, América Móvil will apply the following rules.

Only Outstanding Debt Securities are Eligible for Action by Holders

Only holders of outstanding debt securities will be eligible to vote or participate in any action by holders. In addition, América Móvil will count only outstanding debt securities in determining whether the various percentage requirements for voting or taking action have been met. For these purposes, a debt security will not be “outstanding” if it has been surrendered for cancellation or if we have deposited with the trustee in trust or the paying agent or set aside (if we act as our own paying agent) in trust for its holder, money for its payment or redemption.

Determining Record Dates for Action by Holders

América Móvil will generally be entitled to set any day as a record date for the purpose of determining the holders that are entitled to take action under the indenture. In some limited circumstances, only the trustee will be entitled to set a record date for action by holders. If América Móvil or the trustee set a record date for an approval or other action to be taken by holders, that vote or action may be taken only by persons or entities who are holders on the record date and must be taken during the period that we specify for this purpose, or that the trustee specifies if it sets the record date. América Móvil or the trustee, as applicable, may shorten or lengthen this period from time to time. This period, however, may not extend beyond the 180th day after the record date for the action. In addition, record dates for any global debt securities may be set in accordance with procedures established by the depositary from time to time.

Payment Provisions

Payments on the Debt Securities

América Móvil will pay interest on the debt securities on the interest payment dates stated above and at maturity. Each payment of interest due on an interest payment date or at maturity will include interest accrued from and including the last date to which interest has been paid or made available for payment or, if none has been paid or made available for payment, from the issue date, to but excluding the relevant payment date.

For interest due on a debt security on an interest payment date, América Móvil will pay the interest to the holder in whose name the debt security is registered at the close of business on the regular record date relating to the interest payment date. For interest due at maturity but on a day that is not an interest payment date, América Móvil will pay the interest to the person or entity entitled to receive the principal of the debt security. For principal due on a debt security at maturity, América Móvil will pay the amount to the holder of the debt security against surrender of the debt security at the proper place of payment.

Payments on Global Debt Securities. For debt securities issued in global form, América Móvil will make payments on the debt securities in accordance with the applicable procedures of the depositary as in effect from time to time. Under those procedures, América Móvil will make payments directly to the depositary, or its nominee, and not to any indirect holders who own beneficial interests in a global debt security. An indirect holder’s right to receive those payments will be governed by the rules and practices of the depositary and its participants.

Payments on Certificated Debt Securities. For debt securities issued in certificated form, América Móvil will pay interest that is due on an interest payment date by check mailed on the interest payment date to the holder at the holder's address shown on the trustee's records as of the close of business on the regular record date, and América Móvil will make all other payments by check to the paying agent described below, against surrender of the debt security. All payments by check may be made in next-day funds, that is, funds that become available on the day after the check is cashed. If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to receive payments of principal and interest on their debt securities at the office of our paying agent maintained in London.

Payment When Offices Are Closed

If any payment is due on a debt security on a day that is not a business day, América Móvil will make the payment on the day that is the next business day. Payments postponed to the next business day in this situation will be treated under the indenture as if they were made on the original due date. Postponement of this kind will not result in a default under the debt securities or the indenture, and no interest will accrue on the postponed amount from the original due date to the next day that is a business day.

Paying Agents

If América Móvil issues debt securities in certificated form, it may appoint one or more financial institutions to act as its paying agents, at whose designated offices the debt securities may be surrendered for payment at their maturity. América Móvil may add, replace or terminate paying agents from time to time; *provided* that if any debt securities are issued in certificated form, so long as such debt securities are outstanding, América Móvil will maintain a paying agent in London. América Móvil may also choose to act as its own paying agent. Initially, América Móvil has appointed Citibank, N.A., London Branch, at its corporate trust office in London, as a paying agent. América Móvil must notify holders of changes in the paying agents as described under "—Notices."

Unclaimed Payments

All money paid by América Móvil to the trustee or any paying agent that remains unclaimed at the end of two years after the amount is due to a holder will be repaid to América Móvil. After that two-year period, the holder may look only to América Móvil for payment and not to the trustee, any paying agent or anyone else.

Governing Law

The indenture and the debt securities will be governed by, and construed in accordance with, the laws of the State of New York, United States of America.

Submission to Jurisdiction

In connection with any legal action or proceeding arising out of or relating to the debt securities or the indenture (subject to the exceptions described below), América Móvil has:

- submitted to the jurisdiction of any U.S. federal or New York state court in the Borough of Manhattan, The City of New York, and any appellate court thereof;
- agreed that all claims in respect of such legal action or proceeding may be heard and determined in such U.S. federal or New York state court and waived, to the fullest extent permitted by law, the defense of an inconvenient forum to the maintenance of such action or proceeding and any right of jurisdiction in such action or proceeding on account of our place of residence or domicile; and
- appointed CT Corporation System, with an office at 111 Eighth Avenue, New York, New York 10011, United States of America, as process agent.

The process agent will receive, on our behalf, service of copies of the summons and complaint and any other process which may be served in any such legal action or proceeding brought in such New York state or U.S. federal court sitting in New York City. Service may be made by mailing or delivering a copy of such process to América Móvil at the address specified above for the process agent.

A final judgment in any of the above legal actions or proceedings will be conclusive and may be enforced in other jurisdictions, in each case, to the extent permitted under the applicable laws of such jurisdiction.

In addition to the foregoing, the holders may serve legal process in any other manner permitted by applicable law. The above provisions do not limit the right of any holder to bring any action or proceeding against América Móvil or our properties in other courts where jurisdiction is independently established.

To the extent that América Móvil has or hereafter may acquire or have attributed to it any sovereign or other immunity under any law, it has agreed to waive, to the fullest extent permitted by law, such immunity from jurisdiction or to service of process in respect of any legal suit, action or proceeding arising out of or relating to the indenture or the debt securities.

Currency Indemnity

América Móvil's obligations under the debt securities will be discharged only to the extent that the relevant holder is able to purchase the securities currency with any other currency paid to that holder in accordance with any judgment or otherwise. If the holder cannot purchase the securities currency in the amount originally to be paid, América Móvil has agreed to pay the difference. The holder, however, agrees that, if the amount of the securities currency purchased exceeds the amount originally to be paid to such holder, the holder will reimburse the excess to América Móvil. The holder will not be obligated to make this reimbursement if América Móvil is in default of our obligations under the debt securities.

Transfer Agents

América Móvil may appoint one or more transfer agents, at whose designated offices any debt securities in certificated form may be transferred or exchanged and also surrendered before

payment is made at maturity. Initially, América Móvil has appointed the trustee, at its corporate trust office in New York City, as transfer agent. América Móvil may also choose to act as its own transfer agent. América Móvil must notify holders of changes in the transfer agent as described under “Notices.” If América Móvil issues debt securities in certificated form, holders of debt securities in certificated form will be able to transfer their debt securities, in whole or in part, by surrendering the debt securities, with a duly completed form of transfer, for registration of transfer at the office of our transfer agent in New York City. América Móvil will not charge any fee for the registration or transfer or exchange, except that it may require the payment of a sum sufficient to cover any applicable tax or other governmental charge payable in connection with the transfer.

Notices

As long as the notes are in global form, notices to be given to holders will be given to DTC, in accordance with its applicable policies as in effect from time to time. If América Móvil issues notes in certificated form, notices to be given to holders will be sent by mail to the respective addresses of the holders as they appear in the trustee’s records, and will be deemed given when mailed.

Neither the failure to give any notice to a particular holder, nor any defect in a notice given to a particular holder, will affect the sufficiency of any notice given to another holder.

LIST OF CERTAIN SUBSIDIARIES OF AMÉRICA MÓVIL, S.A.B. DE C.V.

As of March 31, 2023

<u>Name of Company</u>	<u>Jurisdiction</u>	<u>Ownership Interest</u>	<u>Main Activity</u>
Sercotel, S.A. de C.V.	Mexico	100.0	Holding Company
Radiomóvil Dipsa, S.A. de C.V. (Telcel)	Mexico	100.0	Wireless
AMX Tenedora, S.A. de C.V.	Mexico	100.0	Holding Company
Teléfonos de México, S.A.B. de C.V.	Mexico	98.8	Fixed-line
AMX International Mobile, S.A. de C.V.	Mexico	100.0	Holding Company
Claro S.A. (Claro Brazil)	Brazil	99.6	Fixed-line/Wireless
Claro NXT Telecomunicações S.A.	Brazil	99.7	Wireless
Americel S.A.	Brazil	100.0	Wireless
Comunicación Celular S.A. (Comcel)	Colombia	99.5	Wireless
América Móvil B.V.	Netherlands	100.0	Holding Company
Telekom Austria AG	Austria	51.0	Fixed-line/Wireless
Telecomunicaciones de Guatemala, S.A.	Guatemala	99.3	Fixed-line/Wireless
Claro Guatemala, S.A.	Guatemala	100.0	Wireless
Cablenet, S.A. (Cablenet)	Guatemala	95.8	Fixed-line
Compañía de Telecomunicaciones de El Salvador (CTE), S.A. de C.V.	El Salvador	95.8	Fixed-line
Telecomoda, S.A. de C.V. (Telecomoda)	El Salvador	95.8	Directories Provider
CTE Telecom Personal, S.A. de C.V.	El Salvador	95.8	Wireless
Estesa Holding Corp.	Panama	100.0	Holding Company
Empresa Nicaragüense de Telecomunicaciones, S.A.	Nicaragua	99.6	Fixed-line/Wireless
Cablenet, S.A.	Nicaragua	100.0	Cable TV
Estaciones Terrenas de Satélite, S.A. (Estesa)	Nicaragua	100.0	Cable TV
Servicios de Comunicaciones de Honduras, S.A. de C.V. (Sercom Honduras)	Honduras	100.0	Wireless
Consortio Ecuatoriano de Telecomunicaciones, S.A. (Conecel)	Ecuador	100.0	Wireless
América Móvil Perú, S.A.C.	Peru	100.0	Wireless
AMX Argentina, S.A.	Argentina	100.0	Wireless
Telmex Argentina, S.A.	Argentina	100.0	Fixed-line
Ertach, S.A.	Argentina	100.0	Wireless
AMX Paraguay, S.A.	Paraguay	100.0	Wireless
AM Wireless Uruguay, S.A.	Uruguay	100.0	Wireless
Telstar, S.A.	Uruguay	100.0	Fixed-line
Flimay, S.A.	Uruguay	100.0	DTH
Compañía Dominicana de Teléfonos, S. A. (Codetel)	Dominican Republic	100.0	Fixed-line/Wireless
Puerto Rico Telephone Company, Inc.	Puerto Rico	100.0	Fixed-line/Wirele

CEO CERTIFICATION

I, Daniel Hajj Aboumrاد, certify that:

1. I have reviewed this annual report on Form 20-F of América Móvil, S.A.B. de C.V.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;
4. The company's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the company and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the company, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the company's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the company's internal control over financial reporting that occurred during the period covered by the annual report that has materially affected, or is reasonably likely to materially affect, the company's internal control over financial reporting; and
5. The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control over financial reporting.

Dated: May 1, 2023

/s/ Daniel Hajj Aboumrاد

Daniel Hajj Aboumrاد
Chief Executive Officer

CFO CERTIFICATION

I, Carlos José García Moreno Elizondo, certify that:

1. I have reviewed this annual report on Form 20-F of América Móvil, S.A.B. de C.V.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;
4. The company's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the company and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the company, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the company's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the company's internal control over financial reporting that occurred during the period covered by the annual report that has materially affected, or is reasonably likely to materially affect, the company's internal control over financial reporting; and
5. The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control over financial reporting.

Dated: May 1, 2023

/s/ Carlos José García Moreno Elizondo

Carlos José García Moreno Elizondo
Chief Financial Officer

OFFICER CERTIFICATIONS

Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002
(Subsections (a) and (b) of Section 1350, Chapter 63 of Title 18, United States Code)

Pursuant to section 906 of the Sarbanes-Oxley Act of 2002 (subsections (a) and (b) of section 1350, chapter 63 of title 18, United States Code), each of the undersigned officers of América Móvil, S.A.B. de C.V., a *sociedad anónima bursátil de capital variable* organized under the laws of Mexico (the “Company”), does hereby certify to such officer’s knowledge that:

The annual report on Form 20-F for the fiscal year ended December 31, 2022 (the “Form 20-F”) of the Company fully complies with the requirements of section 13(a) or 15(d) of the Securities Exchange Act of 1934 and information contained in the Form 20-F fairly presents, in all material respects, the financial condition and results of operations of the Company.

Dated: May 1, 2023

/s/ Daniel Hajj Aboumrada

Daniel Hajj Aboumrada
Chief Executive Officer

Dated: May 1, 2023

/s/ Carlos José García Moreno Elizondo

Carlos José García Moreno Elizondo
Chief Financial Officer

A signed original of this written statement required by Section 906 has been provided to the Company and will be retained by the Company and furnished to the Securities and Exchange Commission or its staff upon request.

Code of Ethics

América Móvil



A message from our CEO:

At América Móvil, we base our work on our principles and values, conducting our operations and activities ethically and with integrity. This Code of Ethics defines guidelines and criteria for the performance of all our employees; it has been designed to guide all of us, from the top management to new hires, so that we can assess each action, whether in our personal lives or in the performance of our duties inside the Company, and determine if it is correct or not.

Our employees are essential, and their day-to-day ethical work is key to the success of our Company, making sure that our actions comply with the law, all our internal policies and any other applicable internal or external standards.

We must comply with the principles and values of our Company, and have our commercial partners, suppliers, distributors and any third party with whom we hold a business relationship, comply with the guidelines contained in this Code; in addition, we shall immediately report, through the channels made available to register complaints, any event or action contrary to such principles and values.

Understanding and adopting our Company's principles and values shows that we are committed to the future of the Company, the future of our society and of our families. I would like to invite you to read it carefully and keep it as a reference for your day-to-day activities.

Adopt this Code as a tool for your daily work activities, respect it, disseminate it and make sure that those around you do the same.

On behalf of América Móvil and our leadership, I thank you for your work and your trust.

Code of Ethics

América Móvil



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1. Our Company

América Móvil, its subsidiaries and affiliates (hereinafter “América Móvil”, the “Company” or the “Enterprise”), form a Company consistent with its values and principles. Thanks to these principles and values, millions of telecommunications users prefer us in the countries where we operate.

We have transformed our Company, from being a local provider of voice services to positioning ourselves as a provider of telecommunication and information technology services, including: fixed and mobile telephony, high-speed broadband, cable TV services, data and content transmission, among others, as well as a wide range of innovative connectivity solutions to improve the life of our users.

Today, we are the leading communications Company in Latin America and one of the most important worldwide.

2. Our Mission and Vision

2.1. Mission

We provide the best service experience through the most advanced communications, information technology and digital content solutions to accelerate the development of the countries where we operate and promote equal opportunities among people.

2.2. Vision

Strengthen ourselves as an agent of change by providing connectivity and high-tech services; preserving our leadership in the telecommunications industry and reaffirming our commitment to people to make a more prosperous world for all

3. Our Strategy

We invest in our networks and in state-of-the-art technology, to increase our capacity and coverage and offer to our customers innovative solutions and top-quality services. Thus, we strive to be more efficient, taking care of our environment and improving our users' experience.

4. Values and Principles

Our values and principles of entrepreneurial ethics are the traits that distinguish and orient us. We practice them on a daily basis, because they are a fundamental axis of our culture of excellence, productivity and leadership. These pillars of our corporate culture are:

- **Customer Experience:** We are committed to strengthening the relationship with our customers, who are the core of our business, promoting, listening and understanding their needs to provide solutions that generate the best service experience and their full satisfaction.



- **Innovation:** We promote an environment of challenge and flexibility to change, we encourage continuous dialogue and the collective construction of new ideas and solutions that allow us to be better, taking risks consciously and considering mistakes as an opportunity to learn.
- **People / Human Development:** We develop the potential and honor the dignity of people in a learning environment, where respect, collaboration, good performance, diversity, equality and inclusion are fundamental. We promote the growth of people through challenge, training, guidance and empowerment in decision making.
- **Sustainability:** Our commitment is to be an agent of change that promotes inclusion, economic development and well-being in the region, always seeking the balance between the economic, social and environmental areas of our operations. Therefore, we are committed to improving in all aspects to benefit our employees, customers, suppliers, shareholders and other stakeholders.
- **Integrity:** We fully comply with the laws, regulations and ethical principles that govern our activities. We are convinced that transparency and honesty generate security and trust, and we also value the congruence between what we say and what we do.
- **Efficiency:** Maintaining austerity in times of prosperity, to maintain solidity in times of crisis. We also take care of our company's assets as if they were our own. We optimize our processes by controlling our costs and expenses, adhering to the highest quality standards of the industry.
- **Collaboration:** We encourage the participation of all to actively contribute to the realization of our objectives, providing perspectives, as well as listening and valuing the ideas of others. We combine our talent, experience and skills to achieve better results.



5. Why do we have a Code of Ethics?

Our Code of Ethics, along with applicable laws, agreements and good international practices, shall constitute the pillar of the Integrity and Compliance Program at América Móvil and its Subsidiaries. It represents the values of our Company, so it is to be applied in general by all our employees, executives, directors and related third parties.

The Code of Ethics defines the expected behavior among collaborators and representatives of América Móvil, as well as third parties related to our Company. Furthermore, the Code of Ethics describes the standard behavior we should have with the Company, with customers, and with the society in general.

We know that it is impossible to anticipate all the situations that may come about during our daily tasks, so this Code of Ethics works as a guide to make the best ethical decisions in our work, and to know who can answer any questions we may have.

6. What is expected of me?

It is very important for us that our shareholders, suppliers, distributors, commercial partners, or any person related to the Enterprise, know, assume and make their own the principles and values contained in this Code, and that they are put into practice in their day-to-day activities.

This Code establishes your responsibility as employee or partner of América Móvil to comply with applicable laws, act with integrity and honesty in all aspects, and be responsible for your actions.

Our success, and the opportunities for our Company to transcend, depend largely our compliance with the guidelines contained herein.

You are an important member of this entrepreneurial community and your support is essential to achieve the objectives that we have set.

You must understand the Code and comply with it. Thus, we ask you to do the following:

- Read the Code carefully. Understand its scope and what is expected of you.
- Comply with the principles of this Code at work and during all your activities. Make them yours, they are the basis for our philosophy and entrepreneurial culture.
- Always behave ethically; be proud of your attitudes and actions. You must comply with all the principles and behaviors indicated herein.
- Think always about your actions, and if in doubt, ask for advice.



- Remember that senior management have a greater commitment, so they should be role models, displaying ethical leadership in fact and appearance.
- If you become aware of, discover or suspect that an employee, supplier, contractor or third party related to the Company, behaves in an illegal, non-ethical way or in breach of the principles established in this Code, please visit our portal to submit a complaint at: <https://denuncias.americamovil.com>

Remember that we all have an obligation to protect our Company and its Subsidiaries from illegal or unethical behaviors, which may endanger us.

In this sense, failing to timely report any activities that are contrary to the Laws or this Code may lead to patrimonial or criminal damages to the Company, and you may even unintentionally become an accessory by covering up illegal or unethical activities.

Remember that when you file a report, you create a virtuous circle of protection: by protecting yourself, correctly and institutionally, you also protect the Company, and by protecting the Company, you in turn protect yourself.

If you think it is necessary, you may file anonymous complaints. We assure you that at América Móvil and its Subsidiaries, we have adopted reasonable and justified measures to protect the confidentiality of every complaint and the respective complainant. We guarantee at all times that no retaliation will be taken against you for having filed a complaint.

For further information on the submission of complaints, we suggest you read the section: Our Duty to File Complaints at the end of this document, or send your questions to the e-mail address yocumplo@americamovil.com

Thank you very much for your cooperation, and for making yours these basic principles of professionalism and responsibility. We are sure that this Code will help us all to grow, both personally and professionally.

7. Why should we comply with this Code?

Compliance with this Code affects the image and reputation of América Móvil and all those who work at our Company.

As part of an entrepreneurial community, we should all look after the image of our Enterprise, which may be seriously affected in its reputation if we fail to comply with these basic standards of ethics and conduct. This affects the image we project to the exterior and the trust a huge number of people have in us.



Furthermore, failing to comply with the principles stated herein may constitute a violation of applicable laws, and consequently, may lead to administrative, civil or criminal sanctions.

8. Who is Responsible for the Oversight of Compliance with the Code of Ethics?

The Compliance Officer of América Móvil is responsible for establishing the Integrity and Compliance Program, which includes proper and efficient policies and systems of control, surveillance and auditing, to constantly and periodically assess compliance with this Code of Ethics, as well as any laws, regulations and policies setting integrity standards across the organization.

If you have any questions, you may write to the Compliance Officer of América Móvil at the following e-mail address yocumplo@americamovil.com

8.1. América Móvil's Ethics Committee

This is a regulating body comprised of an interdisciplinary group of top management members from the headquarters offices of América Móvil.

The Ethics Committee is responsible for overseeing the handling of all complaints received through the Whistleblower Portal of América Móvil and any breach of our Code of Ethics identified in Company operations, as well as for establishing disciplinary sanctions for unethical conducts of our employees or third parties.

8.2. Ethics Committee of Subsidiaries

Every Subsidiary has an Ethics Committee entrusted with the handling of local complaints, which reports to the Ethics Committee of América Móvil in accordance with the Operation of Ethics and Report Management Committees Protocol of América Móvil.

8.3. Transparency and Communication of Interests

América Móvil, through its Integrity and Compliance Program, releases and implements mechanisms to ensure transparency in its operations, such as the Whistleblower Portal and the Conflict of Interest Policy, among others.

9. Respect for Human Rights and No Discrimination

At América Móvil we treat every person with respect and dignity, and we have pledged to Protect and Respect Human Rights in general, and specifically, to observe the United Nations Guiding Principles on Business and Human Rights published by the Office of the High Commissioner for Human Rights, and if applicable, Remedy or repair any human rights abuses.

Code of Ethics

América Móvil



We operate in a globalized world, with different cultures and traditions. We are convinced that these differences enrich us, and we fully respect that diversity. Furthermore, we are convinced that those differences in our ways of thinking, beliefs or preferences allow us to develop a wider perspective and be more creative in problem-solving.

We promote diversity and inclusion, and therefore, at América Móvil:

- We treat every person with dignity and professionalism, and we are firmly against labor exploitation.
- We do not tolerate any kind of discrimination and we promote a culture of healthy interaction in the workplace, based on respect, teamwork and solidarity.
- We promote respect and inclusion in the workplace, without discrimination based on disability, ethnicity, religion, gender, marital status, pregnancy, nationality, sexual orientation, economic capacity, age or political opinion, among others.
- We will not allow any kind of harassment, intimidation, derision, threats, ridicule or other attitudes involving physical or psychological violence that insult the dignity of our employees, causes them discomfort or makes them feel harassed in any way.
- We forbid the display in the workplace, by any means, of images or objects of a sexual nature or which promote hate, discrimination or stereotyping.
- We promote equal opportunities between men and women, and we do not allow any type of gender violence or sexual or labor harassment.
- Recruitment, promotions and all other labor benefits are based on the performance of those involved.
- We are against child exploitation and adopt preventive measures, including verifying compliance with minimum age requirements established in applicable national laws.

We define child exploitation as any activity carried out by boys, girls or teenagers, paid or not, in breach of legal provisions, in hazardous or unhealthy conditions, or likely to have negative effects, immediately or in the future, on the child's physical, mental, psychological or social development, or which may interfere with the child's education.

If a minor is hired, we must ensure their rights and guarantees are respected through, and jointly with their parents, tutors or other persons responsible for their guardianship and custody.



- We do not interfere with our employees' free association and collective bargaining rights.
- We make our best efforts to ensure that the principles that regulate our operations under this Code are known across our value chain, and we pledge to conduct actions so that our suppliers, distributors and other commercial partners agree to the commitments of behavior established in this Code in connection with their employees, including respect of Human Rights.
- We promote a culture of responsible, clear and honest communications. In this way, we make sure that our customers receive truthful information.
- We implement dissemination campaigns to promote awareness of the importance of respecting Human Rights, labor inclusion, diversity and gender equality.

These are the basic principles of our Human Rights and workplace policy. If you identify improper behaviors, inconsistent with these principles, file a complaint in our portal at <https://denuncias.americamovil.com>

Please read the full version of our Human Rights Policy in the portal of América Móvil.

10. Workplace Security

Security is one of our priorities. All our employees, suppliers and contractors must respect the Company's standards of personal security, since the integrity and security of our employees or third parties may be at risk.

In this sense, América Móvil complies with the highest workplace security standards applicable. One of our goals as a Company is to have the lowest number of work-related incidents.

Thus, at América Móvil we pledge to:

- Offer a safe work environment, with such training, equipment and tools as necessary to protect health and security, and to adopt all necessary measures to prevent or minimize workplace risks in our operations.
- Promote a healthy and safe environment for our employees.

In this sense, consuming drugs or alcoholic beverages at work, or being at work under the influence of alcohol or any other substance, as well as to have, trade or transport them during working hours or using goods of the Company, is strictly forbidden.



- Carrying any kind of fire weapon in the workplace, in corporate vehicles, or when representing the Company, except for those authorized for our security personnel, if applicable, to protect the employees and the goods of the Enterprise.
- Comply with all civil security standards and provide training to employees on the measures to take in case of contingencies.

It is your responsibility to take care of yourself and take care of your colleagues to avoid risks at work. If you notice any situation that poses a risk to your security or constitutes a breach of the standards of occupational security, please file a complaint at <https://denuncias.americamovil.com>

11. How to Treat Customers

We owe our existence to our customers. In order to keep customers' loyalty and achieve our mission, it is essential to treat them with the utmost respect, attention and kindness. This involves, among other things:

- Treating them fairly, always respecting Human Rights. Treating every person coming into our premises, whether commercial or administrative, without discrimination for any reason, such as, gender, age, social condition, disability, sexual preference, religion or political affiliation.
- Offering services and products that efficiently and timely meet their needs; and being transparent regarding the terms and conditions of our contracts and services.
- Providing appropriate, clear, reliable and timely information about the products and services that we offer, and those that each of them has purchased.
- Answering their questions and solving general, administrative and technical problems with highly trained and customer-oriented personnel.
- Providing the best possible quality to our customers, according to our processes and operational standards.

This series of factors that have a huge impact on the preference of our customers is translated into one single word: Quality.

Our success depends on our ability to develop and offer innovative and high-quality telecommunications products and services. Our customers are the judges of that; that is why we should never deceive, provide false information or condition a sale.



The rights of our customers are protected in the countries where we operate by consumer protection laws, which seek equality and legal security in the relationships between customers and suppliers.

Failures to meet our standards of customer service and attention or any undue commercial practices may, among other aspects, harm our reputation, lead to the intervention of the authorities, and cause us damages.

América Móvil does not tolerate any deviation from our standards of conduct and customer service.

If you notice any situation that represents a breach to our standards in dealing with customers, file a complaint at <https://denuncias.americamovil.com>

12. Personal Data

At América Móvil, we safeguard and protect the personal data of our customers with the same care as our own. This information is used only for the purposes it is collected for.

In order to keep the integrity and confidentiality of personal data, we have cutting-edge storage and data processing systems, as well as several security processes, controls, and technical, physical and administrative measures.

Access to personal data is limited to those employees who need to know it to perform their duties.

We have pledged to protect and keep safe the personal data that both our customers and other stakeholders have entrusted us, complying with the laws, rules and regulations of the countries where we operate, and internal training on the following principles:

- **Integrity:** We keep the personal data that we receive protected against any alteration, loss, theft, hacking, intervention or destruction, either accidentally or fraudulently.
- **Availability:** We have procedures to ensure that the information of our users is available for them at all moments.
- **Confidentiality:** Personal Data is only used by authorized personnel with a valid reason to do it.

We abide by currently valid laws on the privacy of personal data and telecommunications in the countries where we operate and provide services.



If you have any question with regard to the management of our customers' personal data and/or the application of these guidelines, contact your line manager, and if you still cannot understand how to process personal information, contact privacidad@americamovil.com for consultancy and assistance.

If you identify any default of our Privacy Policy, file a complaint at our portal <https://denuncias.americamovil.com>

Read the full version of our Privacy Policy in our América Móvil portal .

13. Privacy of Communications

Privacy of communications is the fundamental principle for our industry and for América Móvil, not only because it is a legal requirement, but also because of its implications regarding the confidence that the people have placed on us.

Thus, interfering with the communications or transmissions of our customers; listening, manipulating, monitoring conversations, interfering in data transmission or disclosing their existence or contents, is strictly forbidden, except for such cases as specified in applicable laws, and according to any requirements established by enforcing authorities.

We shall refrain, too, from using any kind of information contained in the communications of our customers for personal gain or for the benefit of third parties.

If you identify or suspect a breach of Communications Privacy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Privacy Policy in our América Móvil portal.

14. Freedom of Speech

At América Móvil we provide telecommunication services through fixed and mobile telephony, and data services. Our network and infrastructure are there to serve our customers and users, who are entitled to:

- Freely express their opinions and ideas.
- Freely maintain communications with people, organizations or entities, without being subject to investigations or reviews.
- Communicate contents and share information in our networks or through our services.



Accordingly, we do not restrict content or interfere with the freedom of our users to communicate or create content, except for cases provided by law, and according to the procedures established for such purposes by any enforcing authorities.

If you identify any breach of our principles of Freedom of Speech, file a complaint at our portal <https://denuncias.americamovil.com>

Please read the full version of our Human Rights Policy in our América Móvil portal.

15. Confidential Information

At América Móvil we pledge to refrain from disclosing Confidential Information.

In general, for purposes of our Company, Confidential Information means all the information we develop, generate and operate with sensitive information that gives our Company a competitive edge.

In addition, Confidential Information shall mean, among other things:

- Financial and legal information;
- Information about our products and services, including our current and future plans;
- Market Information developed internally by the Enterprise;
- Information obtained through our telecommunication networks;
- Business information in general, including information related to our plans, programs and current and future expectations.

If you have any confidential information, it is important that, at least, you make sure to adopt the following safeguarding measures:

- Store it in a safe place;
- Do not leave photocopies or printouts of Confidential Information in common areas;
- Do not talk about such information with colleagues who do not need to know it;
- Do not leave your computer screen open with confidential information;
- Never talk about this information with relatives or friends;



- Do not talk about confidential information when making calls or having conversations in public places;
- Do not share Confidential Information or discuss it with people (either internal or external to the Company) if you are not sure they have formal authorization to know it.

Disclosing Confidential Information could provide undue business advantages to third parties, cause damages to our Company, and place at risk the privacy of communications from our customers and commercial partners, and could even lead to specific liabilities for you.

Due to this, we must follow these rules:

- Access to internal information is limited on a need-to-know basis. We should refrain from discussing any Confidential Information, even with our workmates, unless they require it to perform their duties and prior authorization from your line manager.
- Disclosing Confidential Information to third persons is forbidden. In justified cases, you may provide Confidential Information to third parties prior authorization from a person or area appointed for such purpose by the Company, subject, in all cases, to the execution of confidentiality agreements or other protection measures, as well as those specified in applicable laws, rules or regulations.
- If a government authority requests any information, notice thereof must be given to our Legal department, so that they can take any measures necessary to protect the respective information, and make sure that all applicable requirements are met.
- If, as a result of our work, we receive confidential information from another person, including any competitor, customer, supplier or government authority, not addressed to the Company, we must respect and protect such confidentiality in accordance with the terms of the above-mentioned criteria, and whenever possible, return such information to the sender without reading the contents.
- Employees must refrain from having confidential conversations of any kind in public places, as well as to avoid any undue release through media like the Internet, social media or mobile phones; always abiding by applicable provisions.
- Sharing Confidential or privileged information to obtain, directly or indirectly, a profit or personal benefit, is strictly forbidden. Be careful when sending email messages, making sure you are transmitting information only to people authorized to receive it.



- When your work relationship with the Company comes to an end due to any cause, you must delivery to your line manager all the documents and/or tools entrusted to you which contain Confidential Information.

The obligation of confidentiality regarding Enterprise information will continue after the termination of any contracts with employees or contractors.

If you notice or suspect there has been a breach of Confidential Information, visit our portal <https://denuncias.americamovil.com> to file a complaint.

Read the full version of our Privacy Policy in our América Móvil portal.

16. Privileged Information and Transactions with Issued Securities

Our Company is listed in stock exchanges, so we are subject to a series of specific rules regarding Privileged Information of the Enterprise and the obligation to refrain from sharing it.

As a general rule, you will not share any kind of Company information that has not been made public yet. Information is considered public when it has been released to the general public through a means of communication of América Móvil, such as the press or its website, among others.

Using or transferring privileged information to a third party, for your personal benefit or the benefit of a relative, friend or third party, is forbidden and is defined as an offense. For example, buying or selling shares (or having a friend or relative sell or buy shares) based on information that has not been made public. These laws are very strict, and they may lead to sanctions.

Even if you do not buy or sell shares based on information that has not been made public, there may be other restrictions, including times that must be observed to complete transactions with shares or other securities of América Móvil.

Please read our Control Policies applicable to transactions involving shares and other securities of the Enterprise.

If you notice any breach of privileged information and transactions with securities issued by the Company, visit our portal at <https://denuncias.americamovil.com> and file a complaint.

Read the full version of our Privacy Policy in our América Móvil portal.



17. Files and Records

All records, books and accounting files must be prepared with the utmost care and be correct, complete and reliable in all aspects.

Compliance with financial, legal and administrative obligations of our Company depends on these records, and thus, they must not be misleading or confusing.

All the files and records of the Company must be kept updated and to a reasonable level of detail, in such a way that they accurately reflect the origin and destination of all transactions and operations, including asset disposal.

It is our responsibility to keep accurate and complete accounting and financial files and records. Keeping accurate information helps foster the good reputation and credibility of the Company, so we make sure that we comply with our legal and regulatory obligations.

For such purpose, we pledge to:

- Never forge a document.
- Refrain from distorting the true nature of a transaction.
- Refrain from being involved or helping other person in any tax evasion efforts or breach of the law.
- Refrain from keeping any account out of the books to make it easier to hide undue payments.
- All employees must keep books, documents and records in compliance with applicable laws and policies and procedures established by the Company for such purposes.

If you notice or suspect any breach of company rules in the management of files and records, visit our portal <https://denuncias.americamovil.com> to file a complaint.

Read the full version of our Anti-corruption Policy in our América Móvil portal.

18. Computer Systems and Information Technology Security

Computer systems are essential for the daily operation of América Móvil. The Company is the sole party authorized to install programs and software in Company's systems and devices. Copying, taking possession of, or unduly using corporate software, as well as installing any external program to the enterprise, is forbidden.



The Company has installed security systems to protect its networks, computer systems and electronic information. Each of us is responsible, individually, for securing computer systems and all information stored in them, as well as for being aware of and respecting the specific policies and guidelines that govern their use.

Using personal email accounts or other platforms external to the Company to manage Enterprise information or any information related to their company duties is forbidden, since such information may be at risk if appropriate safety measures for its protection and safeguarding are not in place.

If you identify or suspect any breach of Computer Systems and Information Technology Security principles, visit our portal <https://denuncias.americamovil.com> to file a complaint.

19. Effective Corruption Control

América Móvil is firmly committed to fighting corruption and is determined to comply with the provisions of the Mexican National Anti-Corruption System; the General Administrative Liabilities Law; the Foreign Corrupt Practices Act or “FCPA” (the American anti-corruption law); local and international anti-corruption laws, and international treaties on the subject.

Accordingly, the Company, through the Compliance Officer, has developed and Integrity and Compliance Program, which includes, among other things, this Code of Ethics and the Anti- corruption Policy, to prevent and fight Corruption acts.

Any violation of the Code of Ethics, internal policies, or applicable anti-corruption laws, rules and regulations, irrespective of the country where it takes place, may give rise to civil and criminal sanctions ranging from fines to imprisonment being imposed on individuals and the Company.

In the public sector, corruption means the abuse of power for personal gain or for the benefit of the Company. When interacting with Civil Servants or Government Entities, it is known as Public Corruption. In the private sector, this means actions or failures to act with the purpose of getting some kind of unduly benefit for the Company, personal gains or advantages to a Third Party, and is known as Private Corruption.

At América Móvil, directly or indirectly giving or receiving bribes, offering or requesting a bribe, or aiding or authorizing the payment or reception of a bribe, is forbidden. Bribes may include payments to have an undue advantage or influence a decision (like getting a tax rate lower than the one provided by law.)

Bribes may be paid in cash, securities, personal or real property, donations, jobs, gifts, access to entertainment and hospitality, travels, loans, payment of fees, vacations, job offers, personal services or any other thing of value.



19.1. Gifts, Entertainment Expenses and Hospitality

Giving or receiving gifts, meals, or access to entertainment or hospitality may be acceptable as long as there is no expectation that the person who received the benefit will give something in exchange for that courtesy, and it is not contrary to specific legal entrepreneurial purposes.

These tokens of appreciation must be previously reported and authorized by your line manager or by the Compliance Officer, if a civil servant is involved, and they must be reasonable under the circumstances, not excessive and infrequent.

No gifts, expenses or access to entertainment with the purpose of influencing decision-making or which may affect business relationships of América Móvil will be accepted.

Every gift must be given and received honestly and transparently. Giving or receiving gifts, access to entertainment or hospitality to or from civil servants, either directly or through intermediaries such as distributors, suppliers, consultants, third parties or travel agents, is forbidden.

A good criterion to know if you should give or accept a gift, or give or receive some token of appreciation, is asking how this would look in the eyes of a person without connections to the Company or on the front page of a newspaper.

It is worth mentioning that gifts, meals or other type of payments from or to civil servants involve a higher risk, and they may be forbidden or limited by local laws. For purposes of this Code of Ethics, all employees of government companies are deemed civil servants.

For further information about gifts and access to entertainment and hospitality, read the Gifts, Entertainment and Hospitality Policy of América Móvil.

If in doubt as to whether to accept or give a gift, meal, access to entertainment and hospitality, and specifically if it is for a civil servant, you must ask the Compliance Officer. Write to yocumplo@americamovil.com

Further, if you notice or suspect any breach to the Gifts, Entertainment and Hospitality Policy of América Móvil, file a complaint in our portal <https://denuncias.americamovil.com>

19.2. Interaction with Civil Servants

Due to the nature of our business, sometimes it is necessary to interact with civil servants. Transactions with the government are governed by specific laws and differ from doing business with individuals.

Do not offer anything to a civil servant, either directly or indirectly, in exchange for receiving favorable treatment.



Any licenses, permits or paperwork before Government agencies for the operation of the Company must be obtained or submitted in accordance with the Anti-corruption Policy of América Móvil.

The Company shall refrain from participating directly or indirectly in any bid or tender in which there are signs of corruption, timely and transparently fulfilling information requests and observations made by the authorities.

We will also refrain, when acting on behalf of América Móvil, from:

- Executing agreements with distributors, representatives, consultants, commercial partners, agents, intermediaries, customers, contractors, lobbyists, consultants or suppliers which may pose a risk of bribe or corruption. In other words, we should not negotiate with or make payments to third parties if there is any sign that those people may be involved in any bribe or act of corruption.
- Making payments for gifts, access to entertainment or hospitality to public officials or their relatives.
- Making “facilitation payments”, that is smaller payments or fees to obtain a government service we are entitled to, such as the issuance of a visa.
- Making donations or payments to causes or political parties from Company resources, or on behalf of América Móvil. Personal Donations are permitted in accordance with applicable local laws.

América Móvil also forbids any unethical behavior such as fraud, deception, extortion, collusion, use of false information, embezzlement or money laundering, terrorism financing, among others. These actions constitute crimes, even if they involve civil servants.

Finally, América Móvil forbids any attempt to help or hide corruption acts, irrespective of the benefit obtained for yourself, the Company or Third Parties.

In order to fight corruption, at América Móvil we pledge to:

- Abide by the anti-corruption laws of all the countries where we operate or which are applicable to us.
- Comply with all laws and financial reporting standards applicable to the Company.
- Complete all negotiations, purchases and financial transactions according to our internal procedures, and keep for the appropriate period the corresponding records, for review in the event an audit is conducted.



- Make sure that any payments we make, or are made on our behalf, are exclusively payments for goods or services truly provided to our enterprise.
- Adopt internal controls and file complaints as necessary, before the corresponding authorities, if any employee or third party commits an act of corruption.
- Promote practices to effectively control corruption across the value chain, provide training to our personnel on preventive measures, and organize dissemination campaigns.

If a relationship with a civil servant leads to questions regarding the appropriateness of certain actions, please ask the Compliance Officer at yocumplo@americamovil.com

If you identify or suspect a breach of our Anti-corruption Policy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Anti-corruption Policy at the portal of América Móvil.

Remember that it is your responsibility to file a complaint if you notice any suspicious activity, or you may be accessory to an act of corruption, and this could have consequences for you.

19.3. Donations

At América Móvil we are committed to improving the communities and environment around us, and donations are the way in which we collaborate; however, they may also pose a risk to the Company, so all donations, in cash and in kind, must be granted with a legitimate purpose and for the correct reasons.

For additional information, read the Donations Policy of América Móvil.

If you identify or suspect a breach of our Donation Policy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Donations Policy in our portal of América Móvil.

19.4. Sponsorships

Sponsorships may pose a real or perceived risk of corruption, so they must be granted with a legitimate and reasonable purpose.



Any Sponsorships América Móvil offers in partnership with institutions, associations or organizations must be aligned with the values and principles of the Company, and furthermore, must guarantee that the resources are not used for inappropriate or illegal purposes, and comply with the Sponsorship Policy.

If you identify or suspect a breach of our Sponsorship Policy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Sponsorship Policy in our Portal of América Móvil.

20. Conflicts of Interest

This kind of conflicts come about when the interests of an employee or a third party are inconsistent or interfere with the interests of the Company.

Conflicts of interest are a form of Corruption that consist of an action that may be unduly influenced by some personal, family or third-party interest.

There is a conflict of interest when an employee or third party makes decisions or takes action based on its own benefit (often economic or personal), as opposed to the responsibility to act for the benefit of the Company when representing it. A good criterion that may be used to know if you have a conflict of interest or not is to imagine yourself explaining your actions to a friend, colleague or to the press, and asking yourself if you would feel comfortable.

When we act on behalf of América Móvil, the interest of our Enterprise should always come before our personal interest. And this means that we do not allow our own interests, the interests of our family or other relationships, to influence the decisions we make on behalf of our Company.

Conflicts of interest may affect our opinion, affect the reputation and image of América Móvil and expose it to possible risks, so we should avoid conflicts of interest, either real or those that may be interpreted as such, on issues related to hiring, promotions or any other negotiation with the Company or our deals with other interests of business out of the Enterprise.

Likewise, we should not accept gifts, favors or access to entertainment or hospitality that may influence our decisions or affect the Company's business relationships.

Many employees have relatives or people close to them who are employees, customers or suppliers. Family, personal and/or friendship ties shall not be considered when assigning job positions or selecting a supplier, as this may lead to real or potential favoritism, as well as a lack of objectivity for such assignments, and so, all assignments of this kind in the Company are forbidden. It is important to remember that labor decisions must be based on qualifications, performance, skills, efficiency and experience.



The Company does not encourage the secondary employment of its employees or any other activity or action outside of the business, like opening a new business where they are owners, directors, consultants, officials or executives of any other own business or third-party business.

Any employee, due to its nature, shall not interfere with the interests or reputation of the company or affect the Company negatively in terms of competition.

Employees shall not be employees, provide any other services or receive payments, from any customer, supplier or competitor of the Company.

Any conflict of interest must be reported by the person or persons involved to the Compliance Officer using the Declaration of Conflict of Interest format attached to the Conflict of Interest Policy of América Móvil.

If you notice or suspect a breach to our Conflict of interest Policy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Conflict of interest Policy in our portal of América Móvil.

21. How to Treat our Suppliers

As specified in the previous section, your personal relations, if any, with new suppliers and commercial partners, should not create conflicts of interest, affect your objectivity or give the appearance of an undue behavior; therefore, in such cases, you must refrain from making decisions that could be influenced by such relation.

These risks arise particularly when business relationships are established on behalf of América Móvil with relatives, friends or third parties, or when we receive or give a gift, meal or other payment to or from a supplier, mainly when related to a government company.

Any conflict of interest must be reported using the Declaration of Conflict of Interest format attached to the Conflict of Interest Policy.

We must maintain a professional relationship with our suppliers and commercial partners to ensure we observe the values and principles established in this Code of Ethics and make our best efforts to have our suppliers promote and follow these principles.

We must select our suppliers based on the merits, costs and efficiency of their products and services; our needs must be clearly and accurately communicated to current or potential suppliers; and we must make sure that we receive appropriate value for the price paid.



All interactions with our suppliers must observe the established procedures, which include legal and registration obligations.

For purposes of the selection and hiring of suppliers and third parties providing goods or services to the Company, we shall follow the guidelines established in the Procurement Policy and the Third-Party Due Diligence Protocol.

If you notice or suspect any breach to our Procurement Policy, or to the Third-Party Due Diligence Protocol, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Procurement Policy and the Third-Party Due Diligence Protocol in our portal of América Móvil.

22. Third-Party and Employee Due Diligence

The Human Resources department, along with the Compliance Officer, are responsible for establishing the policies, procedures and protocols to prevent the recruitment of people who may generate a risk of Corruption and affect the integrity of the Company.

América Móvil has a Due Diligence Protocol for Employees, to assess, manage and monitor potential and current Employees of the Company, in order to identify anti-corruption Red Flags.

The Compliance Officer is responsible for establishing the policies, procedures and protocols to prevent and manage the onboarding of high-risk third parties through: (distributors, suppliers, agents, commercial partners, etc.) allowing:

- To assess the experience, soundness or financial sustainability of third parties;
- The identification of final beneficiaries;
- The identification of any relationships and contacts between the entities, individuals and final beneficiaries with Government entities and officials;
- To monitor and identify the history of sanctions and litigation of any such third party and associated individuals;
- An analysis of the third party's track record of ethical behavior, through reports in the event of Corruption-related crimes, financial crimes or unethical conduct or corporate and ethical malpractice.

To engage any third party to provide goods or services to the Company, you must follow the guidelines established in the Third-Party Due Diligence Protocol and the Procurement Policy of América Móvil.



If you notice or suspect a breach to our Procurement Policy or the Third-Party Due Diligence Protocol, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Procurement Policy and Third-Party Due Diligence Protocol in our Portal of América Móvil.

23. Anti-Money Laundering

At América Móvil we abide by the laws that prohibit money laundering or terrorist financing. Employees must be aware of and comply with these provisions in order to prevent that, the services offered by the Company, are used to conceal or disguise the origin of illegal resources.

In view of the vulnerable business of the Company, the employees must be always alert to any situations that may represent the reception of resources of illegal origin.

If you identify or suspect a breach of our Anti-Money Laundering Policy, file a complaint in our portal <https://denuncias.americamovil.com>

Read the full version of our Anti-Money Laundering Policy in our Portal of América Móvil.

24. Economic Competition

At América Móvil we recognize that markets subject to dynamic and efficient processes of economic competition and free concurrence, on the one hand generate economic development and a healthy economy in the countries where such companies are established, and on the other hand, strengthen the internal efficiency of all economic agents that follow this model.

Accordingly, we are convinced that we must always compete based on the price and/or merit of our products and services, as well as our ability to provide them in an innovative and efficient fashion. Thus, we agree to refrain from any acts of collusion with competitors, and from adopting or being subject to any commercial practice that illegally restricts economic competition in the markets where our Company participates.

At the same time, we understand that some businesses of América Móvil and its Subsidiaries, due to their nature, are regulated by laws, rules, ordinances and regulations on economic competition in each of the countries where we operate. That is why we must understand such legal provisions, and we are firmly committed to complying with them, observing their legal and economic nature.



On the other hand, we are determined to avoid anything that may reasonably appear to be a forbidden conduct in the actions we perform, since any violation to economic competition laws could have serious consequences for the Enterprise.

In this sense, we will not discuss any topic with a competitor if such communication can or can be interpreted as affecting free competition, except when allowed by the law, and in compliance with all legal requirements established for such purpose.

Please contact our Legal department before exchanging information, discussing commercial topics, negotiating or entering agreements with a competitor.

You can explore the tools available from the International Chamber of Commerce, or “ICC” to comply with economic competition standards¹; and the “Guía para el Intercambio de Información entre Agentes Económicos” (Guide for the Exchange of Information between Economic Agents) and “Recomendaciones para Diseñar e Implementar un Programa de *Cumplimiento Efectivo*” (Recommendations to Design and Implement an Effective Compliance Program) on matters of economic competition, both issued by the Federal Economic Competition Commission.²

If you notice or suspect a breach to our principles of Competition, go to our portal <https://denuncias.americamovil.com> and file a complaint.

25. Use of Company Goods

We should take care of and use efficiently all the tangible and intangible goods of our Company, since they are necessary to perform our activities and operations. Among others, we can mention the following:

- Personal and real property;
- Tools, raw materials, vehicles, inventories, consumables, devices and telephone exchanges;
- Networks and telecommunications equipment and their components;
- Computer equipment and applications such as email and voice mail systems;
- Software developed internally or licensed by third parties;
- Financial resources, investments;
- Concessions and other authorizations to operate telecommunication networks;
- Industrial and intellectual property rights;

¹ © International Chamber of Commerce (ICC), 2015.

² DR *Comisión Federal de Competencia Económica* (Federal Economic Competition Commission), 2015.



- Information on products and services, and financial and business information.

We should reasonably use Company goods to perform our work, and not for personal benefit or for any unauthorized objective.

In addition, we must protect the Company's resources, comply with all procedures related to the operation and security of such goods to prevent them from being damaged, lost, stolen or wasted.

26. Financial Resources

Any person having control over the financial resources of the Company, including cash, cash equivalents, securities, negotiable instruments or credit cards, is personally responsible for their custody, administration and use in the operation of América Móvil.

We should also make sure that the Company's income and expenditure are duly documented, in accordance with applicable laws.

27. Political Activities

América Móvil has no ideological, political or partisan affiliation, but respects the right of its employees to be fully engaged in non-profit professional associations and civil organizations promoting the legal and responsible exercise of their political rights.

Employees are free to exercise their political rights without any pressure, directly or indirectly, to favor a specific party or person.

However, for the Company to comply with applicable legal provisions, the participation of our employees in political and/or election processes must be strictly personal, never during working times and without any express or implicit reference to América Móvil, and under no circumstances shall financial resources or other goods of the Enterprise be used.

Furthermore, some laws we are subject to contain provisions that forbid donations, contributions or other payments, either by cash or in kind, by América Móvil and its employees to political parties, employees of political parties and candidates to elected office, including in other countries. Therefore, the financial resources of our Company will not be used to support any candidate to political office.

If you identify or suspect a breach of the above-mentioned principles, file a complaint in our portal <https://denuncias.americamovil.com>



28. Sustainability

Sustainability for América Móvil means ensuring a balance between the economic, social and environmental spheres, in such a way that the company can continuously have a positive impact in the communities where we operate and their environment, and thus confirm our commitment to be an agent of change, promoting inclusion, economic growth and well-being.

In this sense, the goal of our Intelligent Sustainability Strategy is to make of the Company and its affiliates catalyzers of development and quality-of-life improvement for the people, through digital connectivity, road awareness, preservation actions and care for the environment, among others.

Furthermore, we work continuously to keep our operations aligned to the best national and international standards, including the Ten Principles of the UN Global Compact, the Women's Empowerment Principles, and the Sustainable Development Goals established by the United Nations.

Every action that may endanger the sustainability of América Móvil must be reported to <https://denuncias.americamovil.com>

For further information about the different sustainability initiatives, and if you have any questions, read our annual report at <https://www.americamovil.com/Spanish/sustentabilidad/informes-de-sustentabilidad/default.aspx> or [contact us at contacto-rse@americamovil.com](mailto:contacto-rse@americamovil.com)

If you identify any breach or our principles of sustainability, file a complaint in our portal <https://denuncias.americamovil.com>

29. It is Everyone's Responsibility

Our Code of Ethics confirms the commitment of América Móvil to attain the highest standards in labor conduct and business practices. However, ultimately, each person is responsible for his/her own actions.

No Code of Ethics can cover provisions for all possible situations or include all the standards applicable to each concrete case. Thus, the contents of this Code of Ethics must be considered together with applicable laws, rules, regulations, policies, guidelines, practices, instructions and procedures, both for América Móvil and locally in each of our countries.

As a global company, América Móvil must comply with the laws of all the countries in which it operates. Therefore, to the extent of the Company's responsibilities, we all have an obligation to be aware of and comply with such applicable laws, rules and regulations.



Our actions should also support the spirit and intention of every Law we are subject to. In this sense, in any event of discrepancies between this Code of Ethics or any other guideline of América Móvil and local laws or regulations, we will always apply the highest standard of conduct.

If you think that a provision contained herein is in conflict with any local law or provision, or if you have a question regarding the application of our Code of Ethics, write to yocumplo@americamovil.com

30. Breach of Our Code of Ethics

Any breach of the Code of Ethics affects the image and reputation of América Móvil and all those who work at our Company.

Any breach of the Code of Ethics or the internal guidelines of América Móvil may lead to disciplinary measures, or even to administrative, civil or criminal sanctions, being imposed based on severity of the breach.

31. Our Duty to File Complaints

All of us must report, directly through the Whistleblower Portal, any conduct in breach of this Code of Ethics or any applicable law, regulation, policy or internal procedure, and in general, any unethical conduct.

We should cooperate with any internal or external investigation, and keep it confidential. Employees filing false or intentionally misleading complaints may be subject to disciplinary sanctions.

Remember that failing to report an ethical violation may have disciplinary consequences for you, since you may be covering up an unethical behavior or offense. Complaints can be made anonymously if complainants choose to do so. In this case, we recommended that some contact information should be provided for follow-up purposes during the investigation.

América Móvil will take all reasonable and justified measures to protect complainants, so that no retaliation is taken against them for their complaint. The Company will make its best efforts to protect the confidentiality of all complainants.

No provision of this Code of Ethics shall be deemed to prevent any person who feels affected by or has witnessed an illegal conduct from filing the corresponding complaint directly with the appropriate authorities. In such cases, our suggestion is that it should be reported to Legal and/or the Compliance Officer, so that they can cooperate with the authorities, if necessary.

Any and all complaints received through the Whistleblower Portal of América Móvil will be managed, handled and investigated by América Móvil's Compliance Officer, who in turn, reports to a multidisciplinary group of officials of América Móvil that form the Ethics Committee.



For any complaint, the Whistleblower Portal is available at <https://denuncias.americamovil.com>

32. Help us to improve this Code

This Code of Ethics establishes the minimum standards that our Company will adhere to.

We are aware that it is not possible to prevent or regulate all the possible situations, so we thank you in advance for any suggestion or comment that may help supplement and improve this Code sent to the email address yocumple@americamovil.com

We at América Móvil know that your role in connection with the compliance of our Code of Ethics is vital for the development and success of our company. Thank you for reading thoroughly and taking the time to understand these provisions, and we hope you to put them into practice in your daily work.

CONSENT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

We consent to the incorporation by reference in the Registration Statement (Form F-3ASR No. 333-259910) of América Móvil, S.A.B. de C.V. and subsidiaries and in the related Prospectus, of our reports dated May 1, 2023, with respect to the consolidated financial statements of América Móvil, S.A.B. de C.V. and subsidiaries, and the effectiveness of internal control over financial reporting of América Móvil, S.A.B. de C.V. and subsidiaries, included in this Annual Report on Form 20-F for the year ended December 31, 2022.

/s/ MANCERA, S.C.

A member practice of Ernst & Young Global Limited

Mexico City, Mexico
May 1, 2023

Subsidiary Guarantors and Issuers of Guaranteed Securities

Each of the following securities issued by América Móvil, S.A.B. de C.V. (América Móvil) is unconditionally and fully guaranteed, jointly and severally by Radiomóvil Dipsa, S.A. de C.V. (Telcel), a wholly owned subsidiary of América Móvil:

- UDI 743.5 million 0% Notes due 2025
- £650 million 5.75% Senior Notes due 2030
- US\$1,000 million 6.375% Notes due 2035
- UF 5 million 4.00% Notes due 2035
- Ps.8,000 million 8.46% Senior Notes due 2036
- US\$400 million 6.125% Notes due 2037
- ¥13,000 million 2.95% Senior Notes due 2039
- US\$2,000 million 6.125% Senior Notes due 2040